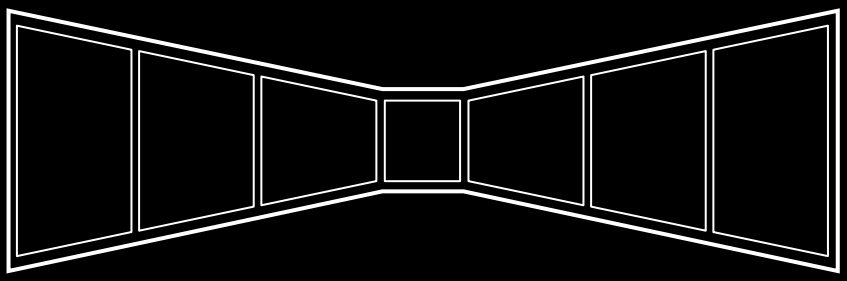
REVENUE ARCHITECTURE

VISUAL GUIDE TO THE AUDIOBOOK



JACCO VAN DER KOOIJ

FIRST EDITION

Not For Distribution

01

INTRODUCTION

Not For Distribution

FIGURE 1.1 ***The explosive growth of communication applications in B2B during the pandemic reflected by the rise in the number of Zoom customers with more than 10 employees.***

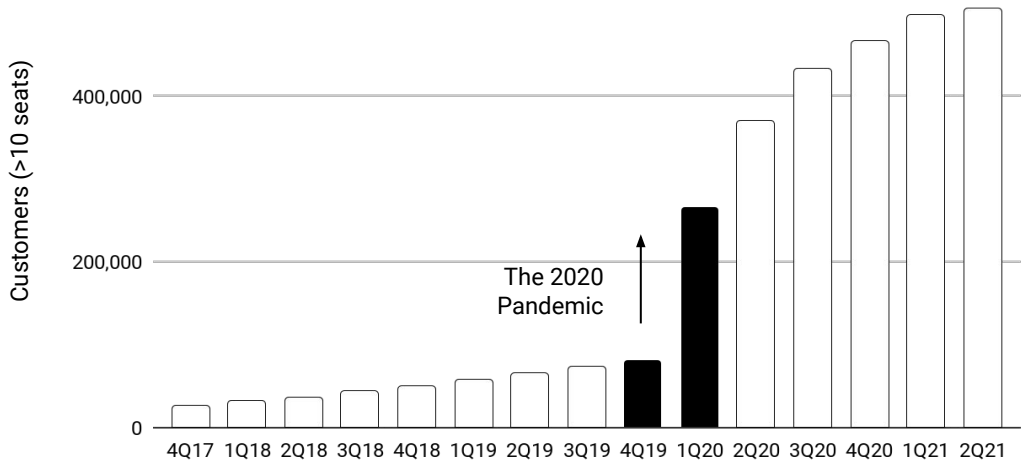
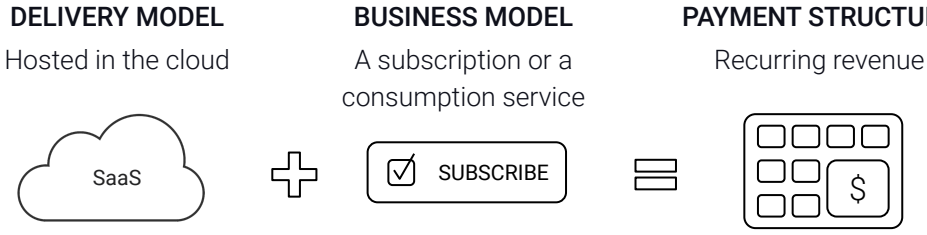


FIGURE 1.2 ***The term "SaaS" means different things to different people.***



Not For Distribution

FIGURE 1.3 ***Performance of SaaS companies over time, normalized against January 2012 by SaaS Capital Index®.***

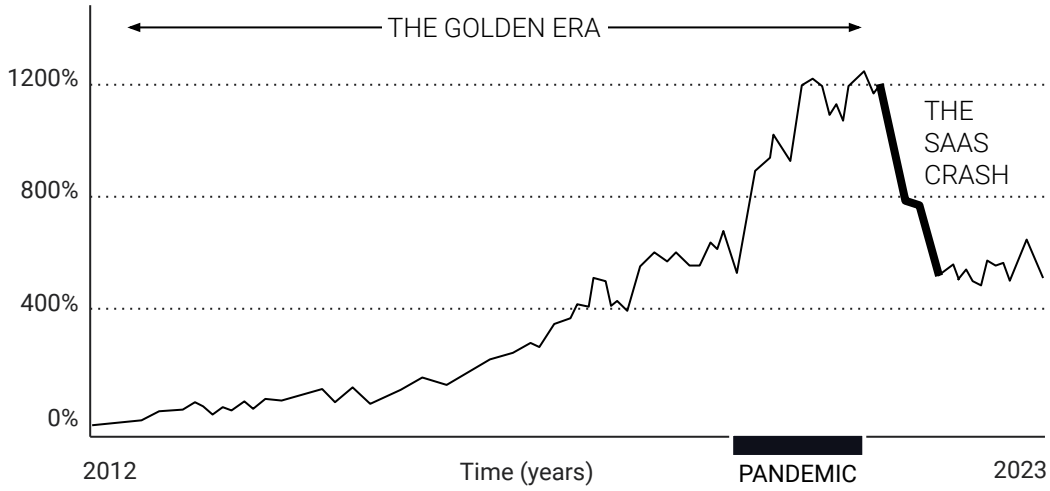
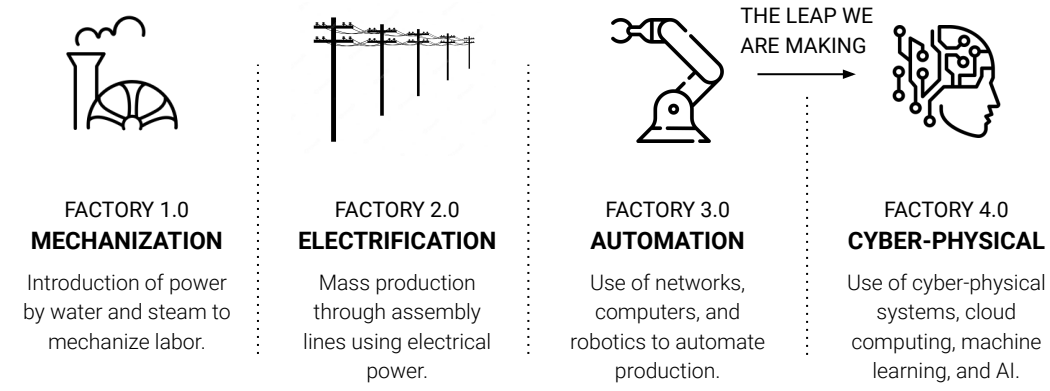


FIGURE 1.4 ***The 4th Industrial Revolution is marked by cloud computing, machine learning, and AI.***



Not For Distribution

FIGURE 1.5

A subscription business operates like a revenue factory with a number of production lines (GTM motions). Each production line signifies a different revenue stream, characterized by specific growth metrics and cost structures.

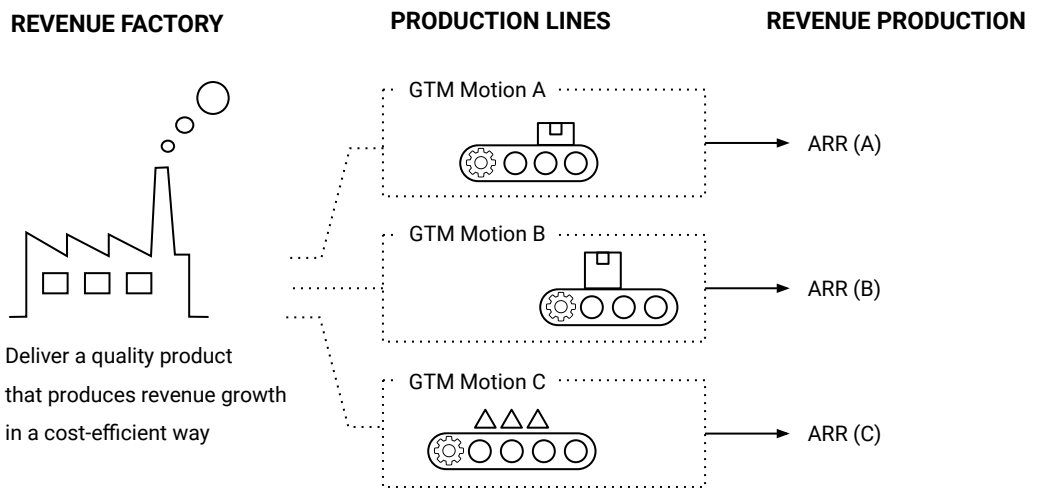
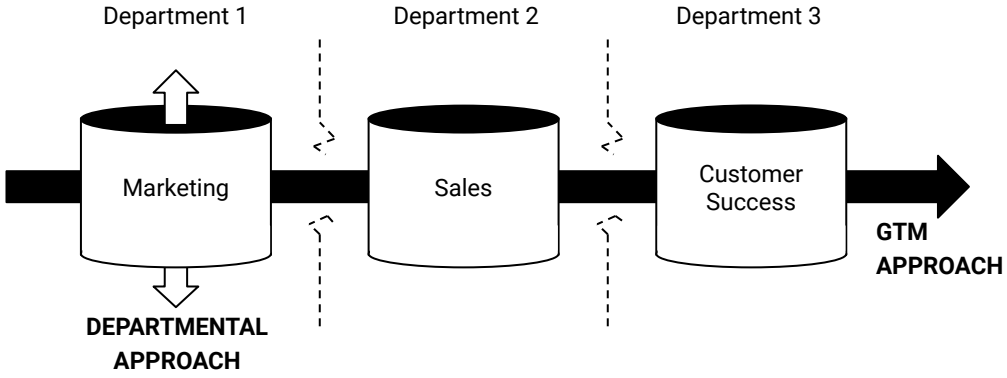


FIGURE 1.6

Today, recurring revenue businesses operate in silos, in which each department focuses on its own objectives. A GTM approach breaks down these silos and emphasizes cross-functional collaboration and alignment across departments.



Not For Distribution

FIGURE 1.7 ***The median headcount by fundraising stage was recorded by Carta in 2021. It shows the 10x growth in headcount which causes fiefdom building. Such rapid growth occurs at the moment the organization still lacks processes.***

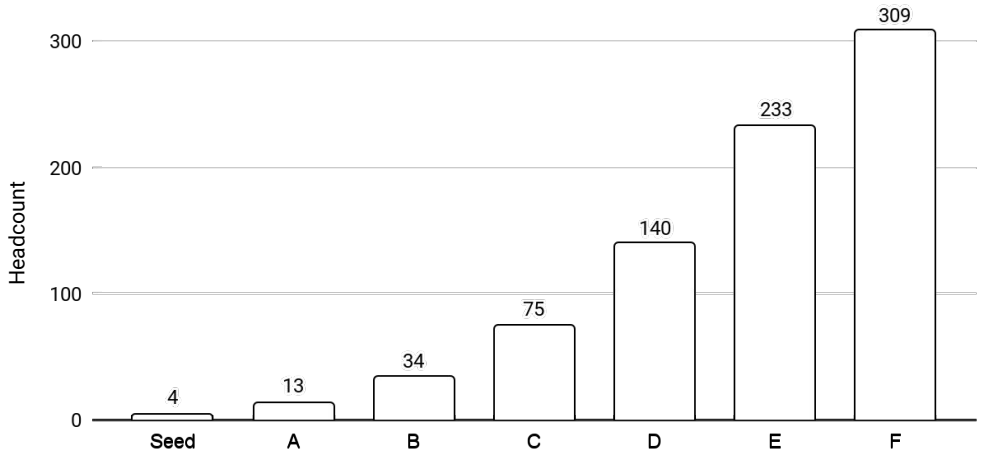
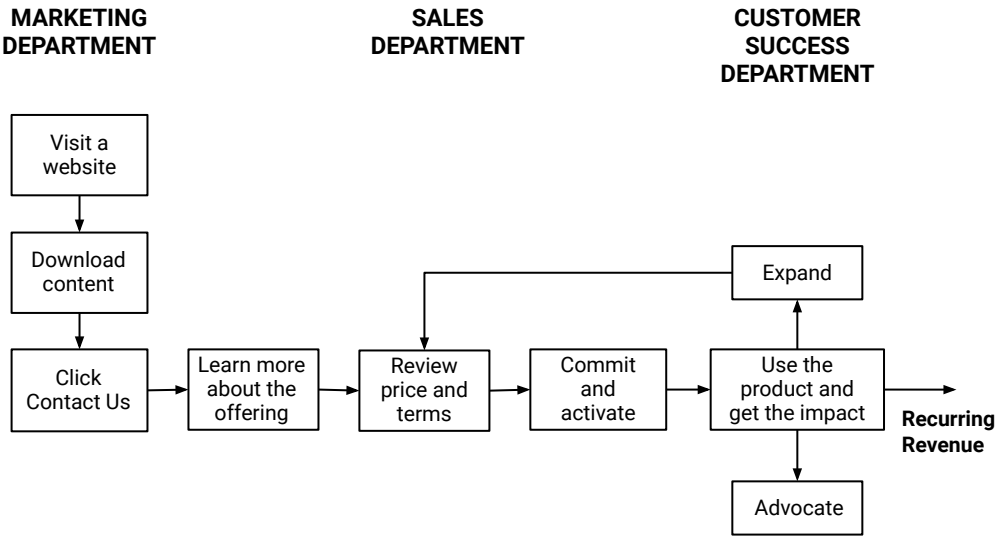


FIGURE 1.8 ***An example of a high-velocity inbound GTM motion, as perceived from the customer's perspective. It involves multiple actions across many functions and 3 departments***



Not For Distribution

FIGURE 1.9 ***Different products and GTM motions each can create different revenue streams.***

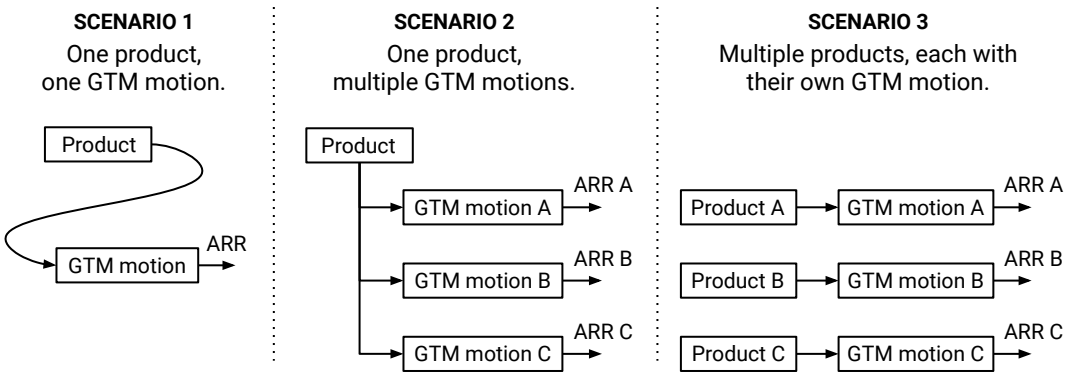
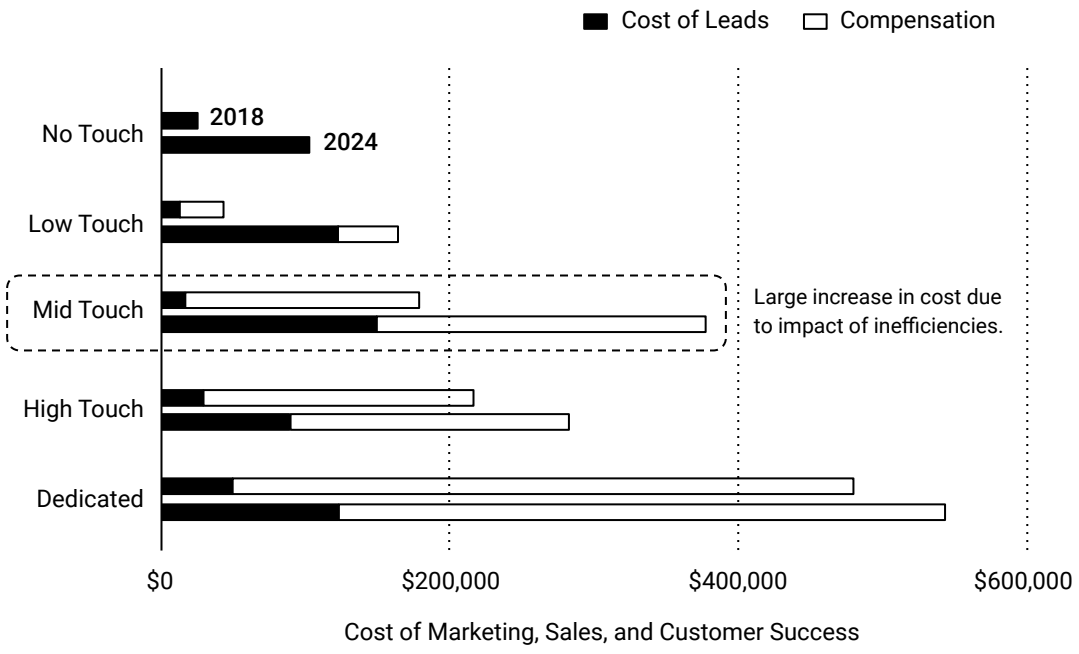


FIGURE 1.10 ***From 2018 to 2024, we observed a significant rise in the cost of GTM motions. In some instances, the mid-touch approach, utilizing 2 junior sellers (SDR and a Jr. AE), even became more costly than a high-touch approach relying on a single seller (Sr. AE).***



Not For Distribution

FIGURE 1.11 ***Cost of Acquisition and Expansion depicts that the GTM problem is not solved.***

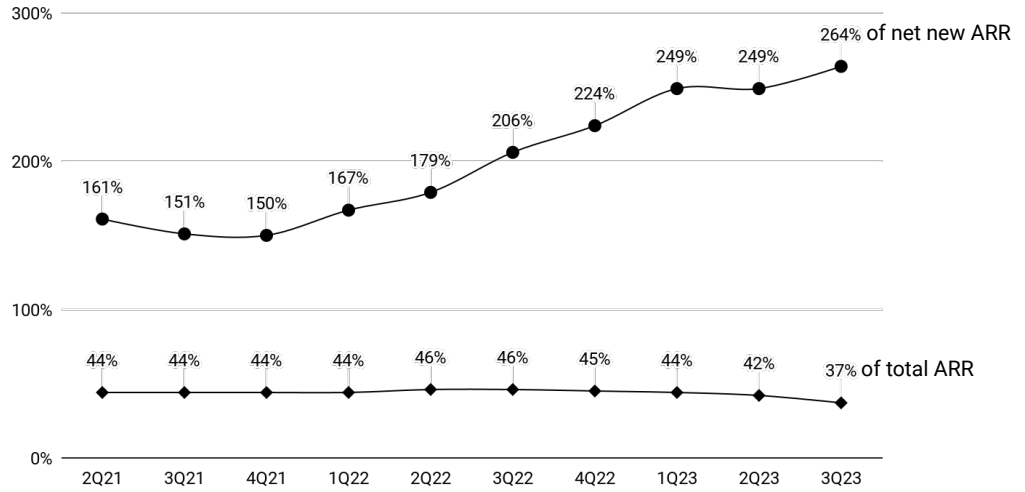
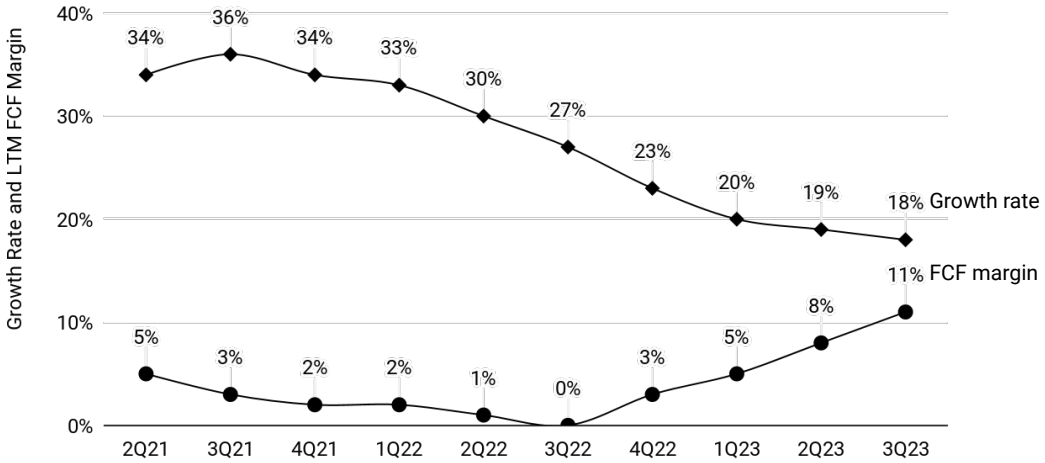


FIGURE 1.12 ***The decline in average growth rate and increase of FCF among public SaaS companies.***



Not For Distribution

FIGURE 1.13 ***The importance of GTM grows significantly as a company evolves from a Startup into a Scaleup. This transformation requires a company to make drastic changes.***

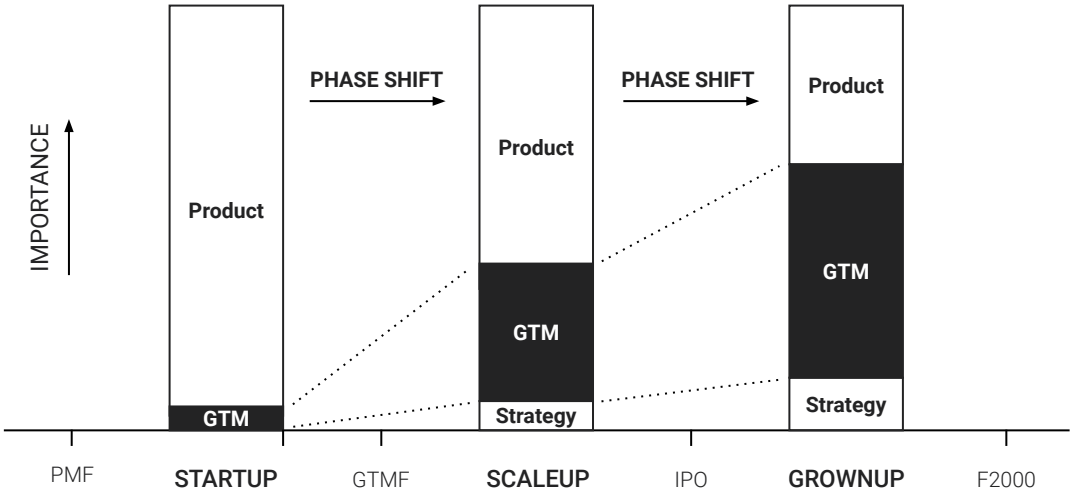
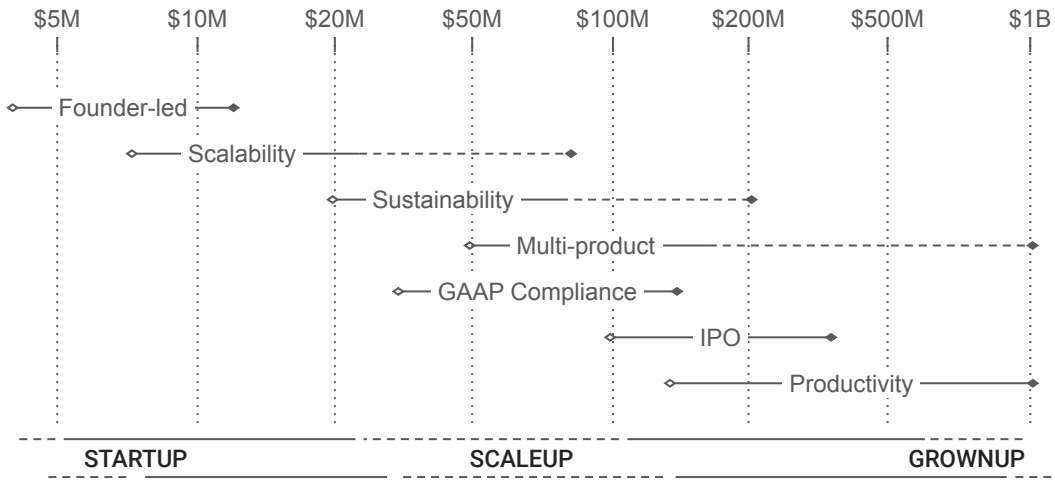


FIGURE 1.14 ***Phase Shifts define the Startup, Scaleup, and Grownup growth stages.***

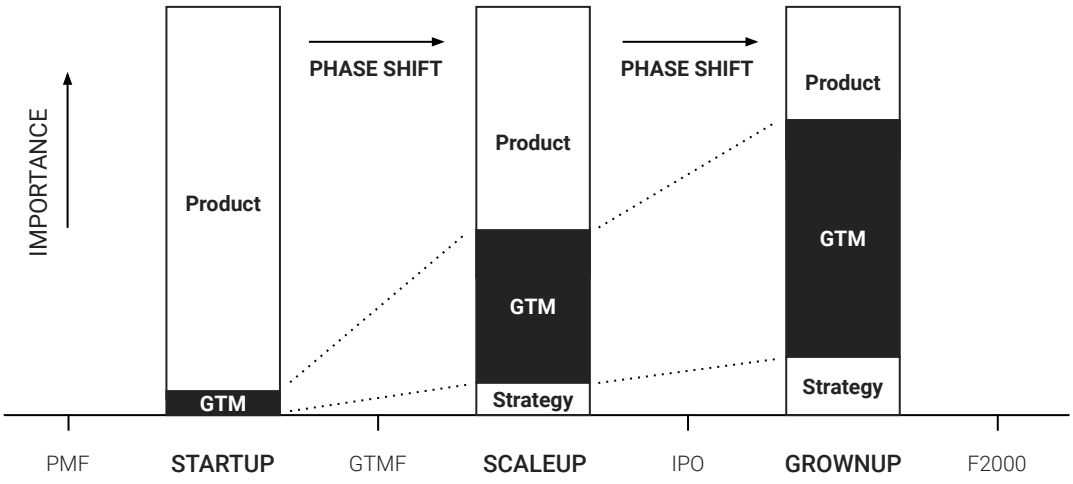


Not For Distribution

Table 1.1 ***The 3 main goals of a recurring revenue factory, mapped to maturity phases.***

Factory Goal	Recurring Revenue Factory	Operational Directive	Maturity Phase
Production	Accelerate Growth	Implement proven processes	Scalability
Efficiency	Lower Cost	Apply unit economics (cost)	Sustainability
Quality	Deliver Recurring Impact	Instill quality management	Durability

FIGURE 1.15 ***The importance of GTM grows significantly as a company evolves from a Startup into a Scaleup. This transformation requires a phase shift.***



Not For Distribution

PART I

FUNDAMENTALS

Not For Distribution

FIGURE I1 ***Three scientific principles form the foundation for building a recurring revenue factory.***

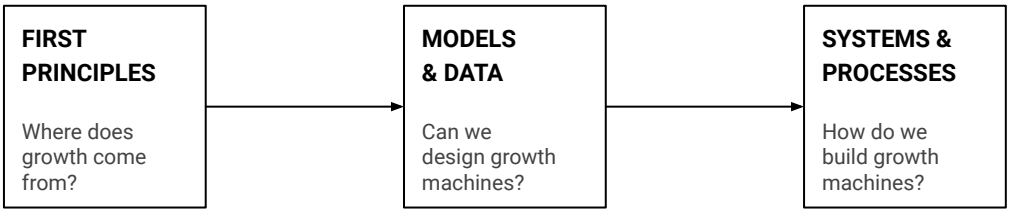
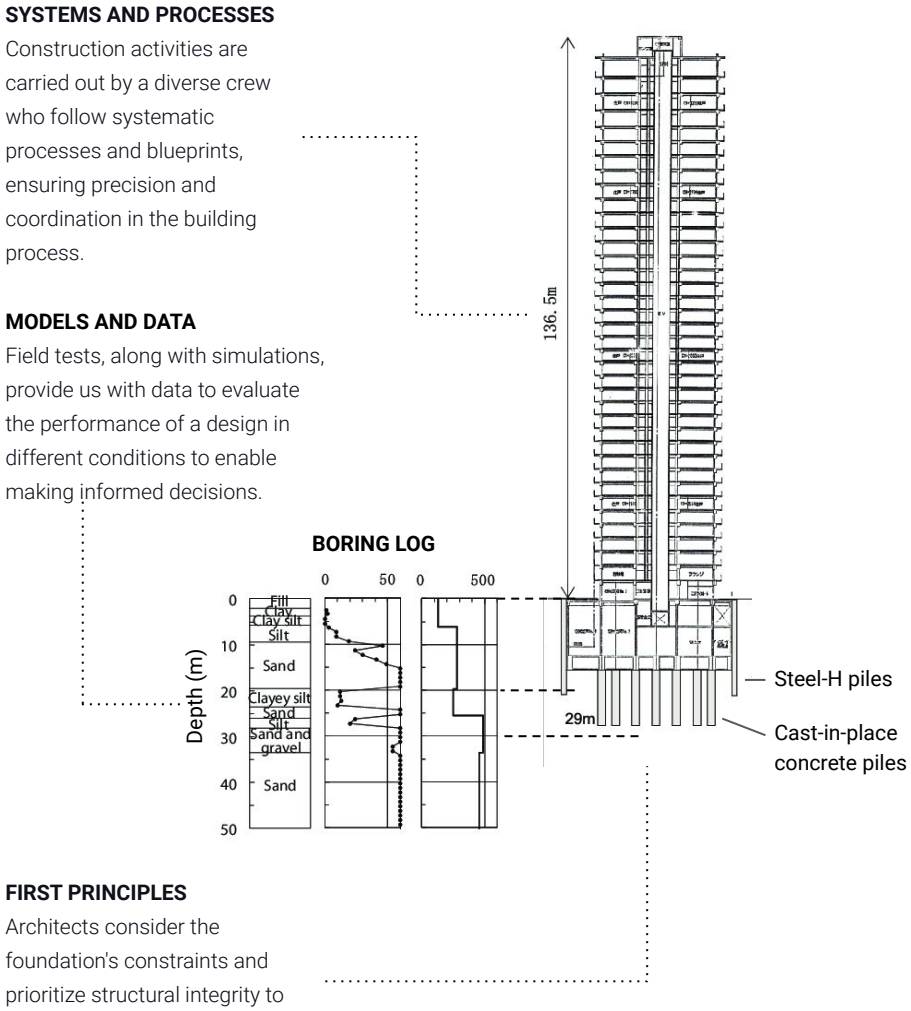


FIGURE I2 ***Architects rely on first principles, models, and systematic processes to create structurally sound, adaptable, and well-coordinated buildings.***



Not For Distribution

02

FIRST PRINCIPLES

Not For Distribution

Not For Distribution

TABLE 2.1 ***BestCo's revenue growth in ARR split across 3 revenue streams.***

	Retention	Expansion	Acquisition	ARR
2013	$0.0	$0.00	$0.90	$0.9
2014	$0.85	$0.08	$1.87	$2.80
2015	$2.63	$0.26	$5.79	$8.69
2016	$8.17	$0.82	$6.48	$15.46
2017	$14.54	$1.45	$11.23	$27.22
2018	$25.59	$2.56	$18.90	$47.04
2019	$44.22	$4.42	$19.96	$68.60
2020	$64.49	$6.45	$22.36	$93.30
2021	$87.70	$8.77	$18.55	$115.02
2022	$108.12	$10.81	$24.54	$143.47

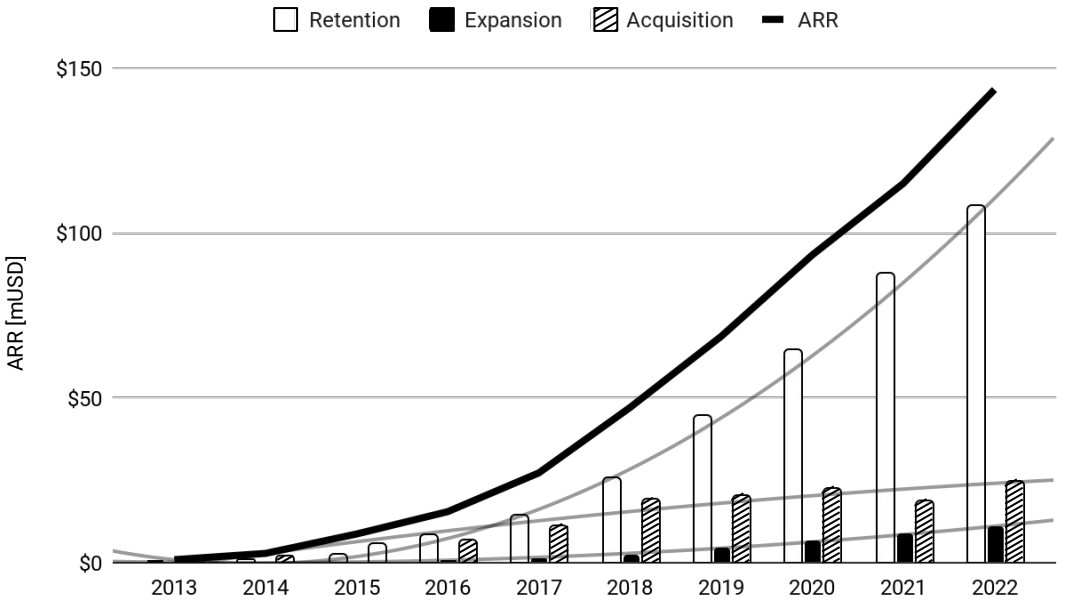
Kickstart FOUNDER SALES

Step 1. ACQUISITION

Step 2. RETENTION

Step 3. EXPANSION

FIGURE 2.1 ***Breaking down the ARR into 3 components, and determining a trendline for each.***



Not For Distribution

FIGURE 2.2 ***The trend of BestCo's annual revenue growth from acquisition.***

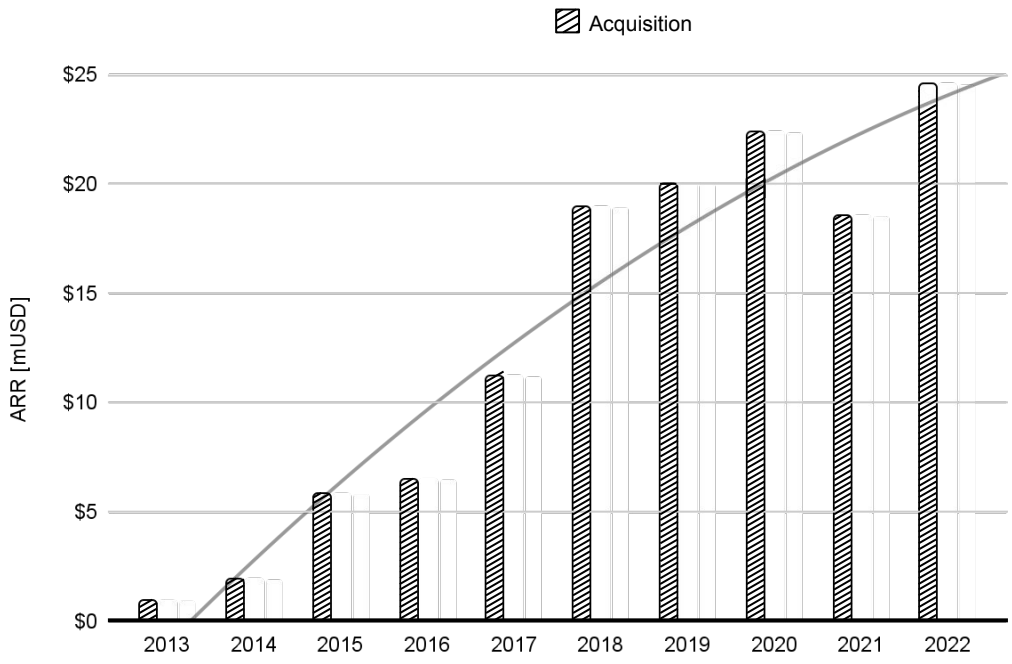
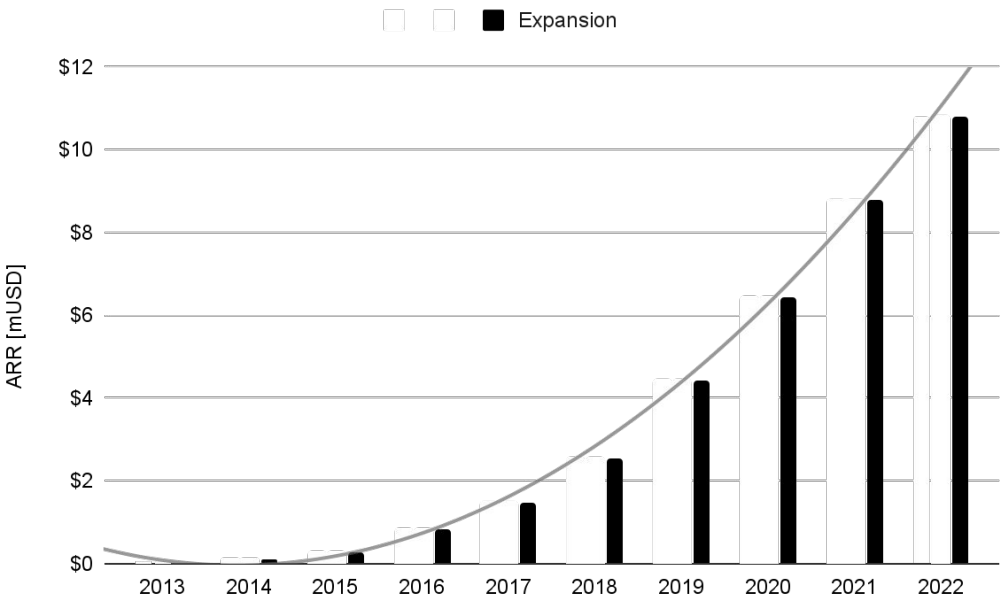


FIGURE 2.3 ***The exponential growth of the expansion revenue.***



Not For Distribution

FIGURE 2.4 ***As revenue increases by the same amount, the growth rate naturally declines.***

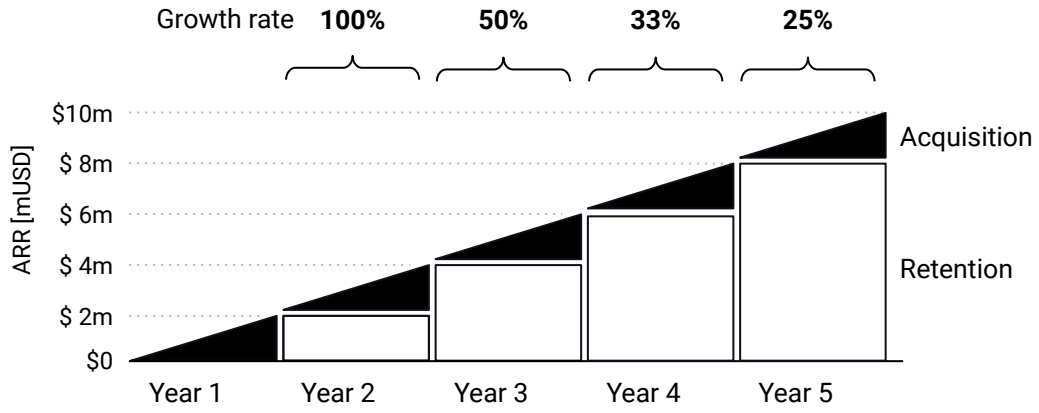
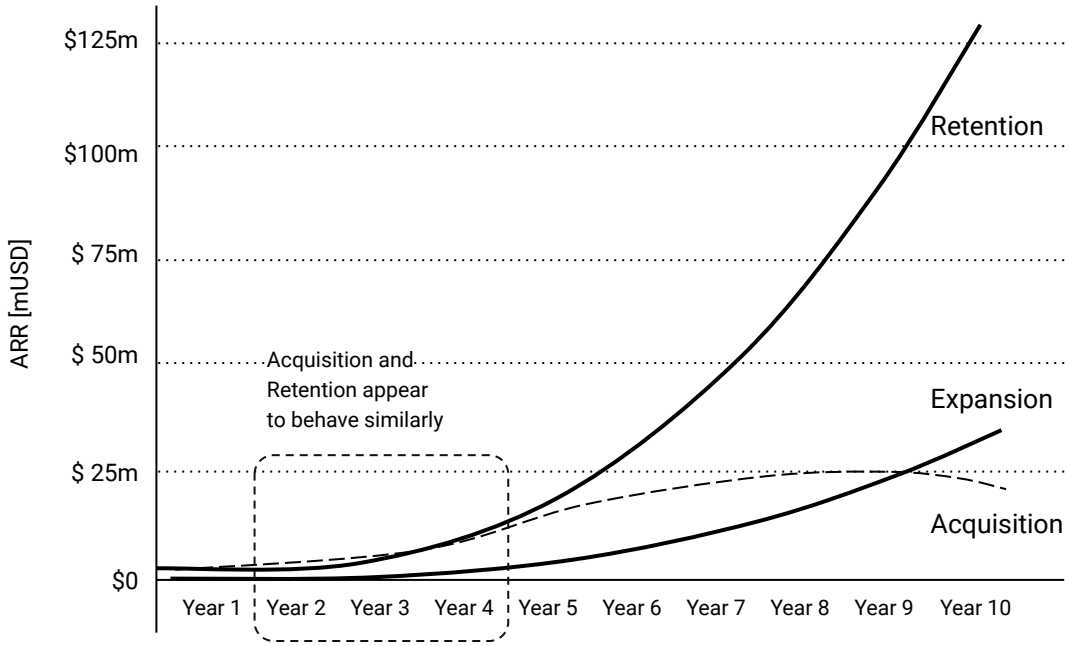


FIGURE 2.5 ***The exponential growth curve from retention (and expansion) needs to be noticed.***



Not For Distribution

FIGURE 2.6

Gross profit increases over time as costs decline, driven by the shift in revenue growth towards renewals.

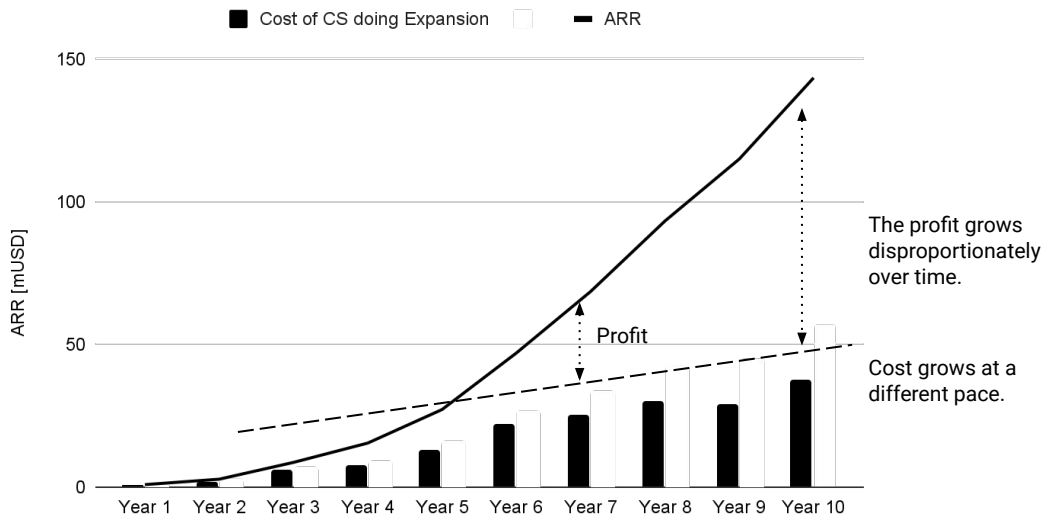
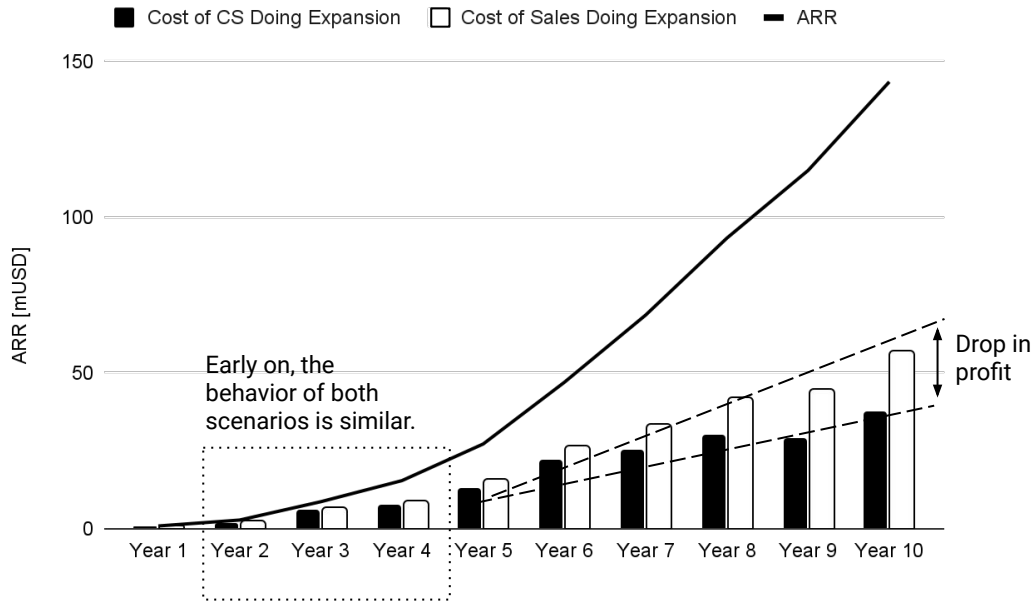


FIGURE 2.7

Assigning the acquisition (sales) team to expansions and renewals significantly increases costs, leading to a substantial drop in profit.

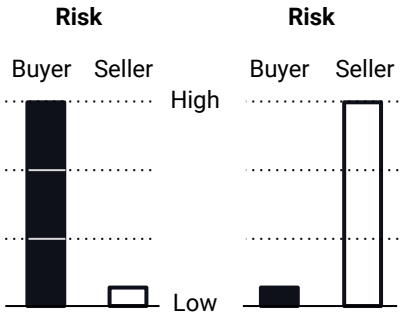


Not For Distribution

FIGURE 2.8 ***In a subscription business the risk of the deal sifts from the buyer to the seller.***

Ownership

Places the burden of risk squarely on the buyer's shoulders in their pursuit of achieving impact. This gave rise to support contracts and involvement of system integrators.



Subscription

In SaaS, it is the seller who takes on all the risk to deliver impact. Processes around managing risks have not changed, for example, buyers today still expect a 20% discount.

EXERCISE 2.1

Obtain a Data Set

Obtain the recurring revenue numbers and split them into 3 components of growth. Enter this in a spreadsheet similar to the one depicted in the table below. Do this over a minimum of 8 periods. The period can be a month, a quarter, or a year. For a product with longer sales cycles, your period should be longer, like quarters; for products with short sales cycles, your periods should be shorter, like months.

TABLE 2.2 ***Recurring revenue over 10 periods, split across 3 components of growth.***

Revenue	Acquisition	Retention	Expansion	Total
Period 1				
Period 2				
Period 3				
Period 4				
Period 5				
Period 6				
Period 7				
Period 8				
Period 9				
Period 10				

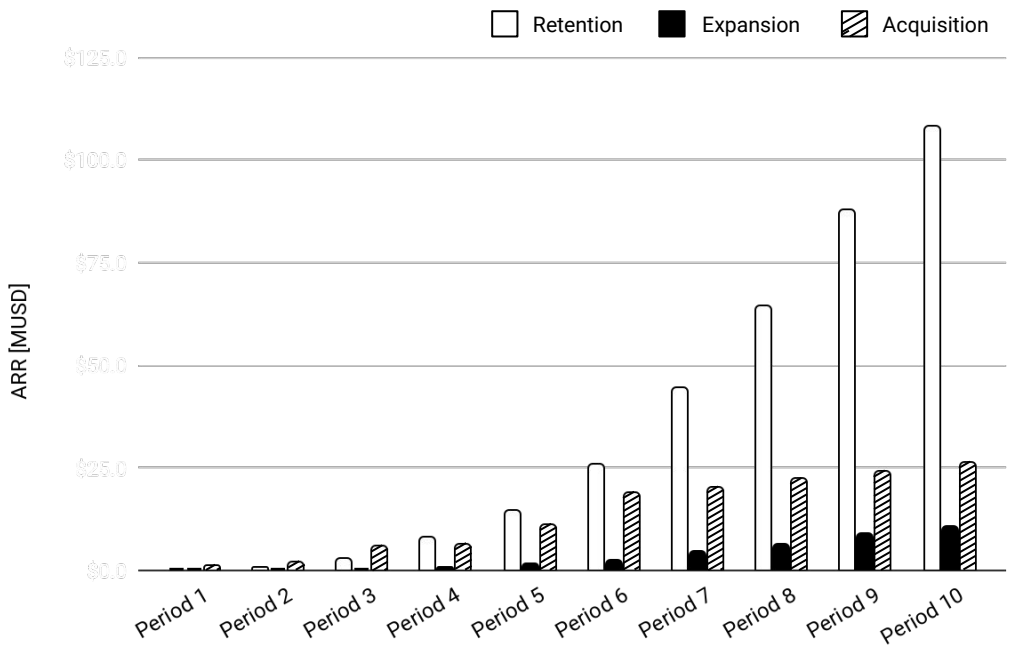
Not For Distribution

EXERCISE 2.2

Plot These Numbers in a Column Chart

Please select all the data and plot them in a side-by-side column chart with separate columns for acquisition, retention, and expansion. The chart should resemble Figure 2.9. Remember not to use a stacked bar chart, which won't helps us establish the trendlines per growth component.

FIGURE 2.9 ***Example of a column chart with the 3 different components of growth side by side.***



EXERCISE 2.3

Add a Trendline

If you are using Google Sheets, click on 1 of the 3 series, and add a trendline. Next, check the R^2 box, which indicates how accurately the trendline follows the data. Choose the type of trendline, such as linear, exponential, polynomial, etc. that results in an R^2 value as close as possible to 1. A 2nd or 3rd-degree polynomial trendline usually yields the best results, with an R^2 value around 0.98 or higher. Repeat this process for each series.

Not For Distribution

EXERCISE 2.4

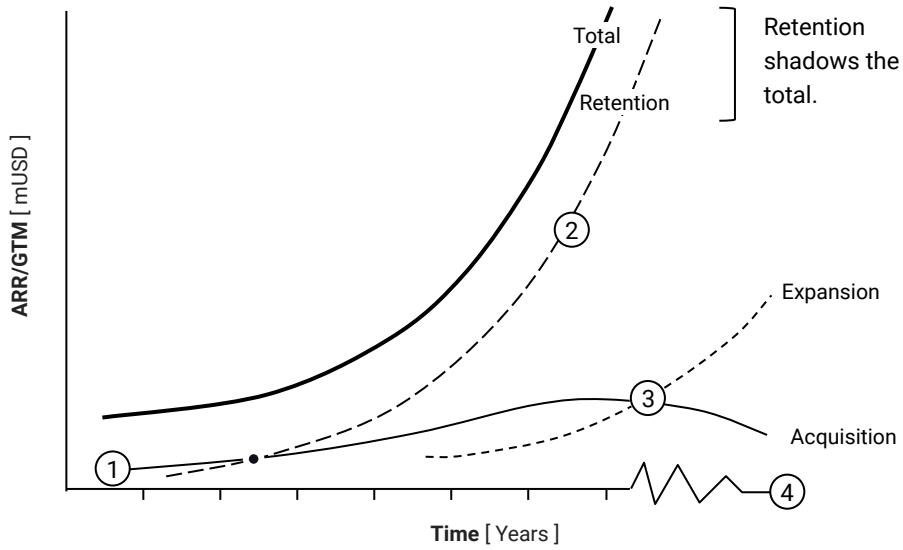
Gain an Understanding

Study the trendline, and answer the following questions:

- **Question 1:** Where is most of the growth coming from today?
- **Question 2:** When will growth from retention exceed growth from acquisition?
- **Question 3:** When will growth from expansion exceed growth from acquisition?

By completing these simple exercises, you now better understand where growth currently originates from and where it is trending.

FIGURE 2.10 ***The 4 stages of growth consisting of 3 components with growth curves for each.***



Not For Distribution

03

MODELS & DATA

Not For Distribution

Not For Distribution

FIGURE 3.1 ***The design of a suspension bridge can be broken down into 6 components.***

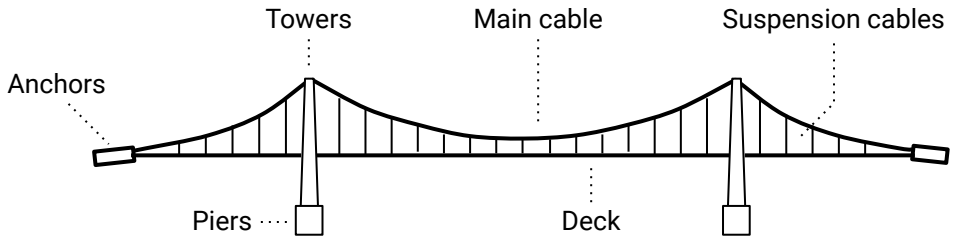
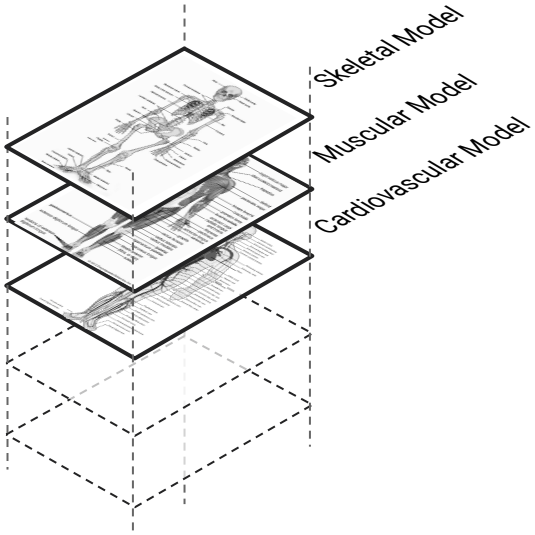


FIGURE 3.2 ***Human anatomy can be described by a series of models.***



- The human anatomy can be described by a series of models.
- Each model is 100% accurate.
- A single model does not provide an accurate picture of how a human as a whole works.
- Different models provide a different perspective.
- Combining models increases the accuracy.
- It takes multiple models to create an accurate picture of how the human body works.

Not For Distribution

FIGURE 3.3 ***The 6 essential models that govern a recurring revenue business.***

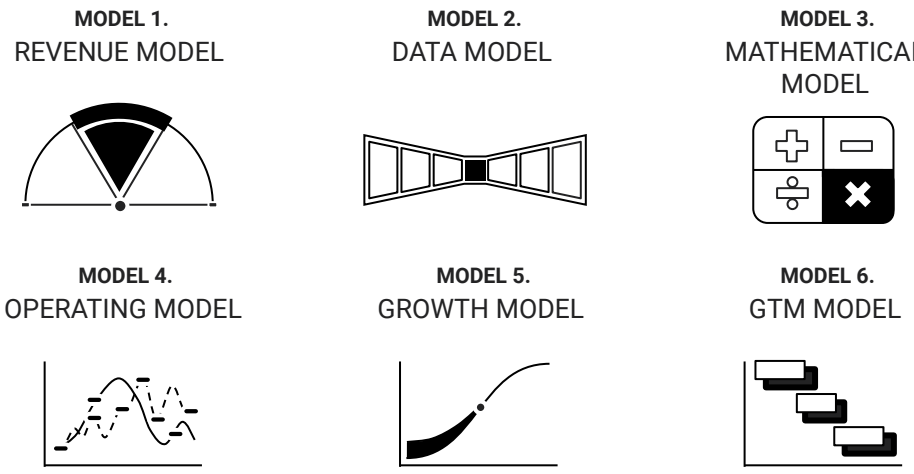
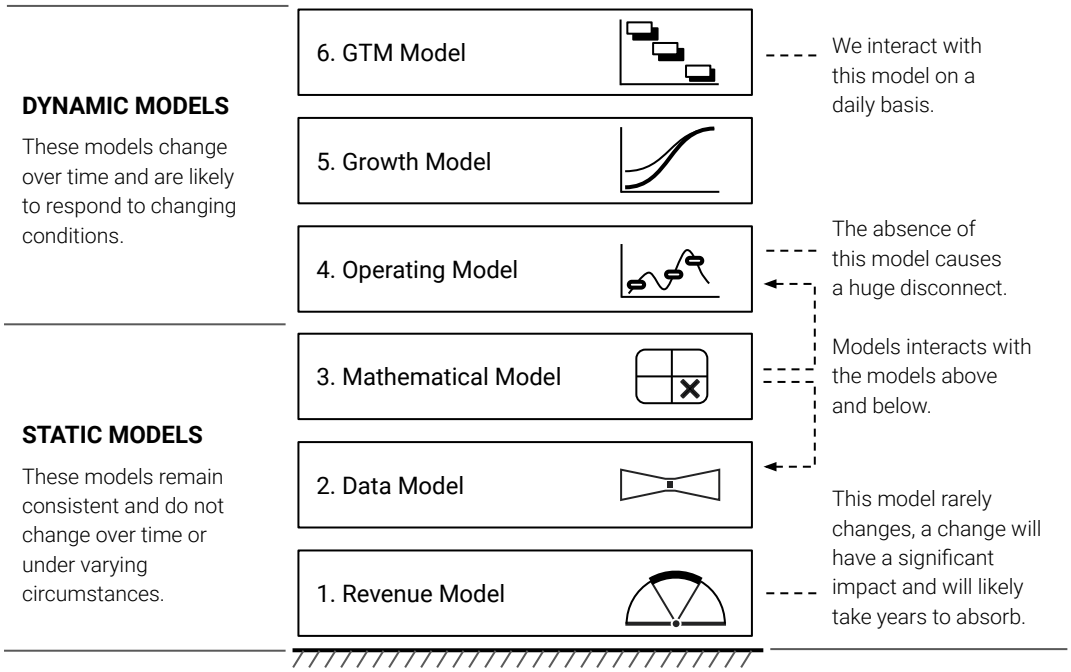
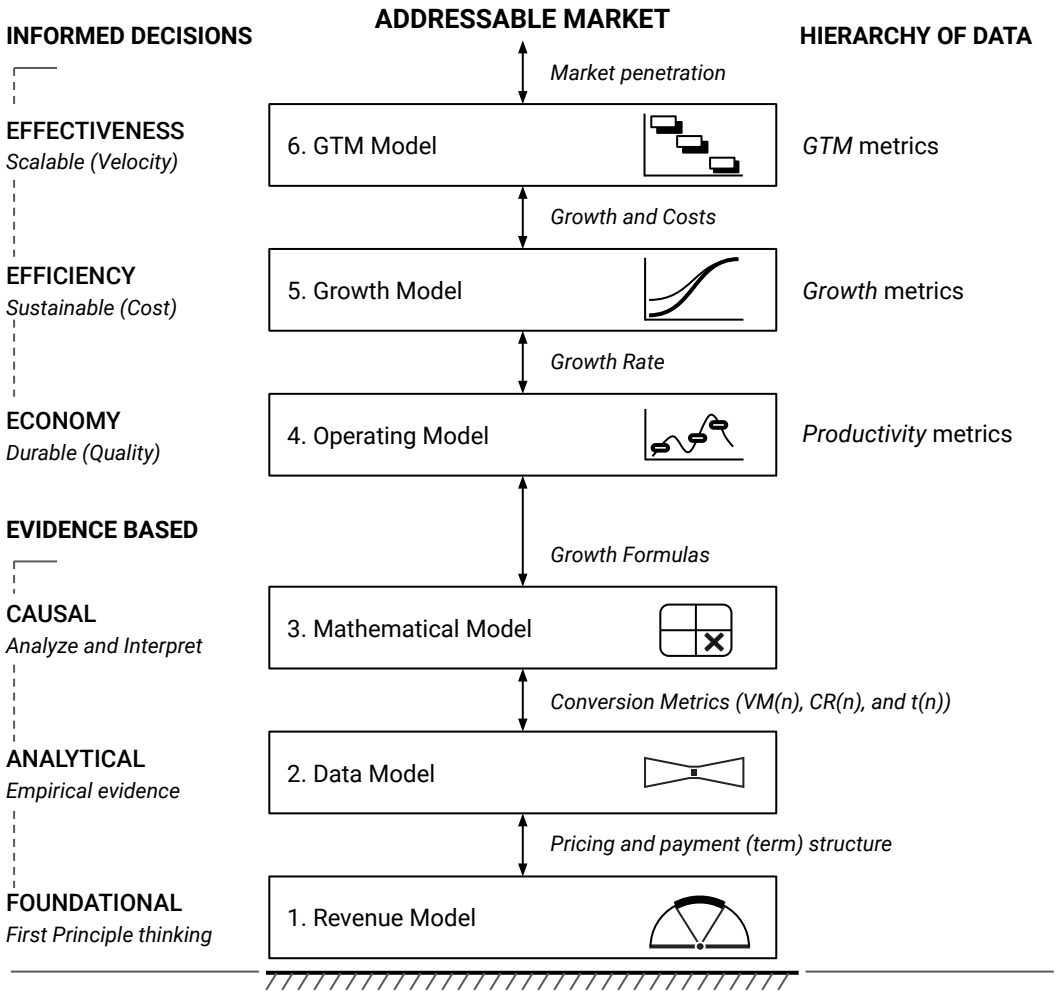


FIGURE 3.4 **The structural hierarchy of the 6 essential models, and the separation of dynamic and static models.**



Not For Distribution

FIGURE 3.5 ***The structure of the 6 essential models, and the organization of data.***



Not For Distribution

EXERCISE 3.1 **Growing from $10M to $30M in ARR, which models are affected and how?**

Six Essential Models	Affected?	How is the model affected?
1. Revenue Model	☐ Yes	_____
2. Data Model	☐ Yes	_____
3. Mathematical Model	☐ Yes	_____
4. Operating Model	☐ Yes	_____
5. Growth Model	☐ Yes	_____
6. GTM Model	☐ Yes	_____

EXERCISE 3.2 **Changing from perpetual to subscription, which models are affected and how?**

Six Essential Models	Affected?	How is the model affected?
1. Revenue Model	☐ Yes	_____
2. Data Model	☐ Yes	_____
3. Mathematical Model	☐ Yes	_____
4. Operating Model	☐ Yes	_____
5. Growth Model	☐ Yes	_____
6. GTM Model	☐ Yes	_____

EXERCISE 3.3 **Launching a new GTM motion, which models are affected and how?**

Six Essential Models	Affected?	How is the model affected?
1. Revenue Model	☐ Yes	_____
2. Data Model	☐ Yes	_____
3. Mathematical Model	☐ Yes	_____
4. Operating Model	☐ Yes	_____
5. Growth Model	☐ Yes	_____
6. GTM Model	☐ Yes	_____

Not For Distribution

EXERCISE 3.4

Understand the Data Structure by connecting models to the right letters.

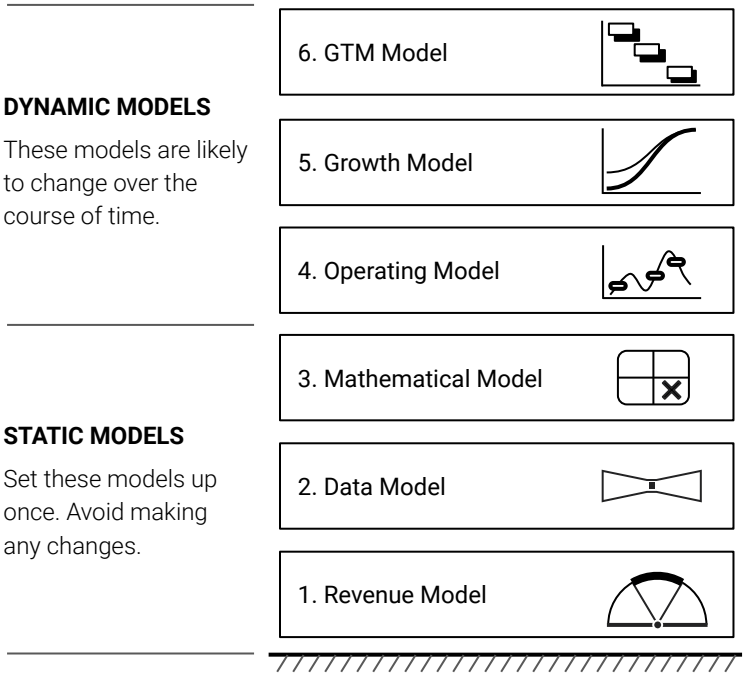
Draw lines to connect the models to the right metrics. Once you have done this read off the metrics in the right order, and build a story of the data structure.

1.	Revenue Model	A.	Growth Rate
2.	Data Model	B.	Conversion Metrics
3.	Mathematical Model	C.	Productivity Metrics
4.	Operating Model	D.	Growth Formula
5.	Growth Model	E.	Market Penetration
6.	GTM Model	F.	Pricing

EXAMPLE

FIGURE 3.6

The 6 essential models hierarchically structured in layers.



Not For Distribution

Not For Distribution

04

SYSTEMS & PROCESSES

Not For Distribution

Not For Distribution

FIGURE 4.1 ***The classic marketing and sales funnel functions as a revenue acquisition system consisting of 4 sub-systems, with the fourth being the funnel as a whole.***

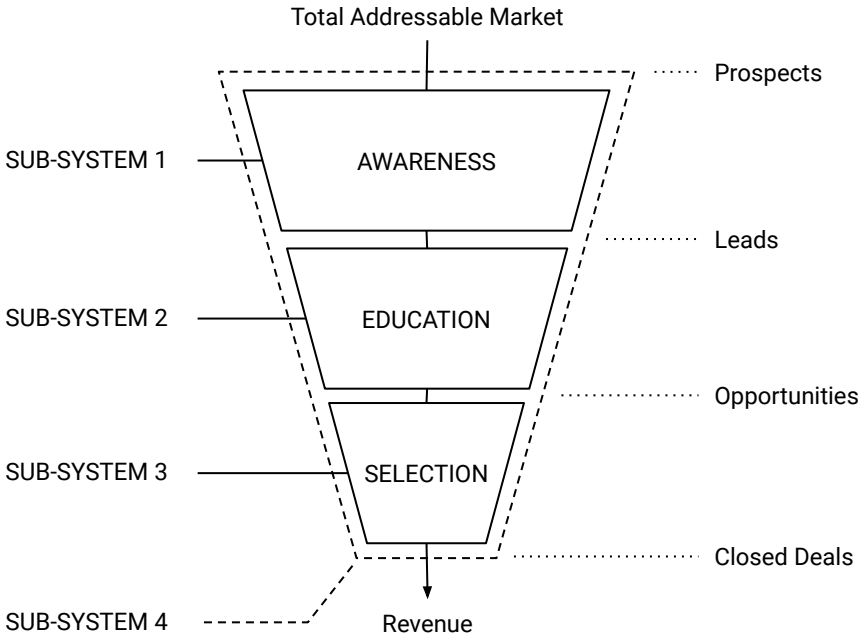
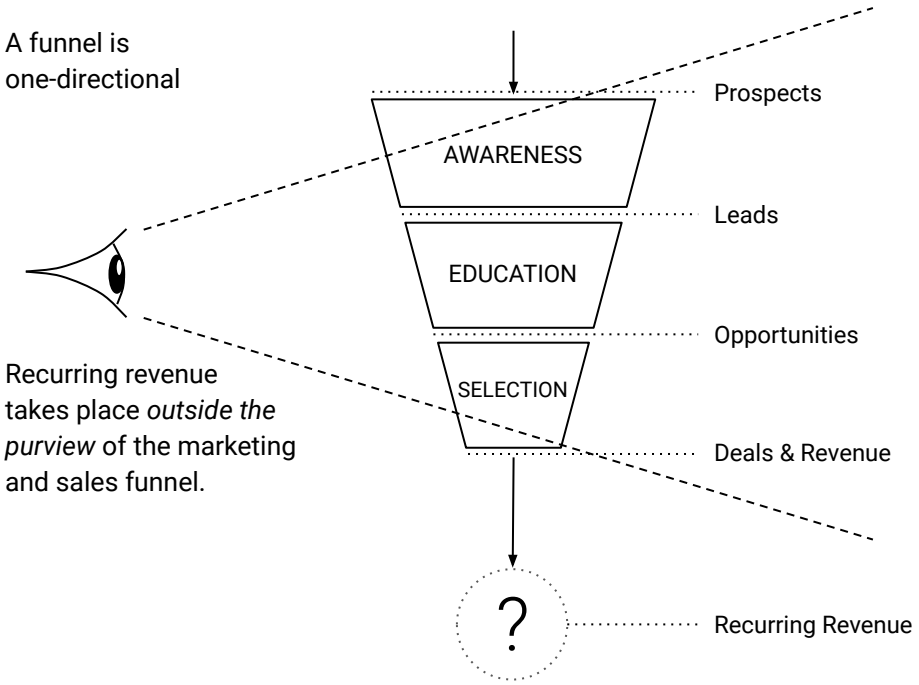


FIGURE 4.2 ***Recurring revenue takes place outside the purview of the marketing and sales funnel.***



Not For Distribution

FIGURE 4.3 ***The Bowtie extends the classic marketing and sales funnel to cover the critical stages responsible for recurring revenue growth.***

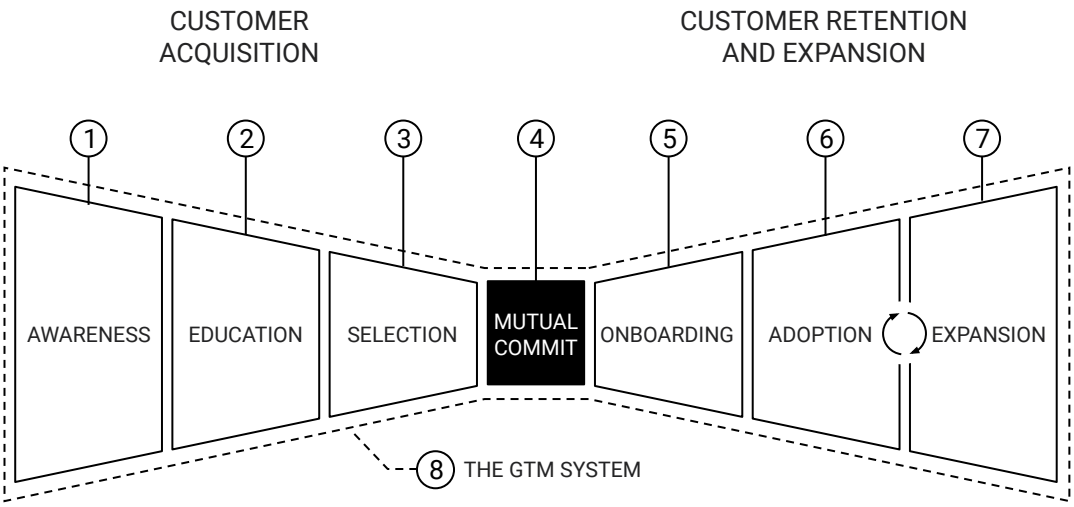
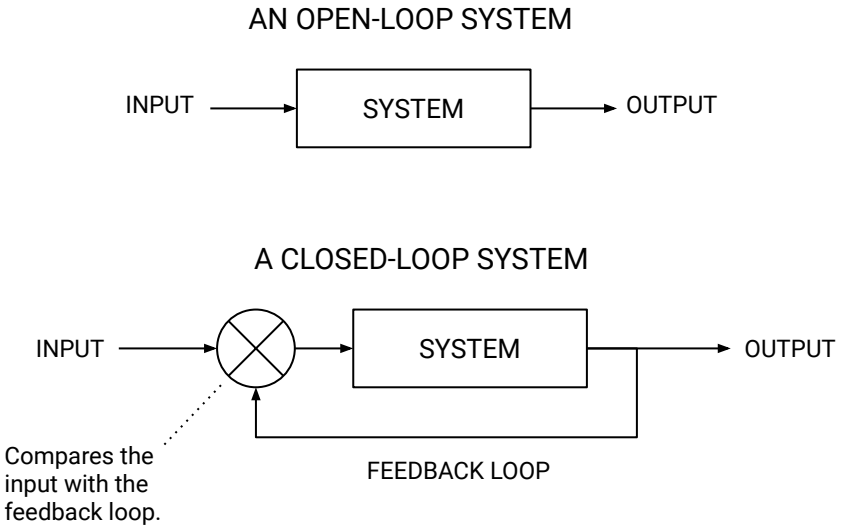


FIGURE 4.4 ***A simplified view of the difference between an open-loop and a closed-loop system.***



Not For Distribution

FIGURE 4.5 ***The numerous closed loops across the customer journey.***

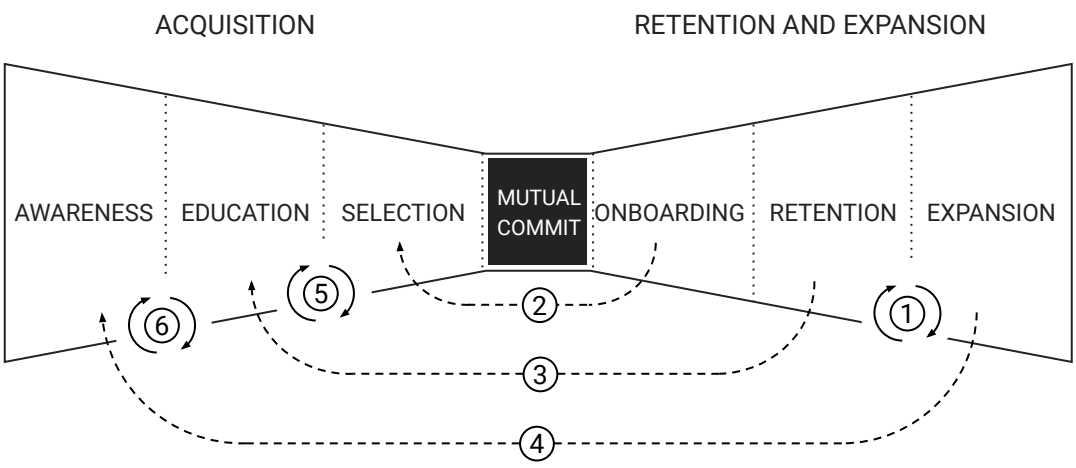
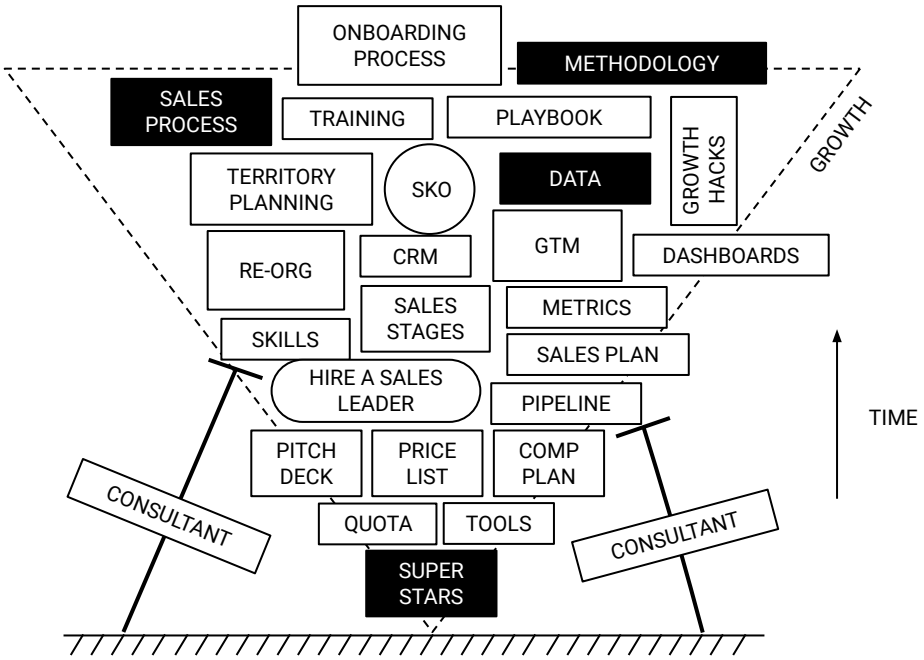


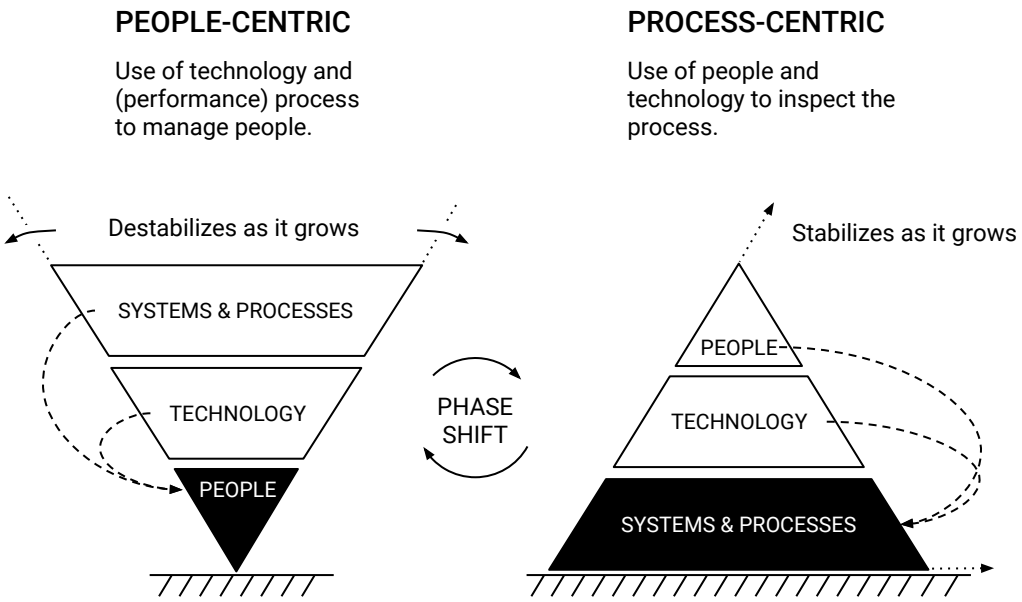
FIGURE 4.6 ***As a superstar (people-centric) organization grows, it destabilizes as more and more tasks stack on top of each other without any structural framework. Note that this can apply to a GTM motion, function, or entire company.***



Not For Distribution

FIGURE 4.7

A people-centric culture without structured processes eventually becomes its downfall due to scalability issues. The challenge is the shift from a non-scalable, people-centric approach to a scalable, process-centric one. Complicating this transition is the absence of a defining moment signaling the need for change.



EXERCISE 4.1

Identify Key GTM Functions for Recurring Revenue

Whether focusing on a specific GTM motion or your entire company, list the GTM functions crucial for generating at least $10M in recurring revenue.

Not For Distribution

TABLE 4.1 ***Checklist of existing GTM functions and processes.***

GTM function	Current process in place	Tools in use
Example: Sales	Challenger	

EXERCISE 4.2

Describe Current Processes for These GTM Functions

In the next column, jot down the processes you currently have in place for each identified GTM function. You can do this for a single GTM motion or across your revenue operations. Completing this will help you see how many processes are operational.

EXERCISE 4.3

List Tools for Implementing Processes

The primary reason for using tools is to make processes more efficient. In the next column, jot down the crucial tools you've put in place to implement or improve existing processes. This is a chance to identify any unallocated tools, overlaps, or gaps in crucial stages of your operation.

Not For Distribution

EXERCISE 4.4

Sketch Out Your Key Closed Loops

Draw the most common closed loops that your recurring revenue business relies on. Pay close attention to where these loops start and end, as this will provide insight into which part of your organization should manage each growth loop.

FIGURE 4.8 ***Draw the closed loops that exist in your business, and number each loop.***

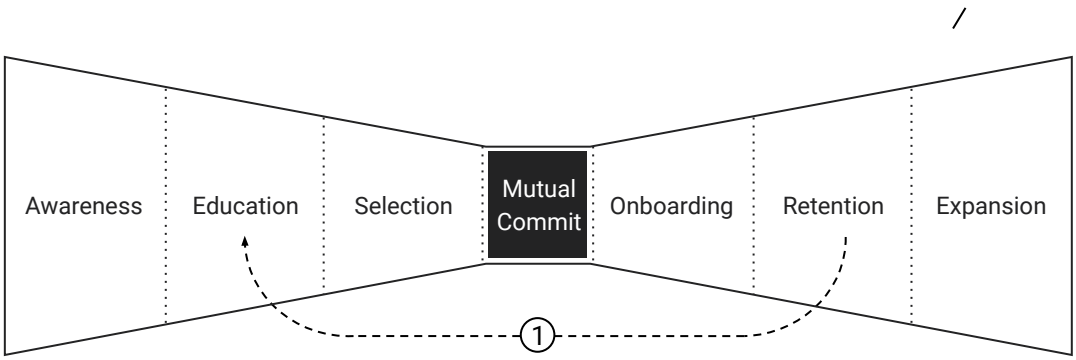


TABLE 4.2 ***Checklist of the number of closed loops, their description, and who is responsible for each.***

Name	Description	Who is Responsible
1. Advocacy	Existing customers post on social media	Customer Marketing

Not For Distribution

FIGURE 4.9 ***The Bowtie extends the classic Marketing and Sales funnel to cover the stages where recurring revenue is created through delivering recurring impact.***

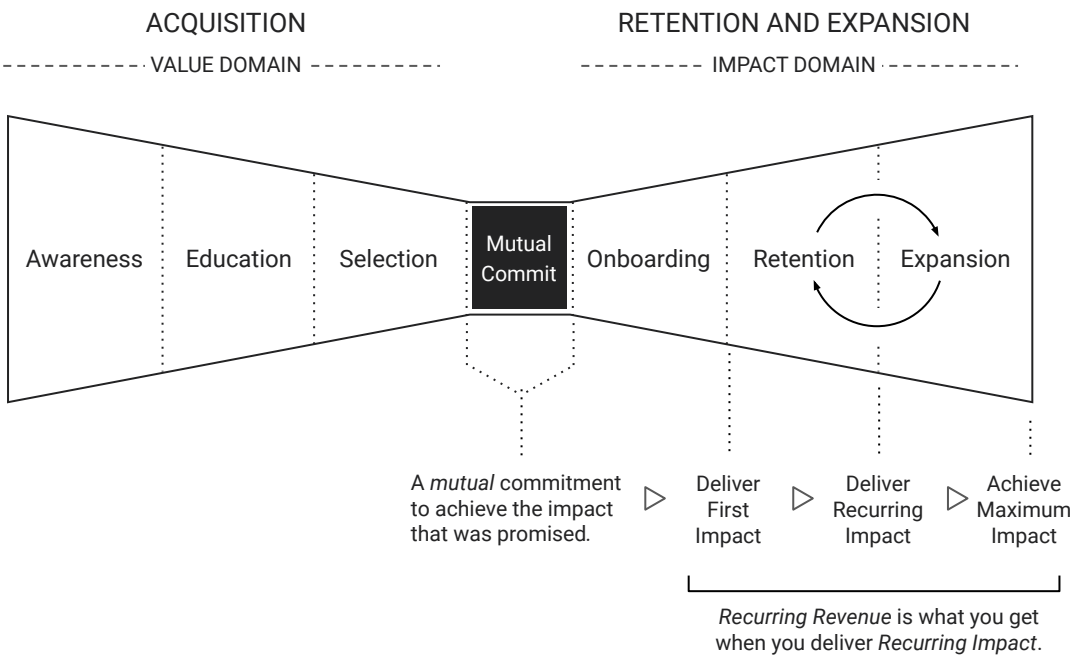
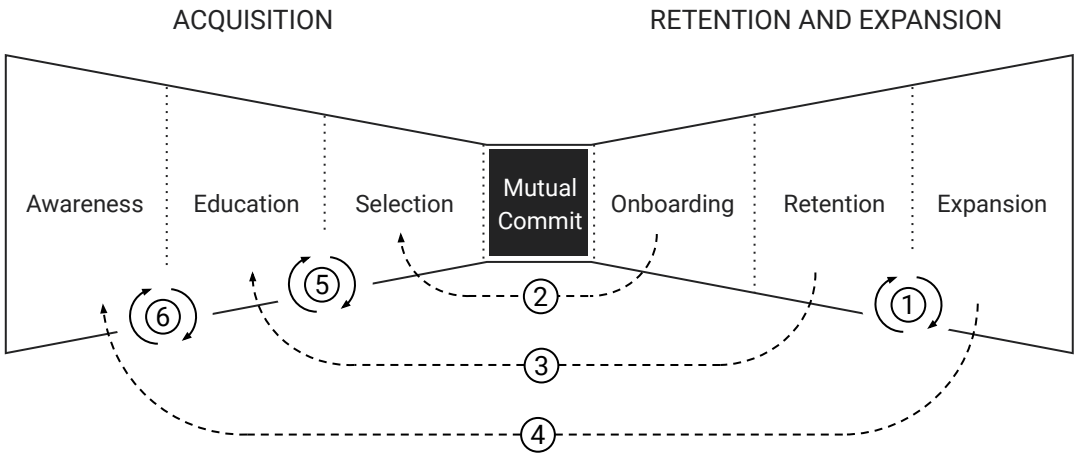
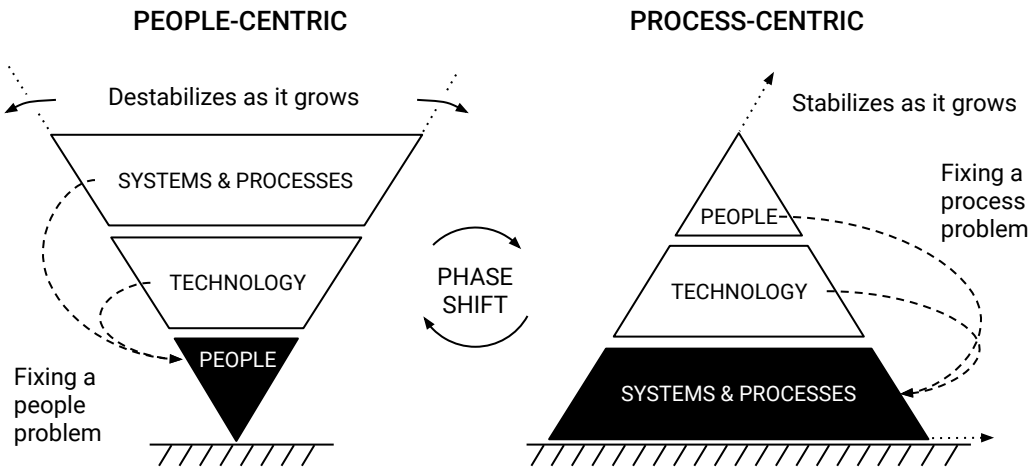


FIGURE 4.10 ***There are 3 tasks to close the loop: expand the funnel into a Bowtie, interconnect all the sub-systems, and close the loop itself.***



Not For Distribution

FIGURE 4.11 ***A people-centric culture without structured processes eventually becomes its downfall due to scalability issues. The challenge is the shift from a non-scalable people-centric approach to a scalable, process-centric one.***



Not For Distribution

Not For Distribution

PART II

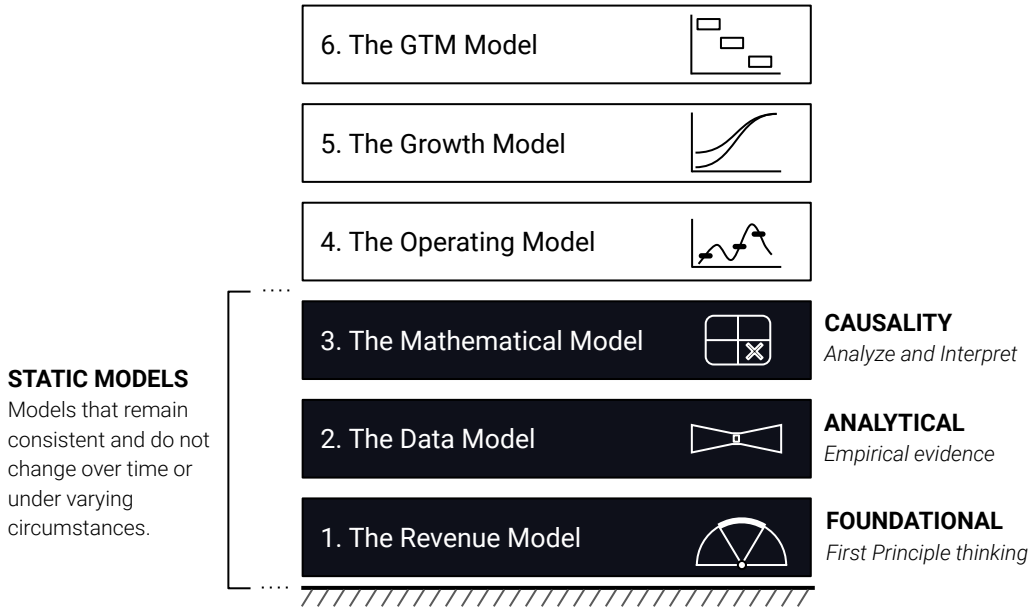
DESIGN

Not For Distribution

Not For Distribution

FIGURE II

The static models form the base of the recurring revenue system. They require minimal to no adjustments once properly designed. They are indispensable for the system's stability, efficiency, and long-term growth.



Not For Distribution

05

THE REVENUE MODEL

Not For Distribution

Not For Distribution

FIGURE 5.1 ***Monetization strategies are mapped along an arc that form the Revenue Model.***

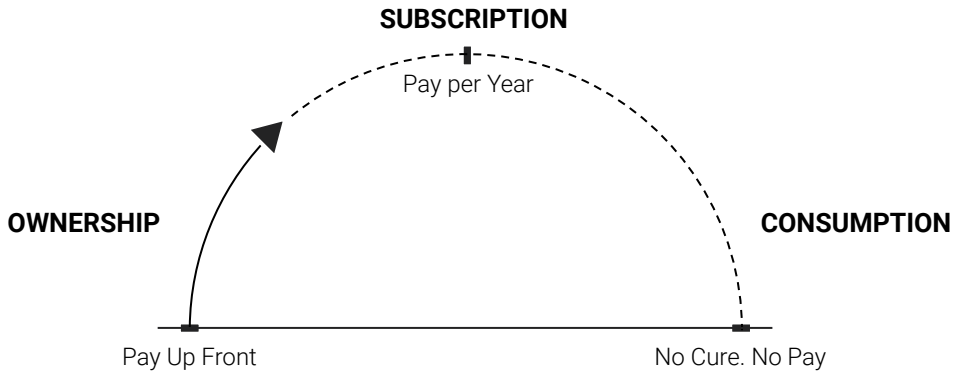


TABLE 5.1 ***Shift in responsibilities based on the chosen monetization strategy.***

	OWNERSHIP	SUBSCRIPTION	CONSUMPTION
Seller Responsibility	Deliver the product	Deliver the product	Deliver the product
		Make sure it works	Make sure it works
	Make sure it works		Use it
	Use it	Use it	
Buyer Responsibility	Achieve results	Achieve results	Achieve results

Not For Distribution

FIGURE 5.2 ***In the various ownership models the buyer pays for the value exchange up front.***

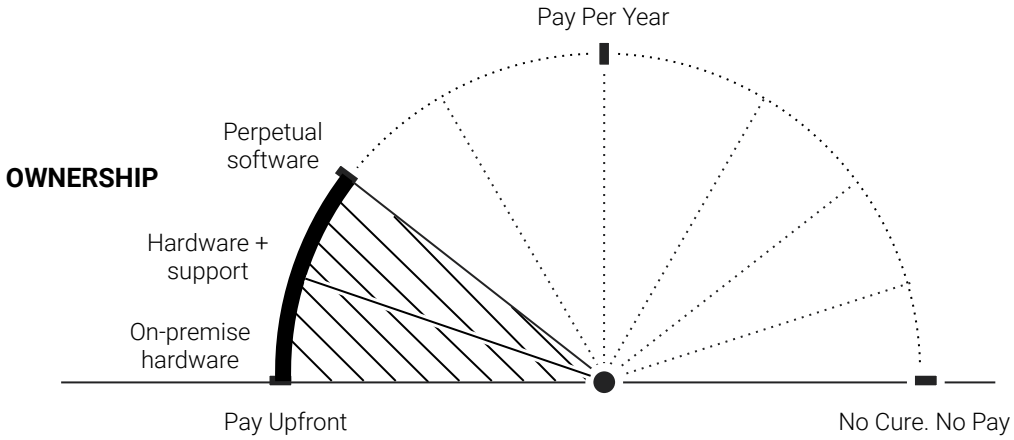
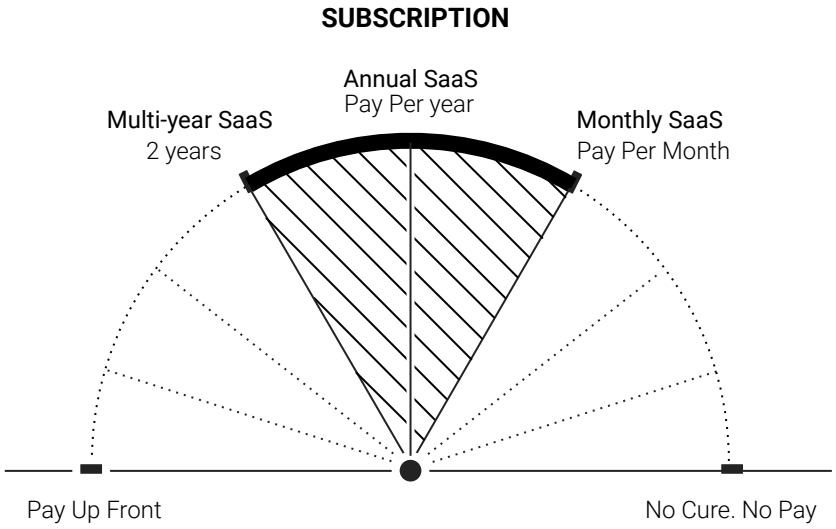


FIGURE 5.3 ***As a subscriber, you pay for using the product over a period of time.***



Not For Distribution

FIGURE 5.4 ***In the consumption model you can pay per use, for an action, or for a specific outcome.***

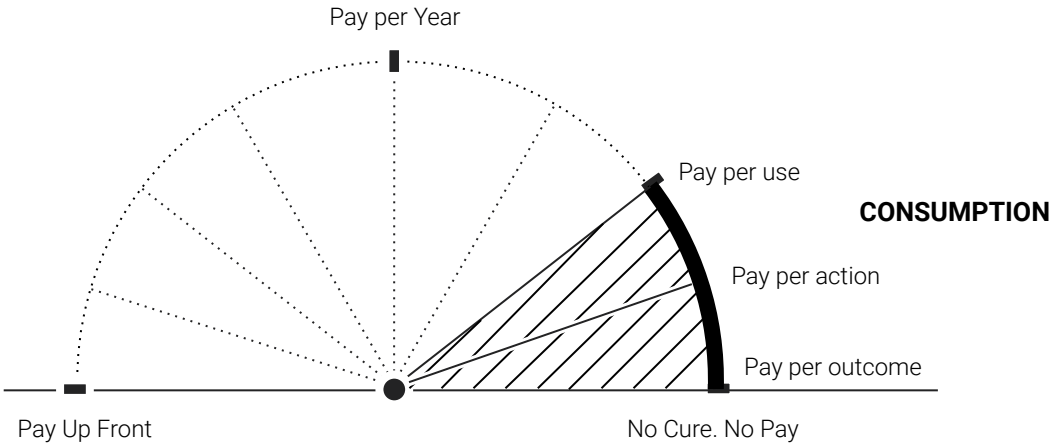
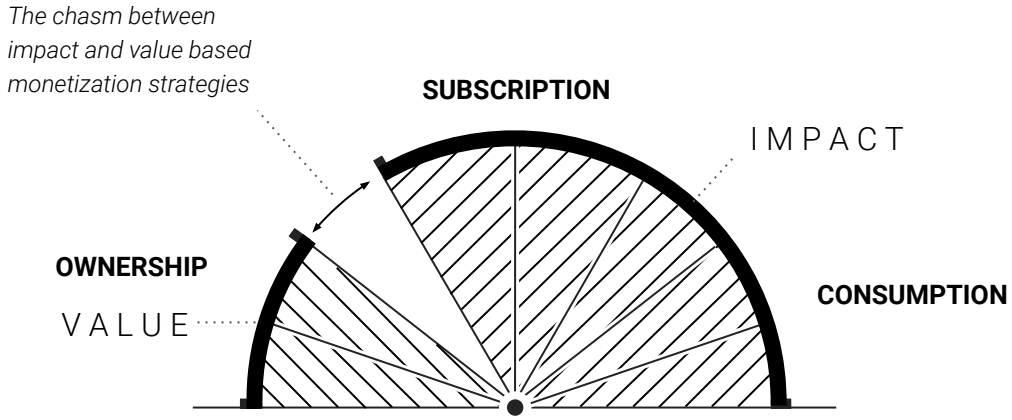


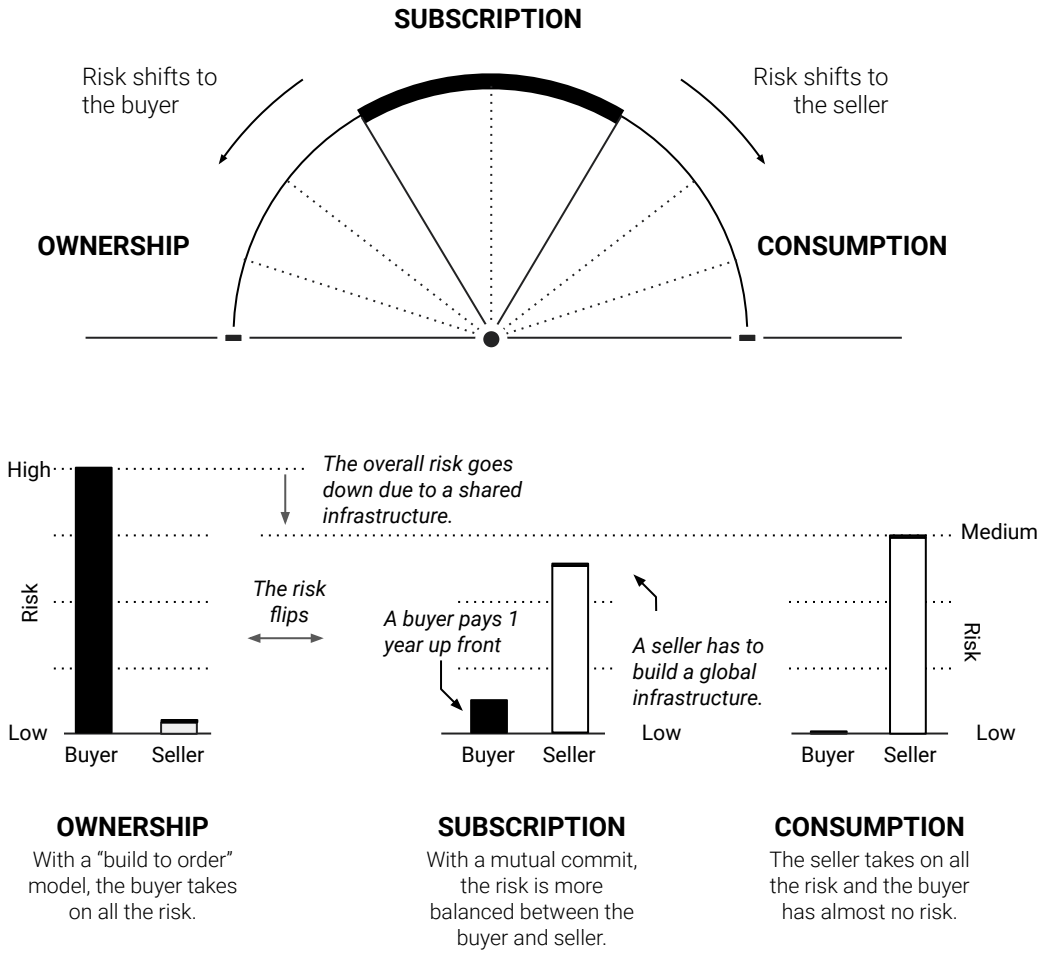
FIGURE 5.5 ***The chasm between different monetization strategies is substantial, underscoring the importance of careful consideration when applying best practices from ownership-based models to subscription and consumption models.***



Not For Distribution

FIGURE 5.6

A change in the monetization strategy causes the risk of the purchase to change and switch between the buyer and seller.



Not For Distribution

FIGURE 5.7 ***As a business moves along the arc the average price paid in the first year changes by an order of magnitude.***

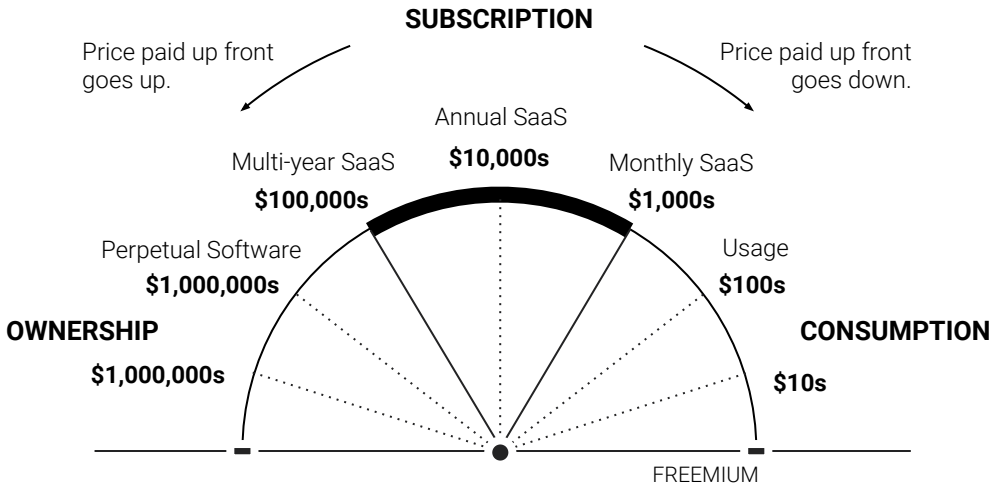
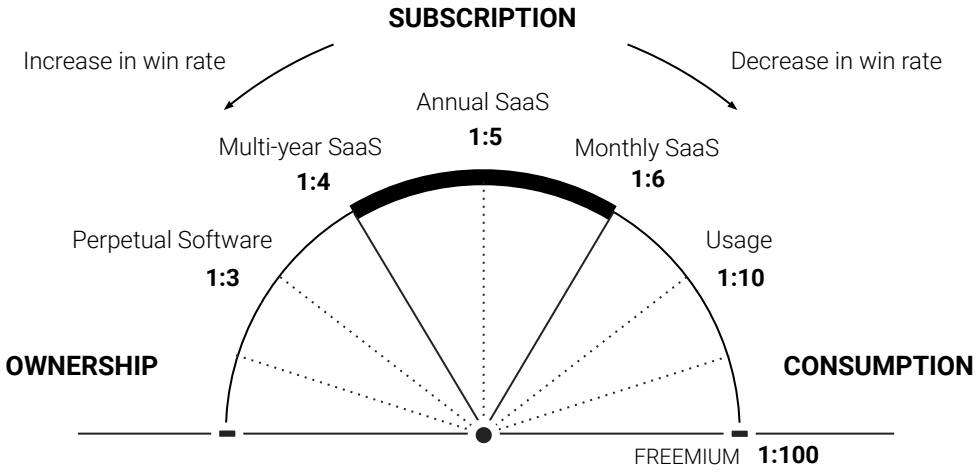


FIGURE 5.8 ***The impact of the monetization strategy on the win rate.***



Not For Distribution

FIGURE 5.9 ***Revenue acceleration for acquisition is based on consecutive acceleration and for retention and expansion it is based on concurrent acceleration.***

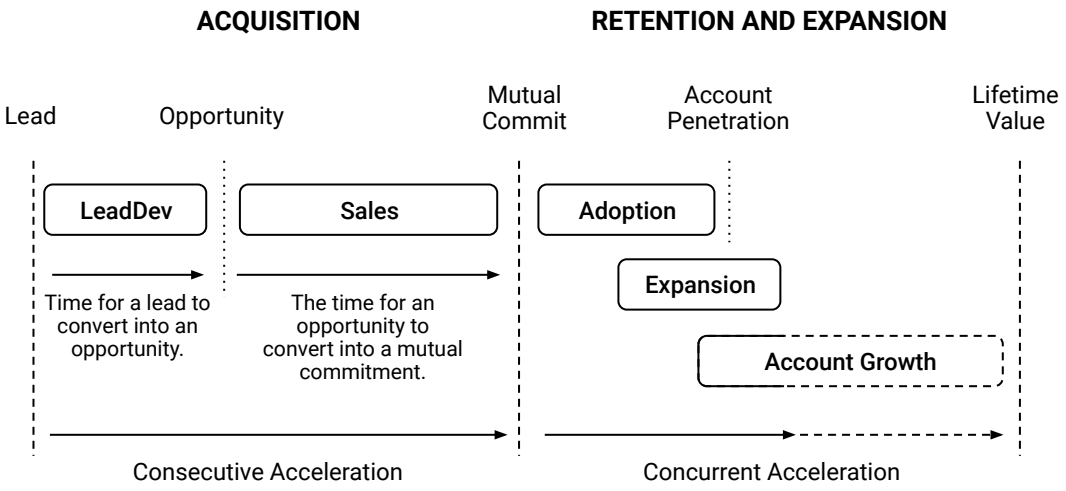
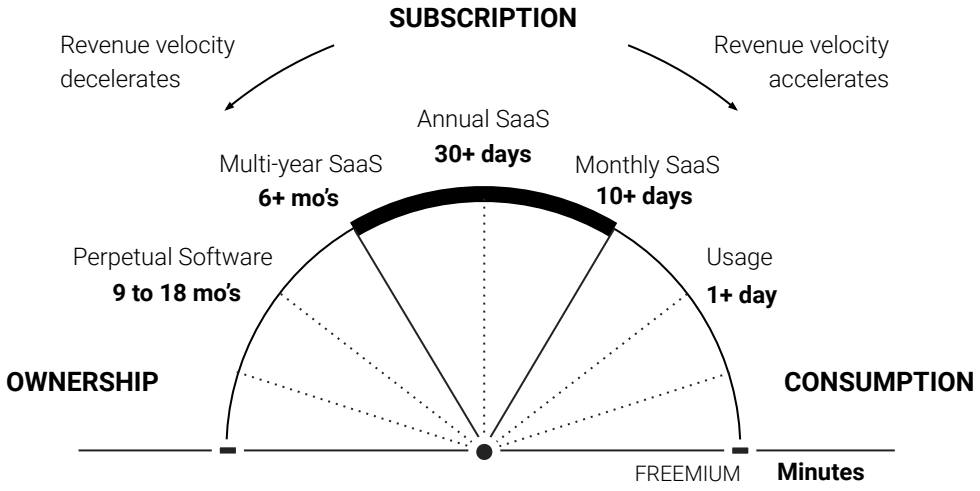


FIGURE 5.10 ***The impact of the monetization strategy on revenue velocity.***



Not For Distribution

FIGURE 5.11 ***The impact of the monetization strategy on the retention rate.***

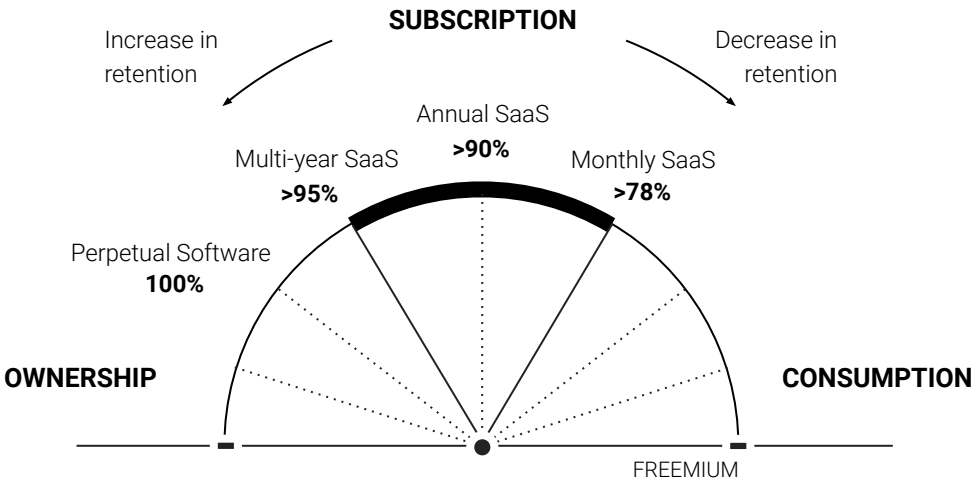
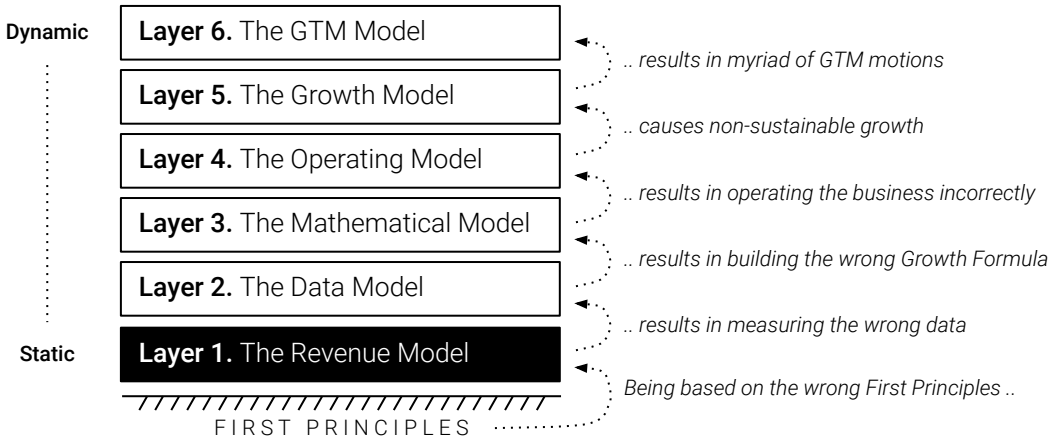
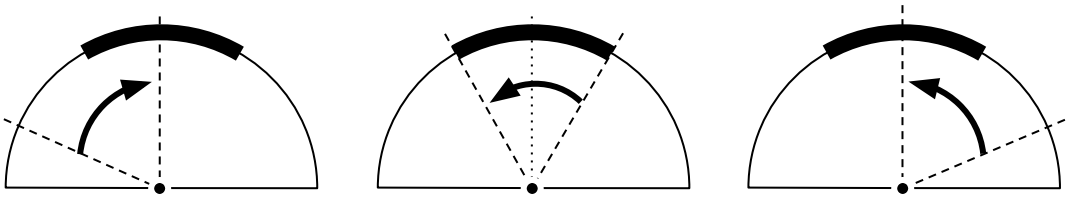


FIGURE 5.12 ***Choices made in the monetization strategy will impact all models layered above.***



Not For Distribution

FIGURE 5.13 ***Changing or adding a monetization strategy will have far-reaching effects.***



LAUNCH A SAAS OFFERING

Changing the model from a perpetual license model to a subscription model.

Commonly used to compete with a prevailing SaaS vendor in a the SMB market.

LONG-TERM CONTRACTS

Moving from a monthly to an annual, or a multi-year contract.

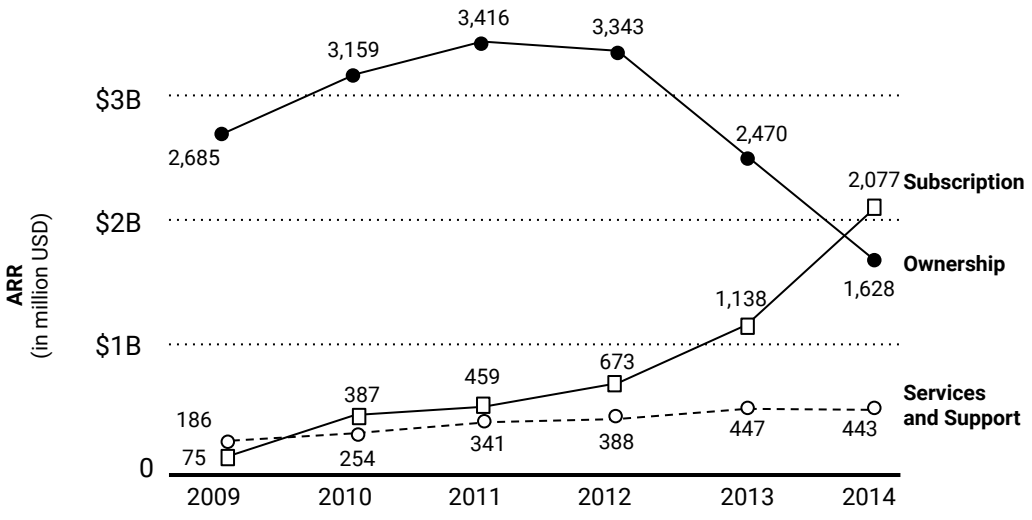
Commonly used to counter a growing cost of acquisition and retention.

MOVE UPSTREAM

Companies with a PLG offer moving from a consumption to a subscription model.

Commonly used to secure larger contracts and reduce churn to increase growth.

FIGURE 5.14 ***The pace of Adobe's switch from an ownership to a subscription based monetization model to a subscription based.***



Source: Tomasz Tunguz

Not For Distribution

FIGURE 5.15 ***The revenue growth of Adobe during the Golden Era of SaaS.***

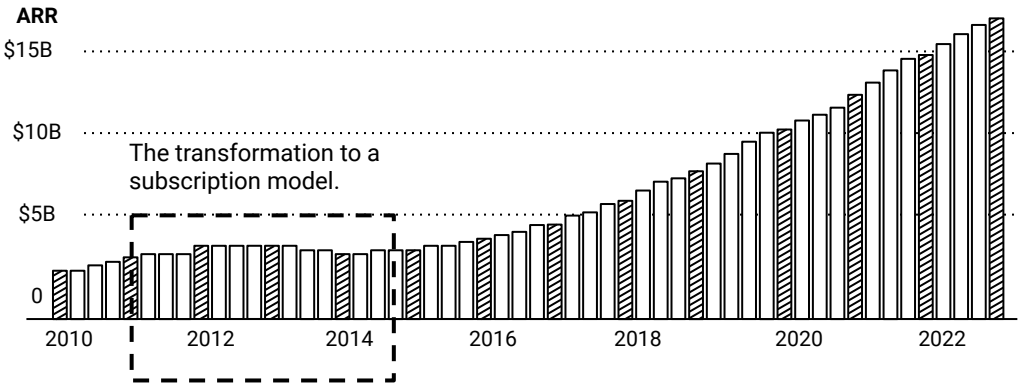
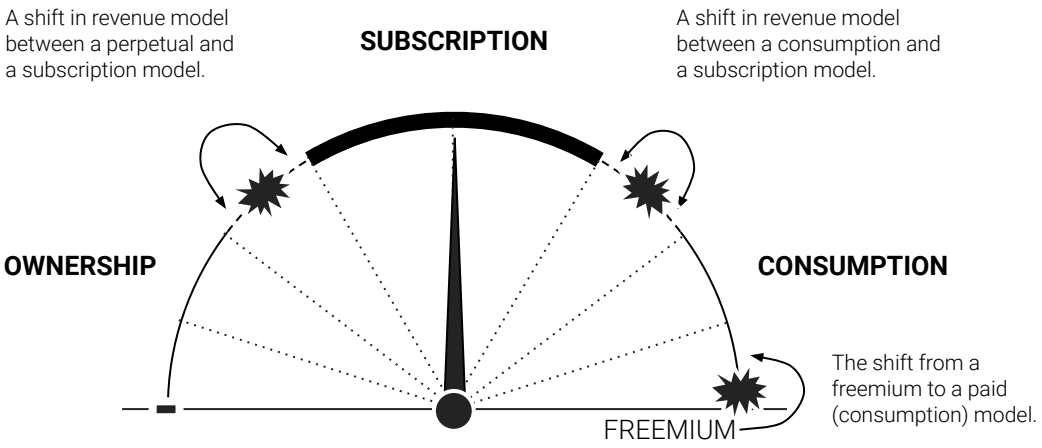


FIGURE 5.16 ***The most common moments that cause a radical change in a monetization strategy.***



Not For Distribution

FIGURE 5.17 ***Multiple monetization strategies depicted in the Revenue Model.***

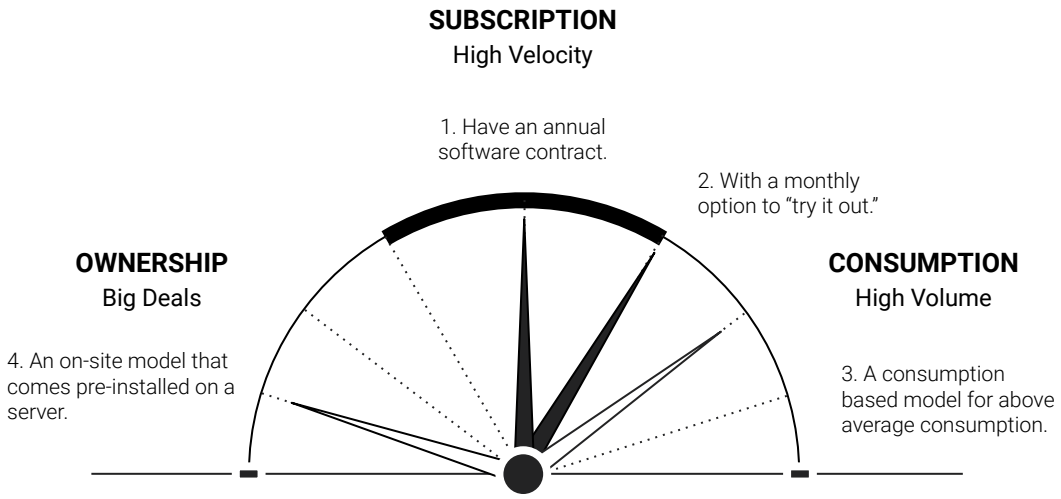
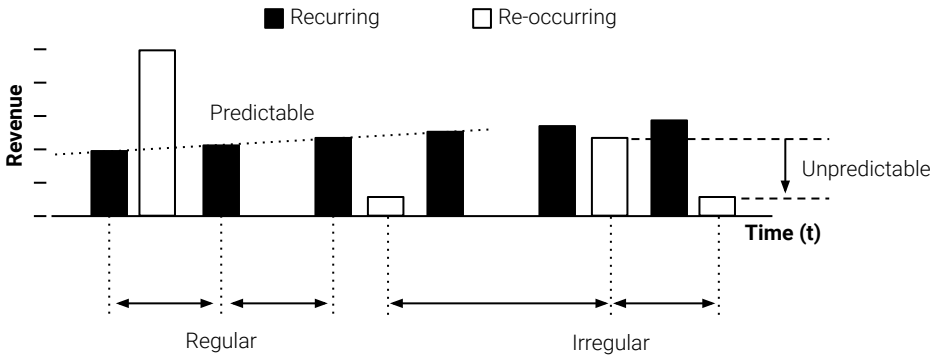
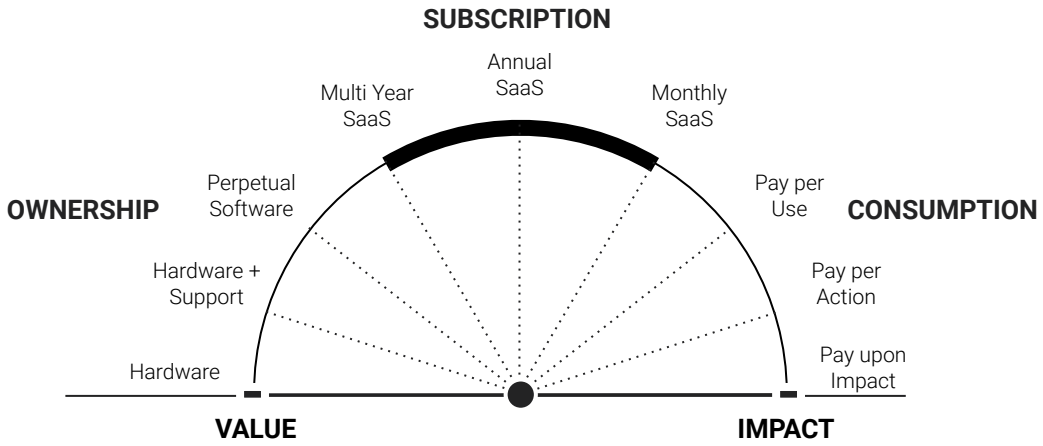


FIGURE 5.18 ***The difference between recurring and re-occurring revenue comes down to regularity over time and the predictability of the amount of revenue.***



Not For Distribution

EXERCISE 5.1 *Draw an arrow from the center to every monetization approach you are using.*



Fundamentally you are using a/n _____ based monetization strategy.

EXERCISE 5.2 **Based on the monetization strategy benchmark your key metrics and see if they match up to the characteristics of your monetization approach.**

ARR: _____ ACV/GTM Motion: _____	**Suggested Metric based on the Revenue Model**	**What Is Your Growth Metric today?**
Win Rate (Figure 5.8)	_____ 1:5 OR 20%	_____ 18%
Revenue Acceleration (Figure 5.10)	_____ (>30 DAYS)	_____ (68 DAYS)
Retention (Figure 5.11)	_____ >90% annual	_____ 84% annually

Not For Distribution

If your numbers are not in the ballpark, assess whether:

- You used a metric based on a different monetization strategy.
- The average performance of the team meets your expectations.
- The market dynamics have changed recently.

If you are off, no need to panic. We simply want to raise the awareness of how your revenue factory is supposed to work. In the following chapters, we will show you how to design it step by step.

EXERCISE 5.3 ***Do you operate in more than one monetization strategy?***

For example, if you run a business with less than $100M in recurring revenue, you should not have different products with varying types of monetization strategy, such as an ownership and. a subscription approach. You may have different approaches within the monetization type—for example, a monthly vs. annual subscription.

If you operate more than one monetization strategy, we recommend you focus on one monetization strategy with at max 3 GTM motions (see Chapter 10).

EXERCISE 5.4 ***Are you using the right metrics for the chosen monetization strategy?***

For example, are you operating around the right metrics as part of your monetization type? A common mistake here is that companies with a subscription product that sells for $20,000 to $50,000 per year operate against a funnel size based on a 1:3 win rate, whereas it should operate against a funnel based on a 1:5 win rate.

Make sure you use the right benchmark data, relevant to your monetization strategy (see Chapter 6.)

EXERCISE 5.5 ***Is your revenue approach aligned across all GTM functions?***

For example, a common problem is the mixing of characteristics from different revenue approaches across departments: the company is selling monthly subscriptions, but sales are still working on a 3x pipeline (ownership), and the customer success team is reporting annual retention numbers, whilst the marketing team spends most of its resources on lead generation vs. customer marketing.

We recommend that you start based on the principles of recurring revenue, implement a Bowtie across all customer facing roles, and establish impact as a uniform language (see Chapter 8).

By now, you should have a basic understanding of the Revenue Model and a sense of your business's operational needs.

Not For Distribution

FIGURE 5.19 ***The Revenue Model***

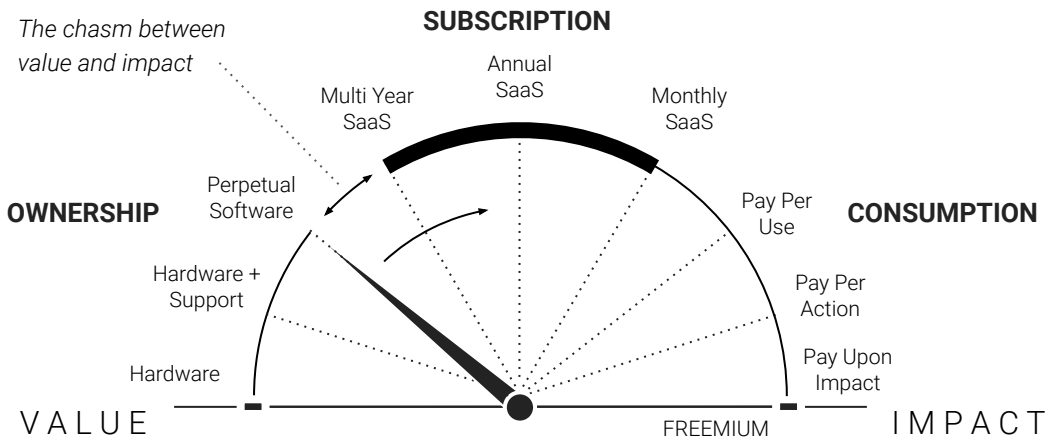
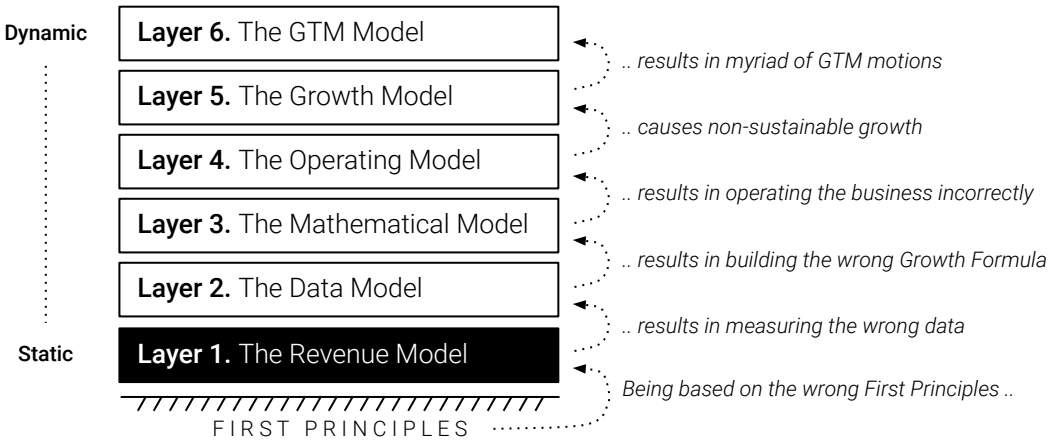


FIGURE 5.20 ***Choices made in the monetization strategy will propagate to all models on top.***



Not For Distribution

06

THE DATA MODEL

Not For Distribution

FIGURE 6.1 ***The Bowtie as a Data Model reflecting there is a balance between Value and Impact.***

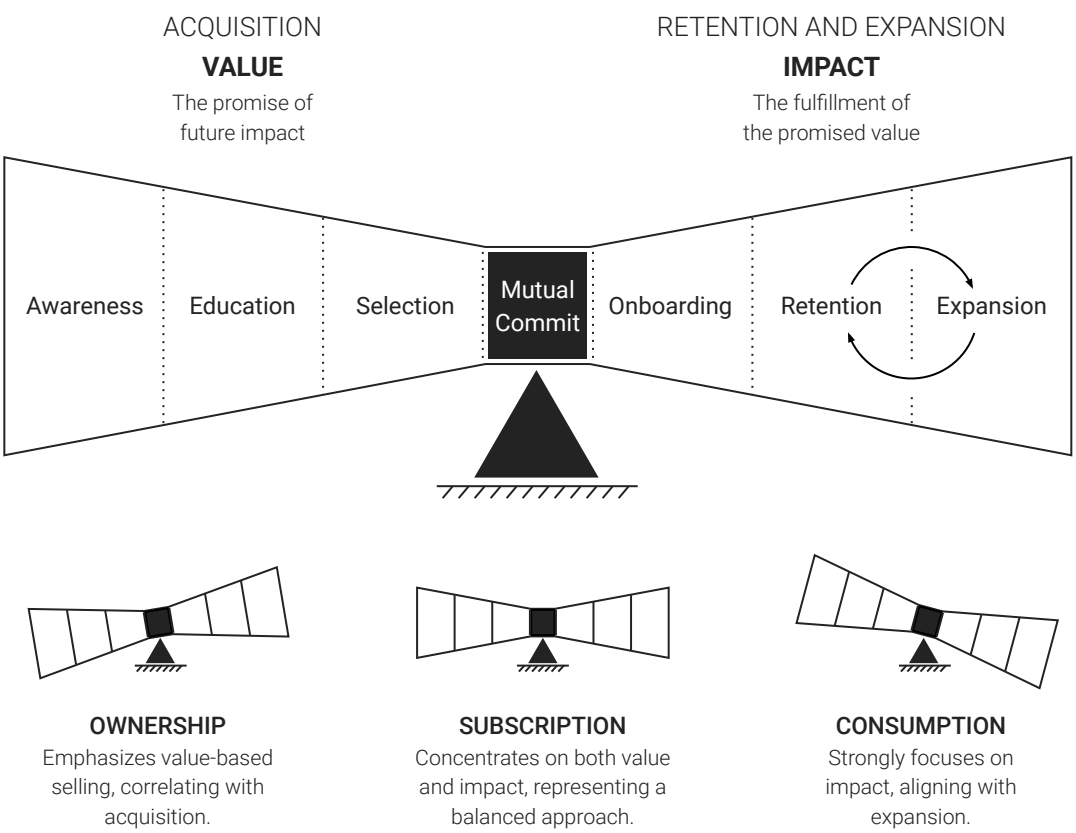
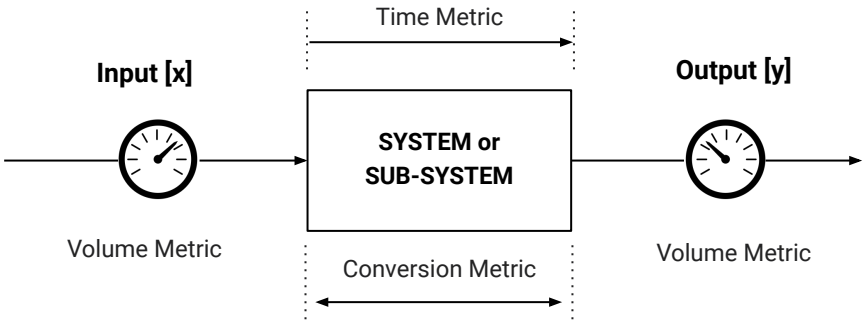


FIGURE 6.2 ***A simplified view of the Data Structure.***



Not For Distribution

FIGURE 6.3 ***The Data Structure: Volume Metrics measured across the customer journey.***

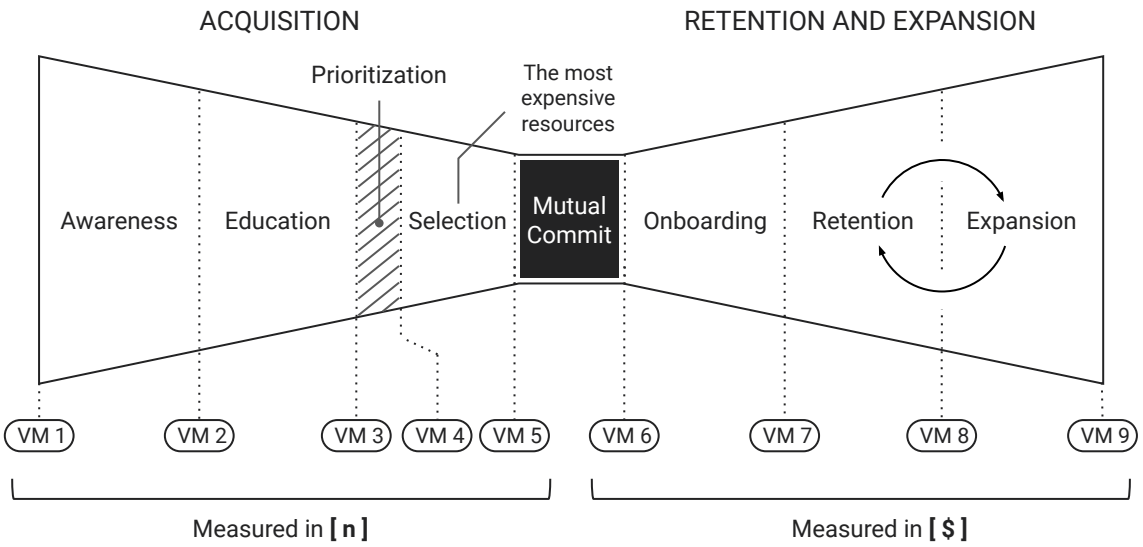


TABLE 6.1 ***Definition of the Volume Metrics in the standardized Data Model.***

ACRONYM	DESCRIPTION	EXAMPLE
VM1	Match to the target profile based on Situation, Pain, and Impact potential	Prospect
VM2	Expressed interest and has provided a form of contact information	MQL
VM3	Experiences so much pain that they are considering taking action	SQL
VM4	Verified that this is a priority and no action carries a consequence	SAL
VM5	Number of Mutual Commitments (wins)	Wins
VM6	Amount of revenue committed	$MRR_{committed}$
VM7	Amount of revenue committed minus the Onboarding churn	MRR_{start}
VM8	Monthly or annual recurring revenue	MRR
VM9	The total amount of revenue generated over the entire lifetime	LTV

Not For Distribution

FIGURE 6.4 ***The historic data model (L2O, OTC, and churn) mapped to a standardized data structure.***

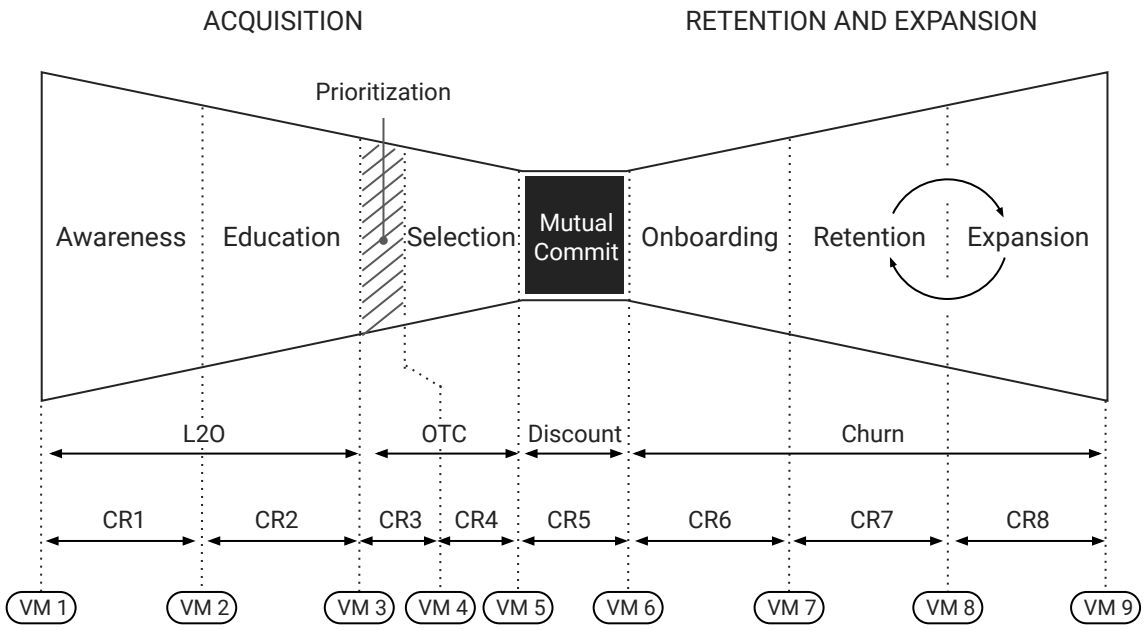


TABLE 6.2 ***Definition of the volume metrics with 2 examples of different GTM motions.***

ACRONYM	DESCRIPTION OF A SALES GTM MOTION
CR 1 AWARENESS	The efficiency of lead gen marketing campaigns to attract attention. For example, the number of signups as a percentage of the total visitors.
CR 2 EDUCATION	Effectiveness of outreach campaigns to develop leads. For example, the number of people that want to enter the sales process.
CR 3 PRIORITIZATION	Qualify the lead based on the priority of the impact. The result is a qualified opportunity. A common way of doing this is through a discovery call.
CR 4 SELLING	Known as the "win rate," this measures the number of qualified opportunities to obtain one commitment.
CR 5 COMMIT	Multiplying the number of deals committed by the list price (minus any discounts) provides us with the revenue committed.
CR 6 ONBOARDING	Percentage of committed clients in the cohort that were successfully Onboarded. This is represented as a retention number (1 minus churn).
CR 7 RETENTION	The percentage of recurring revenue retained from existing customers, including downgrades and cancels, known as gross revenue retention (GRR).
CR 8 EXPANSION	New ARR added to the cohort through upsells or expansions during the first year and measured as a percentage of ARR of the cohort, post-churn.
CR 9 CLOSED LOOP	For future use in closed loops.

Not For Distribution

FIGURE 6.5 ***Four growth areas, each with a different opportunity.***

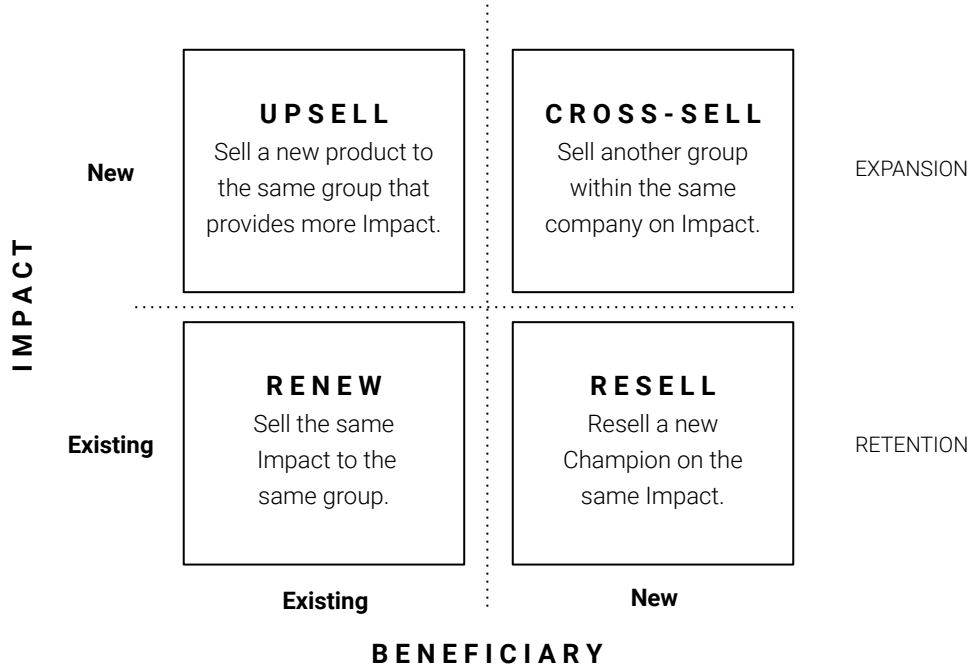
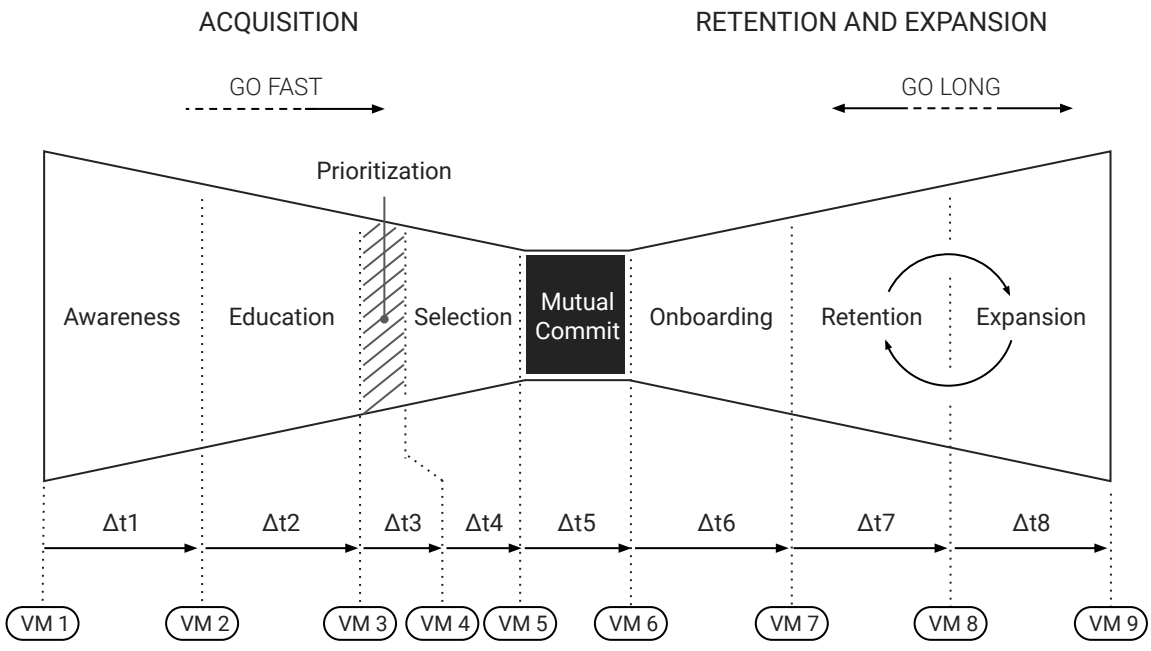


FIGURE 6.6 ***The data structure: Time metrics measured across the customer journey.***



Not For Distribution

TABLE 6.3 ***Definitions of the time metrics.***

ACRONYM	DESCRIPTION
Δt1 AWARENESS	Prospect conversion time; the time it takes to develop a conversation with a customer.
Δt2 EDUCATION	Length of education time needed before a customer is interested in starting the buying process.
Δt3 PRIORITIZATION	The time it takes to qualify the opportunity based on priority (Budget and ROI play a secondary role in Saas).
Δt4 SELLING	The length of the sales cycle.
Δt5 COMMIT	The time it takes to setup an instance in the internal systems and processes.
Δt6 ONBOARDING	The time from when a customer buys to when the first impact is achieved.
Δt7 RETENTION	The length of the contract is often monthly or annually.
Δt8 EXPANSION	The lifetime of the customer is often measured in years.
Δt9 CLOSED LOOP	For future use as a loopback time metric.

Not For Distribution

TABLE 6.4 ***Demonstrating the impact of performance metrics across 2 sales representatives.***

	Rob	**Jennifer**
Opportunities/month	15	15
Win rate	33%	20%
Commits/month	5.0	3.0
Average Price	$5,000	$5,500
Sales Cycle/deal	20 days	28 days
MRR	$25,000	$16,500
	12	12
ARR/mo	$300,000	$198,000
Retention	90%	100%
Year 1	$270,000	$198,000
NRR	0.9	1.2
Year 2	$243,000	$237,600
Year 3	$218,700	$285,120
Year 4	$196,830	$342,144
Year 5	$177,147	$410,573
5Y-LTV	$1,105,677	$1,473,437

Not For Distribution

FIGURE 6.7 ***The combination of conversion rates creates a performance improvement process.***

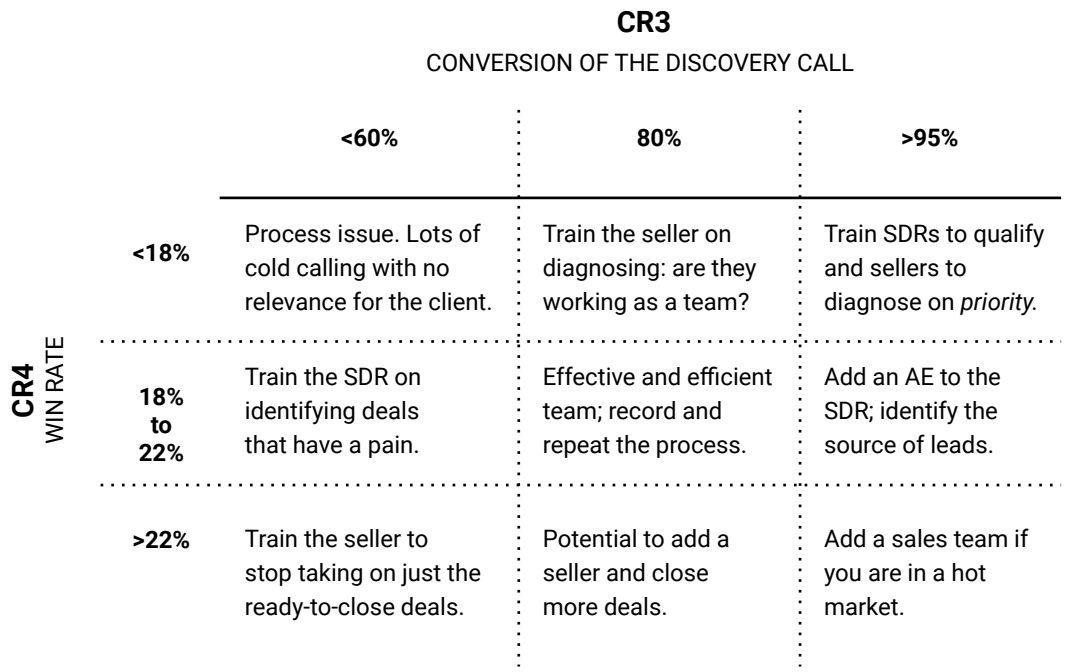


TABLE 6.5

Example of a simplified industry-wide benchmark for SaaS companies based on the Data Model.

ACV *Price*	CR1 *Prospect → Lead*	CR2 *Lead → Opportunity*	CR3 *Opportunity → Qualified*	CR4 *Qualified → Commit*	CR5 *1 - Discount Level*	CR6 *1 - Onboarding Churn*	CR7 *Retention (GRR)*	CR8 *Expansion*
Up to $1k	5%	10%	65%	15%	90%	90%	90%	5%
Up to $5k	7%	12%	70%	17%	85%	92%	92%	10%
Up to $15k	8%	15%	80%	20%	81%	93%	95%	15%
Up to $50k	9%	18%	90%	25%	80%	94%	96%	20%
Up to $150k	10%	20%	95%	30%	78%	98%	97%	25%
Over $150k	n/a	n/a	100%	35%	74%	99%	98%	30%

Not For Distribution

REALTIME BENCHMARK DATA

An online benchmark featuring the latest metrics is available. The goal is to enable contributors to compare specific Bowtie metrics in real time, based on different growth characteristics such as ARR and ACV.

FIGURE 6.8 ***Example trendline of lead development and win rate.***

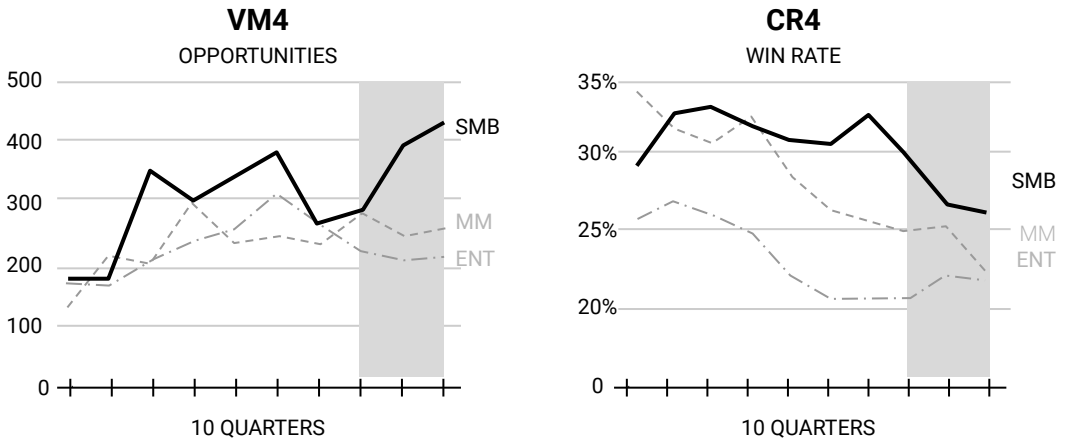
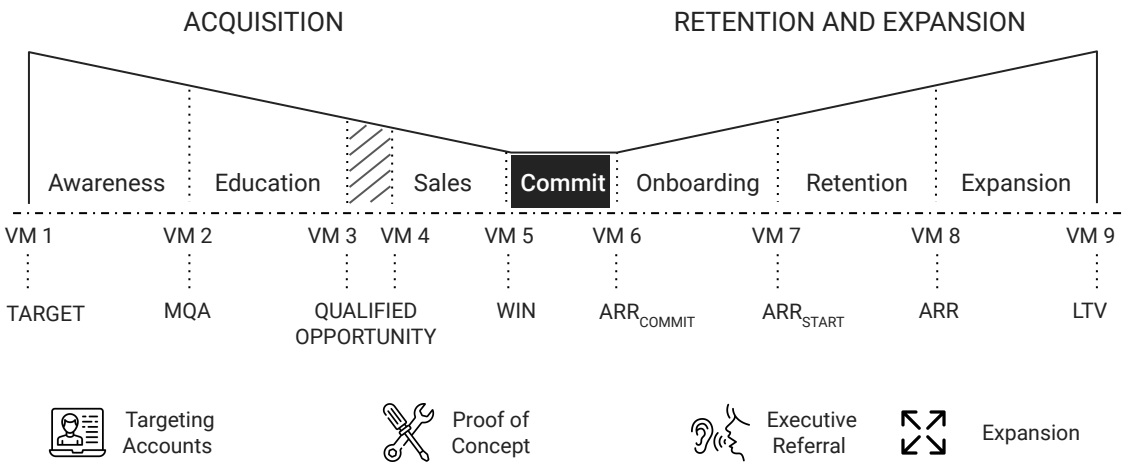


FIGURE 6.9 ***Mapping the High Touch GTM motion on top of the Data Model.***



Not For Distribution

FIGURE 6.10 ***Applying the Low Touch GTM Motion to the Data Model.***

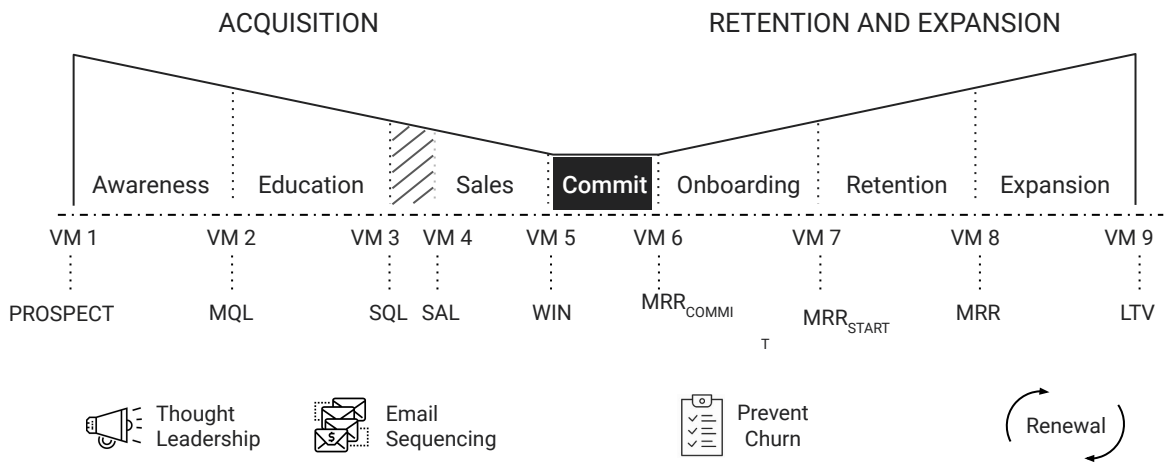


FIGURE 6.11 ***Applying the No Touch GTM Motion to the Data Model.***

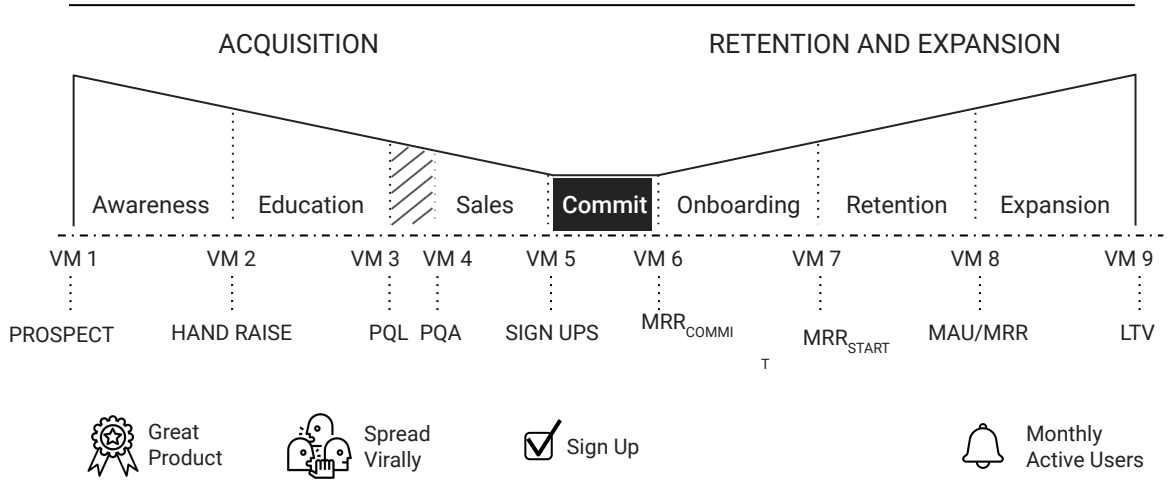
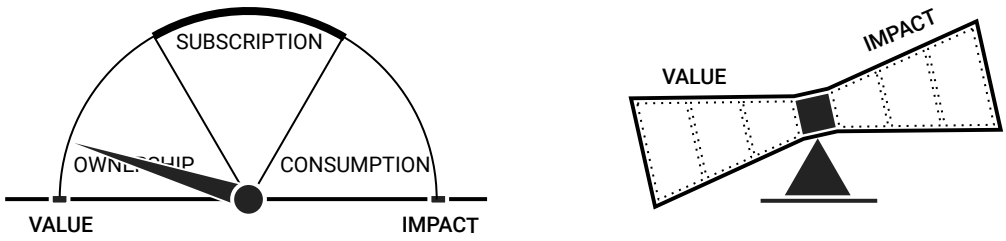


FIGURE 6.12 ***The ownership monetization strategy traditionally employs a High Touch motion, emphasizing value selling and delegating the realization of impact to the buyer.***



Not For Distribution

FIGURE 6.13 ***The consumption monetization strategy centers on delivering impact and positions the seller at the forefront of the risks.***

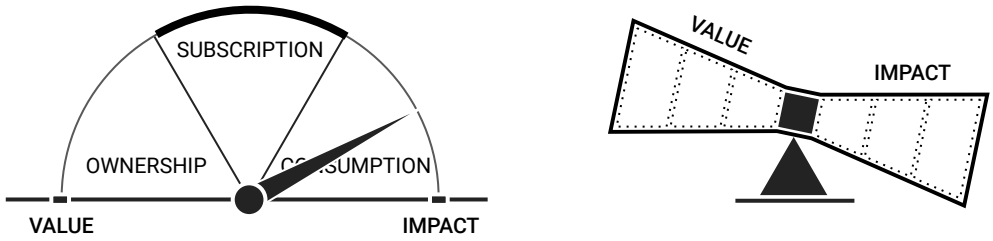


FIGURE 6.14 ***The subscription monetization strategy distributes risk between seller and buyer more evenly, making it one of the most balanced business models in current use.***

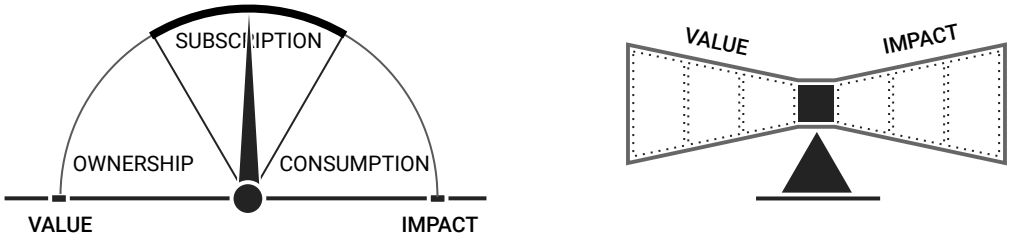
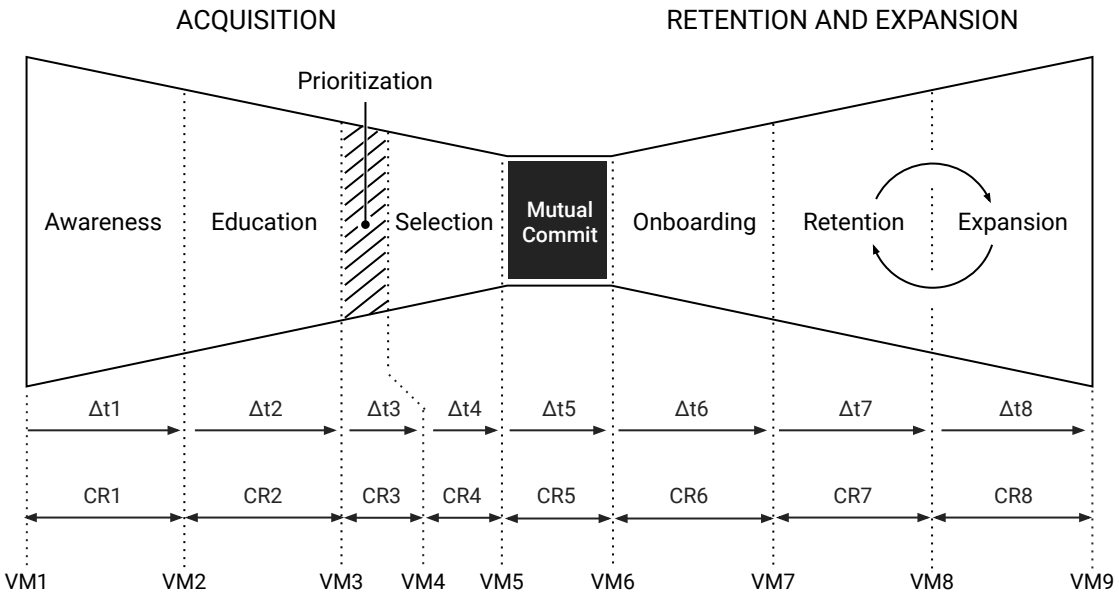
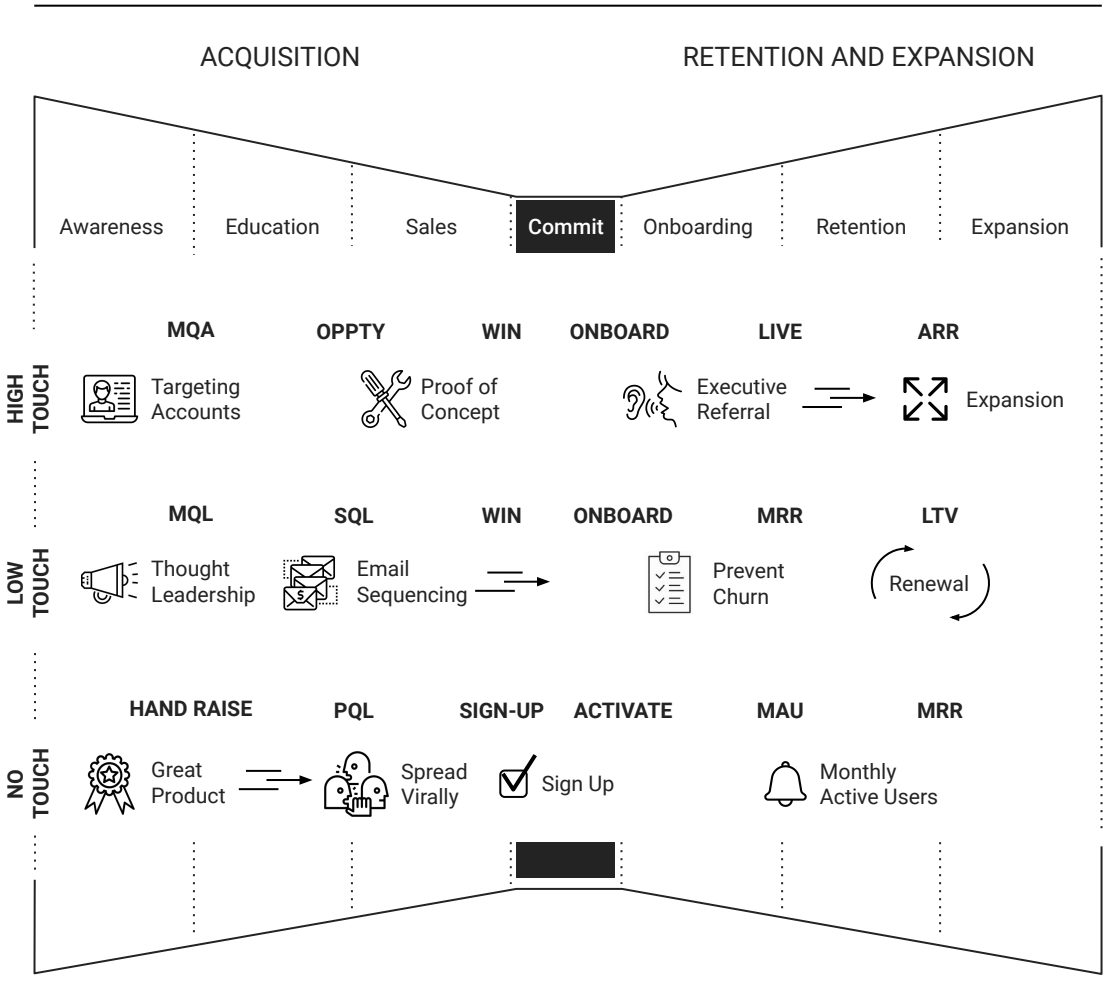


FIGURE 6.15 ***The Bowtie: The standardized data model for recurring revenue.***



Not For Distribution

FIGURE 6.16 ***Example of different GTM motions mapped to the Bowtie.***



Not For Distribution

TABLE 6.7 ***Extending the classic Marketing and Sales Funnel into the Bowtie.***

The "Classic Funnel" Characteristics	The "Bowtie" Characteristics
Ownership Model.	Ownership Model, Subscription Model, and Consumption Model.
Growth comes from winning more deals.	Growth comes from winning more deals, Retaining existing customers, and Expanding business with existing customers.
Dependency on Volume of the leads.	Dependency on Volume of the leads, Quality of the leads, and Quality of existing customers.
Decision is commonly based on the availability of budget and positive ROI.	Decision is reliant on availability of budget, and positive ROI, but a decision is made on Priority.
Measure leads, deals closed, discount, sales cycle, revenue, NPS, and churn.	Measure ARR, growth rate, CAC Payback, CTS, FCF, MAU, DAU, GRR, and NRR (per GTM motion).
Data are used used primarily to increase lead generation and improve sales conversion.	Data are leveraged for continuous and iterative improvement of the customer experience and measuring a user's ability to achieve impact.
Right customers are those that do not churn.	Right customers are those that expand.
Limited feedback from post-sale stages, often delayed by months (mostly NPS).	Continuous (closed) feedback loop, adapting to customer needs and changing behaviors over time.
Always be closing.	No recurring impact. No recurring revenue.

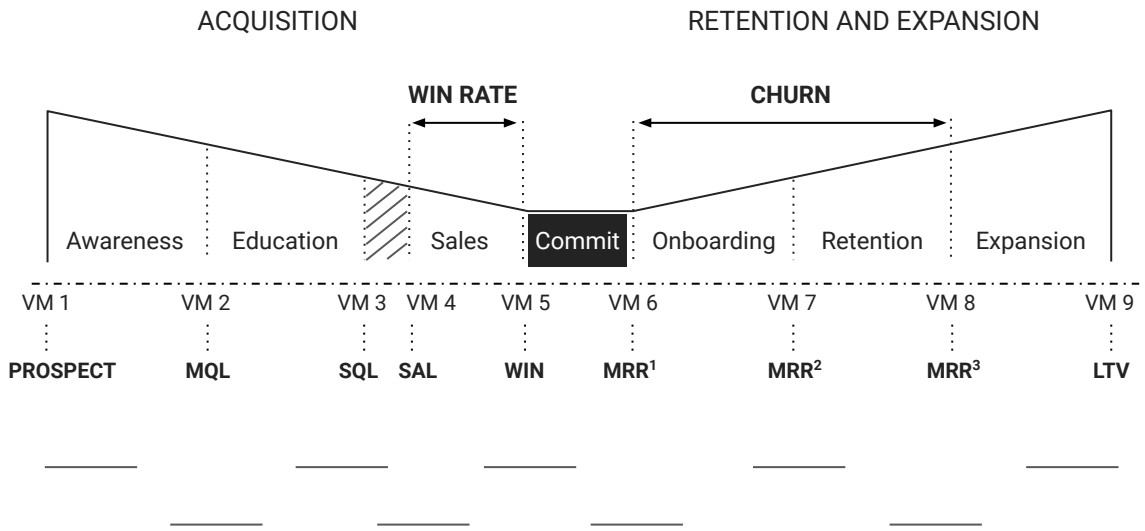
Not For Distribution

EXERCISE 6.1

Turn the Funnel into a Bowtie

Team Collaboration: Gather the entire GTM team and draw the Bowtie. Begin by assigning departments and their respective functions within the model.

Metrics Identification: Identify and illustrate key metrics relevant to the business. Determine what is being measured and where. For instance, if the win rate is measured from VM3 or VM4, draw an arrow to indicate this. As a group, continue to layer the most common metrics over the Data Model. Remember, different GTM motions within a company may use varied terminologies.



Objectives of this exercise:

- Align the most important metrics with the Bowtie model. For example, MQL may correspond to VM2, marking the end of lead generation and preceding lead development.
- Visualize and understand overlaps and gaps across departments and different GTM motions.

Not For Distribution

Common mistakes to avoid:

- Inconsistent term definitions across departments.
- Same terms and definitions used, but aligned with different timelines, affecting metrics like win rate and sales cycle.
- Ambiguity in term meanings, such as confusion between GRR and NRR.

EXERCISE 6.2 **Normalization:** Now let's lock it in, establish the standardized Data Model for your company across time, functions, and different GTM motions.

- Start with volume metrics: Define each metric clearly, perhaps in a tabular format for ease of understanding. Keep the definitions concise.
- Proceed to conversion metrics and finally, address time metrics.

GTM MOTION: _____

Bowtie	Acronym	Description
VM1		
VM2		
VM3		
VM4		
VM5		
VM6		
VM7		
VM8		

EXERCISE 6.3 **Benchmark**

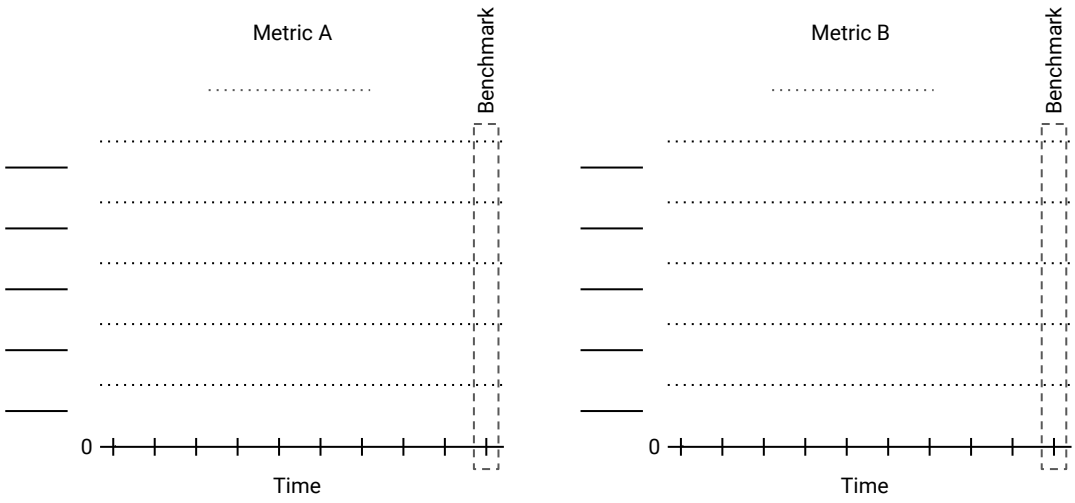
Use the benchmark via www.benchsights.com/wbd to get yourself oriented. Apply your ACV, and get a first idea. Where appropriate, apply the filter and keep a close eye on the sample size (n) of the data. Once the sample size falls below 20, it will default to the generic benchmark.



Not For Distribution

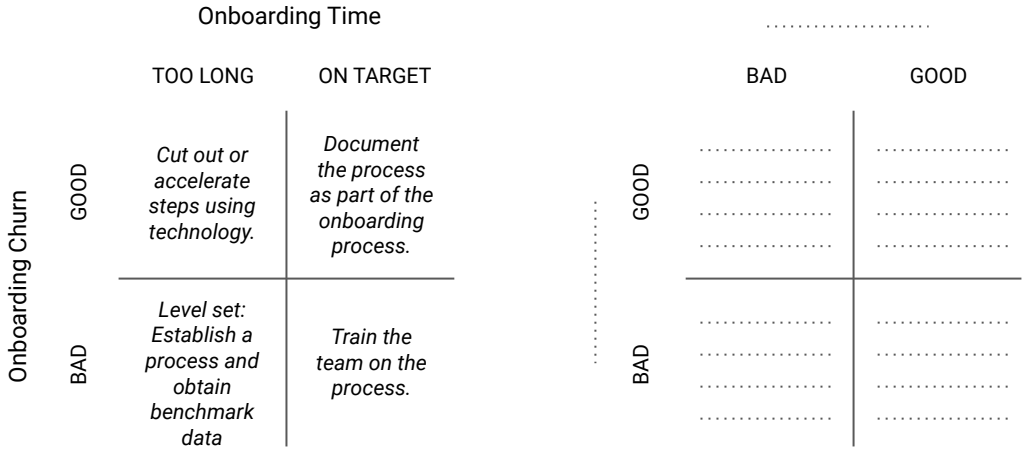
EXERCISE 6.4

Establish a Trendline of the Metrics: Benchmark your performance by creating a trendline. Your chosen timeline should reflect the context of your sales cycle. For example, if your GTM motion is High Touch and your sales cycle spans 9 months, it's advisable to use quarterly intervals.



EXERCISE 6.5

Making Data Actionable: To render the data actionable, construct a 2 x 2 matrix for a direct comparison of Metrics A and B. Evaluate the outcomes of both positive and negative scenarios for each metric, and identify the necessary steps for improvement. This method is useful for getting a better understanding of how to utilize AI in decision-making.



Not For Distribution

07

THE MATHEMATICAL MODEL

Not For Distribution

Formula 7.1 depicts the mathematical notation for repeatedly adding numbers, represented by the Greek letter Sigma. Sigma, a capital letter in the Greek alphabet, corresponds to “S” in the English alphabet and is used in mathematics to denote summation. Essentially, Sigma is analogous to Sum.

FORMULA 7-1

$$y = \sum_{n=1}^{5} x(n)$$

$$y = x(1) + x(2) + x(3) + x(4) + x(5)$$

Formula 7.2 illustrates the mathematical notation for repeatedly multiplying numbers, using the Greek letter Pi. Pi corresponds to “P” in our alphabet and is commonly used to represent the product of a series of terms. This is akin to the initial sound of the word *product*: Pi is used in the same way as Sigma is described above, except the terms are multiplied instead of added.

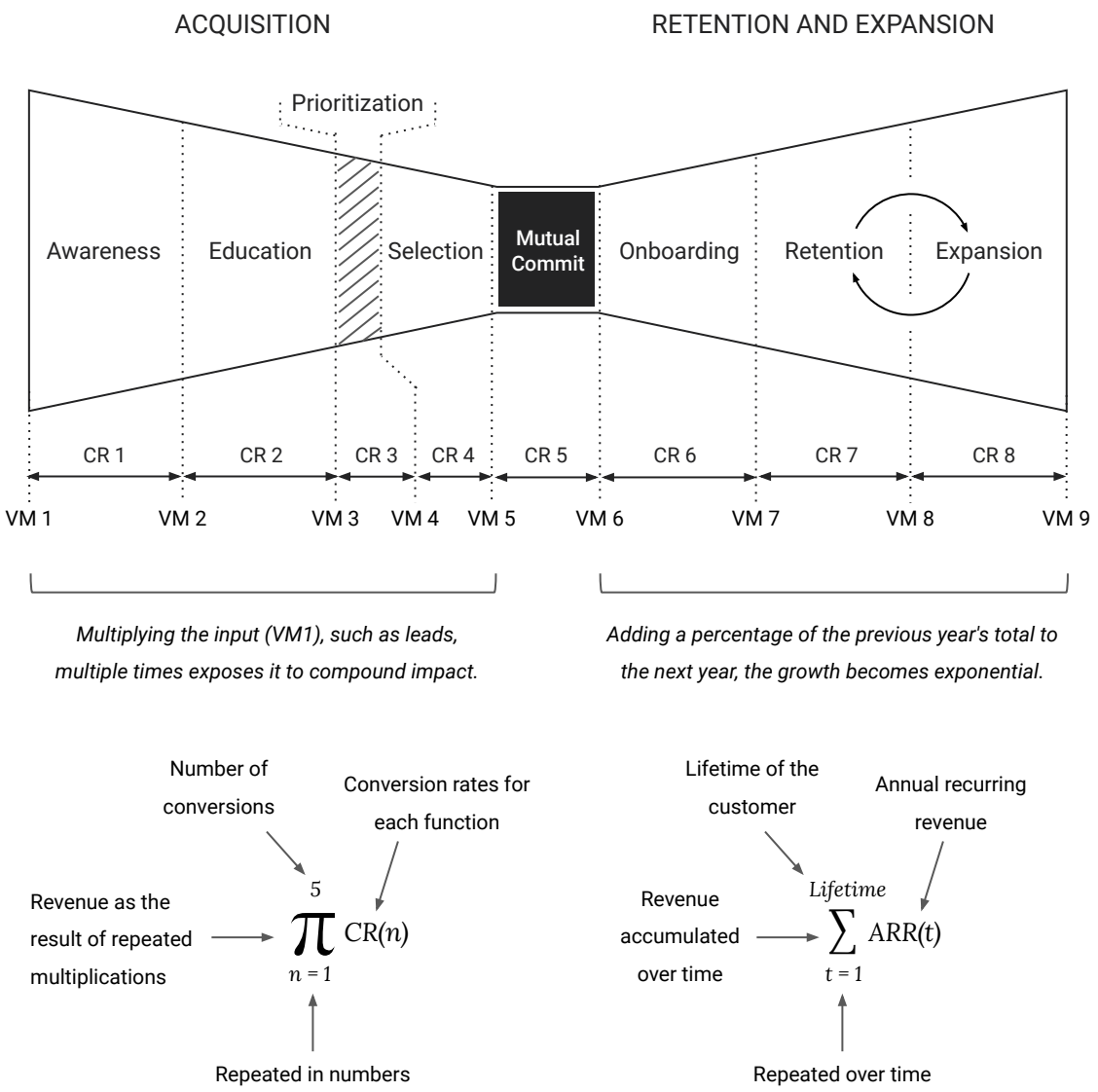
FORMULA 7-2

$$y = \prod_{n=1}^{5} x(n)$$

$$y = x(1) \times x(2) \times x(3) \times x(4) \times x(5)$$

Not For Distribution

FIGURE 7.1 ***Each side of the Bowtie is governed by a different mathematical principle. Acquisition is governed by multiplying a number of actions, and retention and expansion is about adding up the cumulative effects over the years.***



Not For Distribution

FORMULA 7-3

$$y = x \times n \qquad (linear)$$

$$y = 1.15 \times 6 = 6.9$$

FORMULA 7-4

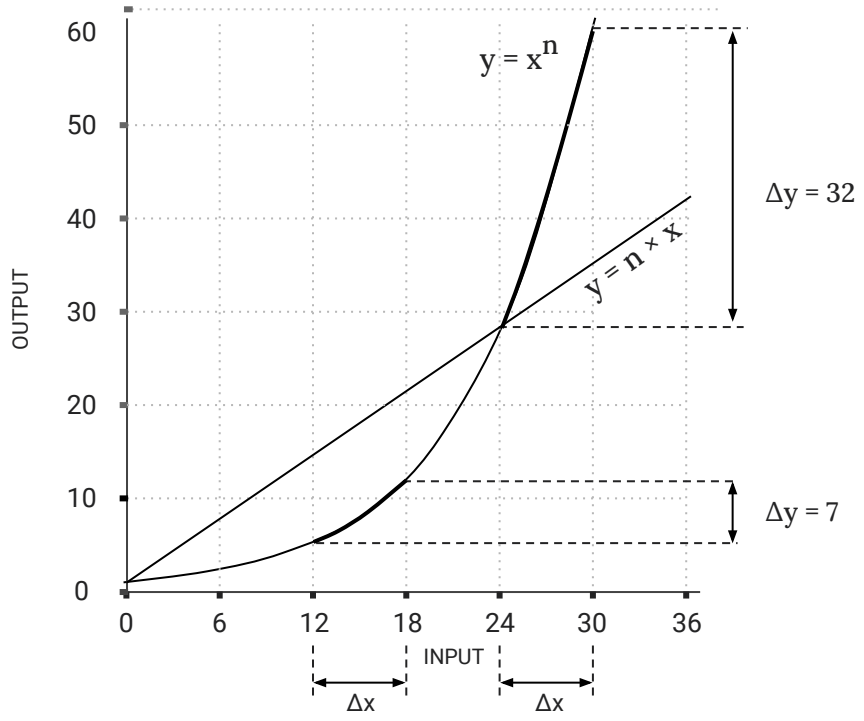
$$y = x^n \qquad (nonlinear)$$

$$y = x \times x \times x \times x \times x \times x$$

$$y = 1.15 \times 1.15 \times 1.15 \times 1.15 \times 1.15 \times 1.15 = 2.3$$

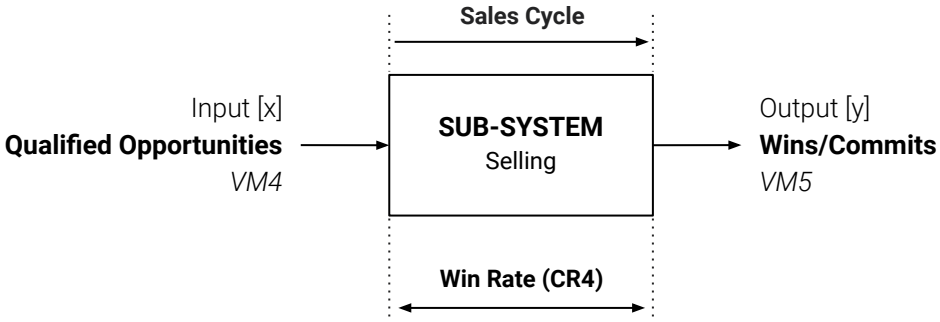
It is the difference between these 2 formulas that cause confusion. Plotting both in a chart helps us visualize the effects of disproportionate impact.

FIGURE 7.2 ***Exponential growth causes a disproportionate impact, where the same incremental change (Δx) results in a much larger change in output (Δy).***



Not For Distribution

FIGURE 7.3 ***Win rate depicts a seemingly linear relationship in which the win rate (CR4) equals the amount of commits (VM5) divided by the number of qualified opportunities (VM4).***



FORMULA 7-5

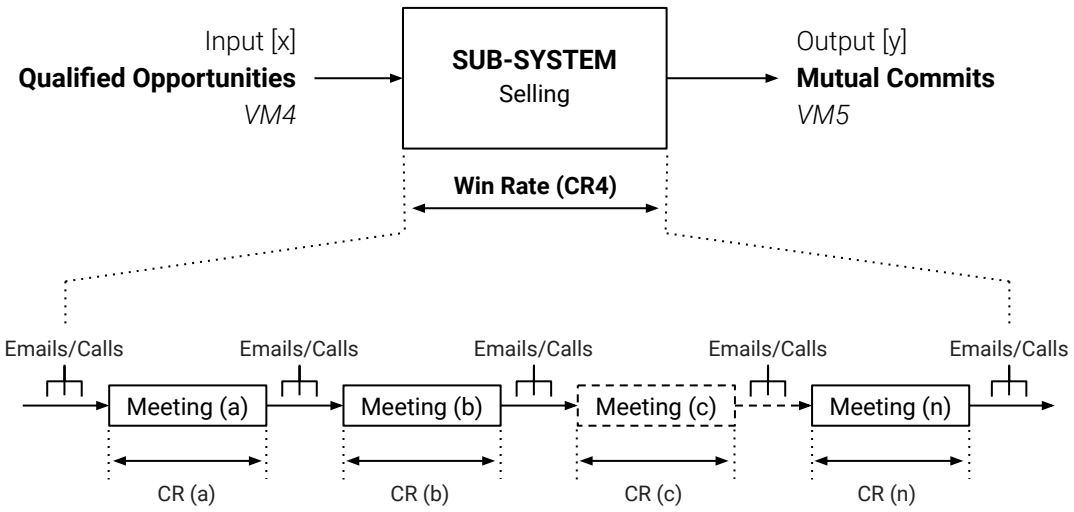
$$Commits\ (y) = Number\ of\ Qualified\ Opportunities\ (y) \times Win\ Rate\ (\mathrm{CR4})$$

Now, compare Formula 7-5 with Formula 7-3, and you'll notice they look the same.

FORMULA 7-3

$$y = x \times n \qquad (linear)$$

FIGURE 7.4 ***The number of commits is the product of the conversion rate of all meetings.***



Not For Distribution

FORMULA 7-6

$$Commits = Number\ of\ Qualified\ Opportunities \times CR\ (a) \times CR\ (b) \times CR\ (c) \times CR\ (n)$$

FORMULA 7-7

$$Commits = Number\ of\ Qualified\ Opportunities \times CR\ (n)^{number\ of\ meetings}$$

FORMULA 7-4

$$y = x^n \qquad (nonlinear)$$

FORMULA 7-7a

$$Commits = Number\ of\ Qualified\ Opportunities \times CR\ (n)^{number\ of\ meetings}$$

$$Commits = 20 \times 85\%^{12\ meetings} = 2.85$$

$$= 2.85 \times \$40{,}000 = \$113{,}793$$

FORMULA 7-7b

$$Commits = 20 \times 90\%^{12\ meetings} = 5.6$$

$$= 5.6 \times \$40{,}000 = \$225{,}944$$

FORMULA 7-7c

$$Commits = 20 \times 90\%^{\mathbf{13\ meetings}} = 5.1$$

$$= 5.1 \times \$40{,}000 = \$203{,}349$$

FORMULA 7-7d

$$Commits = 20 \times 90\%^{\mathbf{11\ meetings}} = 6.3$$

$$= 6.3 \times \$40{,}000 = \$251{,}049$$

FORMULA 7-7e

$$20 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 = 5.6$$

FORMULA 7-7f

$$Commits = 20 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 \times 0.9 = 6.3$$

Not For Distribution

FIGURE 7.5 ***An increase in actions (emails) resulting in an exponential decrease in the success rate.***

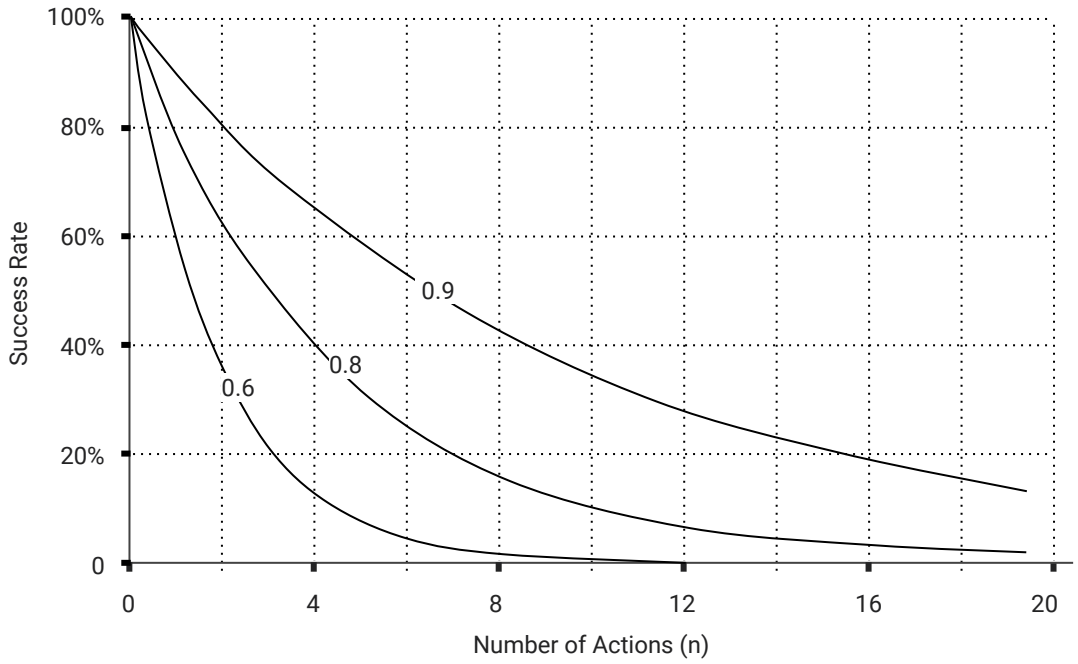
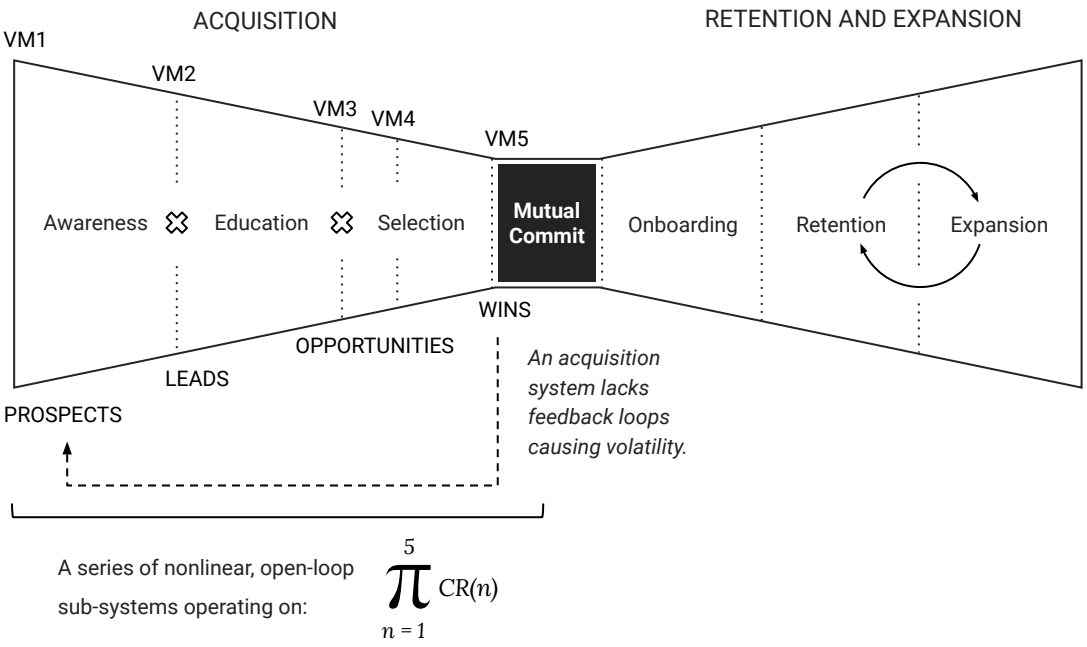


FIGURE 7.6 ***The acquisition system operates as 3 nonlinear sub-systems in an open-loop setup. This configuration is known to cause instability and can lead to a runaway system.***



Not For Distribution

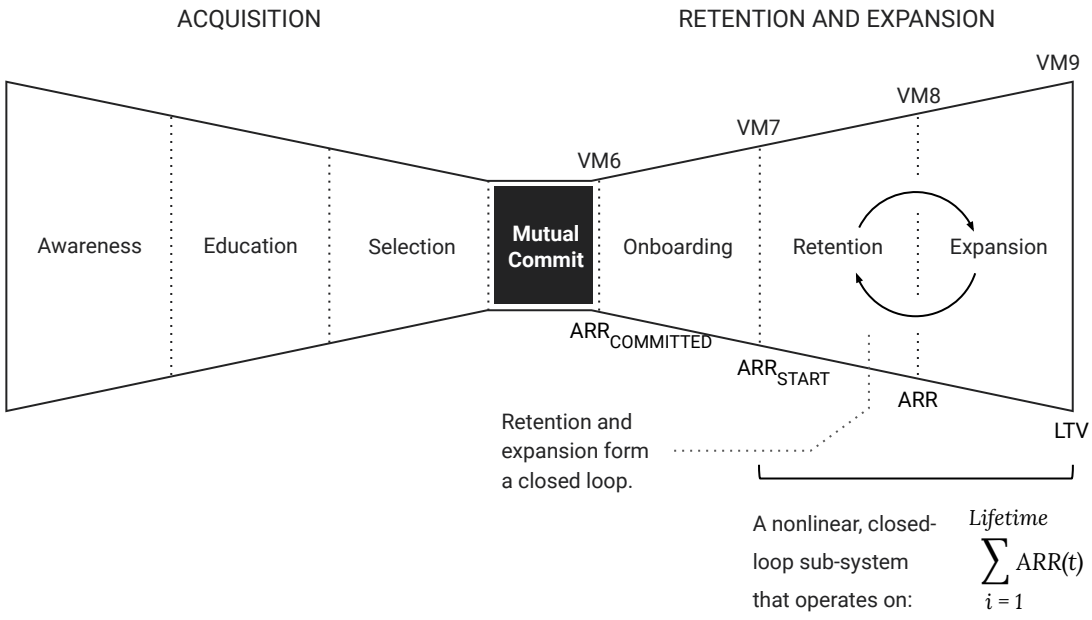
TABLE 7.1

A marginal decline in performance of different conversion rates across departments, each operating nonlinearly within an open-loop system, causes a sharp decline in ARR.

	VM1	CR1	VM2	CR2	VM3	CR3	VM4	CR4	VM5	CR5	VM6
Ref	Prospects		MQLs		SQLs		SALs		Wins		ARR
Q1	500	12%	60	15.0%	9.0	85%	7.7	30.0%	2.3	90%	$41,310
Q2	475	11½%	55	14½%	7.9	83%	6.6	29.0%	1.9	88%	$33,554
Q3	450	11%	50	14.0%	6.9	82%	5.7	28.0%	1.6	87%	$27,686
Q4	425	10½%	45	13½%	6.0	81%	4.9	27½%	1.3	86%	$23,081
Q5	400	10%	40	13.0%	5.2	80%	4.2	27.0%	1.1	85%	$19,094

FIGURE 7.7

Retention and Expansion form a closed loop creating stability within the system.



Not For Distribution

FORMULA 7-8

$$GRR = \frac{MRR(Start) - MRR(Contraction) - MRR(Churn)}{MRR(Start)} \times 100$$

FORMULA 7-8a

$$GRR = \frac{\$100{,}000 - (2x\$500) - (3x\$1{,}000)}{\$100{,}000} \times 100 = 96\%$$

FORMULA 7-9

$$NRR = \frac{MRR(Start)+MRR(Expansion)-MRR(Contraction)-MRR(Churn)}{MRR(Start)} \times 100$$

FORMULA 7-9a

$$NRR = \frac{VM7 \ x \ CR7 \ x \ CR8}{VM7} \times 100$$

FORMULA 7-9

$$NRR = \frac{MRR(Start)-MRR(Contraction)-MRR(Churn)+MRR(Expansion)}{MRR(Start)} \times 100$$

FORMULA 7-9a

$$NRR = \frac{\$100{,}000 - (2x\$500) - (3x\$1{,}000) + (12x\ \$500)}{\$100{,}000} \times 100 = 102\% \ (or\ 1.02)$$

Not For Distribution

FIGURE 7.8 ***Definition of GRR and NRR within the Data Model.***

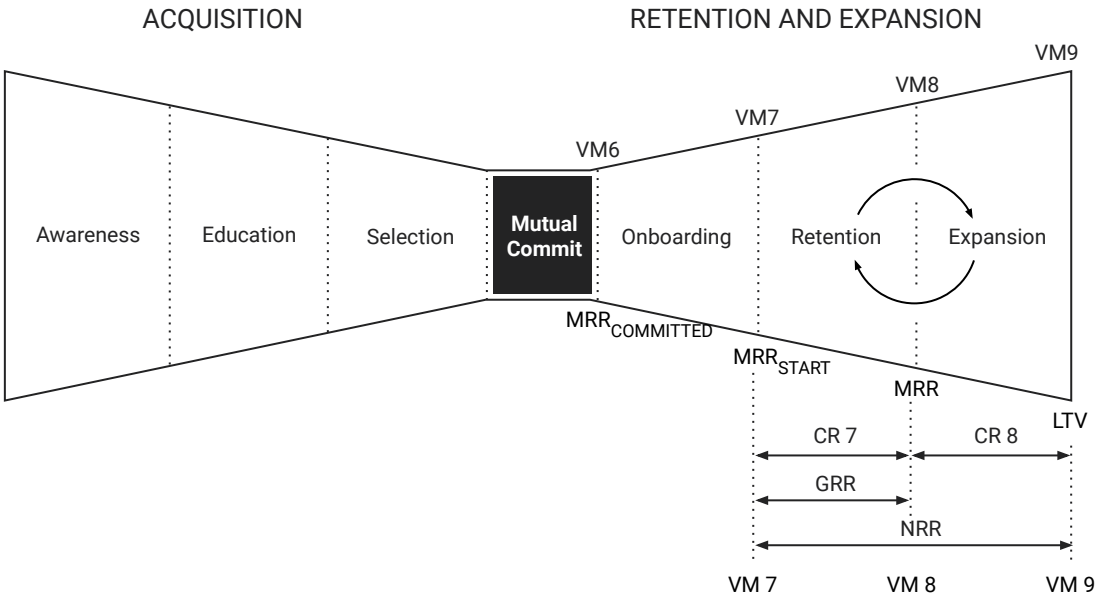
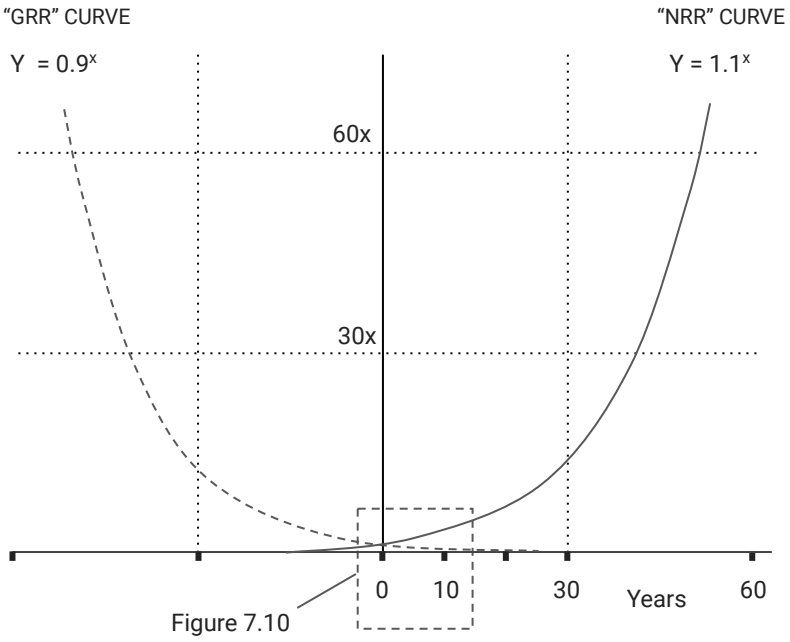


FIGURE 7.9 ***NRR and GRR both operate on the same hyperbolic function, but values greater than 1 versus less than 1 result in different nonlinearities within the first 10 years, best observed when zoomed out.***



Not For Distribution

FORMULA 7-1

$$LTV = \sum_{t=1}^{5} ARR\,(t) \qquad [\,t \text{ in years}\,]$$

FORMULA 7-1a

ARR(*Year 1*): $100,000

ARR(*Year 2*): $100,000 × 1.10 = $110,000

ARR(*Year 3*): $100,000 × 1.10 × 1.10 = $121,000

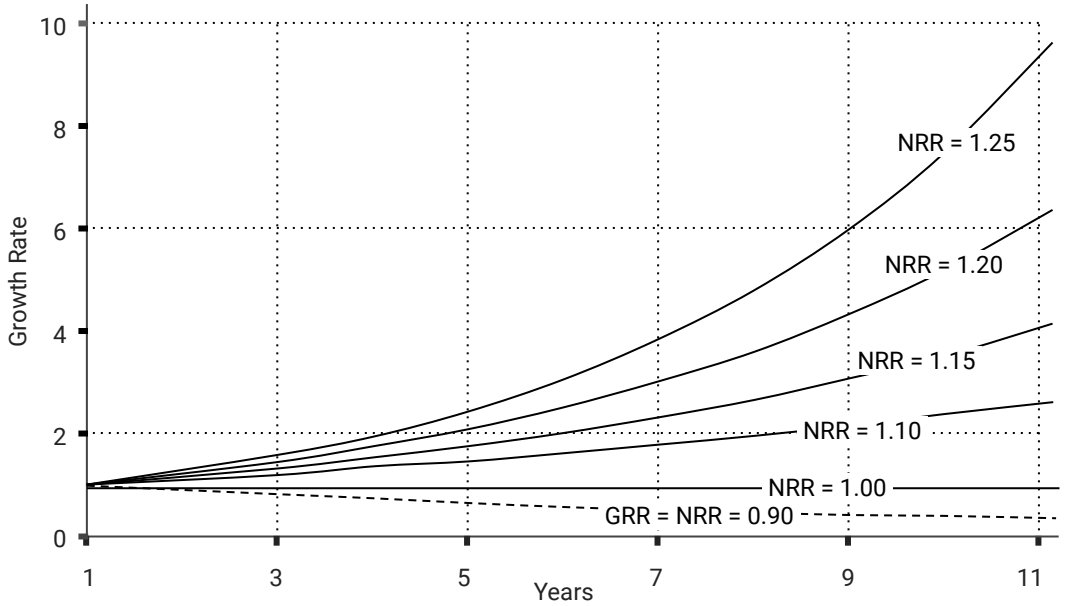
ARR(*Year 4*): $100,000 × 1.10 × 1.10 × 1.10 = $133,100

ARR(*Year 5*): $100,000 × 1.10 × 1.10 × 1.10 × 1.10 = $146,410

FORMULA 7-1b

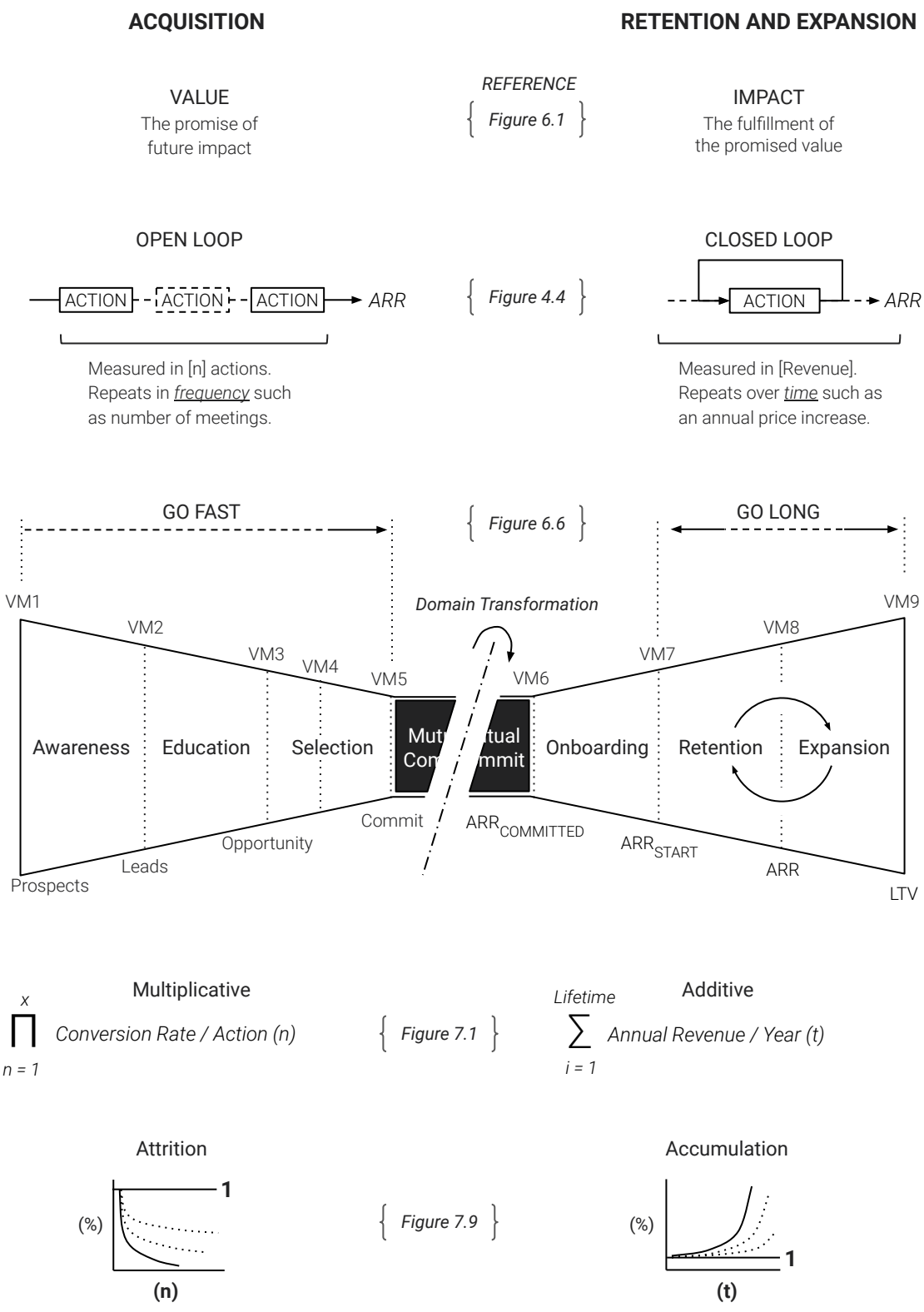
LTV = $100,000 + $110,000 + $121,000 + $133,100 + $146,410 = $610,510

FIGURE 7.10 ***The nonlinearity of NRR leads to a disproportionate effect that becomes more pronounced at higher NRR rates. It is fundamental to driving hypergrowth.***



Not For Distribution

FIGURE 7.11 ***Characteristic for Growth from Acquisition vs. Retention and Expansion.***



Not For Distribution

FIGURE 7.12 ***The characteristics of the frequency and time domains explained.***

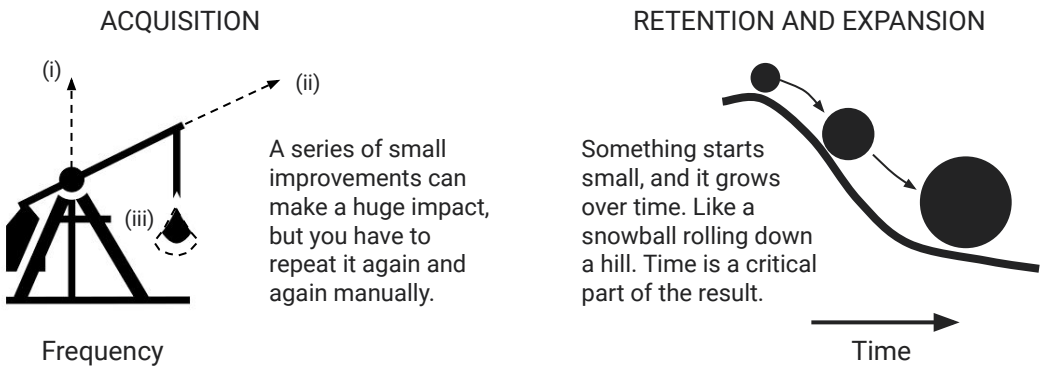


TABLE 7.2 ***Growth formula of a Low Touch GTM motion: 928 visitors generate $67,555 in ARR.***

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]
928	12.00%	111	15.00%	17	84.50%	14

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
26.00%	3.7	23.30%	$18,408	$67,555

Not For Distribution

TABLE 7.3 ***Normalized Growth Formula, providing unit economics for a single win.***

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]
253	12.00%	30	15.00%	5	84.50%	4

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
26.00%	1.0	76.70%	$18,408	$18,408

FORMULA 7-8

$$\begin{aligned} ARR\ (Commit) &= Visitors \times \prod_{n=1}^{5} CR[n] \times List\ Price \\ &= 253 \times CR[1] \times CR[2] \times CR[3] \times CR[4] \times CR[5] \times \$24{,}000 \\ &= \underbrace{253 \times 0.12 \times 0.15 \times 0.845 \times 0.26}_{1} \times \underbrace{0.767 \times \$24{,}000}_{\$18{,}408} = \$18{,}408 \end{aligned}$$

TABLE 7.4 ***Simulation of the impact of an economic downturn on the "Acquisition System."***

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]
253	12.00%	30	15.00%	5	84.50%	4
240	11.40%	27	14.25%	4	80.28%	3

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
26.00%	1.0	76.70%	$18,408	$18,408
24.70%	0.8	24.47%	$13,904	$10,759

Not For Distribution

TABLE 7.5 ***Simulation of the win rate needed to secure the same amount of ARR.***

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]
253	12.00%	30	15.00%	5	84.50%	4

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
19.94%	0.8	0.00%	$24,000	$18,408

TABLE 7.6 ***Calculating Lifetime Value based on a 5-year horizon.***

	ARR(start)	Retention	Expansion	NRR	ARR
	[VM7]	[CR7]	[CR8]	[CR7/8]	[VM9]
Year 1	$18,408	98.0%	102.0%	99.96%	$18,401
Year 2	$18,401	95.0%	128.0%	121.60%	$22,375
Year 3	$22,375	94.0%	112.0%	105.28%	$23,557
Year 4	$23,557	95.0%	108.0%	102.60%	$24,169
Year 5	$24,169				
LTV(5Y)	$106,909				

Not For Distribution

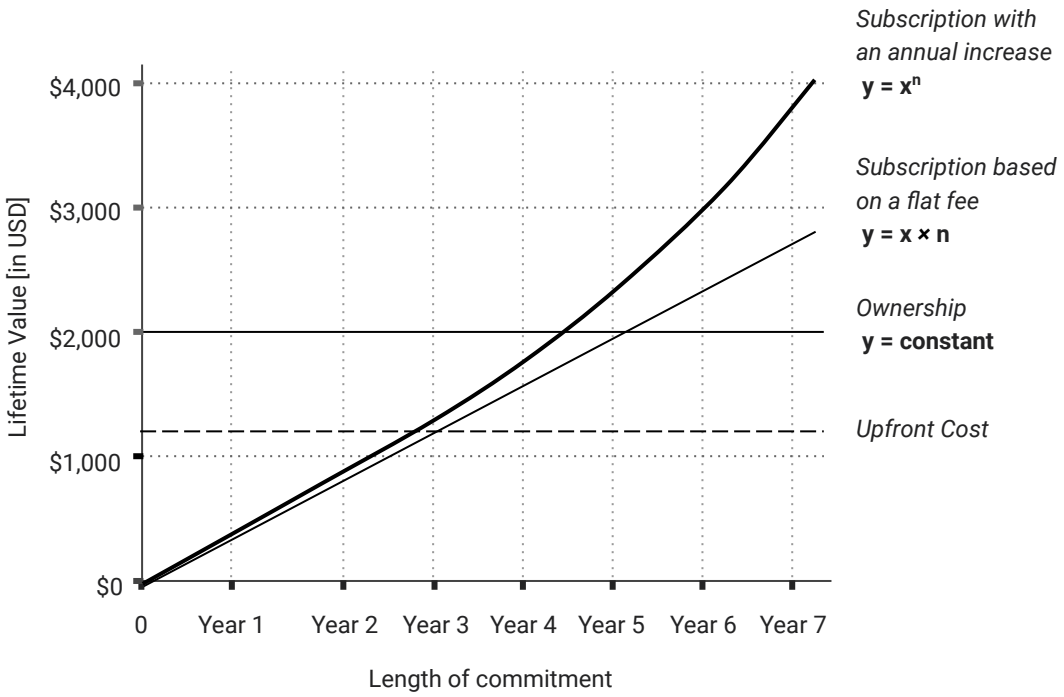
TABLE 7.7

Over a 7-year span, the comparison of 3 monetization strategies reveals one superior model.

	MODEL 1. ***Ownership*** **Paid Up Front**	MODEL 2. ***Annual Subscription***	MODEL 3. ***Annual Subscription w/ a 10% annual increase***
	y = constant	*y = x × n*	$y = x^n$
Year 1	$2,000	$400	$400
Year 2		$800	$840
Year 3		$1,200	$1,324
Year 4		$1,600	$1,856
Year 5		$2,000	$2,442
Year 6		$2,400	$3,086
Year 7		$2,800	$3,795
Total	**$2,000**	**$2,800**	**$3,795**

FIGURE 7.13

Plotting the 3 monetization strategies illustrates the non-linear growth impact of a subscription service with an annual 10% price increase.



Not For Distribution

FIGURE 7.14 ***The price increase of Netflix through small changes, spread over different time intervals, and diversification of packages masks the nature of an exponential price increase.***

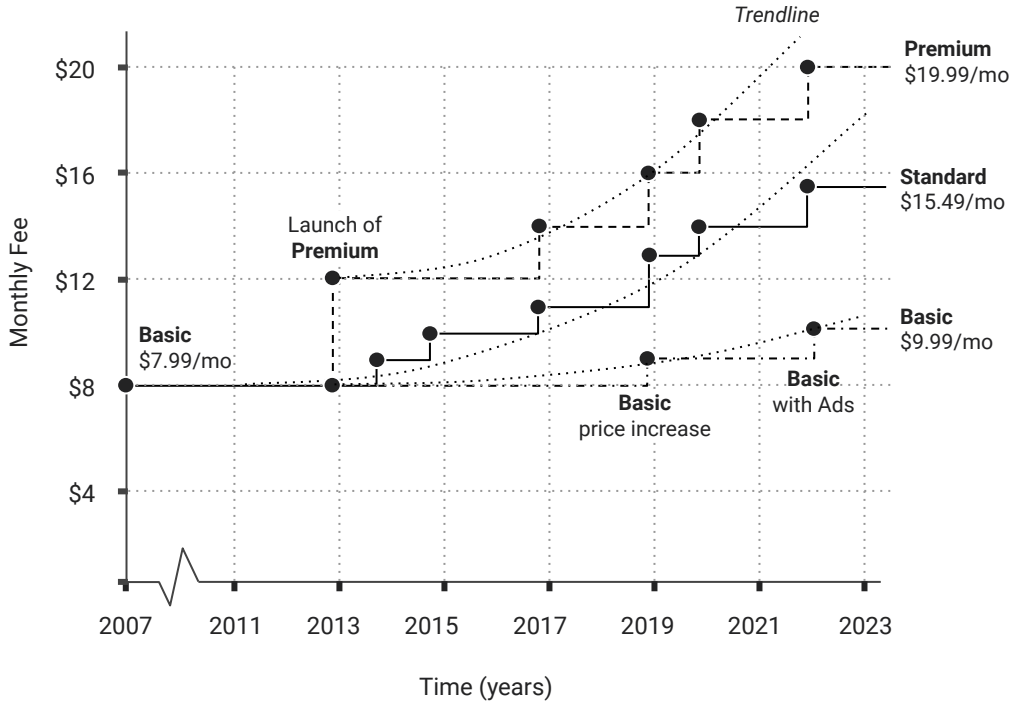
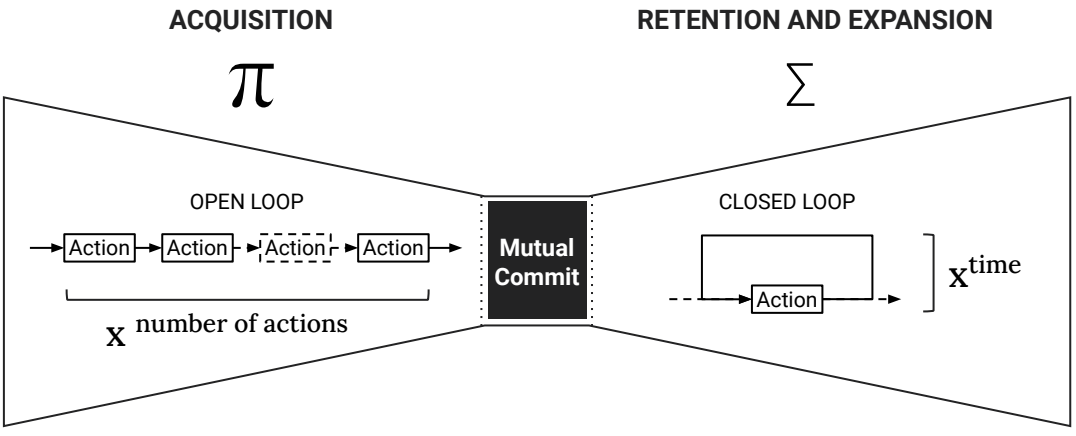


FIGURE 7.15 ***The simplified Mathematical Model shows that both acquisition and expansion are based on nonlinearity, but operate on a different exponent, creating a different response.***



Not For Distribution

EXERCISE 7.1

Establish an acquisition Growth Formula for the most prominent GTM motion.

Use a trendline to extrapolate conversion rates based on trends from the past few months or quarters.

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty	
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]	

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]

EXERCISE 7.2

Establish an expansion Growth Formula for the most prominent GTM motion.

Carry forward the VM6 from the previous step and fill in the fields. Propagate it across 5 years to calculate the customer LTV for 5 years.

ARR(commit)	Onboarding	ARR(start)	NRR	ARR
[VM6]	[CR6]	[VM7]	[CR7/8]	[VM9]
	Year 2			
	Year 3			
	Year 4			
	Year 5			
	LTV(5Y)			

Not For Distribution

EXERCISE 7.3 **Normalize the Acquisition part of the Growth Formula to a single commit.**

Visitors	Visited	Leads	Interested	Oppty	Qualified	Q'Oppty
[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]

Win Rate	Commit	Discount	List Price	ARR(commit)
[CR4]	[VM5]	[CR5]	$24,000	[VM6]
	1			

EXERCISE 7.4 **Normalize the Expansion part of the Growth Formula to a single commit.**

ARR(commit)	Onboarding	ARR(start)	NRR	ARR
[VM6]	[CR6]	[VM7]	[CR7/8]	[VM9]
	Year 2			
	Year 3			
	Year 4			
	Year 5			
	LTV(5Y)			

EXERCISE 7.5 **Based on the normalized Growth Formula, determine the unit economics.**

To create ____ in revenue, we will need _____ leads per month.

It will take ____ leads to turn into _____ opportunities.

Then, it takes _____ opportunities to gain the commitment on one deal.

Each deal, on average, brings us _____ in annual recurring revenue.

If we sustain our NRR over the next 5 years, the LTV/customer is _____.

Remember, this is an example of an open loop, inbound-based system normalized against one commit. It's important to customize this approach for all of the specific GTM motions you have.

Not For Distribution

EXERCISE 7.6 **Run scenarios based on the Growth Formula to learn how the business scales.**

Carefully evaluate the results of the different scenarios, as they will provide insights into how your business scales. "Scalability" refers to how the system responds to various adjustments. Here are a few scenarios to consider:

- Apply a 10% increase to each conversion metric (VM1 and CR1 to CR5) and assess the impact on ARR_{START} and LTV. Remember to normalize the discount first. For example, if you are offering a 20% discount, a 10% improvement on the discount would be 18%. Normalizing this means that CR5 changes from 0.8 to 0.82.
- Explore changes to the NRR with increments of 5%, and observe the impact. Don't forget to decrease the NRR by 5% increments as well.
- Extend the length of the LTV from 5 to 6 to 7 years, and analyze the effects. Conversely, shorten the LTV to 4 years and then to 3 years.

It's important to note that while scalability focuses on the system's response, sustainability takes costs into account. In Chapter 10, we will discuss the GTM model and its relationship to the costs associated with scalability.

EXERCISE 7.7 **Establish a scalability thesis.**

Based on this, you may have gained a good idea of how to drive short- and long-term revenue growth. Now, let's establish the top 3 metrics that your company needs to focus on based on scalability:

1. _____

   _____

2. _____

   _____

3. _____

   _____

Not For Distribution

PART III

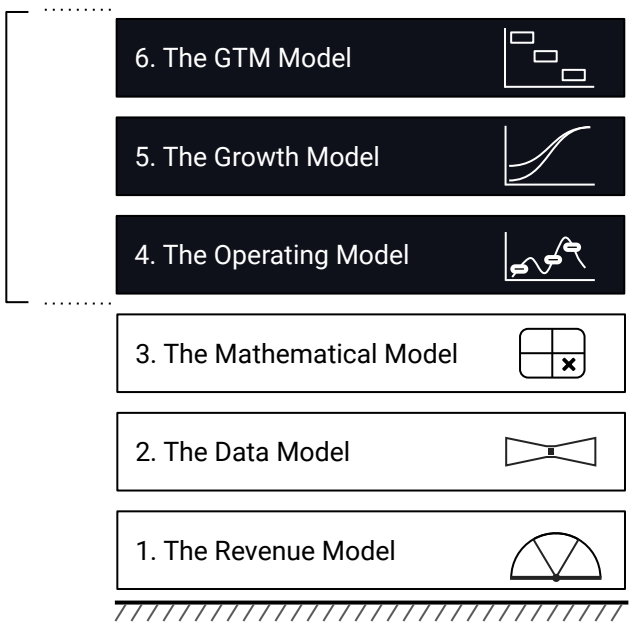
BUILD

Not For Distribution

FIGURE III ***The dynamic models are the models a business operates in daily.***

PART III. DYNAMIC MODELS

These models are where a GTM team operates daily. It's important to note that the operating model is currently absent in many SaaS companies.



Not For Distribution

08

THE OPERATING MODEL

Not For Distribution

FIGURE 8.1 ***Departments operate independently, leading to inefficiencies. This disjointed approach makes it challenging for customers to experience consistent, recurring impact.***

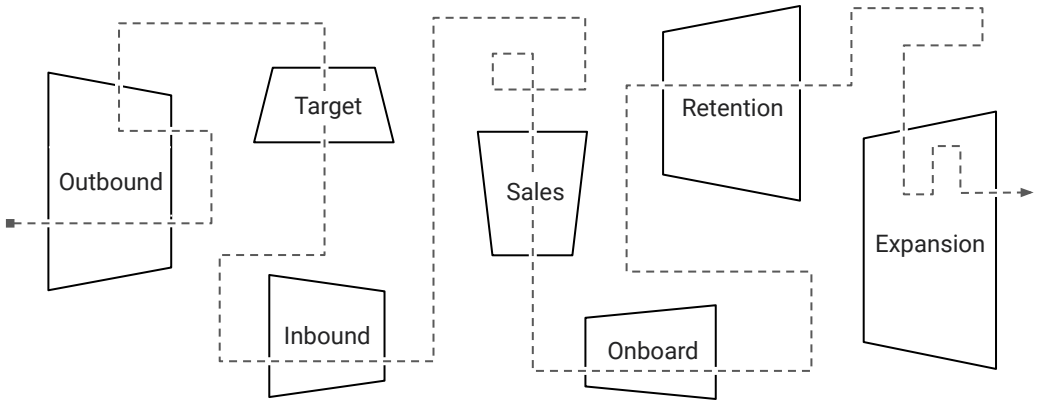
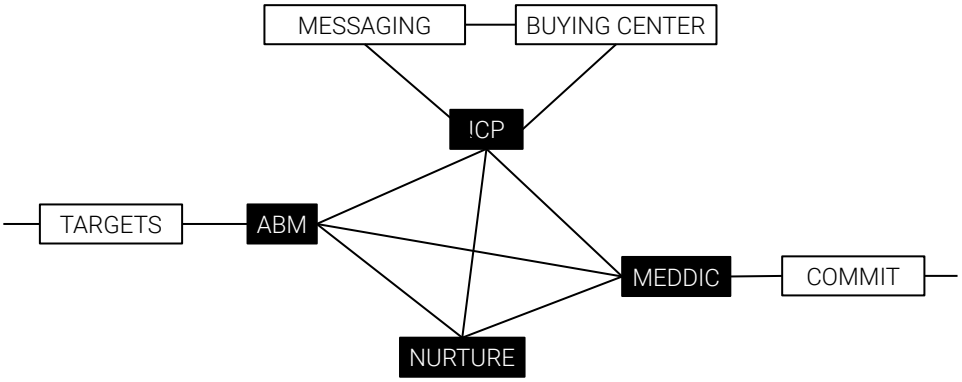


FIGURE 8.2 ***The number of interconnections to gain a mutual commitment from a set of targeted accounts using a high touch GTM motion.***



Not For Distribution

FIGURE 8.3 ***The root cause of the GTM issue is that the number of interconnections between various means and methods increases exponentially with each additional GTM motions, this causes cost to escalate and productivity to decline.***

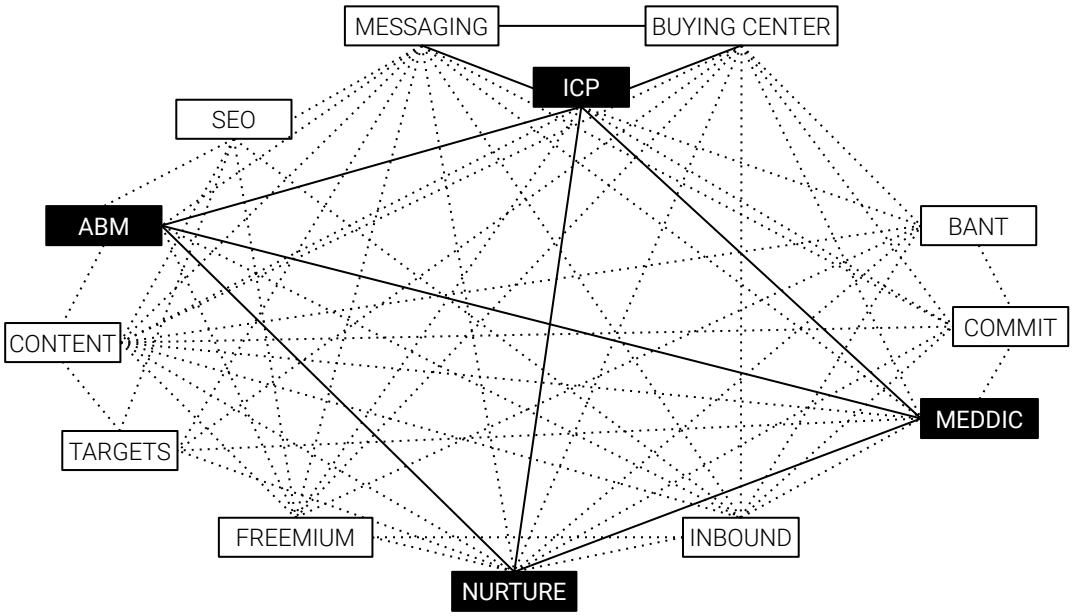
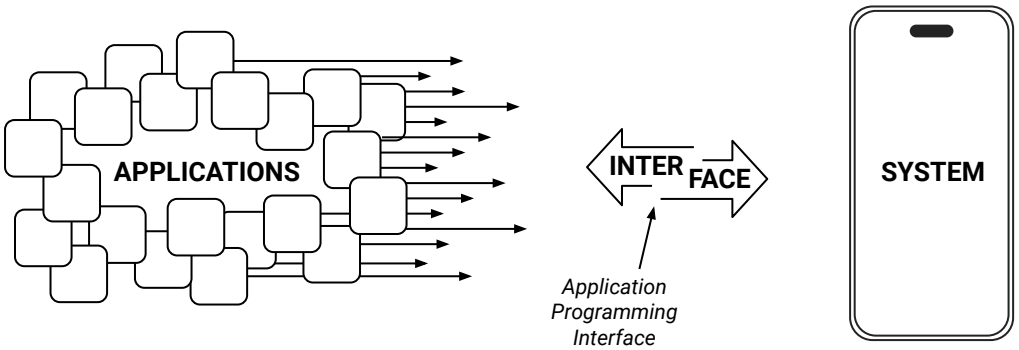


FIGURE 8.4 ***The 3 components of an operating system in software.***



Not For Distribution

FIGURE 8.5 ***The 3 components of the uniform customer centric methodology.***

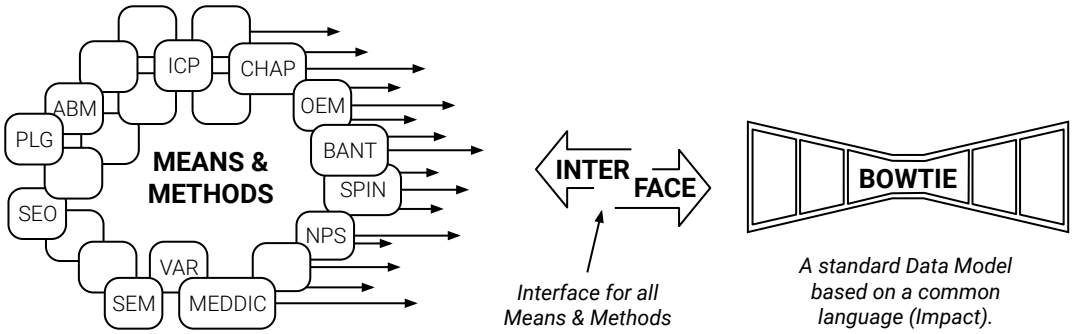


FIGURE 8.6 ***The relationship between Situation, Pain, Impact, Critical Events and Decision.***

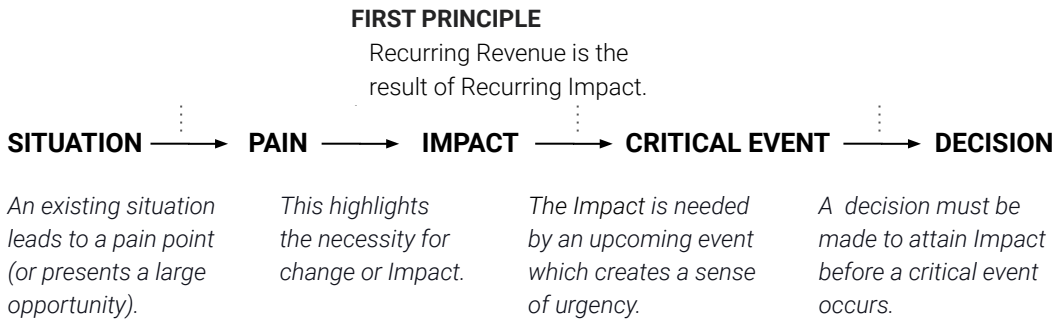
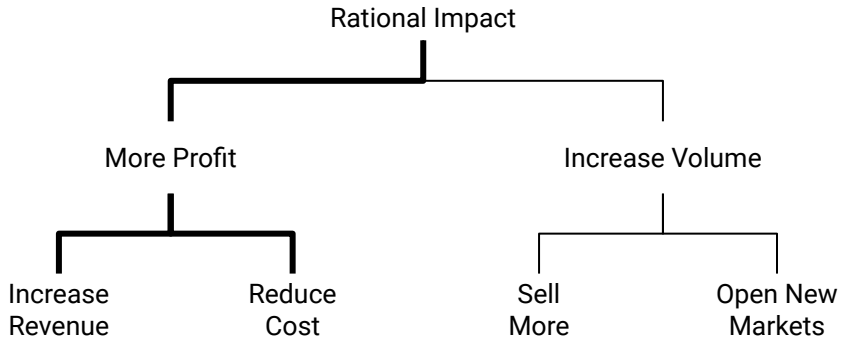


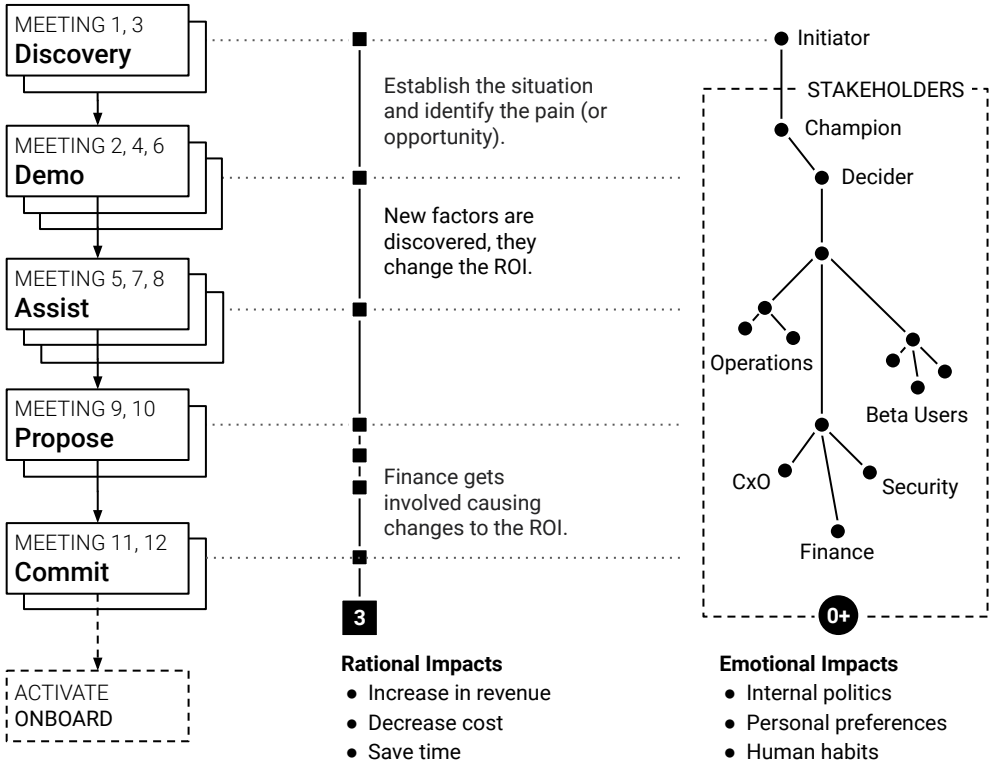
FIGURE 8.7 ***The most common types of Impact are Quantitative, this is called Rational Impact.***



Not For Distribution

FIGURE 8.9

Purchasing a product in B2B is not just about "saving money." The complexity stems from the involvement of dozens of humans, each wanting something different.



Not For Distribution

FIGURE 8.10 ***Impact goes across the entire customer journey, creating a uniform customer-centric language between actions, roles, and functions.***

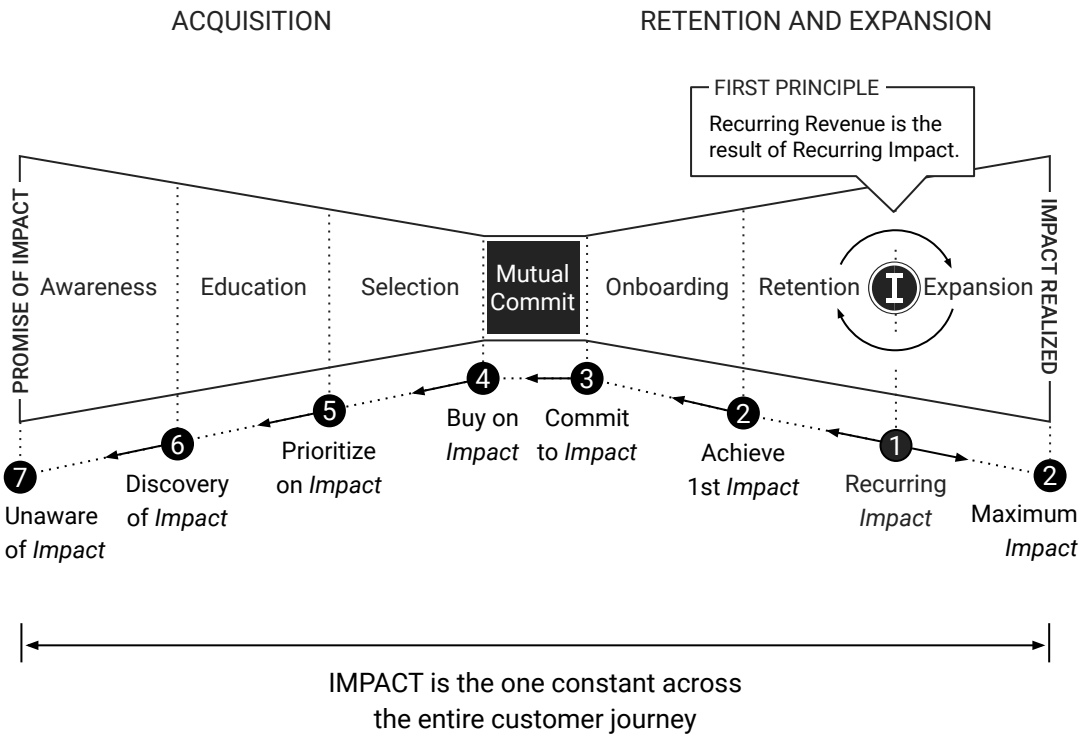
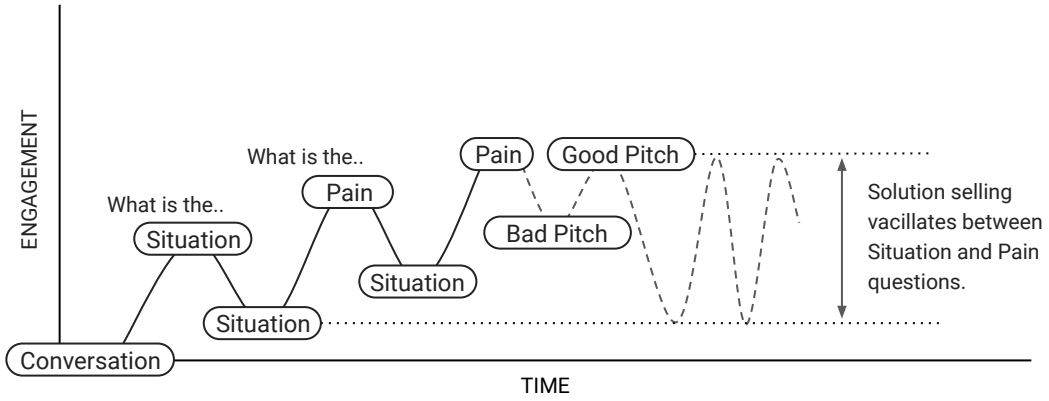


FIGURE 8.11 ***Solution selling is about pitching a product against the customer's Situation and Pain.***



Not For Distribution

FIGURE 8.12 ***A summary following a diagnosis establishes a platform offering multiple options.***

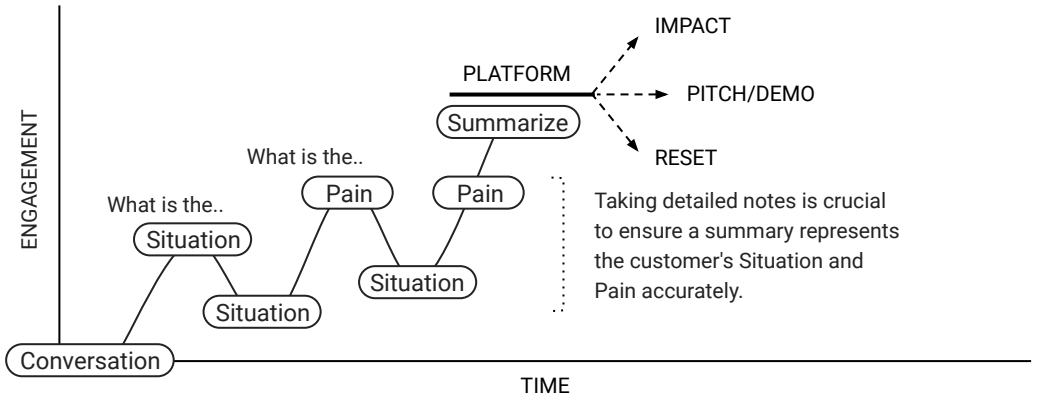
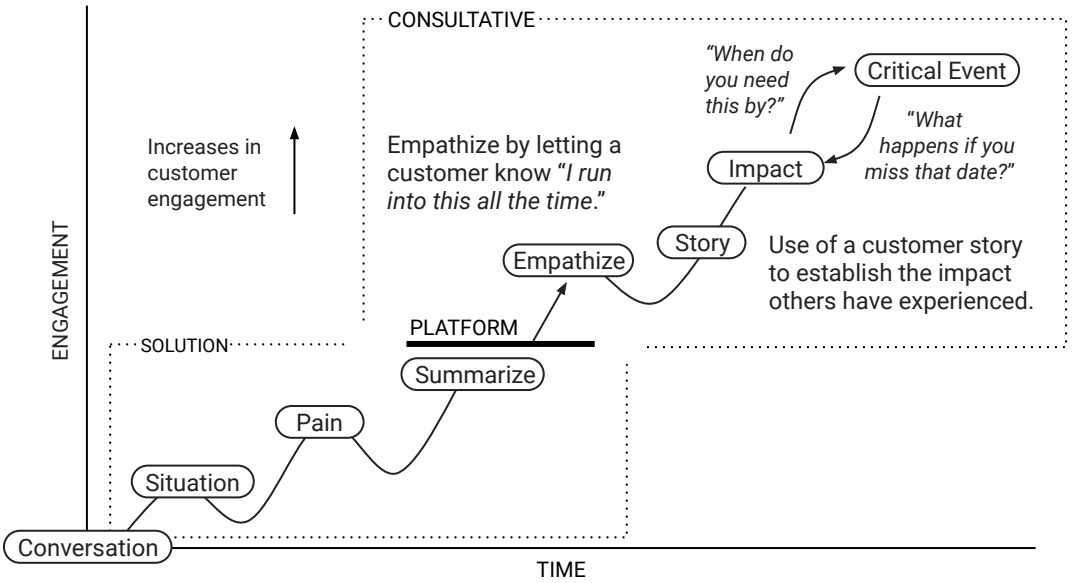


FIGURE 8.13 ***The summary sets up a platform, shifting from a solution-based pitch to a consultative approach that uncovers the impact.***



Not For Distribution

FIGURE 8.14 ***"Man in the Hole" by Kurt Vonnegut using Situation, Pain, and Impact to create a repeatable customer story in 3 parts.***

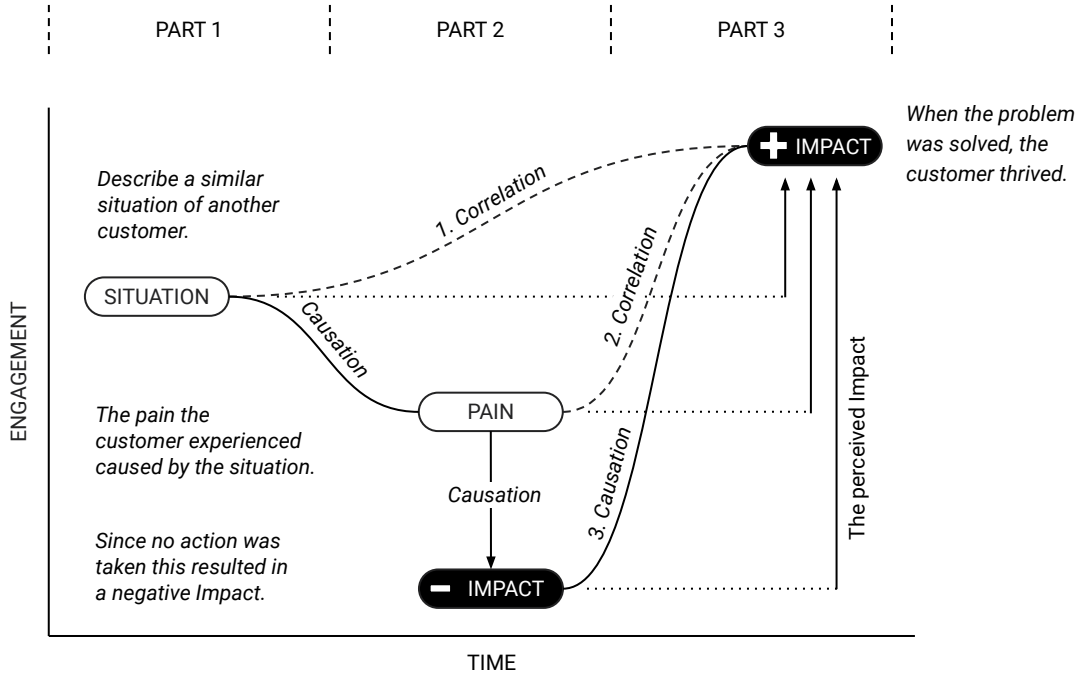
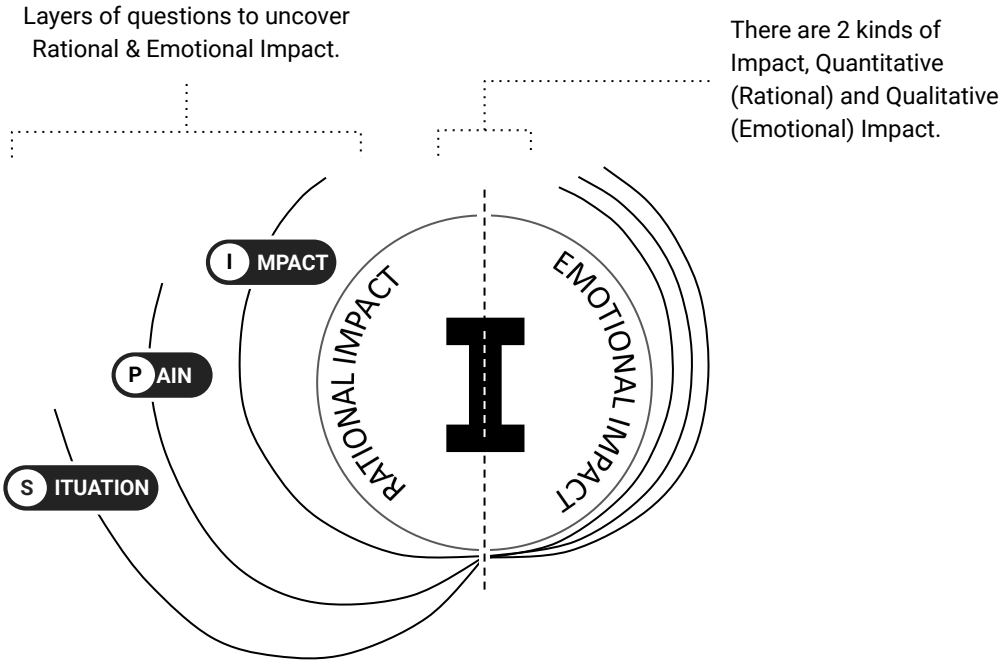
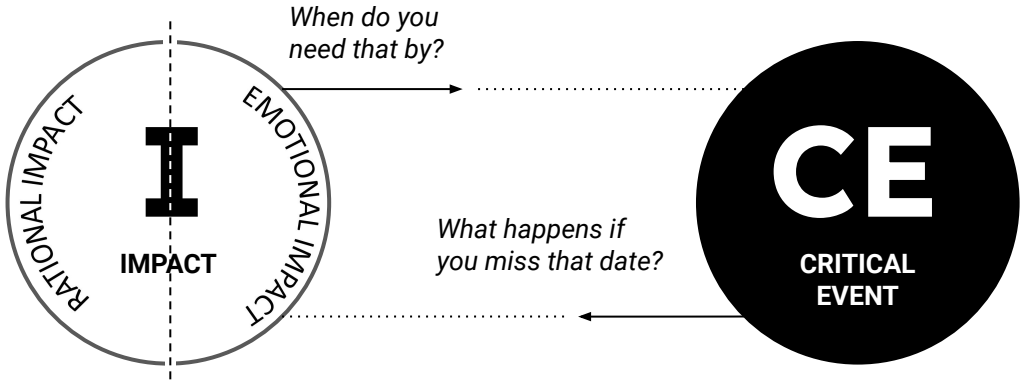


FIGURE 8.15 ***To uncover Impact is like peeling back layers of an onion, one at a time.***



Not For Distribution

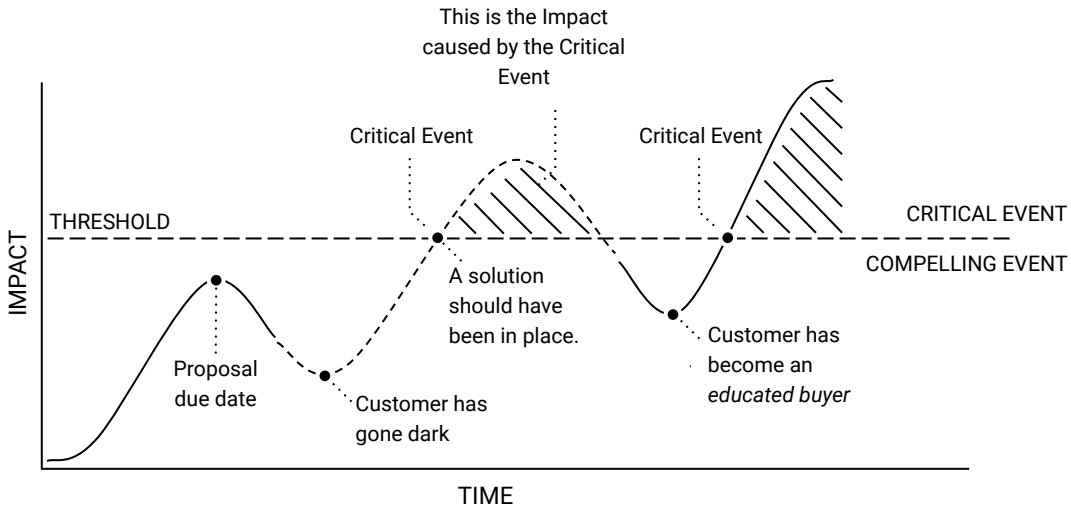
FIGURE 8.16 ***Impact and Critical Events are interconnected, and they occur not only during acquisition but also in retention and expansion phases.***



FORMULA 8-1

$$Priority = Impact\ (Time)$$

FIGURE 8.17 ***Priority is depicted as a function of fluctuating impact over time, a concept teams may not be accustomed to handling—especially in contrast to static measures such as budget availability or a fixed RoI commonly used in perpetual software sales.***



Not For Distribution

FIGURE 8.18 ***Prioritization of the account is crucial throughout the entire customer journey to make sure the customer gets the best amount of resources in context of their spend.***

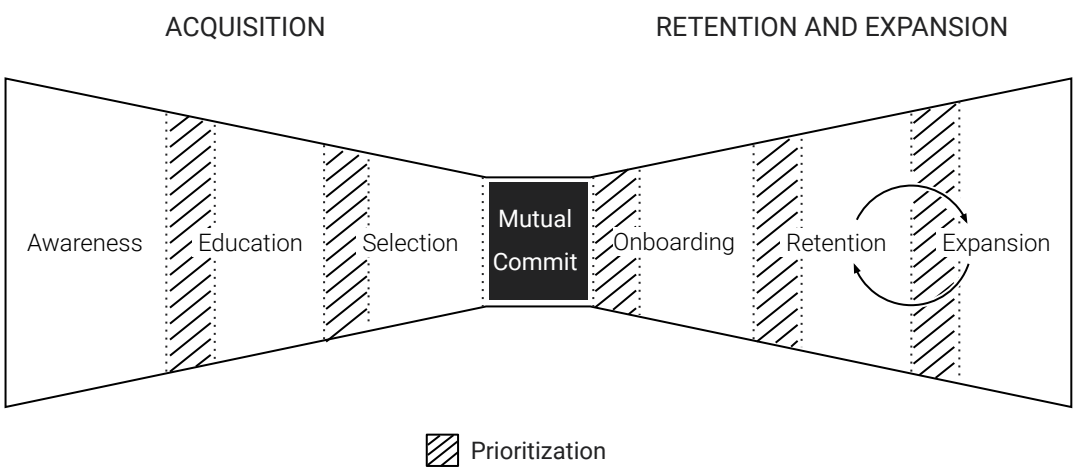


TABLE 8.1 ***Critical Event Timeline - reverse order - starting with customer Impact.***

Event	Date	Activity
First Impact	October 12	The annual company all-hands meeting
Deployment and Testing	September 29	Installation, training, and testing
Mutual Commitment	September 15	Executed paperwork
Legal Review	September 1	The draft contract goes into legal review
Scope Sign-off	August 22	Stakeholder agreement on the scope

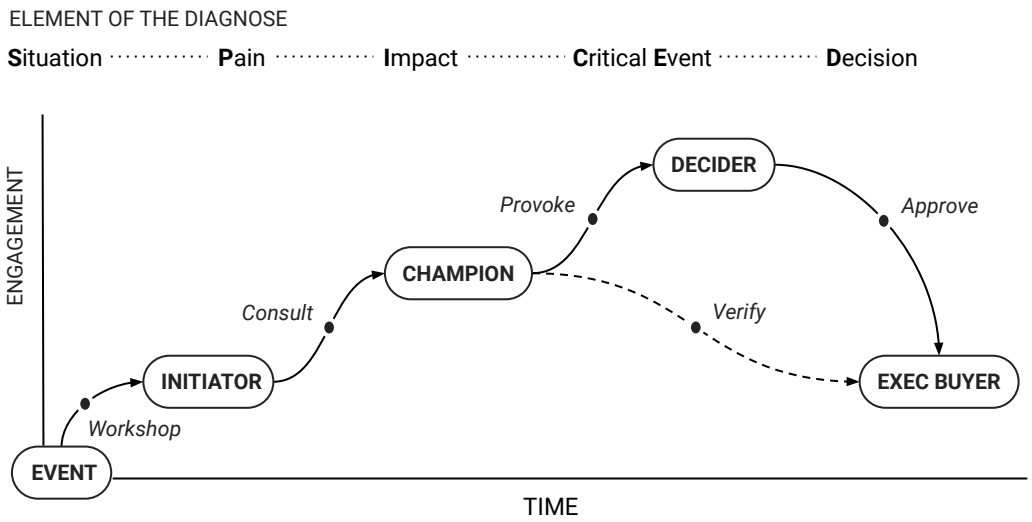
Not For Distribution

TABLE 8.2 ***A description of the 9 roles that exist within the buying center.***

Role*	Description**
Initiators	The ones who first suggest or initiate the contact (S, P).
Users	Individuals who will directly use the product or service (S, P, I).
Champions	An advocate within the organization who helps the seller (S, P, I).
Deciders	Members who make the final purchasing decision (I, CE).
Gatekeepers	Those who controls (vetoes) the decision process (I, CE).
Influencers	People who provide information or criteria for evaluating options (I, CE).
Executive Buyer	The person responsible to realize the impact (I, CE, D).
Approvers	Individuals who authorize the proposed actions of deciders or buyers (I, D).
Purchaser	The member who handles the actual procurement process (I, D).

*These roles can overlap, and one person can fulfill multiple roles, especially in smaller organizations.
**The element of a diagnosis most relevant to the role (Situation, Pain, Impact, Critical Event, and Decision).

FIGURE 8.19 ***A decision process for a mid-touch GTM motion involving 4 different roles.***



Not For Distribution

FIGURE 8.20 ***A more complex and realistic decision process involving 7 different roles within the buying center.***

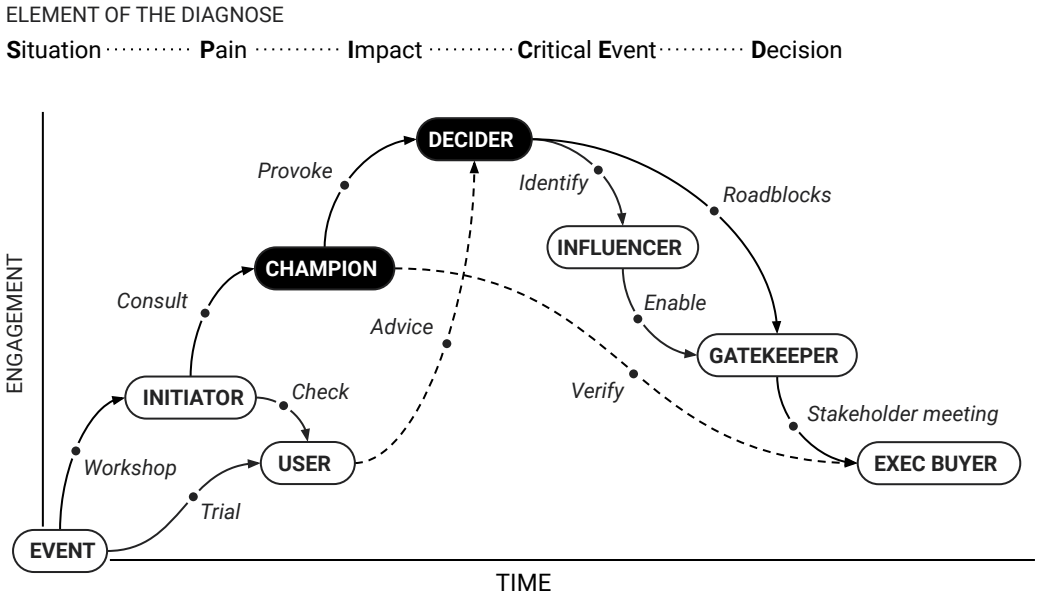
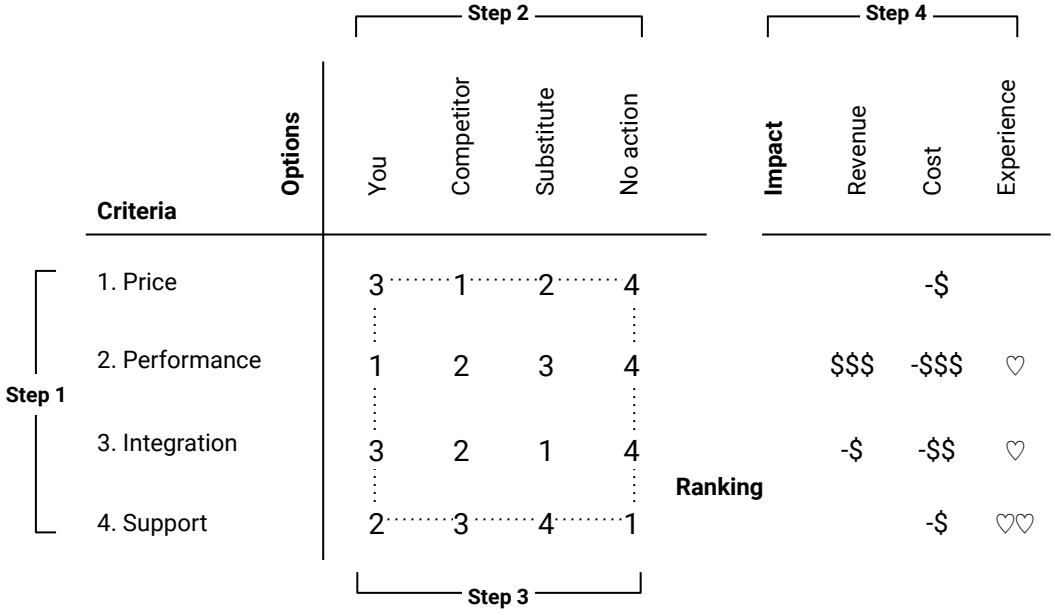
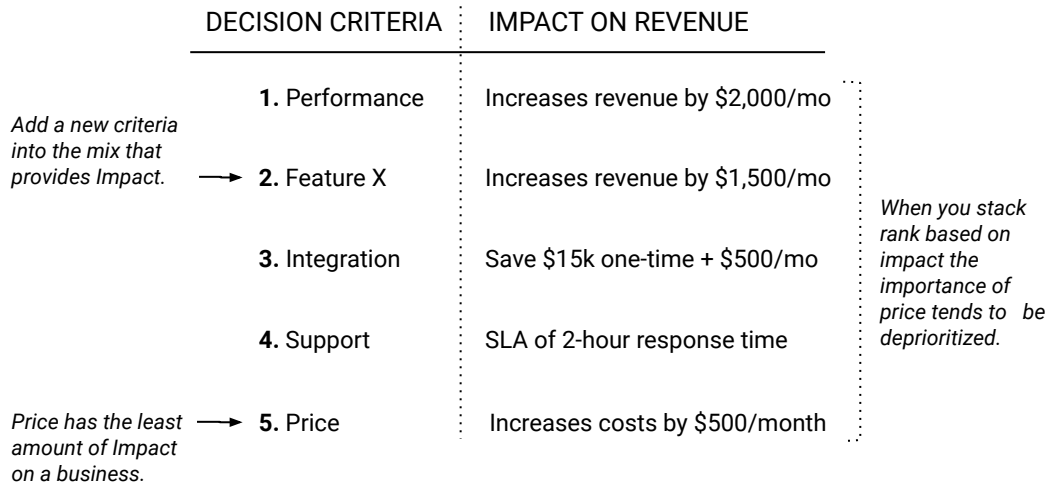


FIGURE 8.21 ***Historically, decision criteria were stack-ranked and weighted, giving an academic facade to the decision-making process. However, this often masked the subjectivity of the decision. In contrast, using Impact as a criterion shifts the decision towards causality. This allows at a later date, to see if the promised Impact was achieved.***



Not For Distribution

FIGURE 8.22 ***By calculating the Impact of each criterion a new stack rack develops with the most impactful impact likely being ranked the highest.***



Not For Distribution

FIGURE 8.23 ***In the era of high velocity and cost efficient growth, having a uniform methodology such as SPICED is not an option but a necessity.***

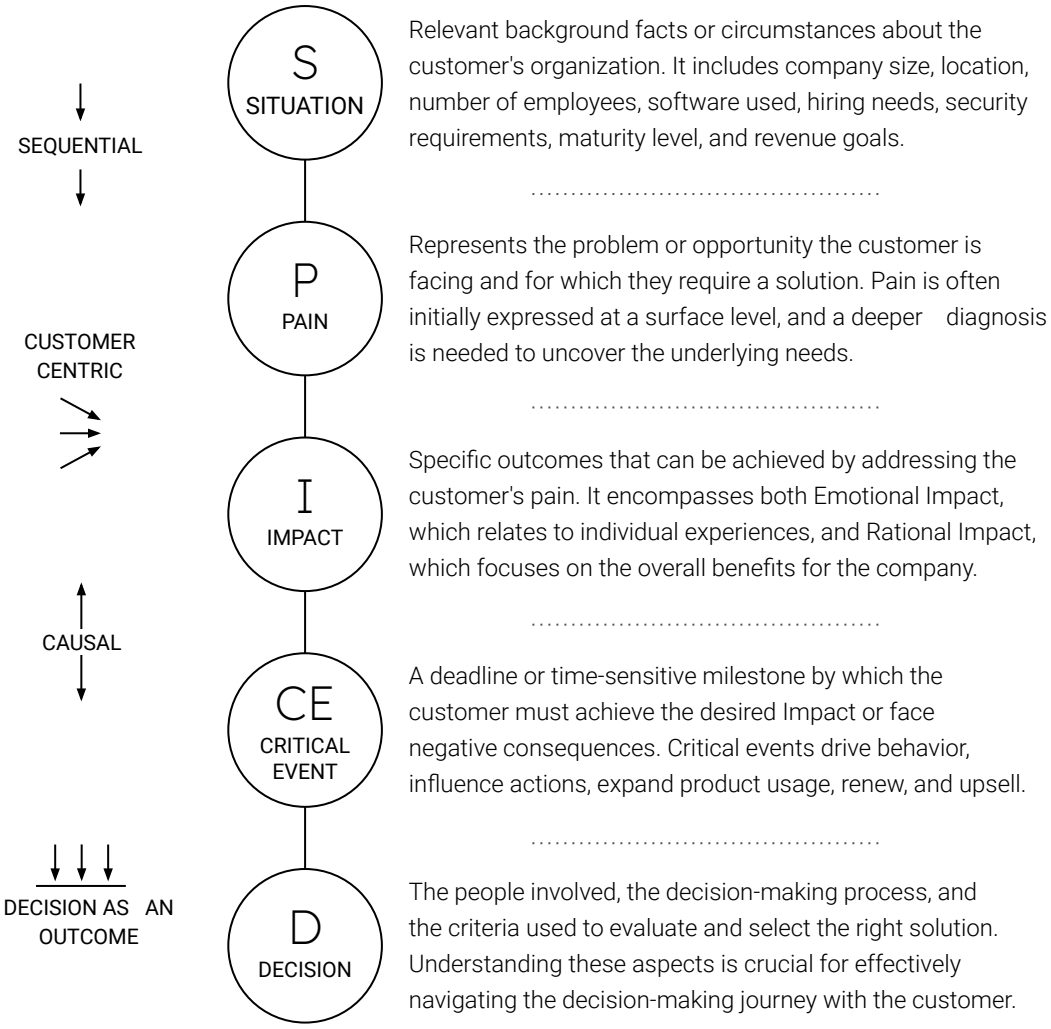
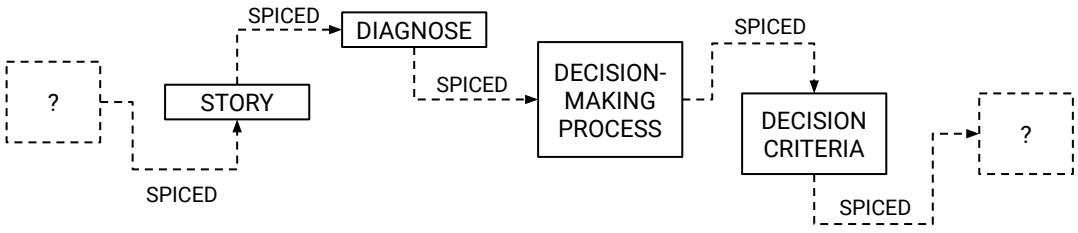


FIGURE 8.24 ***The SPICED framework acts as an Interface between the different actions.***



Not For Distribution

FIGURE 8.25 ***The causal relationship reflects an increase in relevance.***

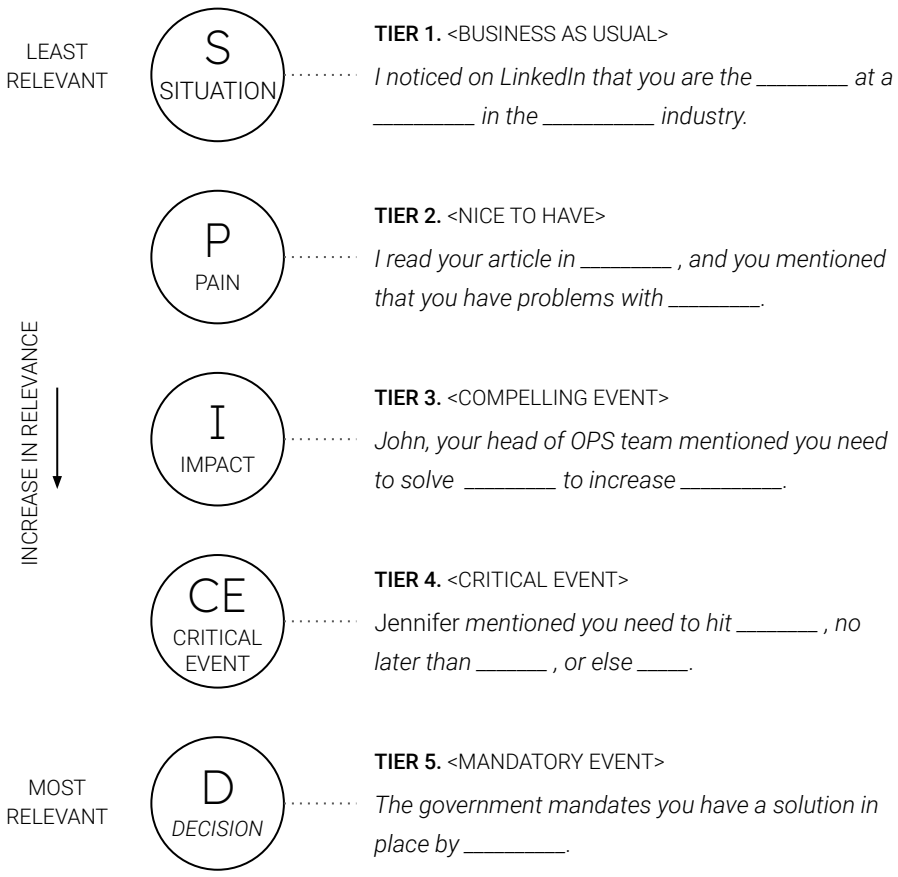
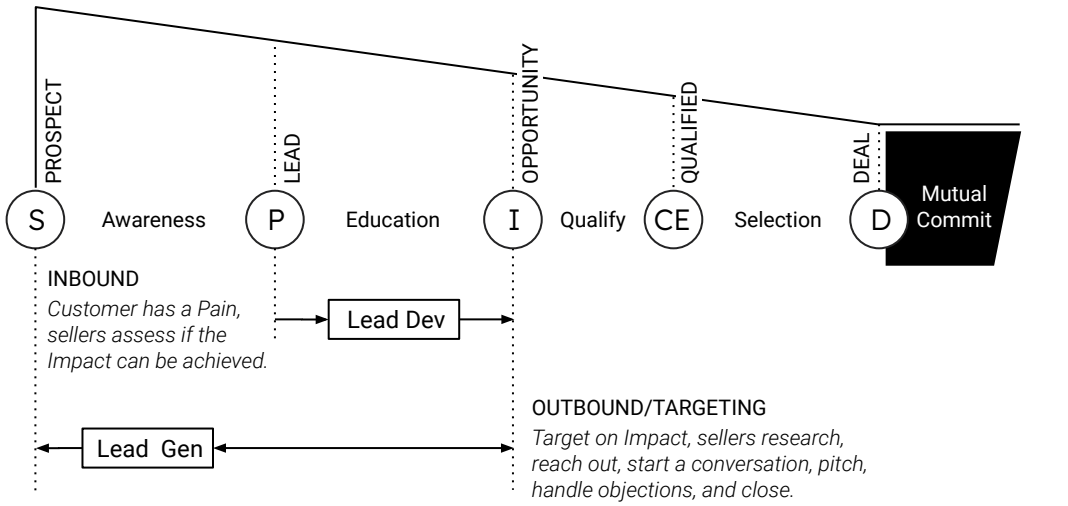


FIGURE 8.26 ***By overlaying SPICED onto the Bowtie model and mapping inbound and outbound methodologies across the customer journey, we gain insight into the significant differences between the two.***



Not For Distribution

FIGURE 8.27 ***The difference in generating leads through outbound prospecting and targeting differs in the number of individuals they address in various roles across a company.***

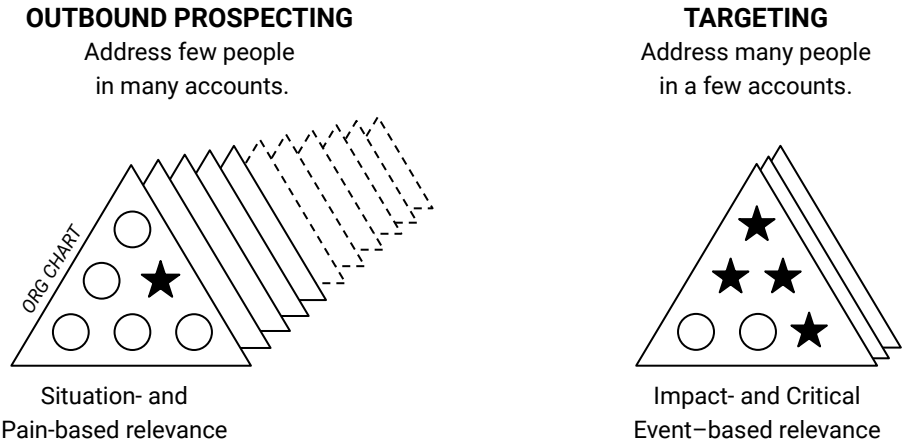
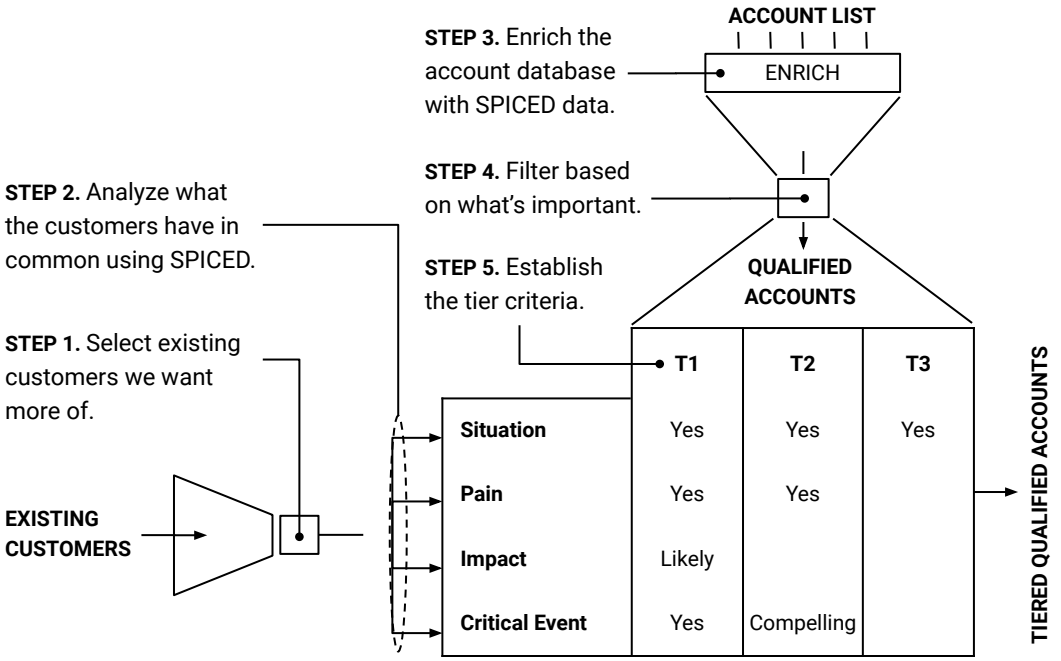


FIGURE 8.28 ***Using SPICED to create a tiered target account list.***



Not For Distribution

FIGURE 8.29 ***By integrating SPICED into ICPs, it can be applied across the entire customer journey. SPICED now serves as a versatile interface between various actions and ensures coherence throughout different stages of customer engagement.***

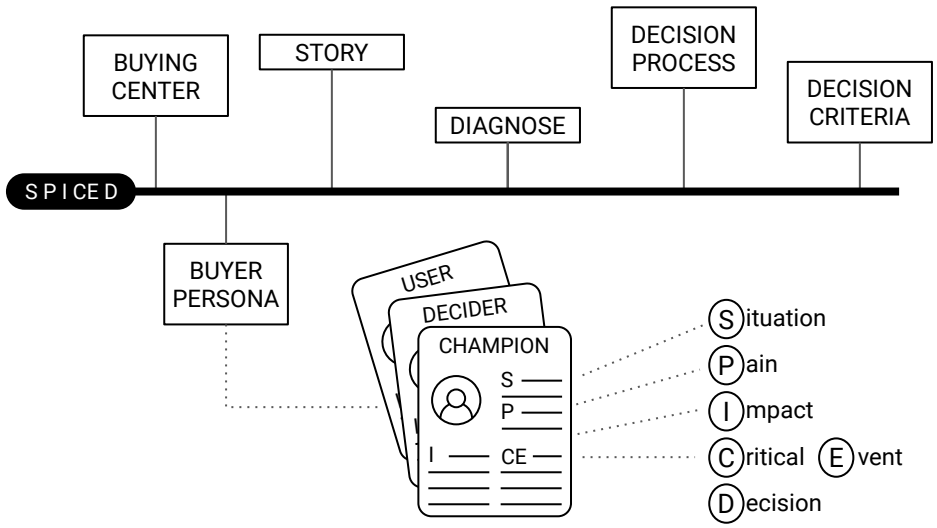
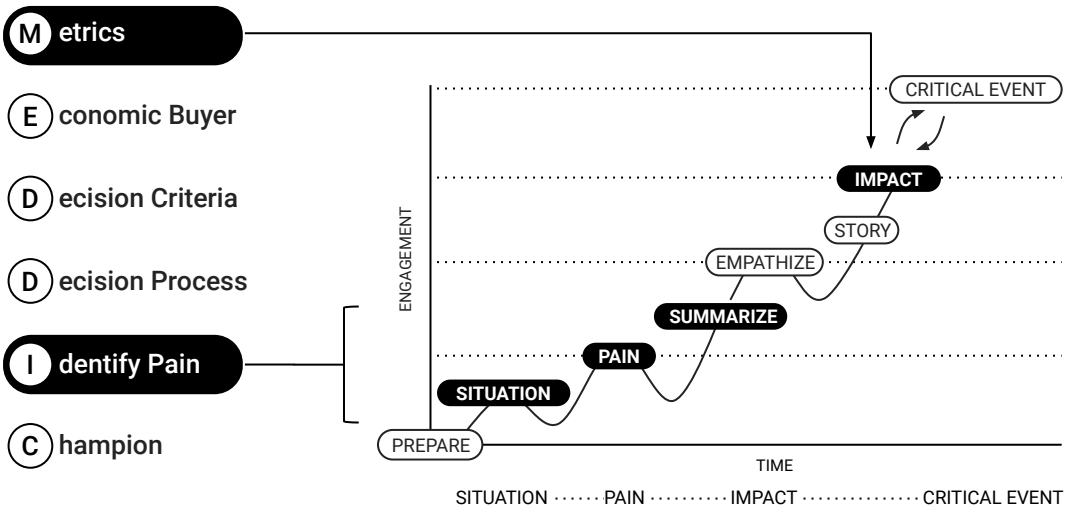


FIGURE 8.30 ***How to diagnose/uncover Impact connects directly to Metrics and Identify Pain.***



Not For Distribution

FIGURE 8.31 ***Quantitative decision criteria leverage the Impact uncovered in Step 1.***

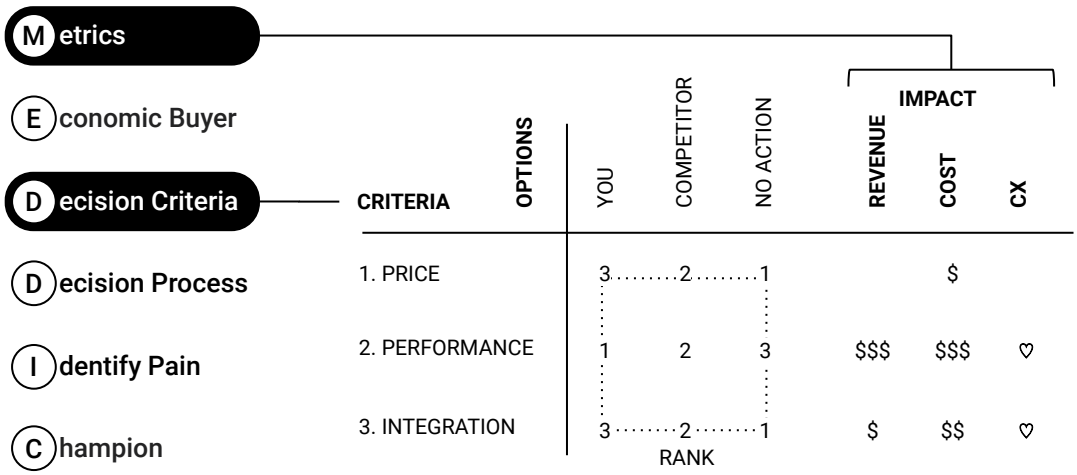
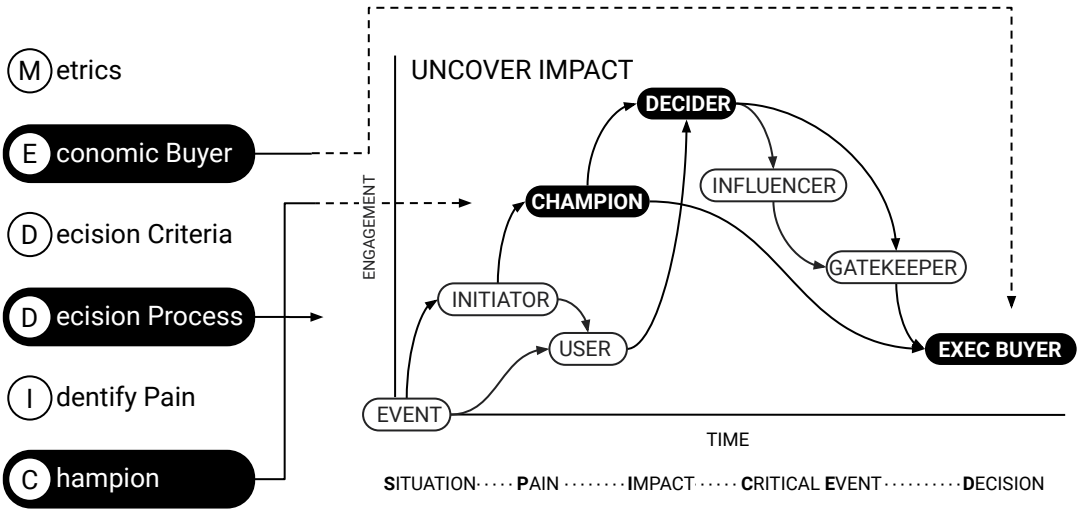


FIGURE 8.32 ***Decision process mapped to MEDDIC.***



Not For Distribution

FIGURE 8.33 ***Using the SPICED interface MEDDIC can interface with other interoperable means and methods, and be applied in multiple GTM motions across the entire customer journey.***

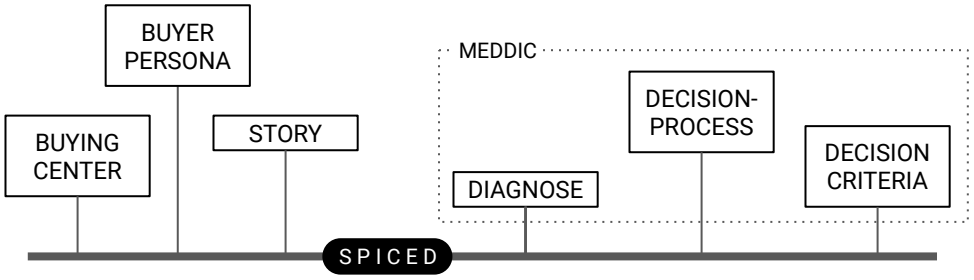
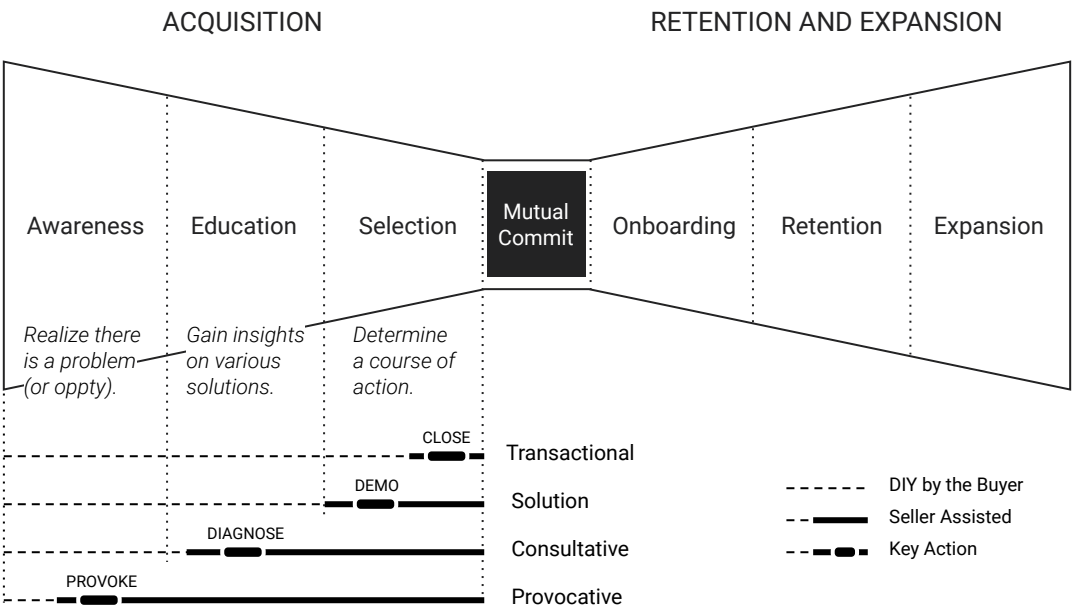


FIGURE 8.34 ***Four distinct sales methodologies in use in B2B sales today, each engaging with customers at different stages of the customer journey.***



Not For Distribution

FIGURE 8.35 ***Transactional selling in which clients do most of the education on their own.***

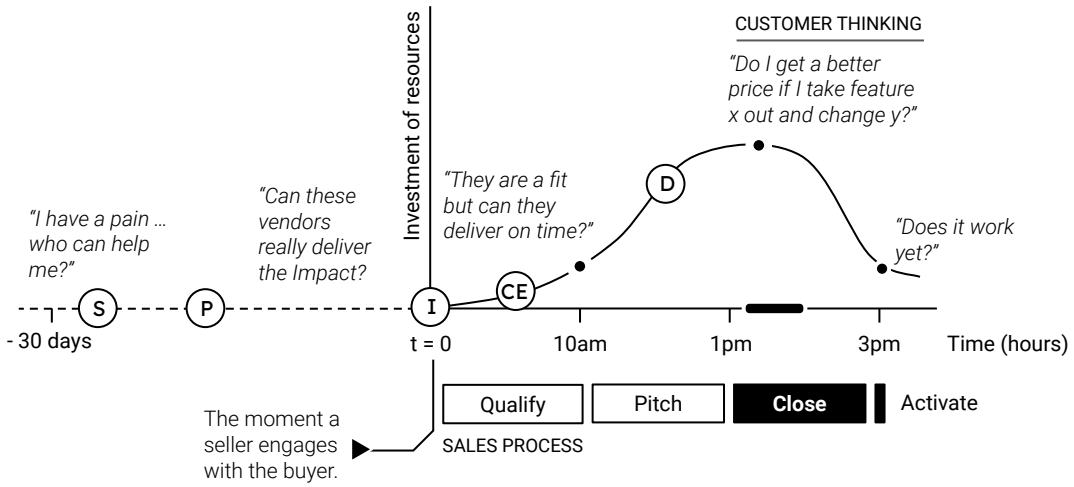
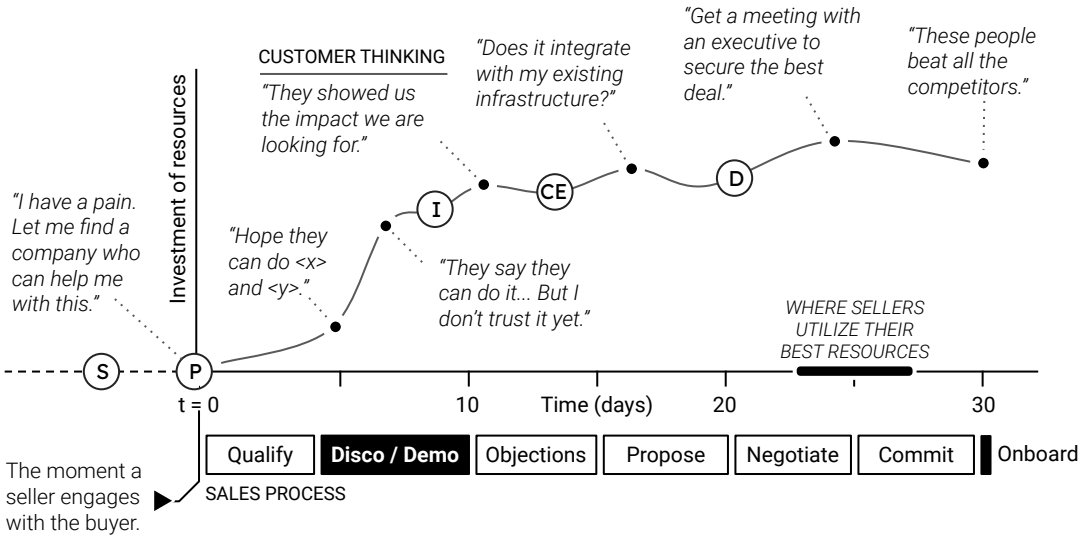


FIGURE 8.36 ***Solution selling commonly follows an inbound lead, and is centered around a demo.***



Not For Distribution

FIGURE 8.37 ***Consultative selling focuses on diagnosing the customer's problems.***

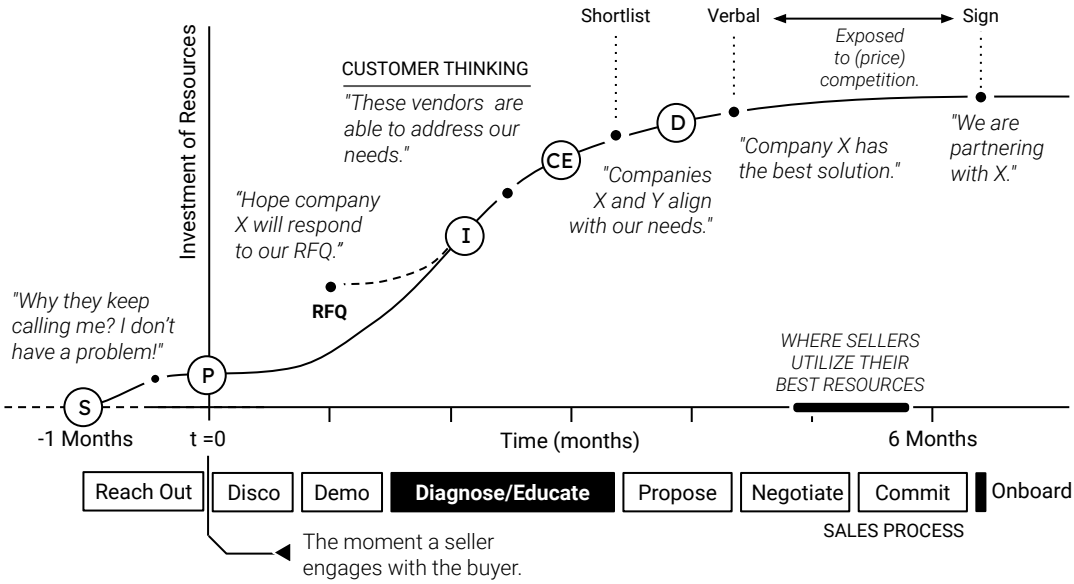
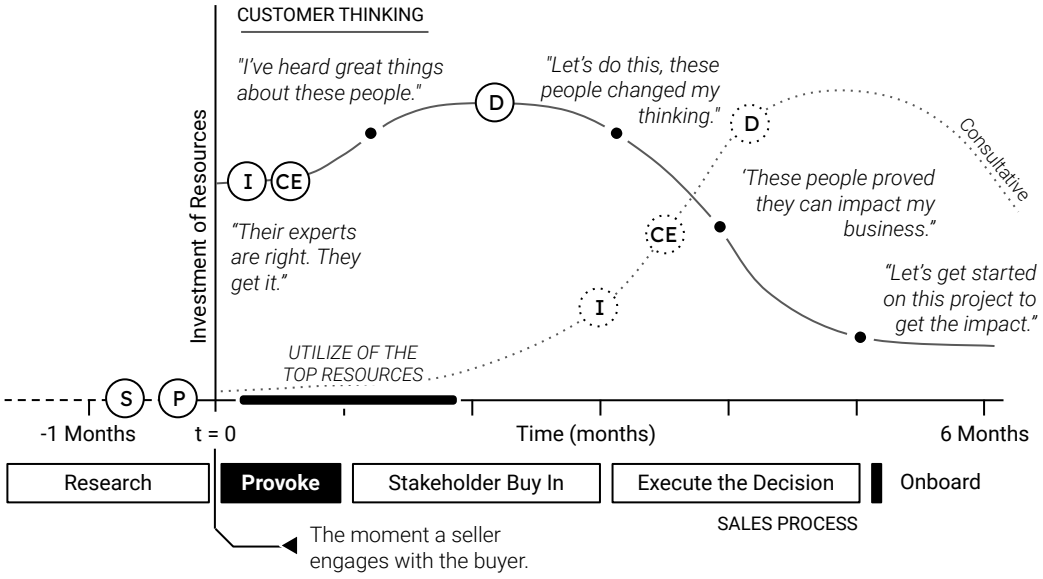


FIGURE 8.38 ***Provocative selling utilizes the best people early on to provoke a customer into action.***



Not For Distribution

FIGURE 8.39 ***Connecting it all together.***

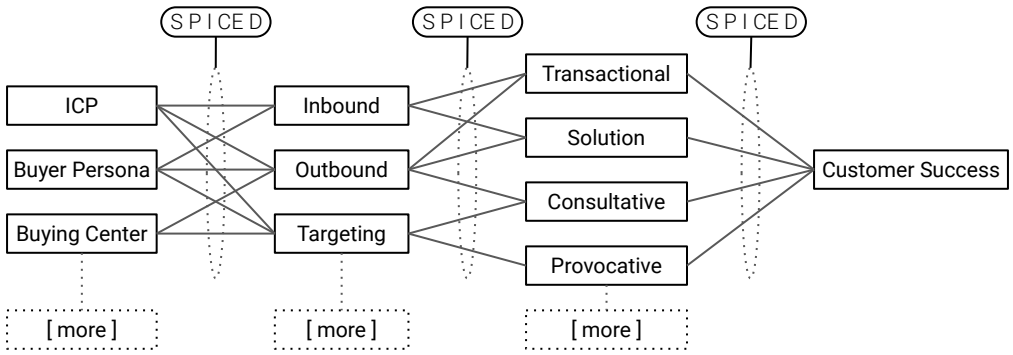
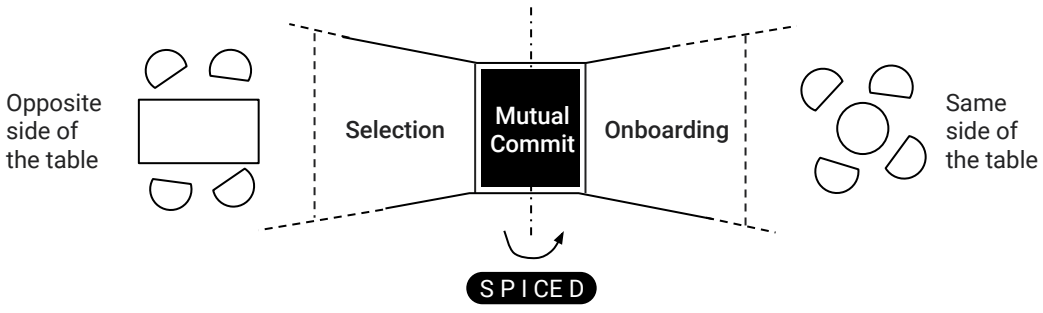


TABLE 8.3 ***Key actions to establish Recurring Impact.***

Onboarding (Activation)	**Retention (Adoption)**	**Expansion**
O1. Handoff	A1. Drive Impact Process	E1. Expansion Process
O2. Customer Kickoff	A2. Impact Review	E2. Whitespace Planning
O3. Joint Impact Plan	A3. Health Scoring	E3. Account Planning
O4. Achieving First Impact	A4. Trigger Plays	E4. Expansion Execution
	A5. Renewal	E5. Account Retirement

FIGURE 8.40 ***The drastic change in the relationship that occurs the moment both parties commit.***



Not For Distribution

FIGURE 8.41 ***SPICED enables for the orchestration of the renewal and expansion.***

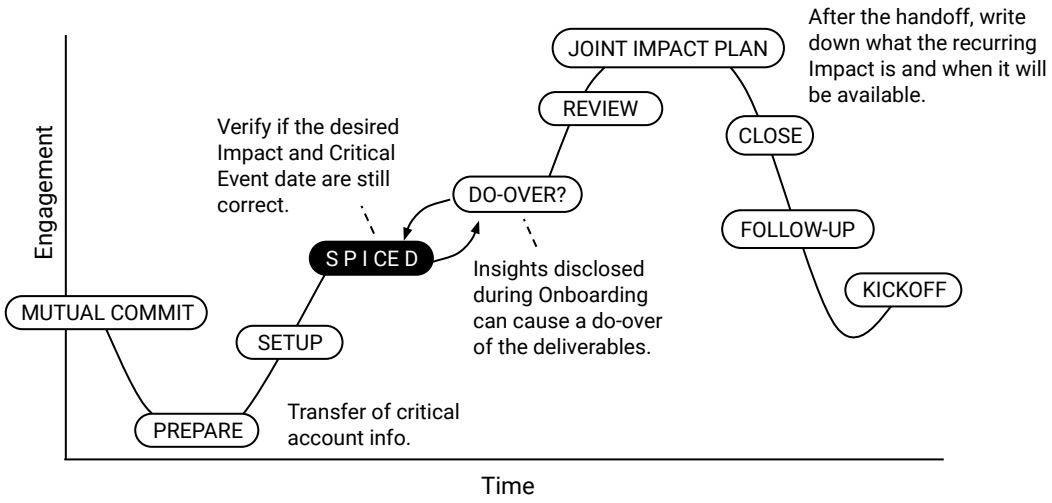
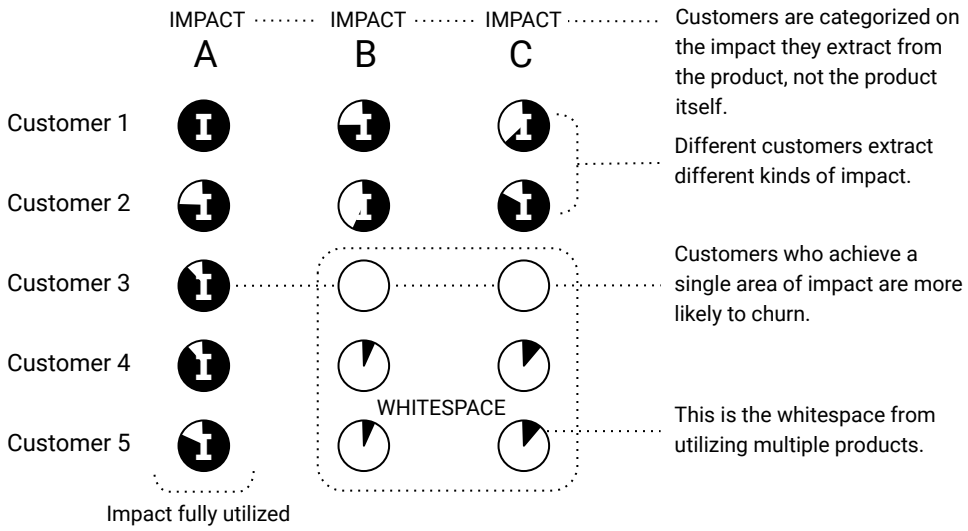


FIGURE 8.42 ***Whitespace planning based on Impact.***



Not For Distribution

FIGURE 8.43 ***Whitespace planning based on stakeholders from the buying center (decision process).***

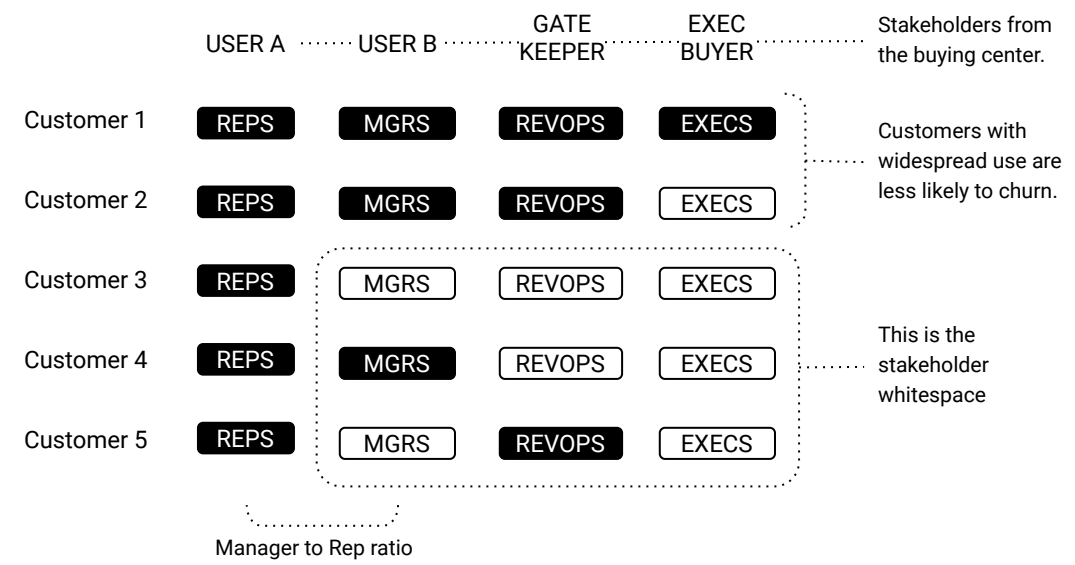
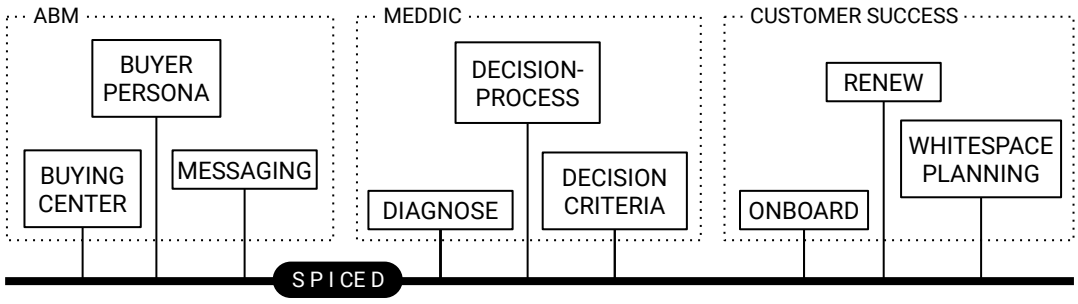


FIGURE 8.44 ***SPICED creates a Uniform Methodology that acts as an interface between crucial actions from all GTM teams across all GTM motions.***



Not For Distribution

FIGURE 8.45 ***Standardized data model, a uniform customer-centric language based on the first principle of recurring revenue.***

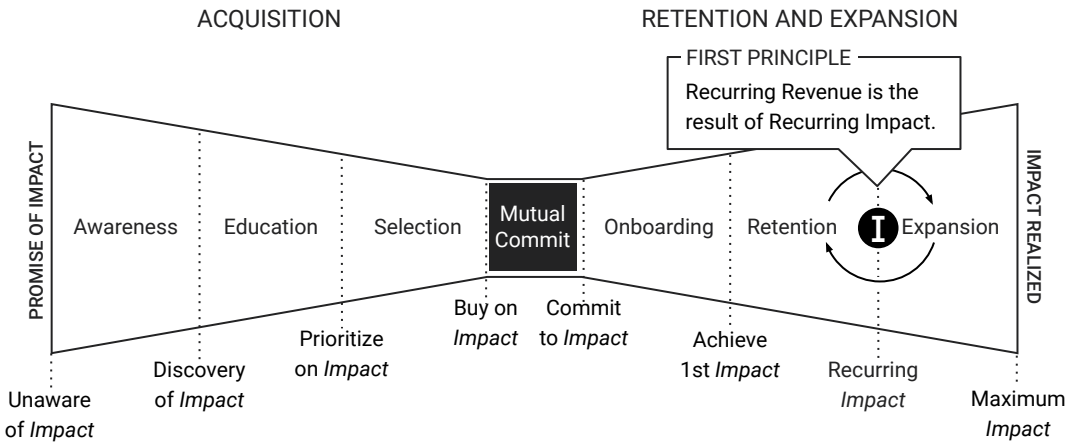
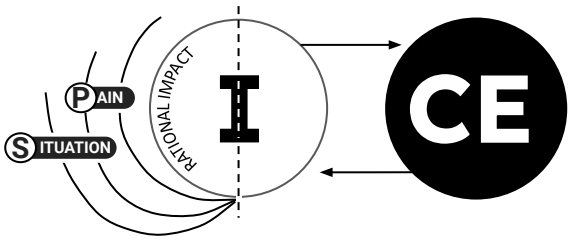


FIGURE 8.46 ***A common language based on Impact and Critical Event.***



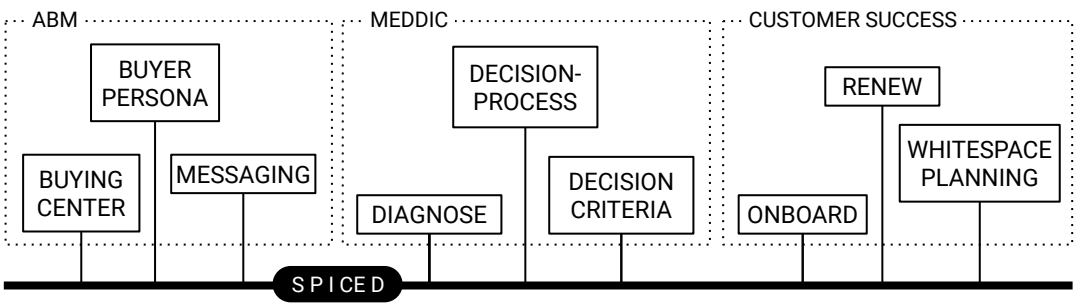
Step 3. Deploy a uniform methodology: Use SPICED as a standard interface to ensure all actions, means and methods are interoperable. SPICED stands for:

- Situation
- Pain
- Impact
- Critical Event
- Decision

Step 4. Map spiced to actions: SPICED can now be used as an interface between different actions. This allows any action to plug-in and interact.

Not For Distribution

FIGURE 8.47 ***Use SPICED to interface actions, means, and methods.***



Not For Distribution

EXERCISE 8.1

Create a 5 x 5 x 5.

Description: Unearth the top 5 rational impacts your product provides, the top 5 emotional impacts it evokes across different buyers, and the 5 Critical Events that drive the customer to buy your product. This is a fantastic starting point for any GTM motion.

Directions: Pick an actual customer you know well, as in a person, not a company. Think of how they would respond to these questions. If you do not know of a customer, call up a friend in the Customer Success department.

Rational (Quantitative) Impact	Emotional (Qualitative) Impact	Critical Event

EXERCISE 8.2

Using one of the Rational Impacts you offer, establish a SPICED.

Description: Think of a customer, and pick a rational Impact, identify the Pain associated, then describe the Situation when it occurs. This creates a SPICED.

Directions: For instance, if you offer application tracking software, the rational Impact could be *faster response time*. The Pain would be the overwhelming number of responses to a job opening, and the Situation could be hiring 10 reps.

Rational Impact	Pain	Situation	Relevant Use Case

Not For Distribution

EXERCISE 8.3

Create a Customer Story

Description: Use an existing customer, apply Situation, Pain, and Impact to build a customer story. This story can be used across the entire customer journey.

Directions: You are now using the previously dissected SPICED in reverse, starting with the Situation and the Pain it caused.

This reminds me of _____ at _____, who had _____.
NAME *RELEVANT COMPANY* *SITUATION*

This caused her _____. At first she decided to not do anything about it
PAIN

this caused _____. It first frustrated her, but by _____ she now
NEGATIVE IMPACT *ACTION*

has achieved _____ , and _____.
RATIONAL IMPACT *EMOTIONAL IMPACT*

EXERCISE 8.4

Map to the Decision Process.

Navigate the organizational maze to identify who matters in the decision-making process and what drives them.

Step 1. Map the Roles

List the roles and circle the sentiment toward your product: use **+** for positive, **–** for negative, **=** for neutral, and **?** for unknown.

Role	SPICED	Name	Sentiment
Initiator	S, P, I	_____	+ – = ?
User	P, I	_____	+ – = ?
Champion	I	_____	+ – = ?
Decider	I, CE, D	_____	+ – = ?
Influencer	I, D	_____	+ – = ?
Gatekeeper	I, D	_____	+ – = ?
Exec. Buyer 1	D	_____	+ – = ?
Exec. Buyer 2	D	_____	+ – = ?
_____	__	_____	+ – = ?

Not For Distribution

Step 2. Gap Analysis

Looking at Step 1, identify the gaps. Who do you not know, who has a negative sentiment? This is easy to relate to an enterprise deal, but imagine how your AI system can assist a PLG motion to increase the coverage inside an account, or provide use-cases to the right person to increase DAU.

Step 3. Map it to Two Pivotal Roles

Identify 2 pivotal roles you're selling to and fill in their impacts and events.

	#1. _____	**#2. _____**
Rational Impact:	_____	_____
Emotional Impact:	_____	_____
Critical Event:	_____	_____

Step 4. Establish a 3 × 3 or a 5 × 5

Many deals are lost due to being single threaded. By establishing multiple relationships early on and maintaining the information flow, the win rate doubles. Multi-thread your approach to boost your win rate. Name your Customer Champion and Account Executive.

Account Executive _____	**Customer Champion _____**
• _____	• _____
• _____	• _____
• _____	• _____
• _____	• _____
• _____	• _____

Not For Distribution

Step 5. Create an Account Plan (for Acquisition, Retention, or Expansion)

Outline your action plan to ensure stakeholder engagement:

#1 We will talk to _____ to identify the rational impact.
CHAMPION

#2 We will keep _____ happy by providing _____ .
DECIDER *RATIONAL IMPACT*

#3 We will develop a 3 x 3 by asking _____ for an intro to
CHAMPION

_____ and have _____ on my team reach out to
INFLUENCER *EXECUTIVE*

_____ with an invite to _____ .
DECIDER *MEET/CALL*

#4 Will leverage _____ on _____ and ask to provide
CONTENT *INFLUENCER*

_____ to _____ .
INSIGHT *GATEKEEPER*

#5 I will ask _____ on our team to send _____ on their team
EXECUTIVE *EXECUTIVE*

a personal note to develop a relationship.

Imagine if 90% of your team followed this guided approach, leveraging AI where appropriate. An effective Operating Model enriches the entire customer journey.

Not For Distribution

09

THE GROWTH MODEL

Not For Distribution

FIGURE 9.1 ***Commonly seen growth patterns.***

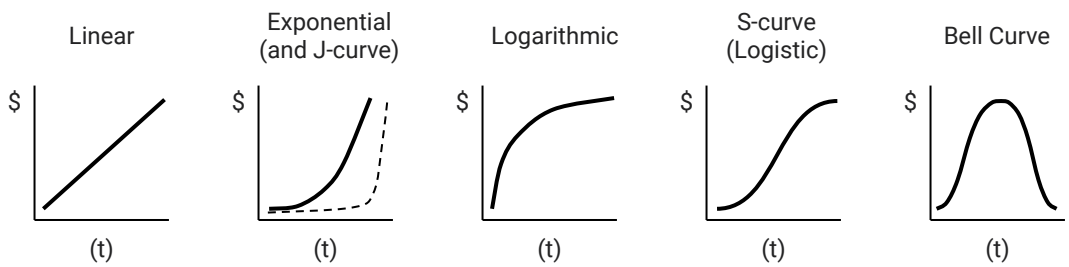
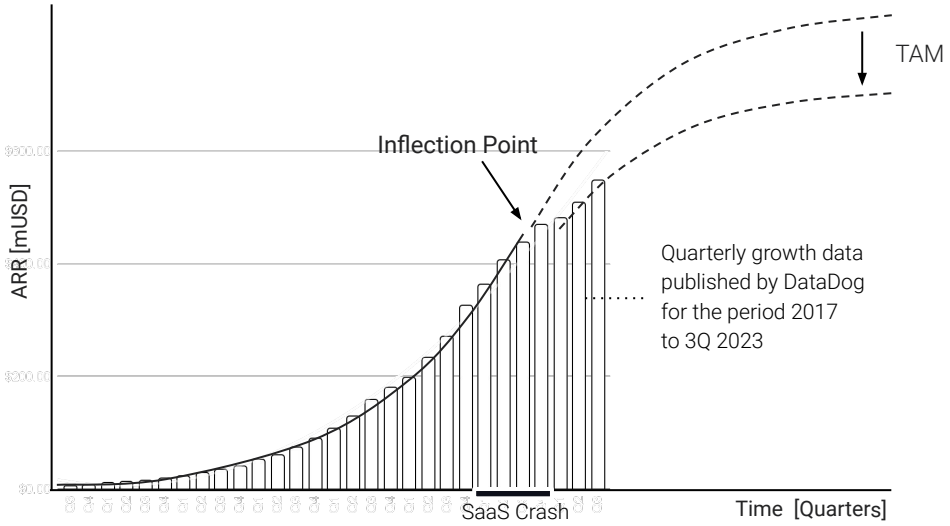


TABLE 9.1 ***Description and examples of commonly seen growth patterns.***

Growth Pattern	Company Example	Description
Linear	Coca-Cola, Procter & Gamble	Consistent growth over time.
Exponential	Amazon, Facebook	Rapid, accelerating growth.
J--Curve	Tesla, Spotify	Initial struggle followed by significant growth.
Logarithmic	Microsoft Windows, Adobe	Rapid initial growth, then plateau.
S-curve	Apple, Netflix	Slow start, rapid growth, then stabilization.
Bell Curve	Blackberry, Nintendo Wii	Peak followed by decline.

FIGURE 9.2 ***Example of revenue growth following an S-curve using DataDog's public growth data.***



Not For Distribution

FORMULA 9.1

$$Growth\ Rate = \left(\frac{Revenue(End) - Revenue(Begin)}{Revenue(Begin)} \right) \times 100\%$$

Revenue(Begin) is the beginning value of the period over which it is measured

Revenue(End) is the ending value of the period over which it is measured

FORMULA 9.1a

$$Annual\ Growth\ Rate = \left(\frac{\$1.675B - \$1.029B}{\$1.029B} \right) \times 100\% = 62.7\%$$

FORMULA 9.2

$$Compound\ Growth\ Rate = \left(\frac{\text{Revenue at the end of a period}}{\text{Revenue at the beginning of a period}} \right)^{1/\text{period}} - 1$$

Revenue(Begin) is the beginning value (the denominator).

Revenue(End) is the ending value.

Period is the time of measurements. This can be annually (CAGR) or monthly (CMGR).

The –1 converts the growth ratio over the period into an annualized growth rate.

FORMULA 9.2a

$$Compound\ Monthly\ Growth\ Rate = \left(\frac{20}{10} \right)^{1/12} - 1 = 5.95\%$$

FORMULA 9.2b

$$Compound\ Annual\ Growth\ Rate = \left(\frac{100}{10} \right)^{1/5} - 1 = 58.5\%$$

Not For Distribution

TABLE 9.2 ***Different (names of) growth rates.***

Name	Annual Growth Rate	CMGR
Normal Growth	0% to 10%	0.8%
Rapid Growth	10% to 20%	1.5%
Hypergrowth	20% to 40%	2.7%
Double Growth	100%	5.9%
Triple Growth	200%	9.9%
Blitzscaling	>1,000%	>21.2%

TABLE 9.3 ***Growth stages with funding, financial, and market milestones as a function of time.***

Growth Stage	Funding Round	Revenue (ARR)	Length	Growth Rate
Seed	Angel	Up to $1M	1 to 2 years	Achieve $1M
Startup	A, B	Up to $10M	2 to 4 years	100% to 200%
Scaleup	C, D, (E)	Up to $300M	3 to 6 years	60% to 100%
Grownup	IPO+	Beyond $300M	2 to 4 years	10% to 60%
Enterprise	Public	Beyond $10B	Over 20 years	<10%

Not For Distribution

FIGURE 9.3 ***The growth stages mapped to the S-curve.***

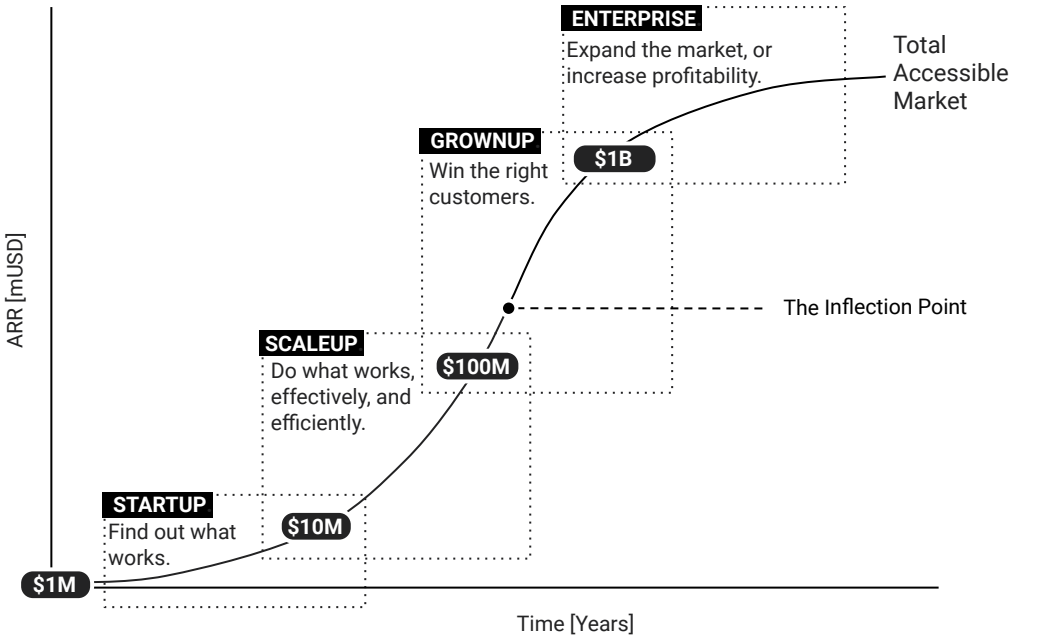
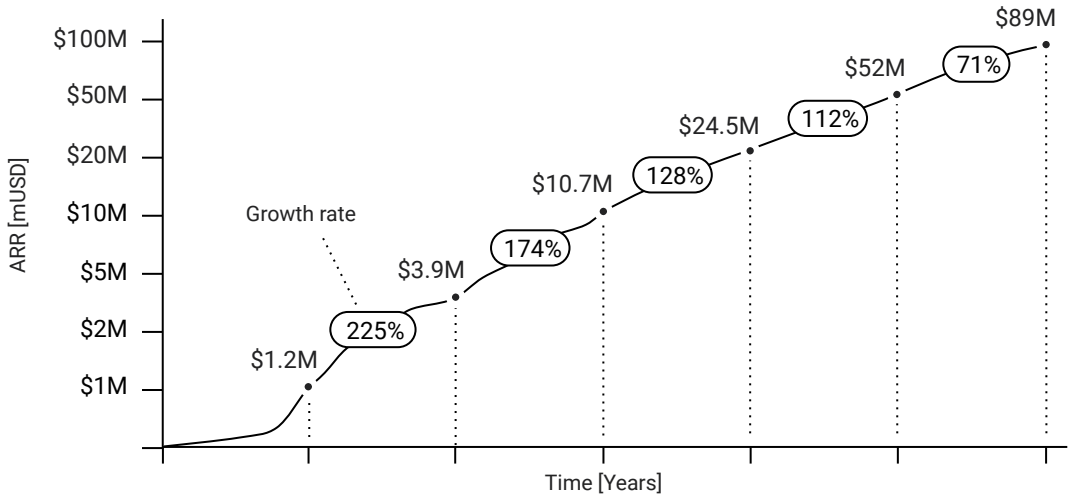


FIGURE 9.4 ***Demonstration of the declining of the growth rate as the revenue rapidly increases. The growth follows a T2D3 pattern. Note that the graph has the revenue depicted on a logarithmic scale, causing the otherwise exponential growth curve to appear linear.***

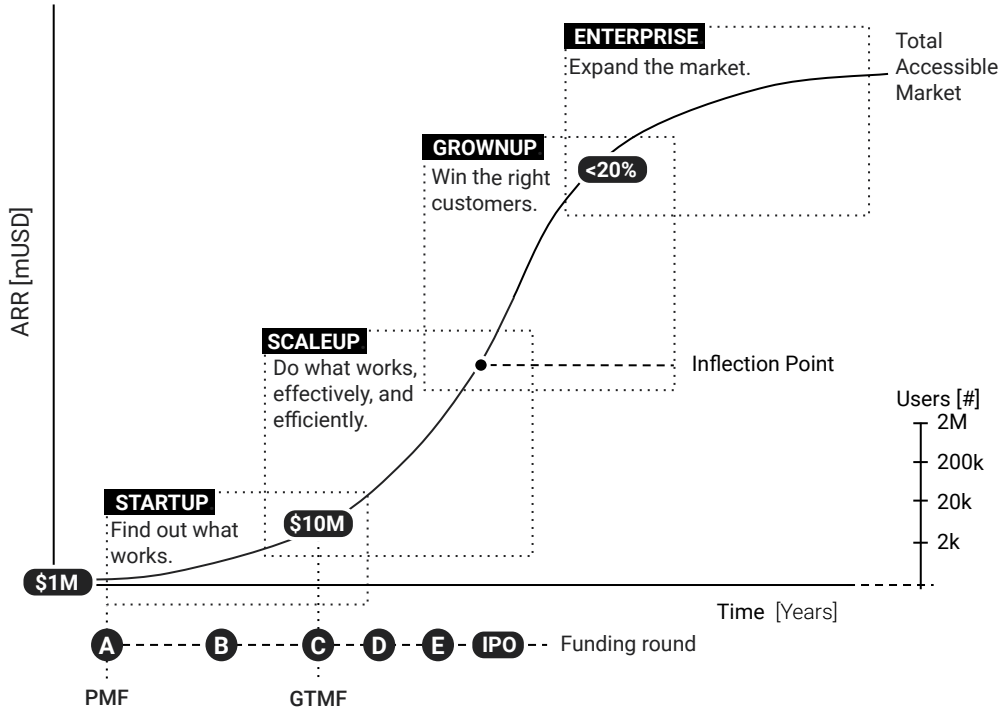


Not For Distribution

TABLE 9.4 ***Growth funding stages, and the stage to stage success metrics.***

Success metric from $2M Seed	Funding round	
45% get to Product Market Fit	A-round	Startup Stage
27% will make it to Go To Market fit	B-round	
14% become a Scaleup	C-round	Scaleup Stage
6% make it to $100M in ARR	D-round	
1% goes public	IPO	Grownup Stage

FIGURE 9.5 ***All the different growth components mapped to the Growth Model***



Not For Distribution

FIGURE 9.6 ***The first 6 revenue breakpoints on the road to achieving true GTM Fit***

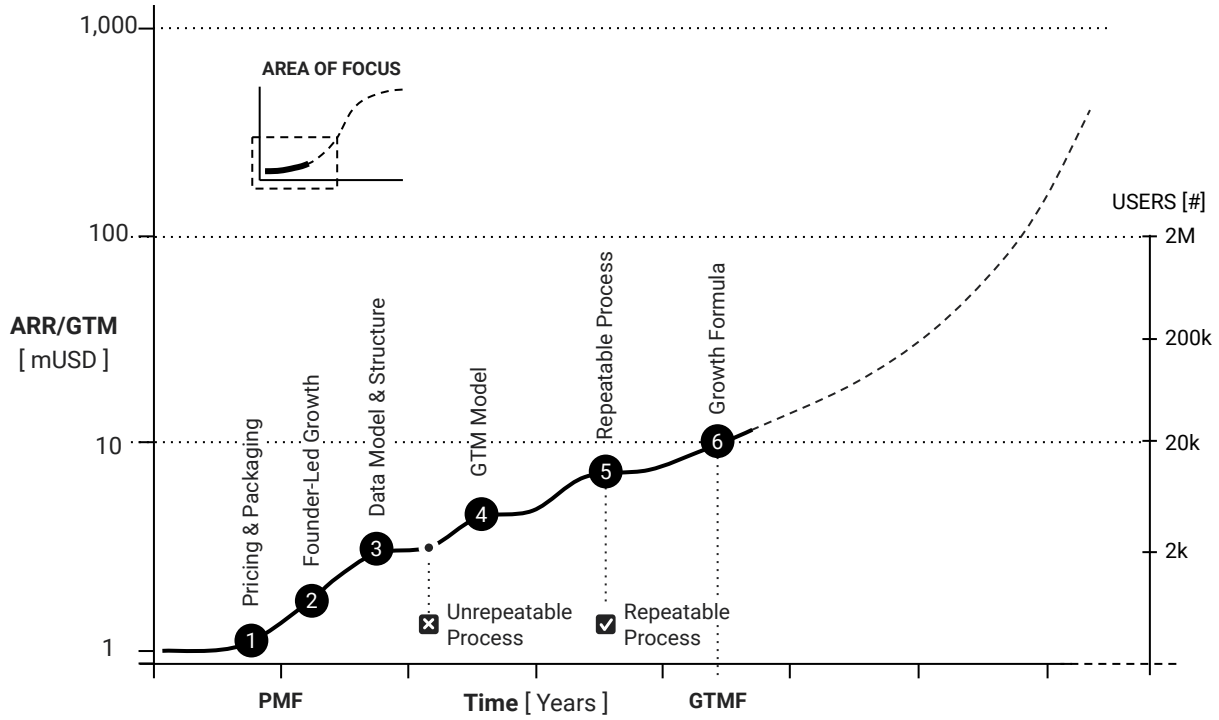
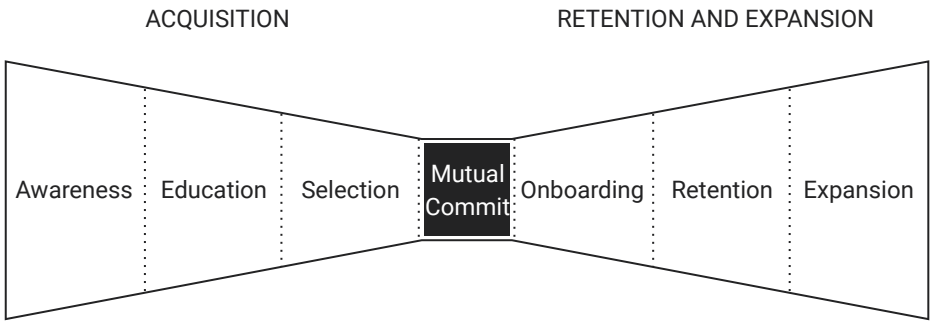


FIGURE 9.7 ***The Bowtie, the data model custom developed for recurring revenue.***



Not For Distribution

FIGURE 9.8 ***The GTM model with 5 GTM motions.***

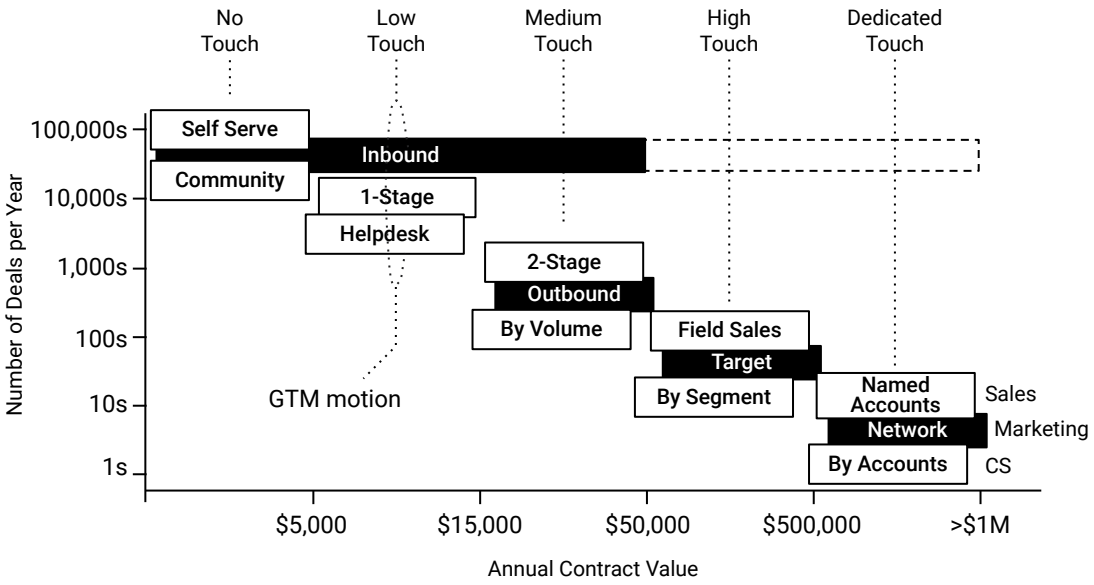
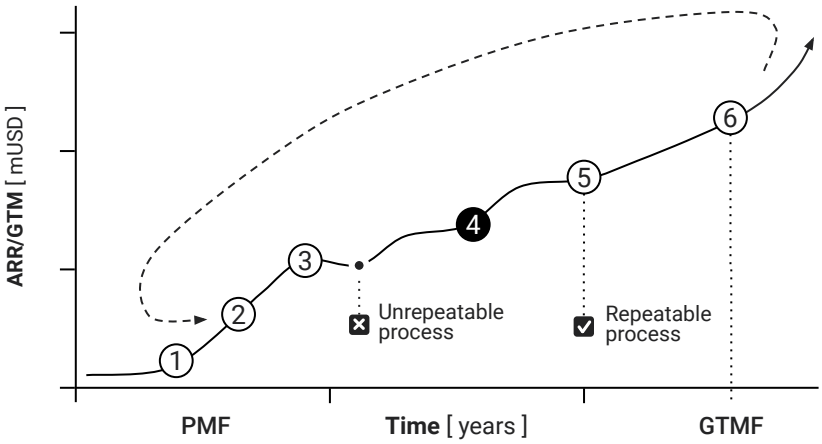


FIGURE 9.9 ***Launching a new GTM motion requires navigation of all revenue breakpoints.***



Not For Distribution

FIGURE 9.10 ***The absence of a repeatable process leads to a decline in the growth rate, a delay in GTM fit, and prematurely plateaus the revenue. This carries significant consequences.***

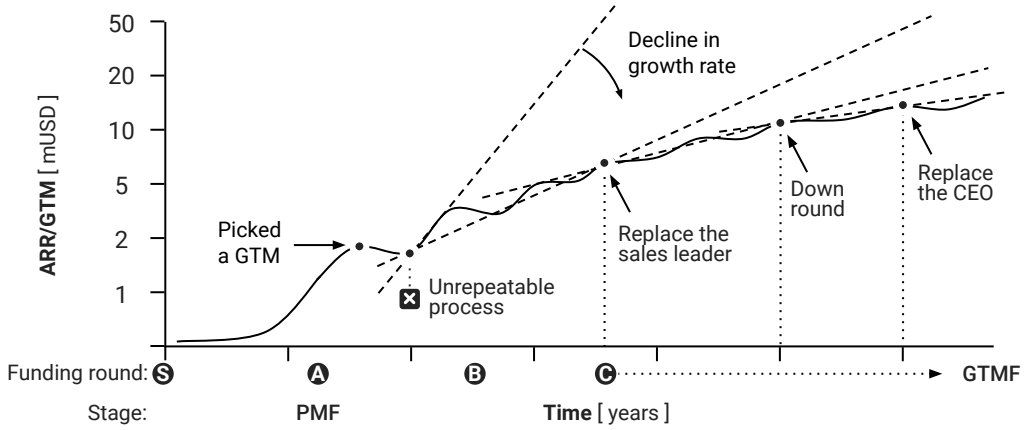
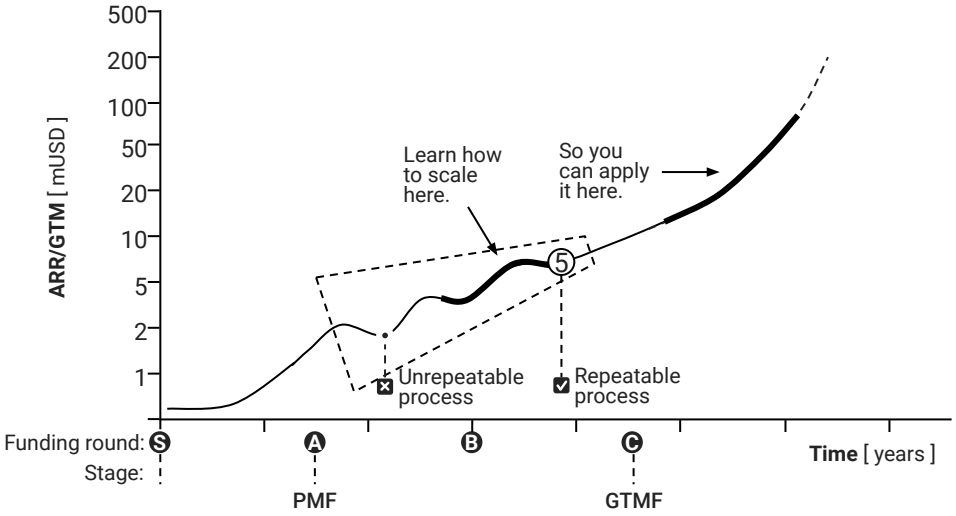


FIGURE 9.11 ***To achieve Scalability, replicate and expand only those processes that have demonstrated their effectiveness and yielded positive results.***



Not For Distribution

FIGURE 9.12 ***The use of a Growth Formula and how it predicts the impact on the growth rate.***

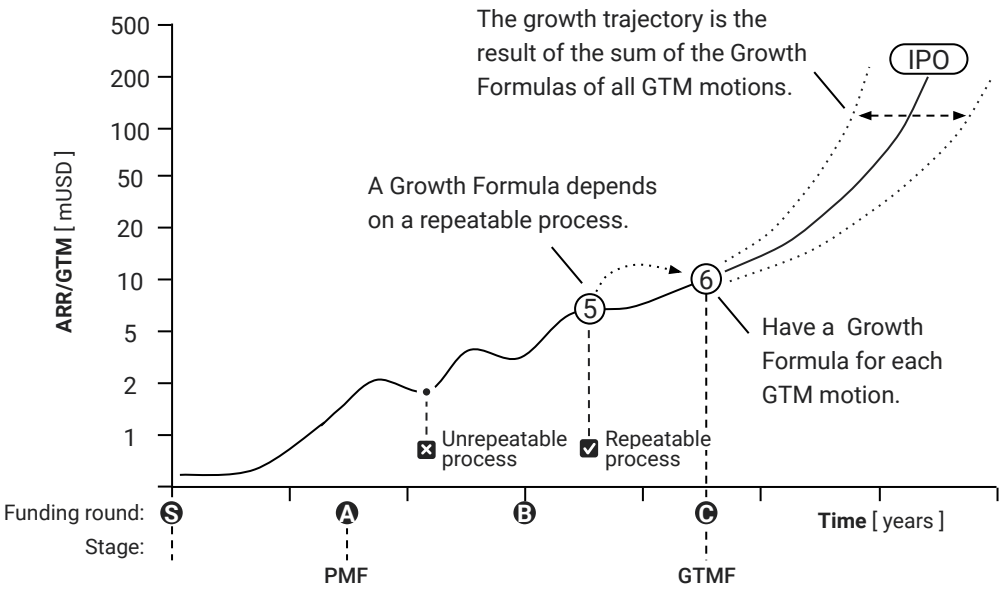
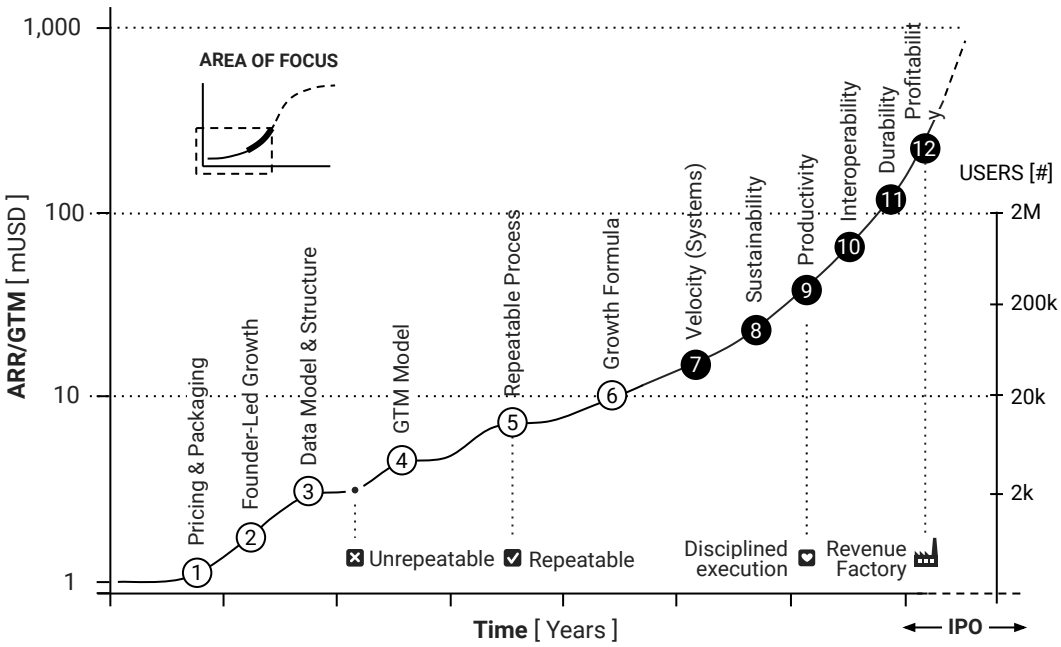


FIGURE 9.13 ***The twelve revenue breakpoints on the way to becoming a revenue factory***



Not For Distribution

FIGURE 9.14 ***ACME spread its resources over 3 GTM motions, whereas NewCo focused its resources on one GTM motion. NewCo achieved GTM fit sooner and used its C-round to scale at high velocity. Velocity is the determining factor in achieving market leadership.***

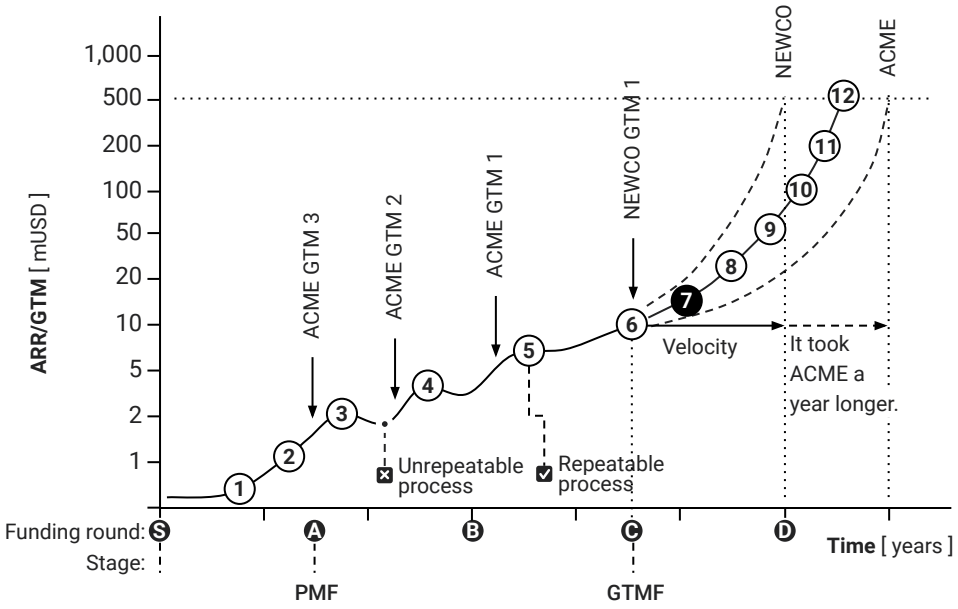


TABLE 9.5 ***The marginal decline per department and the impact on ARR (from Table 7.1).***

Month	Prospects	CR1	MQLs	CR2	SQLs	CR3	SALs	CR4	Wins	Discount	ARR
Q1	500	12%	60	15%	9.0	85%	7.7	30.0%	2.3	10%	$41,310
Q5	400	10%	40	13%	5.2	80%	4.2	27.0%	1.1	15%	$19,094

Not For Distribution

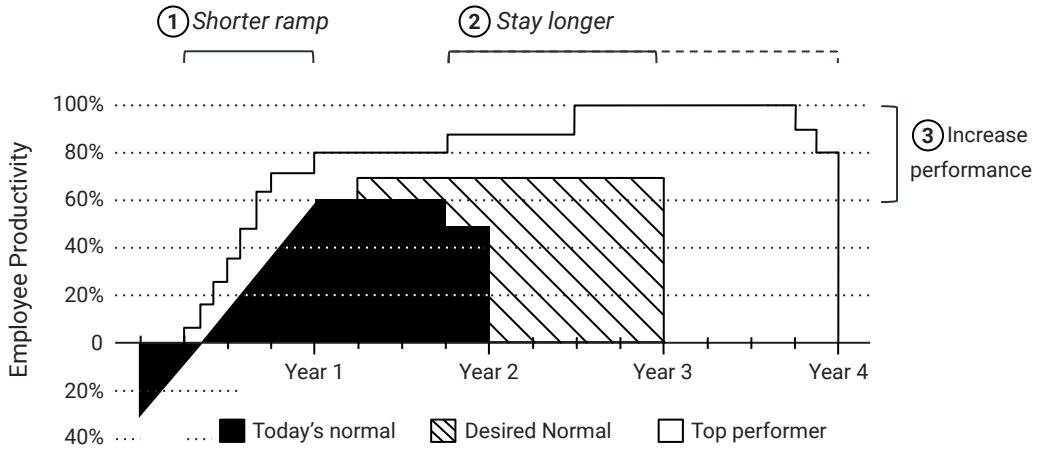
TABLE 9.6 *The salaries of an SDR/AE team to secure $495,720.*

Role	OTE	Base	Variable	Quota	Results	Variable	Comp
SDR	$80,000	$40,000	$40,000	$500,000	$495,720	$39,658	$79,658
AE	$140,000	$70,000	$70,000	$500,000	$495,720	$69,401	$139,401
					60	$100	$6,000
						Total	**$225,058**

TABLE 9.7 *The salaries of an SDR/AE team to secure $229,133 (during an economic downturn).*

Role	OTE	Base	Variable	Quota	Results	Variable	Comp
SDR	$80,000	$40,000	$40,000	$500,000	$229,133	$18,331	$58,331
AE	$140,000	$70,000	$70,000	$500,000	$229,133	$32,079	$102,079
				MQLs	40	$100	$4,000
						Total	**$164,409**

FIGURE 9.15 *The shrinking productivity window of a modern employee reflects the effects of changing working conditions, such as remote working, the utilization of talent earlier in their career, a lack of skill training, overdependence on tools, and a shortage of managers who are to act as coaches.*



Not For Distribution

FIGURE 9.16 ***In this real-life example, the client reduced its headcount over time. Initially, productivity per rep declined. However, as the discipline in executing the processes improved, productivity rose and eventually surpassed previous levels.***

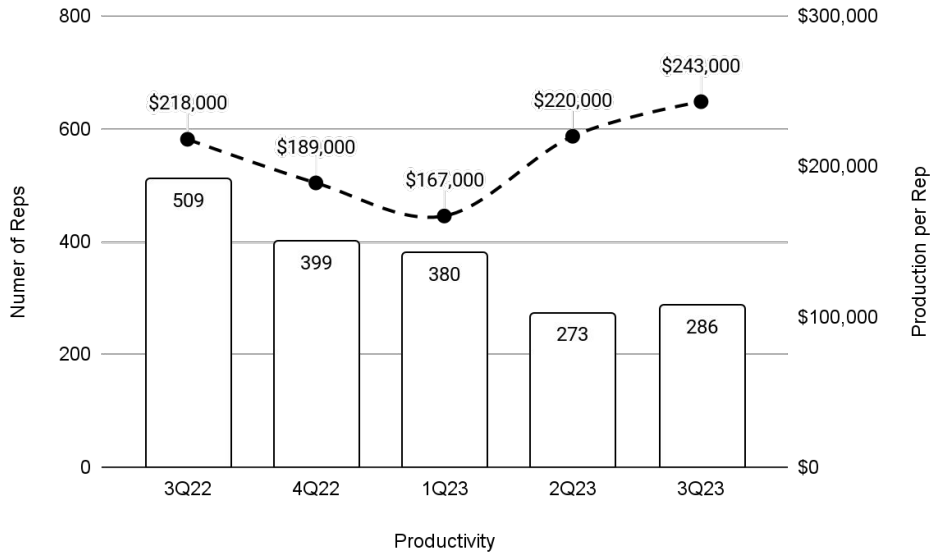
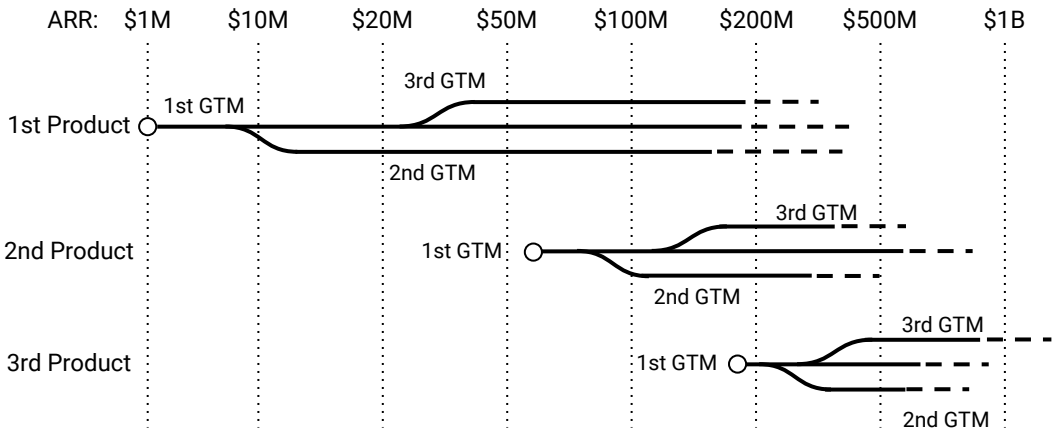


FIGURE 9.17 ***As ARR grows, the number of GTM motions increases. Most GTM motions do not interoperate with each other, in fact they are designed to compete with each other.***



Not For Distribution

FIGURE 9.18 ***Aligning Recurring Revenue and Recurring Impact by providing monthly impact reports.***

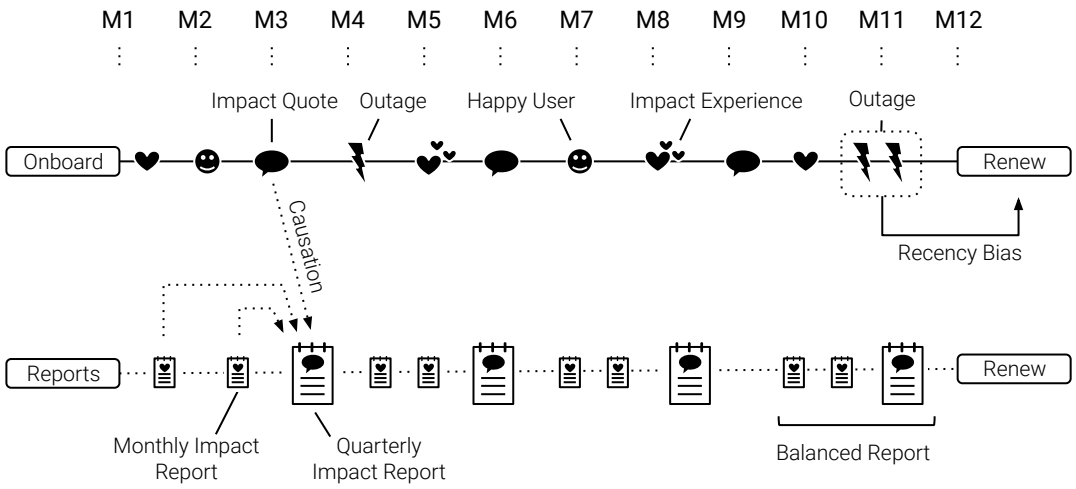
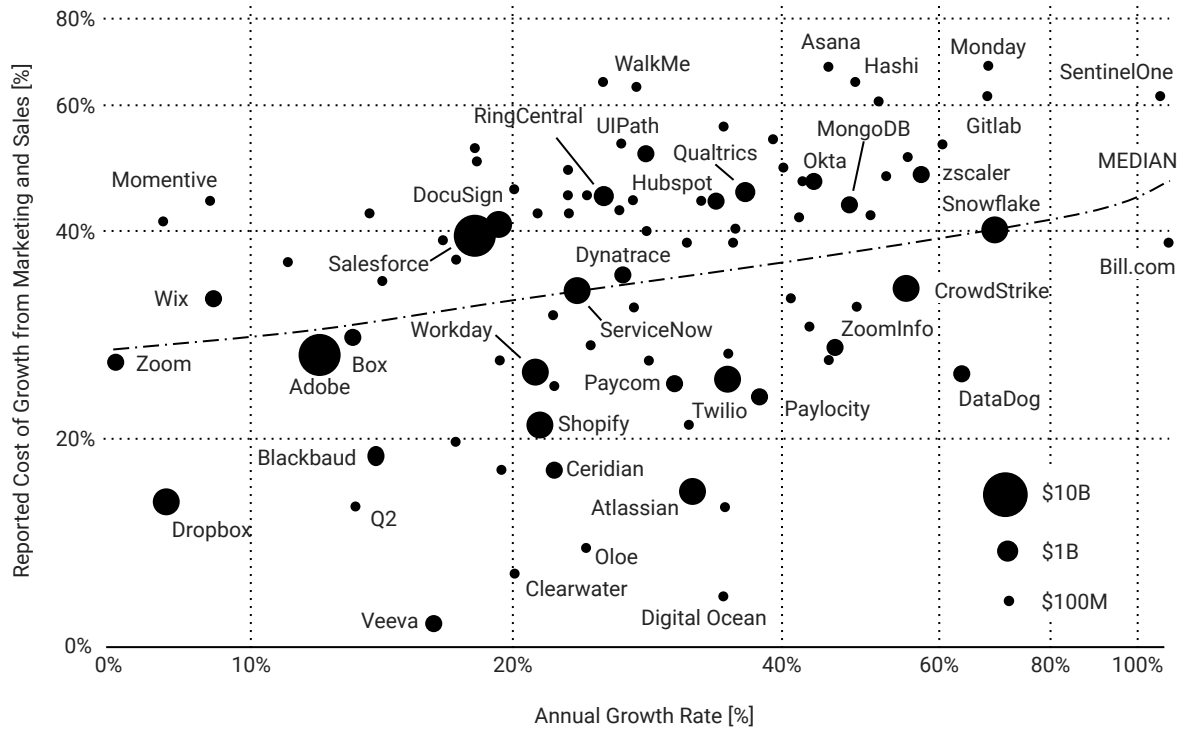


FIGURE 9.19 ***In Q2 of 2023, public GAAP based stock performance data from public SaaS companies depicted a picture that showed the impending collapse of GTM fit due to the disproportionate cost of acquisition compared to the growth rate.***



Not For Distribution

FIGURE 9.20 ***Example illustrating the causal and temporal relationship among diverse layers of data, each tailored to a specific use case, all anchored in the same fundamental data model and structure.***

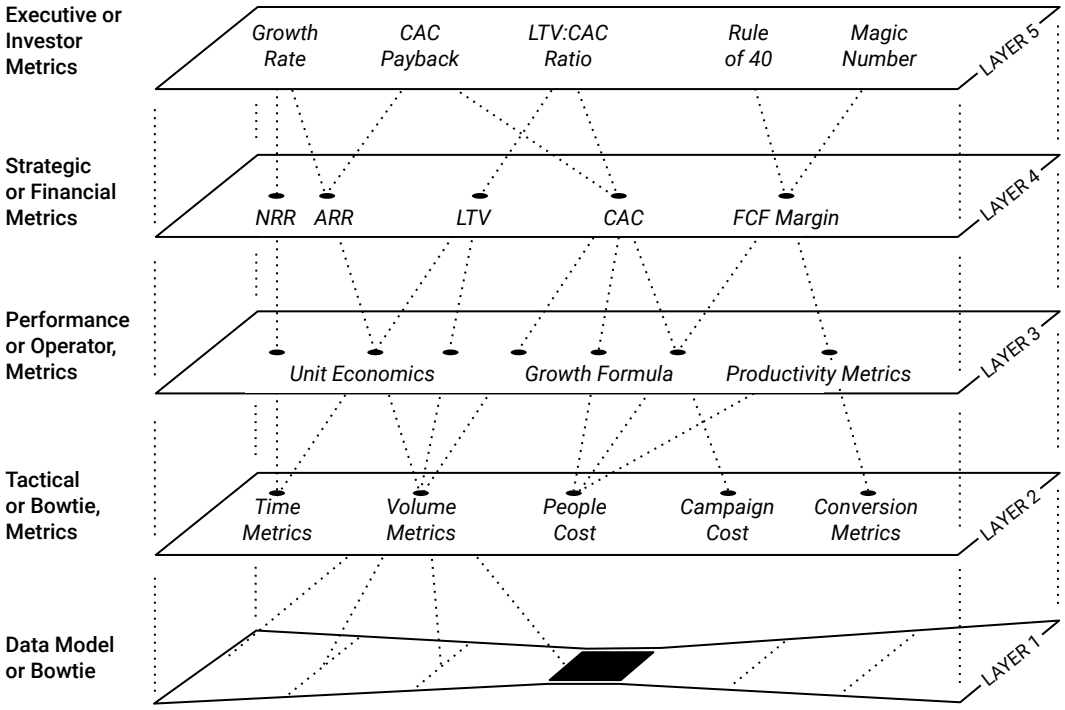
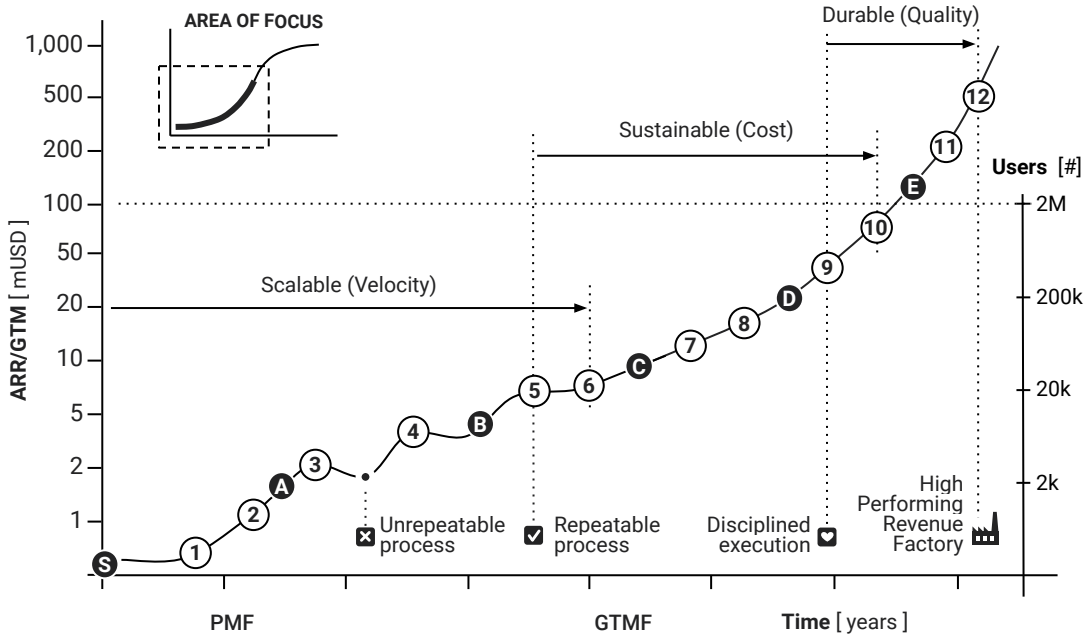


FIGURE 9.21 ***Maturity phases mapped to the Growth Model.***



Not For Distribution

TABLE 9.8 ***The first 6 revenue breakpoints are mapped to Scalability***

1. Pricing & Packaging	Pricing (annual/monthly), tiers, payment terms, refund terms, and discount policies have been established.
2. Leverage Founder-Led Growth	Founder plays an important but no longer operationally critical role.
3. Standardize Data Model	A standardized Data Model is used across all departments, regions, verticals, and segments.
4. Structured in GTM Model(s)	A structured growth strategy using different (but not too many) GTM motions mapped to the data structure.
5. Repeatable Process/GTM Model	Establish a process per GTM motion, write it down so it can be explained and people can be trained on it.
6. Growth Formula/GTM Model	Establish a Growth Formula per GTM motion that matches the process.

TABLE 9.9 ***Revenue breakpoints 7 to 10 are mapped to Sustainability.***

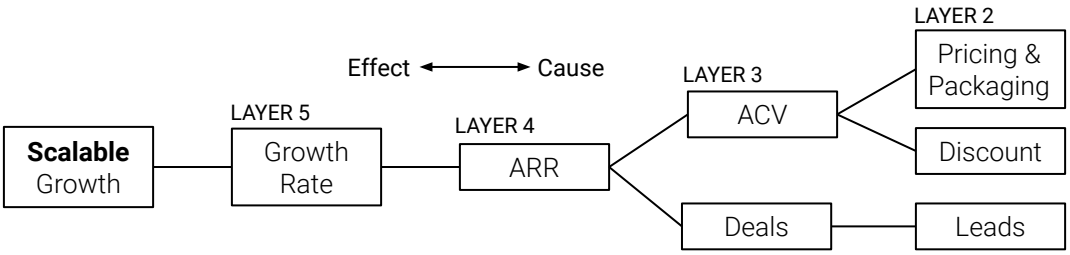
7. Velocity Based Growth	Use the company's most valuable resources to drive the GTM motion with the highest growth rate.
8. Sustainable Growth	Ability to track what each GTM motion is costing and a trendline shows the costs are declining.
9. Increase Productivity	Productivity per GTM rep is measured; programs to shorten ramp time and improve productivity are in place.
10. Ensure Interoperability	A standardized Data Model, uniform methodology and a common language is used across all GTM motions.

TABLE 9.10 ***Two revenue breakpoints are mapped to Durability.***

11. Attain Durability	The company focuses on anchoring itself on Customer Impact.
12. Achieve Profitability	The key GTM motions are profitable, with enough FCF to fund innovations where needed.

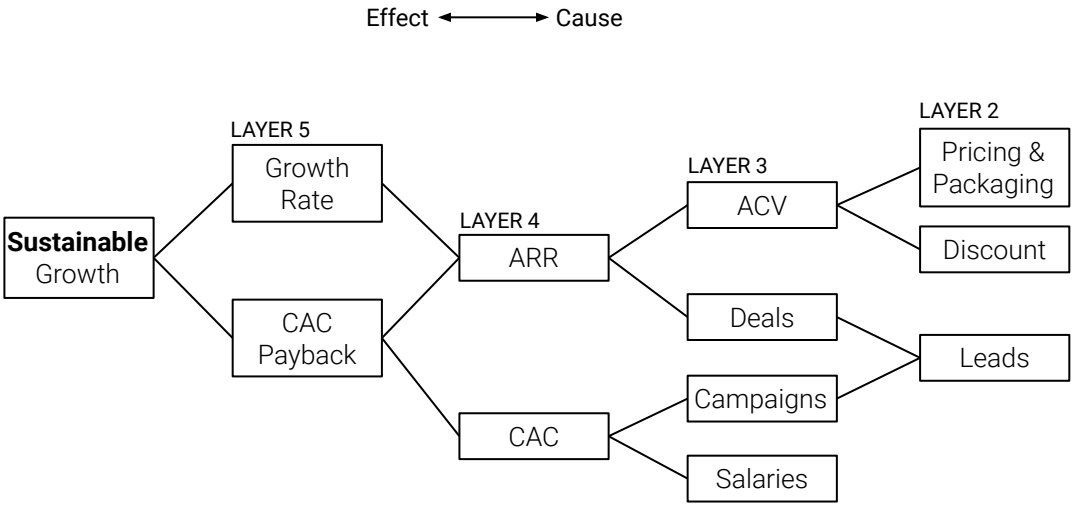
Not For Distribution

FIGURE 9.22 ***Scalability metrics breakdown (example).***



In this phase, it feels like it's run on power drinks; each month, new records are set, more deals are signed, and deal sizes grow larger and larger. Revenue continues to grow, but retention can become a challenge. The company is forced to establish processes and begins to function as a factory.

FIGURE 9.23 ***Sustainability metrics breakdown (example).***



Not For Distribution

FIGURE 9.24 ***Durability metrics breakdown (example).***

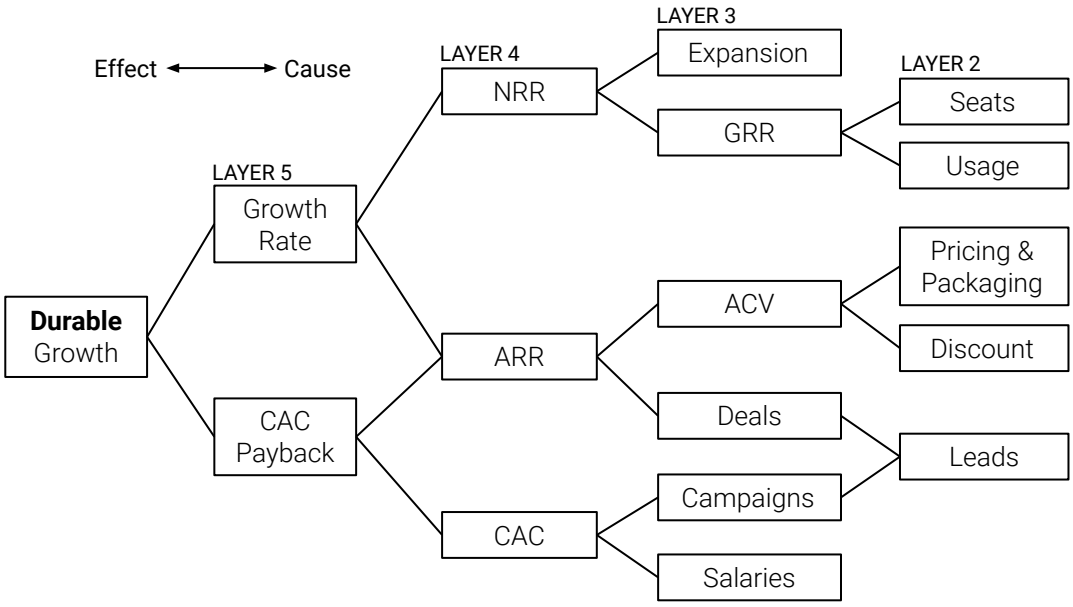
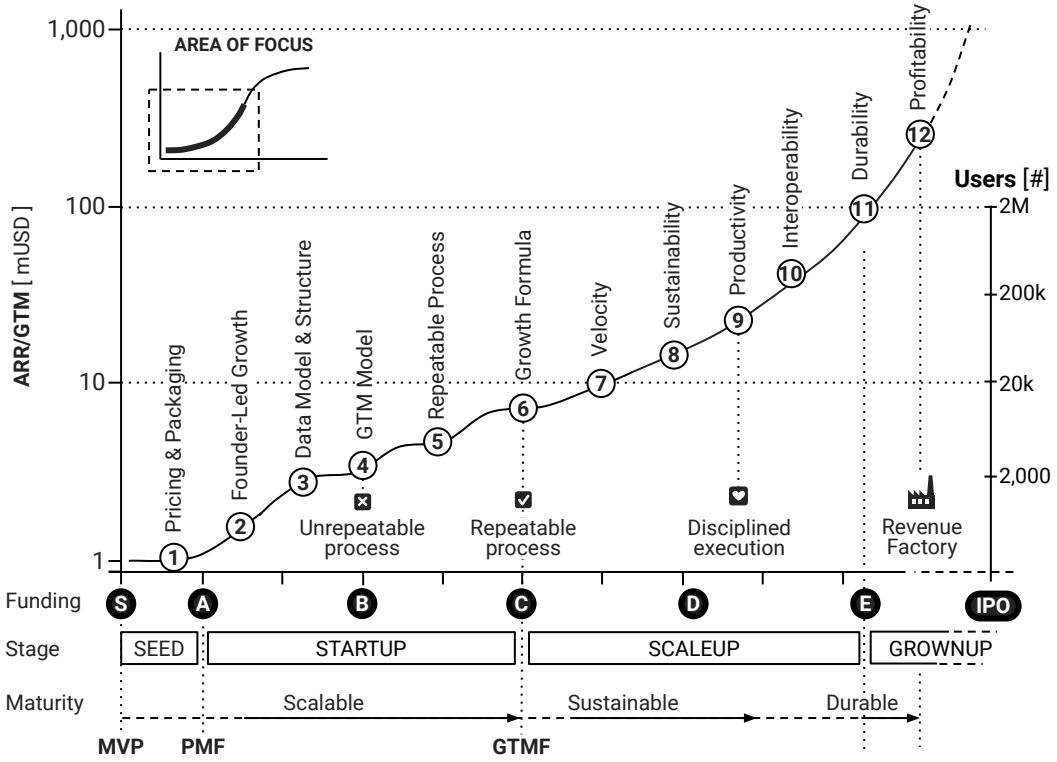


FIGURE 9.25 ***The 12 key breakpoints mapped to the S-curve that governs Startups and Scaleups.***



Not For Distribution

EXERCISE 9.1

Check the boxes of the revenue breakpoints your organization has tackled.

Do this first for each GTM motion. Think through each of these breakpoints. This is a simple exercise but it will provide you an amazing insight as to the maturity of the organization as a whole and each GTM motion.

Phase I. Focus on growth to achieve Scalability.

1. Pricing & Packaging	☐	Pricing (annual/monthly), tiers, payment terms, refund terms, and discount policies have been established.
2. Leverage Founder-Led Growth	☐	Founder plays an important role but is no longer in an operationally critical role.
3. Standardize Data Model & Structure	☐	A standardized Data Model is used across all departments, regions, verticals, and segments.
4. Structured in GTM Model(s)	☐	A structured growth strategy using different (but not too many) GTM motions mapped to the data structure.
5. Repeatable Process / GTM Model	☐	Establish a process per GTM motion; write it down so it can be explained and people can be trained on it.
6. Growth Formula / GTM Model	☐	Establish a Growth Formula per GTM motion that matches the process.

Phase II. Focus on cost-efficient growth to achieve Sustainability.

7. Velocity Based Growth	☐	Use the company's most valuable resources to drive the GTM motion with the highest growth rate.
8. Sustainable Growth	☐	Ability to track what each GTM motion is costing and a trendline shows the costs are declining.
9. Increase Productivity	☐	Productivity per GTM rep is measured; programs to shorten ramp time and improve productivity are in place.
10. Ensure Interoperability	☐	A standardized Data Model, uniform methodology and a common language is used across all GTM motions.

Phase III. Focus on the quality of growth (Impact) to strive for Durability.

11. Attain Durability	☐	The company focuses on anchoring itself on Customer Impact.
12. Achieve Profitability	☐	The key GTM motions are profitable, with enough FCF to fund innovations where needed.

Not For Distribution

10

THE GTM MODEL

Not For Distribution

FIGURE 10.1 ***The GTM model contains today's 5 most common GTM motions. Each of the blocks can be human-led, channel-led, product-led, etc.***

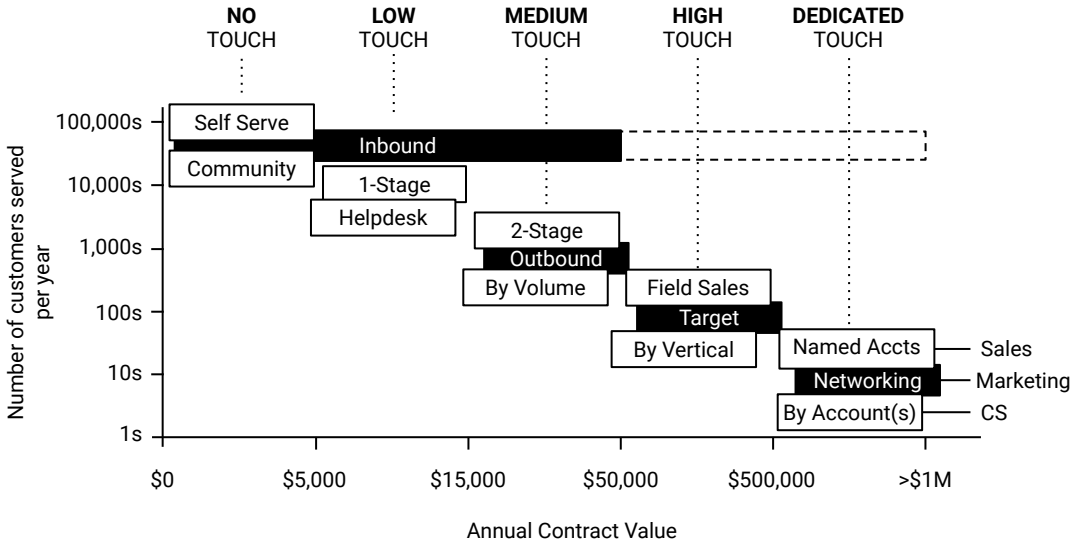
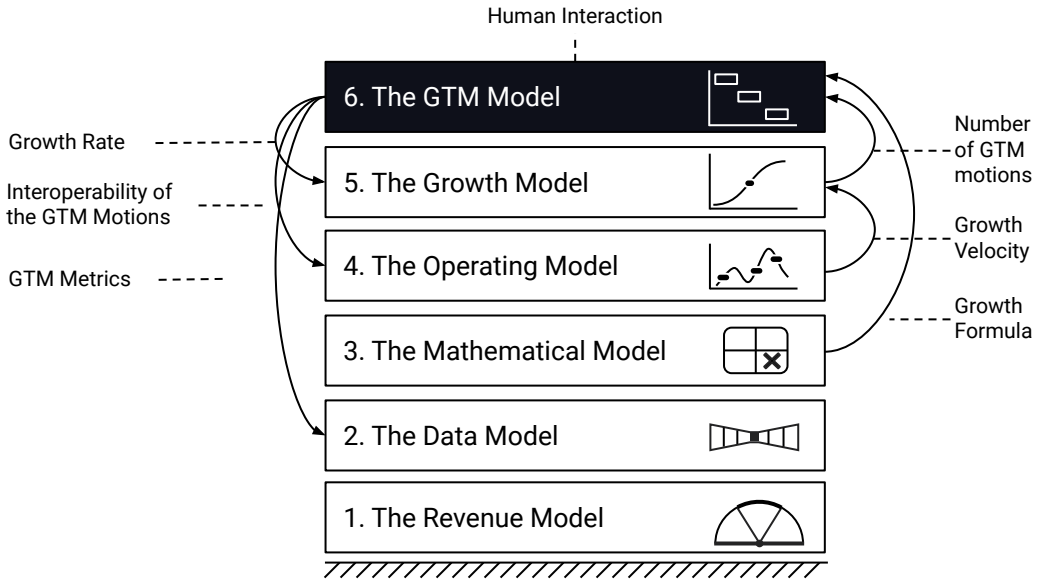


FIGURE 10.2 ***How the GTM model interfaces with the other models.***



Not For Distribution

FIGURE 10.3 ***The X-Y Framework of the GTM model.***

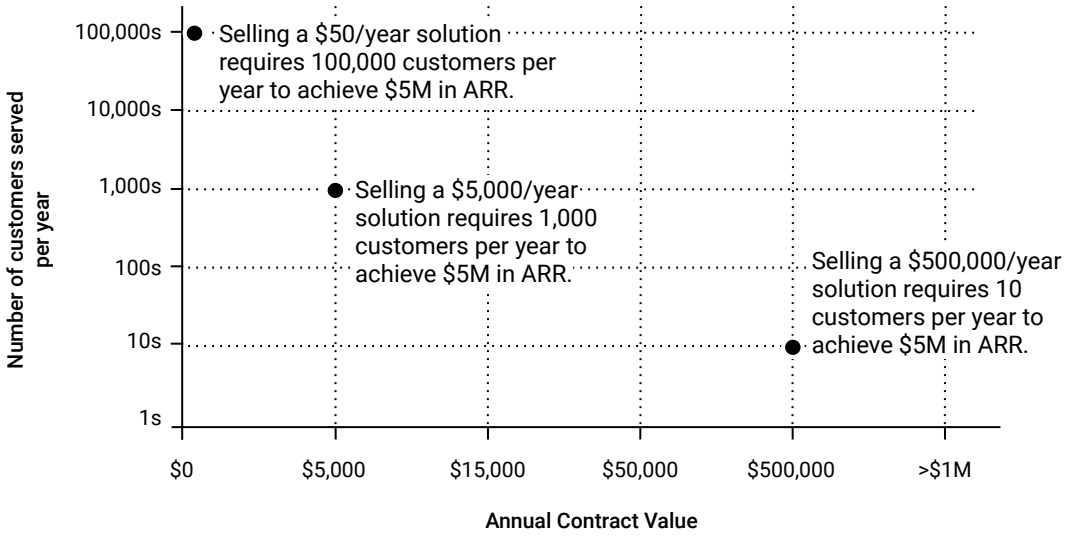
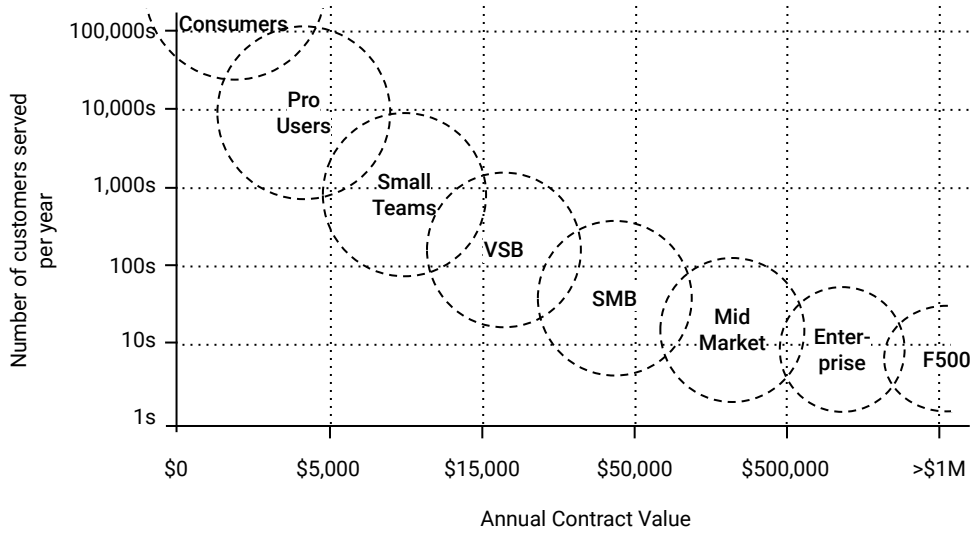


FIGURE 10.4 ***Different business segments mapped to the GTM model.***



Not For Distribution

FIGURE 10.5 ***The most common sales motions mapped to the GTM model.***

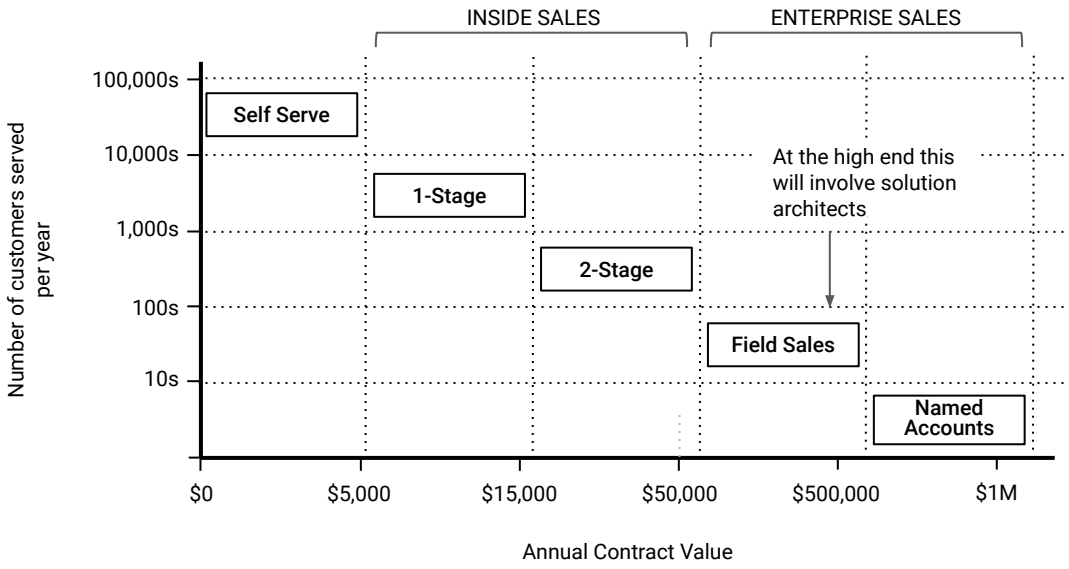


TABLE 10.1 ***Approximate salaries vs. quota expectations as of Q1 2024.***

Sales Motion	Cost: Salary plus Expense	Quota/Year	Increase in cost
Self-Service	$0 (costs are allocated to marketing)		
Inside Sales (1-stage)	$ 45,000 - $ 60,000	$240k to $480k	∞
Inside Sales (2-stage)	$ 150,000 - $ 250,000	$480k to $960k	5x
Field Sales	$ 250,000 - $ 500,000	$720k to $1,440k	4x
Field Sales + Sales Engineer	$ 350,000 - $ 800,000	$960k to $2M	3x
Named-Account Sales Team	$ 600,000 - $ 2,000,000	$1M to $10M	2x

Not For Distribution

FIGURE 10.6 ***The most common marketing and sales motions mapped to the GTM model.***

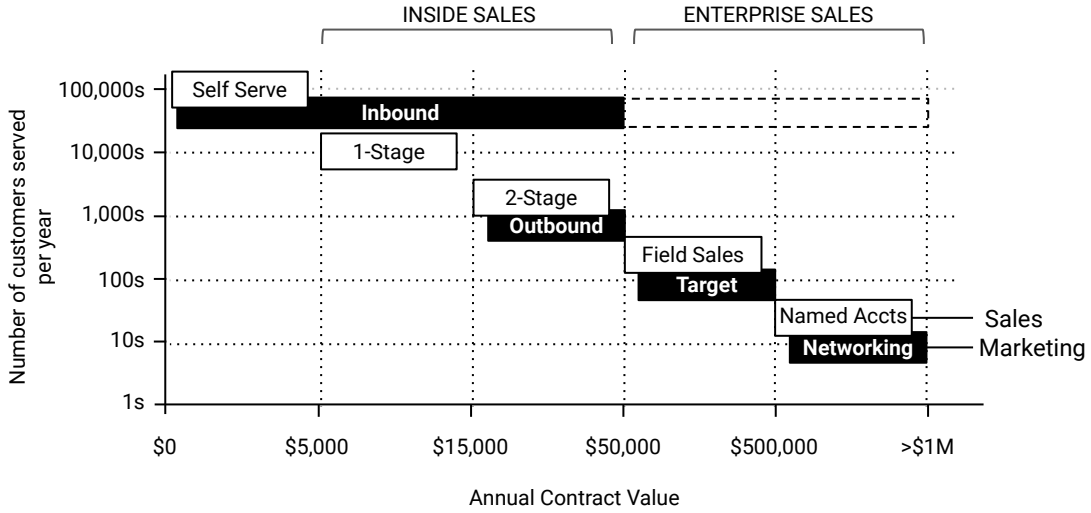
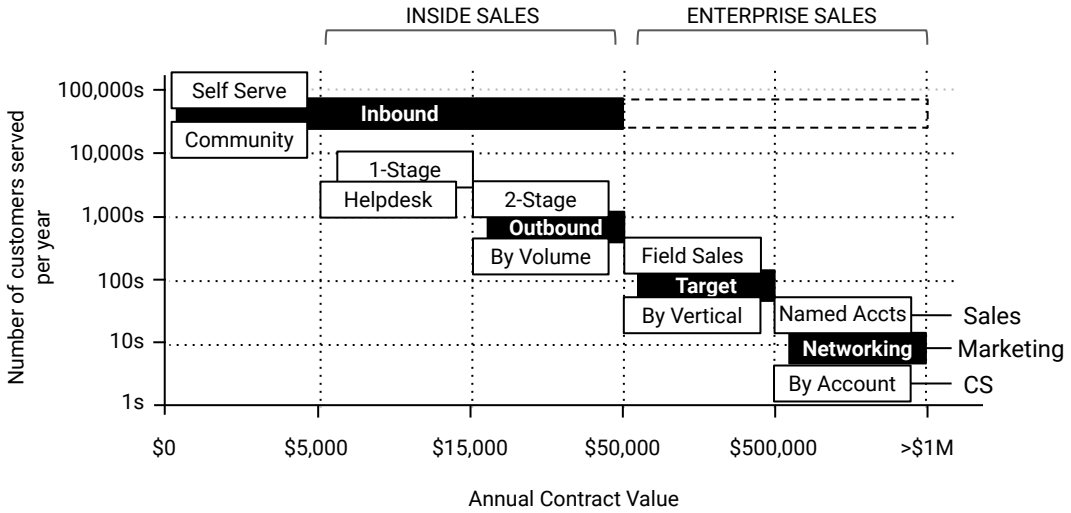


FIGURE 10.7 ***Marketing, sales AND customer success motions mapped to the GTM model.***



Not For Distribution

FIGURE 10.8 ***The 5 touch-based GTM motions are mapped to the GTM framework.***

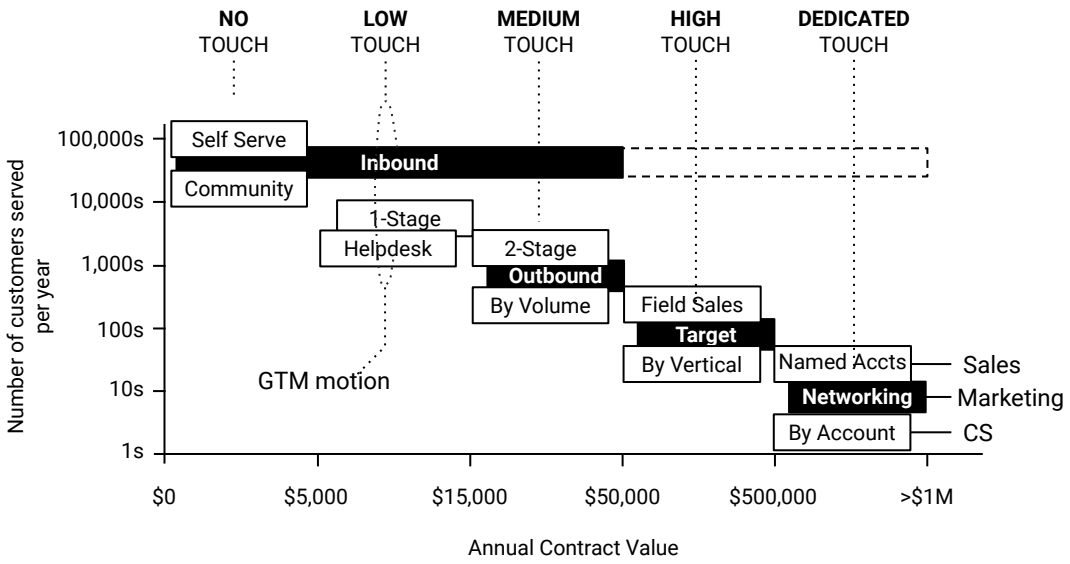


TABLE 10.2 ***Example of the different engines each GTM motion is built around.***

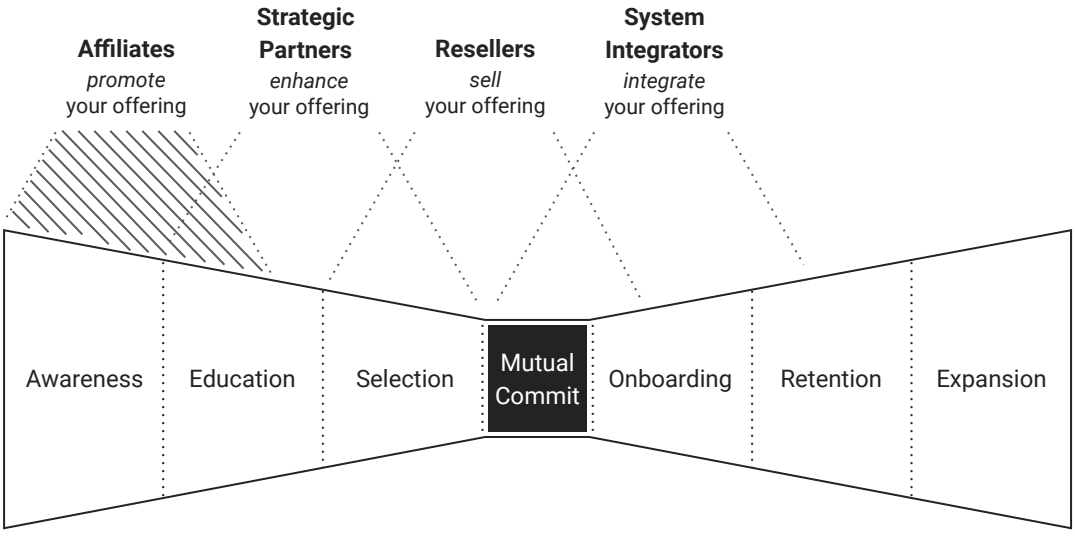
GTM Motion	Engine	What People Talk About	How It Spreads
No Touch	Product	User Experience	Word of Mouth
Low Touch	Velocity	Easy to Deploy	Word of Mouth
Medium Touch	Content	Thought Leadership	Events/Webinars
High Touch	Brand	Expertise of People	Networking
Dedicated Touch	Relationships	Responsiveness	CxO to CxO Referral

Not For Distribution

TABLE 10.3 ***The 3 maturity stages of a GTM motion.***

Maturity Stage	Revenue Factory	ARR/GTM motion	KPIs
Scalability	**Growth**: Increase in volume and improvements in throughput result in an increase in revenue.	**<$10M**	Growth Rate and ARR
Sustainability	**Efficiency**: Focus on the cost of growth. This comes at a time there is a shift to expansion, which comes at a lower cost.	**<$30M**	CAC Payback, NRR, and FCF.
Durability	**Quality**: Shift the focus on delivering recurring Impact–and select those customers who can achieve more of it.	**>$30M**	Usage (DAU) and GRR.

FIGURE 10.9 ***The application of different channels apply to different areas of the customer journey.***



Not For Distribution

FIGURE 10.10 ***The first year cost to serve a single customer across GTM motions increases exponentially, not linearly, due to the escalating level of human involvement needed.***

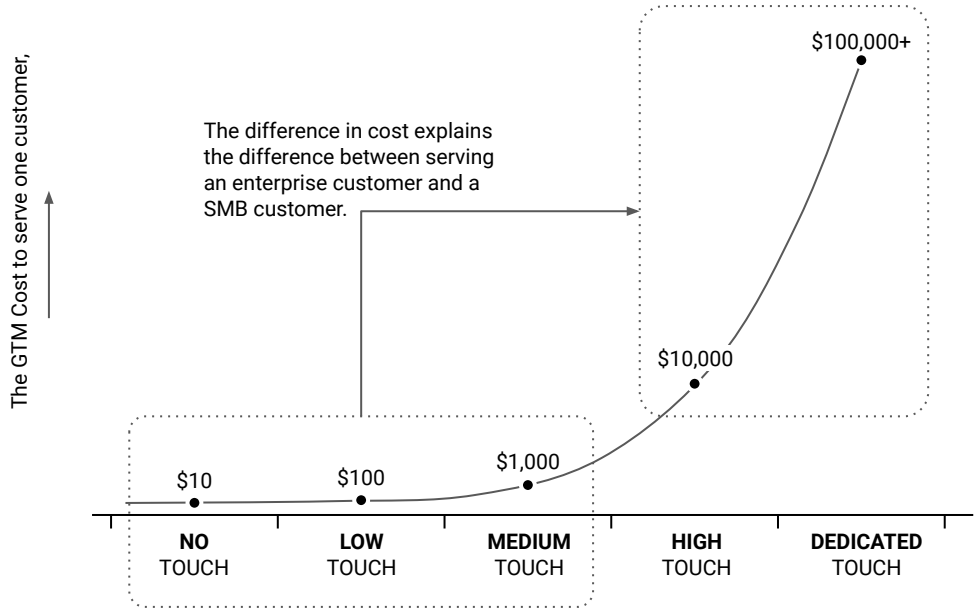
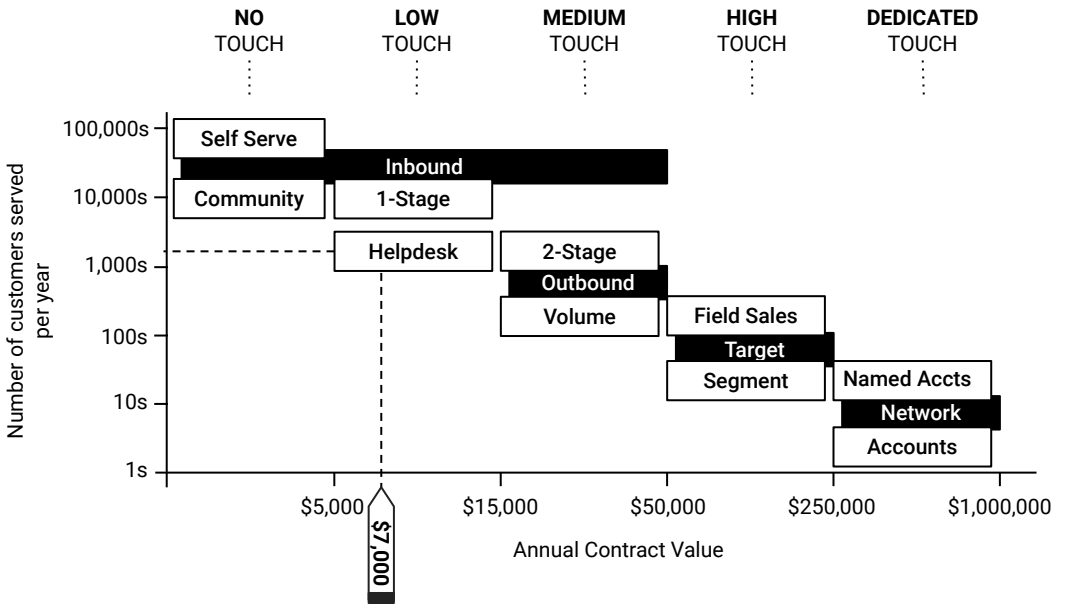


FIGURE 10.11 ***The right GTM motion for a product with an ACV of $7,000 is a Low Touch motion.***



Not For Distribution

FIGURE 10.12 ***The use of different GTM motions for one product without a standardized operating model will cause GTM motions to perform inefficiently due to interoperability issues.***

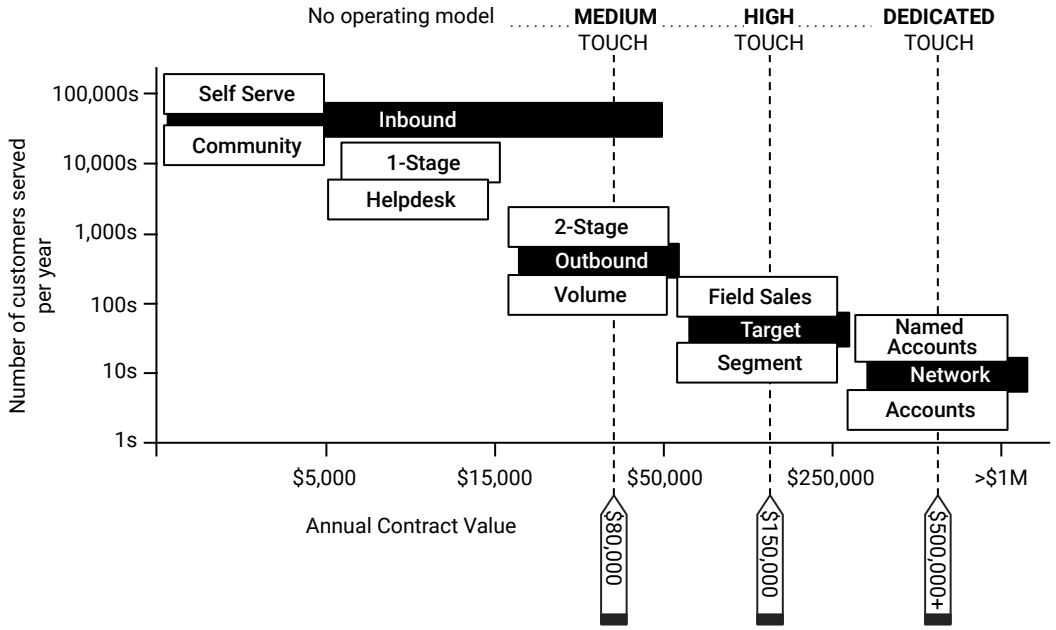
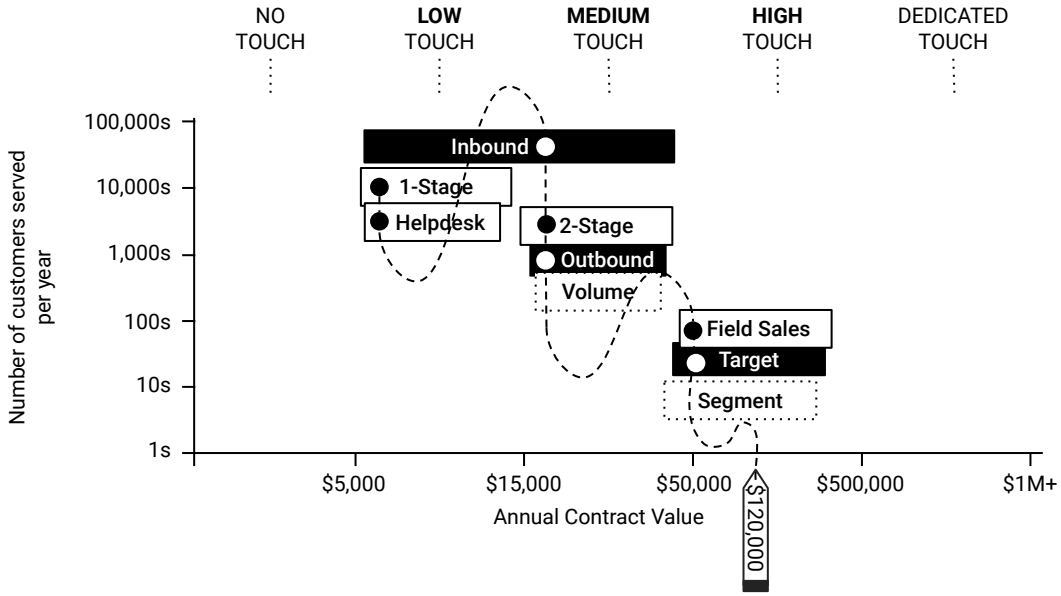


FIGURE 10.13 ***Results of a departmental approach.***



Not For Distribution

FIGURE 10.14 ***A trendline of the product's ACV shows he product operates in the right GTM motion.***

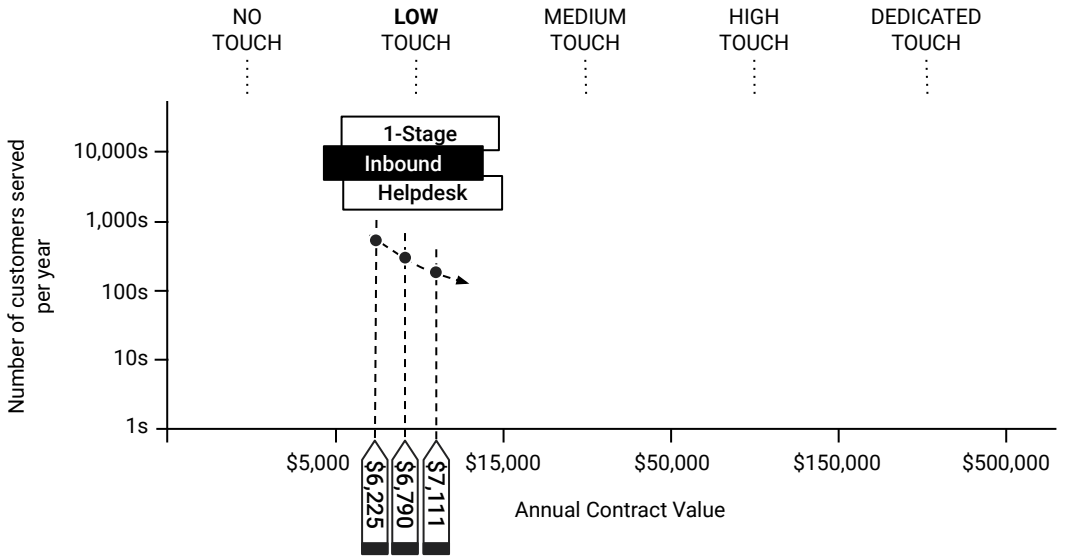
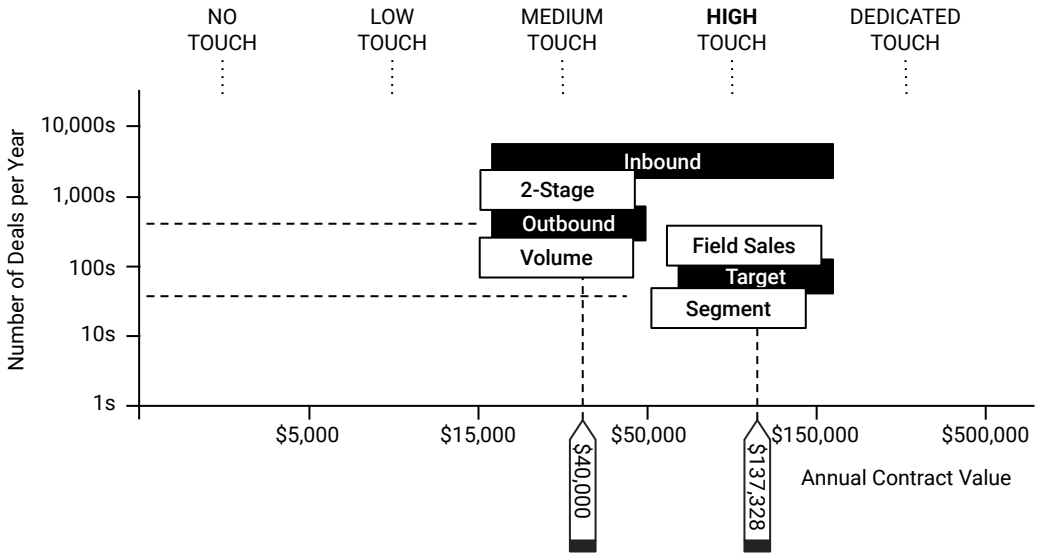


FIGURE 10.15 ***Looking at the NRR, the GTM motion does not entirely match up.***



Not For Distribution

FIGURE 10.16 ***Developer-led growth is the engine behind PLG strategies used by developer platforms, they natively form an Operating Model.***

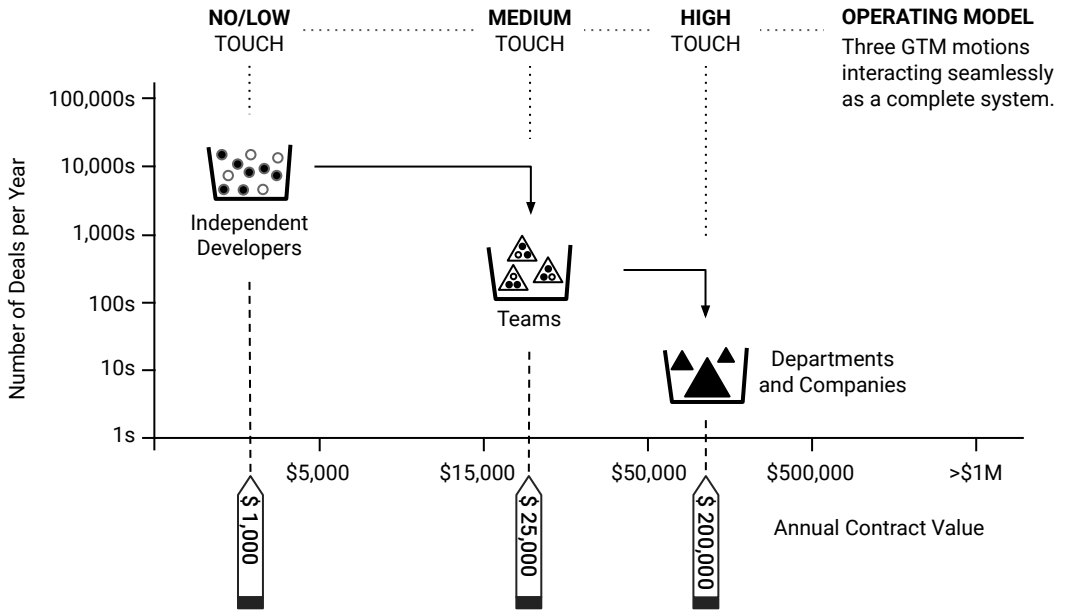
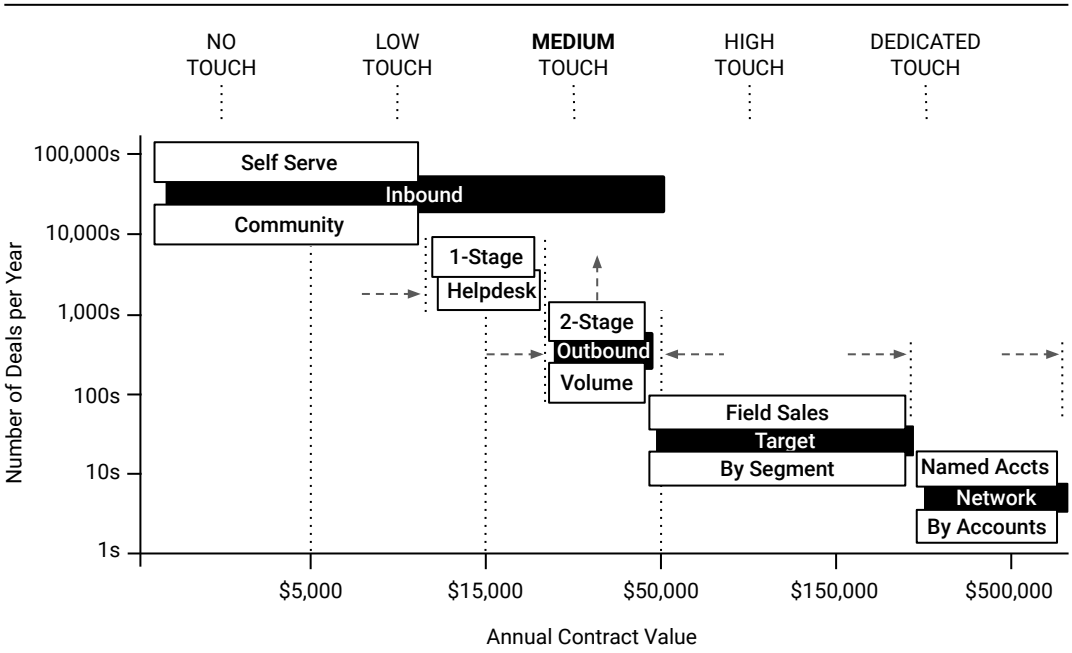


FIGURE 10.17 ***The No Touch GTM motion is moving to serve higher ACV ranges, signaling a shift towards more scalable, cost-efficient models.***



Not For Distribution

FIGURE 10.18 ***Product-Led Sales uses PLG as lead generation for a high(er) touch sales motion***

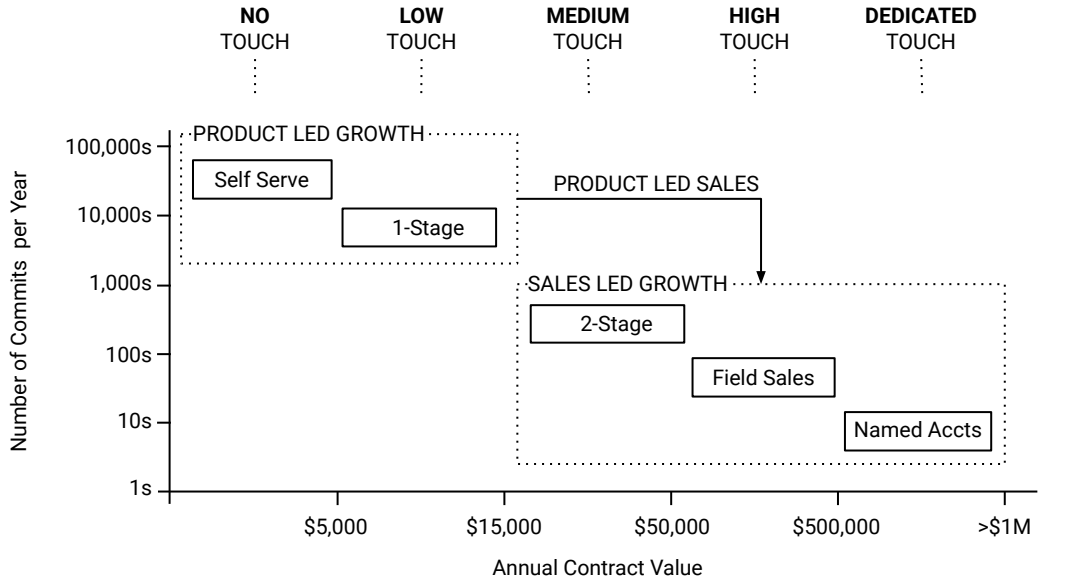


FIGURE 10.19 ***A simplified Growth formula for a Low Touch (Inbound) GTM motion***

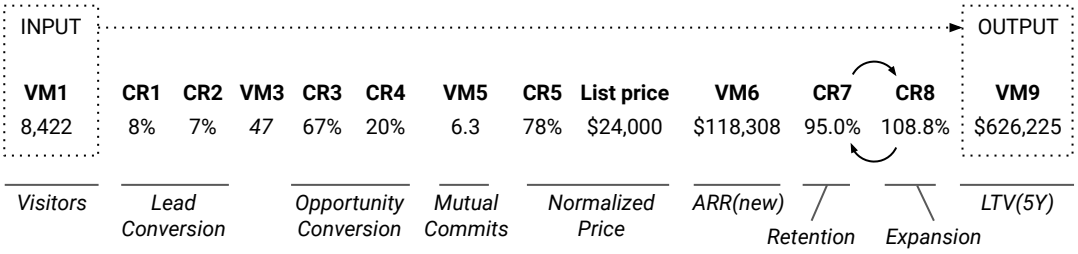


TABLE 10.4 ***The compounding effect of revenue through retention and expansion***

	ARR(start)	Retention	Expansion	ARR(end)
	VM7	**CR7**	**CR8**	**VM9**
Year 1	$118,308	93%	109%	$119,929
Year 2	$119,929	96%	107%	$123,191
Year 3	$123,191	96%	110%	$130,090
Year 4	$130,090	95%	109%	$134,708
Year 5	$134,708			
5 Year Total	**$626,225**			

Not For Distribution

FORMULA 10-1

$$1{,}000 \;/\; 8{,}422 \square \$118{,}308 = \$14{,}407 \; in \; ARR(new)$$

FORMULA 10-2

$$\$1{,}000{,}000 \;/\; \$118{,}308 \square 8{,}422 = 71{,}186 \; visitors$$

FIGURE 10.20 ***A simplified Growth formula for a Medium Touch (Outbound) GTM motion.***

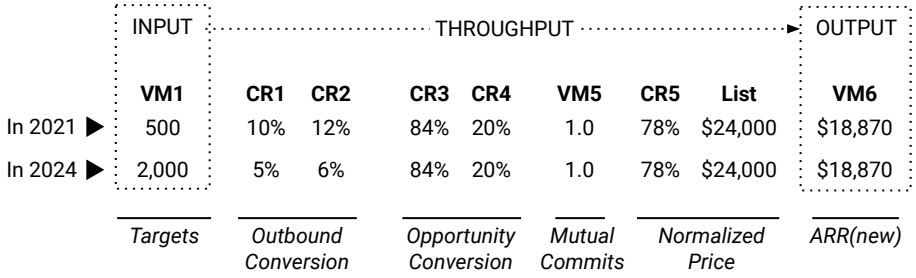
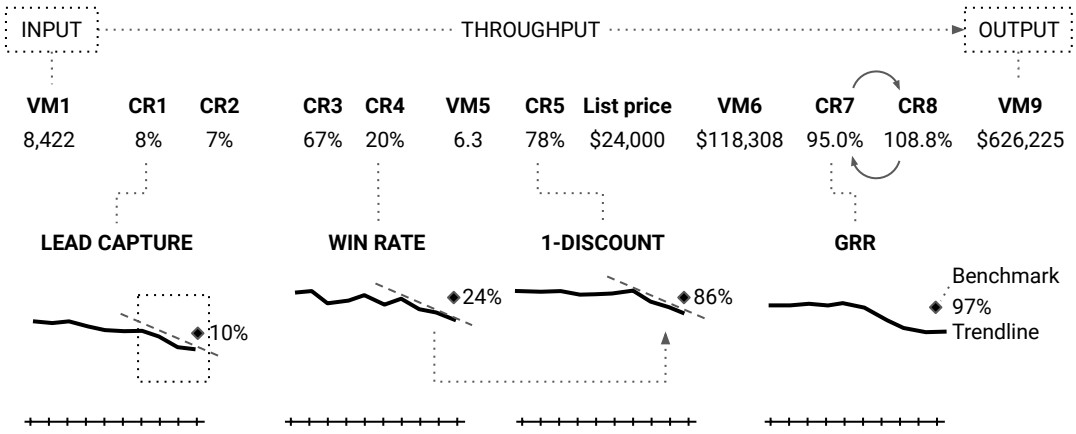


FIGURE 10.21 ***Growth Formula with Trendlines and Benchmark data for individual metrics reveal room for marginal adjustments to individual throughput metrics.***



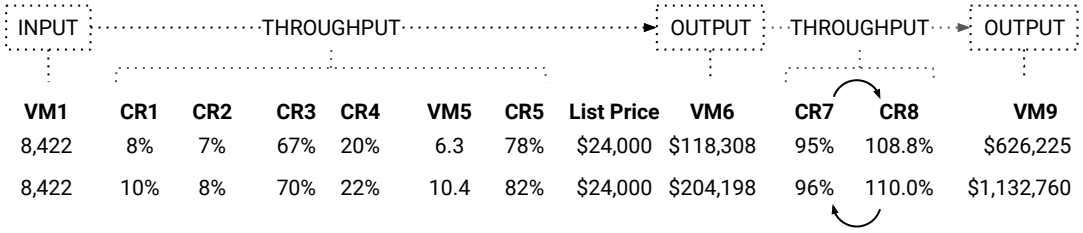
KEY 1. Trendlines provide more relevance to more recent data than an average, which assigns equal value to all data points.

KEY 2. Combining trendlines can aid in identifying causality, thereby improving the accuracy of predictions.

KEY 3. Comparing benchmark data against the trendline helps identify if there is a scalability issue.

Not For Distribution

FIGURE 10.22 ***The result of a small increase in throughput with a stagnant input***



VM1	CR1	CR2	CR3	CR4	VM5	CR5	List Price	VM6	CR7	CR8	VM9
8,422	8%	7%	67%	20%	6.3	78%	$24,000	$118,308	95%	108.8%	$626,225
8,422	10%	8%	70%	22%	10.4	82%	$24,000	$204,198	96%	110.0%	$1,132,760

TABLE 10.5 ***A comparison of key elements in quality management and process improvement methodologies demonstrates alignment with the need for a quality management methodology for GTM.***

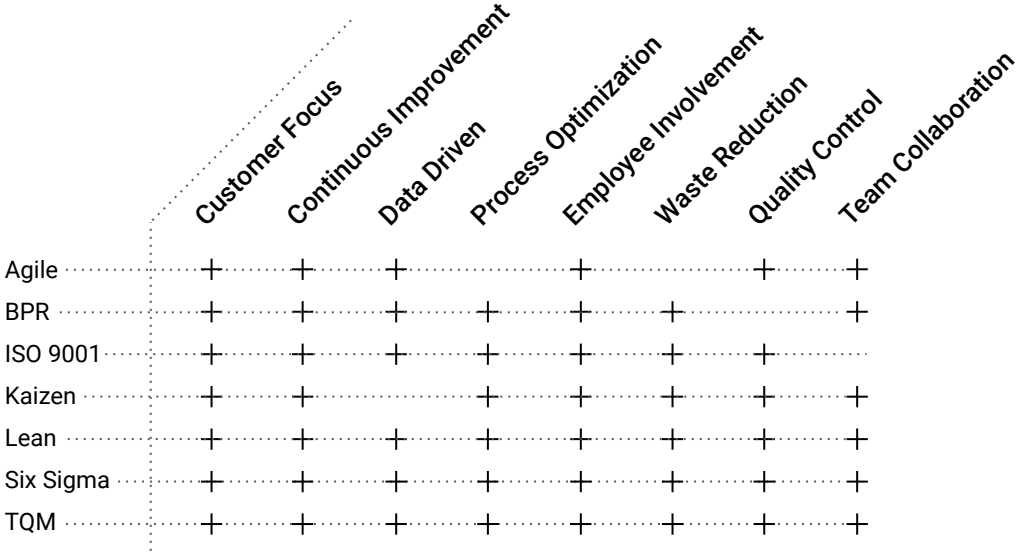
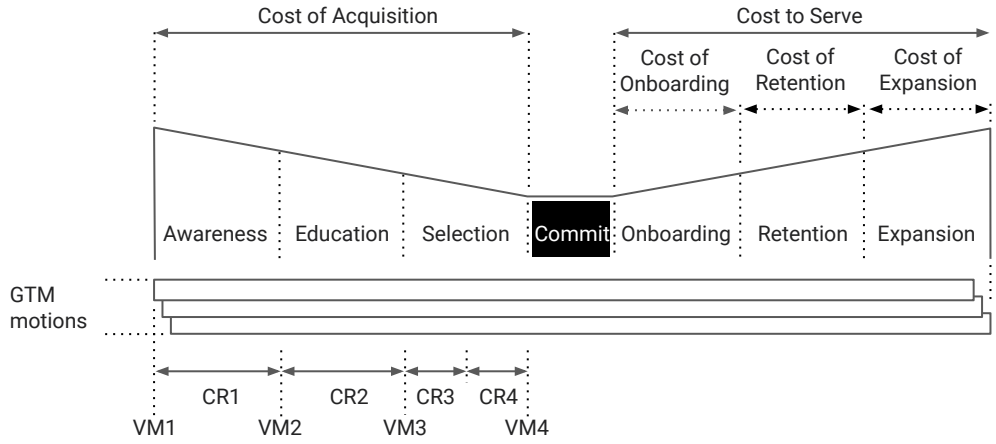


FIGURE 10.23 ***Cost Allocation across different GTM motions***



Not For Distribution

FIGURE 10.24 ***Adding the cost to a Growth Formula for a GTM motion provides insight into the sustainability. In this case it takes $310,000 to generate $748,500 in ARR_{NEW}.***

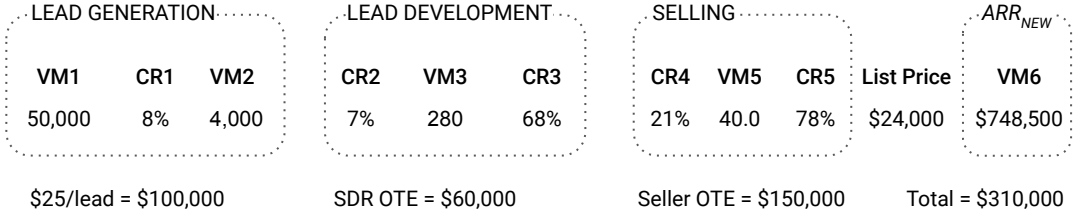


FIGURE 10.25 ***As the performance marginally decreases the 50/50 variable compensation does not impact the cost proportionally. It now takes $247,843 to generate $400,756 in ARR_{NEW}.***

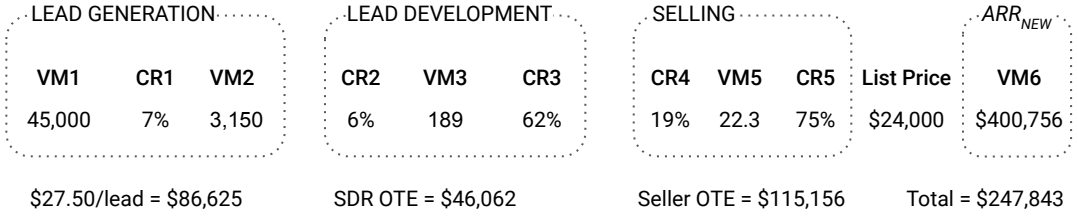


TABLE 10.6 ***The cumulative amount of revenue over time is referred to as LTV(nY), with (n) being the number of years. LTV(nY) is needed to apply the cost of acquisition, retention, and expansion, determining the sustainability over (n) years.***

	ARR(start) VM7		Retention CR7		Expansion CR8		ARR(end) VM9		LTV(nY)	
Year 1	$748,500	×	87%	×	112%	=	$729,339	+	$748,500	**LTV(1Y)**
Year 2	$729,339		89%		108%		$701,041		$1,477,839	
Year 3	$701,041		87%		104%		$634,301		$2,178,880	**LTV(3Y)**
Year 4	$634,301		84%		104%		$554,126		$2,813,181	
Year 5	$554,126								$3,367,307	**LTV(5Y)**

Revenue is committed up front. Thus LTV(nY) is based on the sum of the revenue at the start of each year.

Not For Distribution

TABLE 10.7 ***Scenario A depicts the cost of GTM as a [%] of the revenue gained over a 5-year horizon.***

LTV(nY)	S&M	ONB	CSM	AM	Total	Cumulative	Ratio
	Acquisition	Onboarding	Retention	Expansion			
① $748,500	② $310,000	$8,333	$24,000	$12,000	→ $354,333	③ $354,333	④ 47.3%
$1,477,839	$0	$0	$20,880	$13,440	$34,320	$388,653	26.3%
$2,178,880	$0	$0	$18,583	$14,515	$33,098	$421,752	19.4%
$2,813,181	$0	$0	$16,167	$15,096	$31,263	$453,015	16.1%
$3,367,307	$0	$0	$13,581	$15,700	$29,280	$482,295	14.3%
	$310,000	$8,333	$93,211	$70,751	→ $172,295	⑤	

TABLE 10.8 ***Scenario B depicts the impact of marginal decline on sustainability over a 5-year horizon.***

LTV(nY)	S&M	ONB	CSM	AM	Total	Cumulative	Ratio
	Acquisition	*Onboarding*	*Retention*	*Expansion*			
$400,756	$247,843	$4,638	$13,359	$6,679	$272,519	$272,519	68.0%
$791,252	$0	$0	$11,622	$7,481	$19,103	$291,622	36.9%
$1,166,597	$0	$0	$10,344	$8,079	$18,423	$310,045	26.6%
$1,506,209	$0	$0	$8,999	$8,402	$17,401	$327,446	21.7%
$1,802,894	$0	$0	$7,559	$8,738	$16,298	$343,744	19.1%

The next chart plots the GTM costs from scenarios A and B. It shows when the GTM motion becomes sustainable. Scenario B takes over a year longer. It stresses the impact of marginal changes, emphasizing the fragility and response sensitivity inherent in subscription-based business models.

Not For Distribution

FIGURE 10.26 ***The GTM cost as a function of time between the original cost of a GTM motion and the one that experienced a marginal downturn shows the impact, a delay in over a year.***

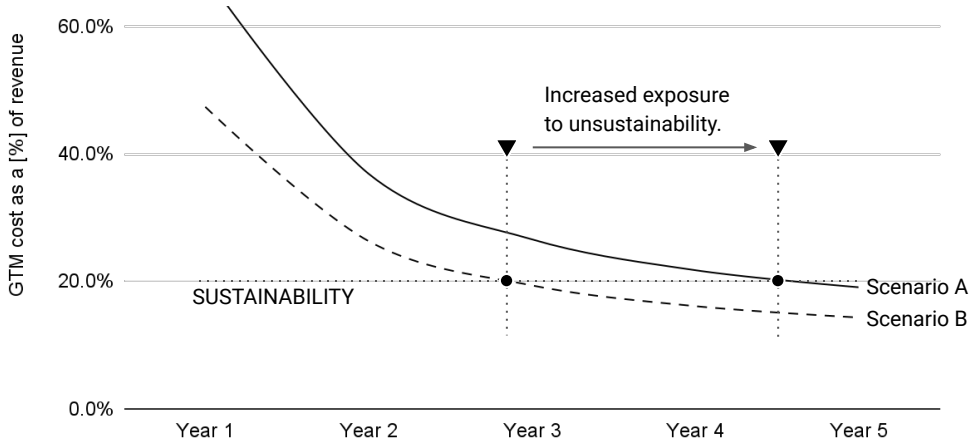


TABLE 10.9 ***Focus on GRR to determine durability.***

	ARR(start)	Retention	Expansion	NRR	ARR
	[VM7]	[CR7]	[CR8]	[CR7xCR8]	[VM9]
Year 1	$18,408	98.0%	102.0%	99.96%	$18,401
Year 2	$18,401	95.0%	128.0%	121.6%	$22,375
Year 3	$22,375	94.0%	112.0%	105.3%	$23,557
Year 4	$23,557	95.0%	108.0%	102.6%	$24,169
Year 5	$24,169	93.0%	111.0%	104.0%	$24,950
5 Year Total	**$106,909**				

GRR is a true indicator of durability.

Price increase increases expansion (NRR), and obfuscates the problem.

Not For Distribution

TABLE 10.10 ***Durability metrics for different GTM motions.***

	No Touch	Low Touch	Mid Touch	High Touch	Dedicated Touch
GRR	80%	85%	90%	95%	98%

In the previous section on sustainability, we learned that cutting costs through technology, such as chatbots, can make operations more sustainable. But that's not the only avenue. Growth from existing customers is another cost-effective growth strategy, as it comes at a lower cost than acquisition.

FIGURE 10.27 ***The GTM model aligns cross functional efforts from marketing, sales, and customer success departments to 5 most GTM motions in use today.***

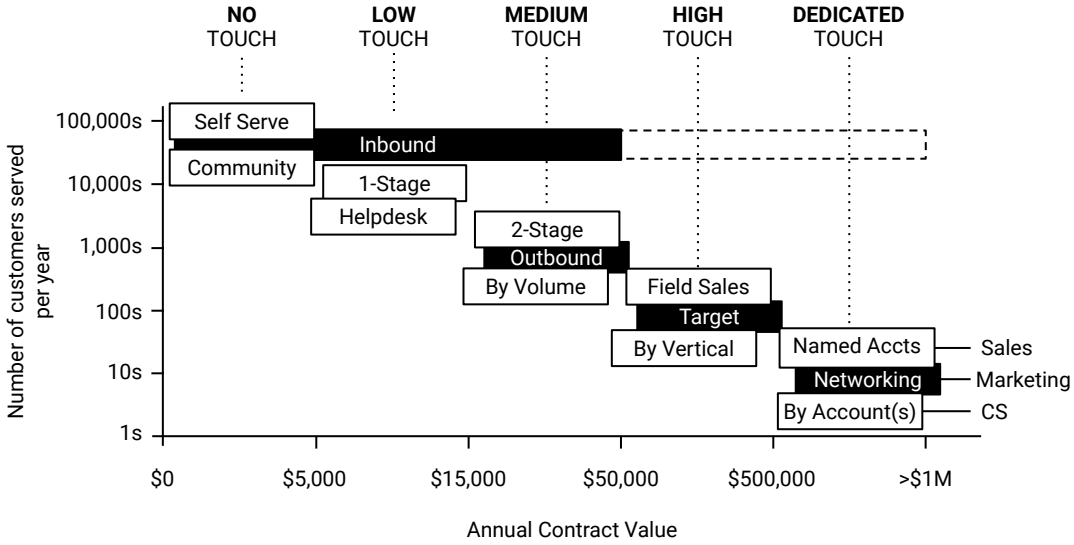
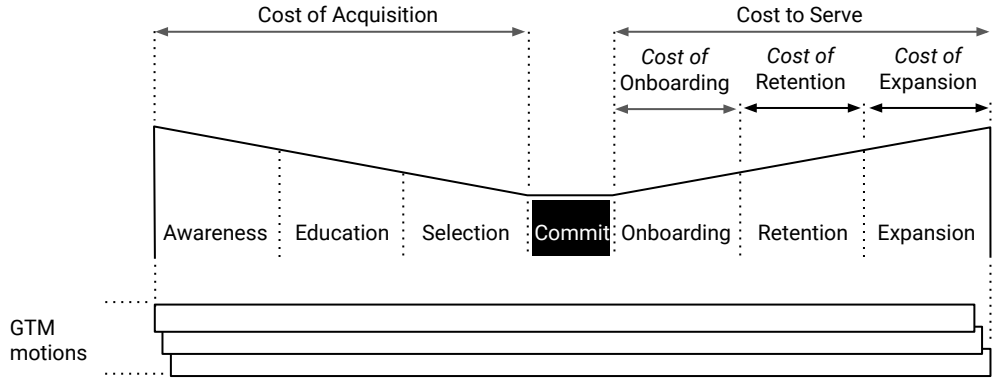
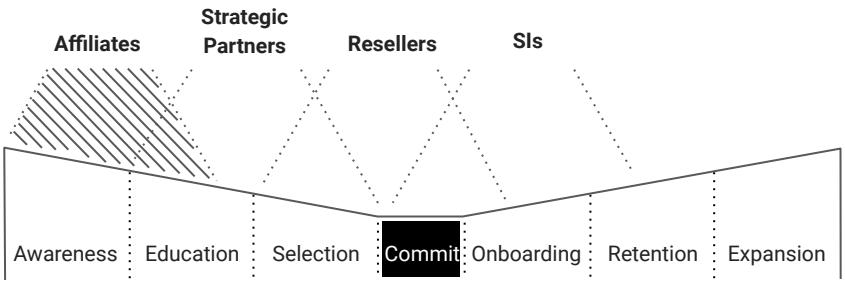


FIGURE 10.28 ***Cost Allocation across different GTM motions.***



Not For Distribution

FIGURE 10.29 ***Different channels can be applied to any GTM motion, with an impact to the journey.***



Not For Distribution

TABLE 10.11 ***Step by step explanation of how to calculate sustainability***

LTV(nY)	S&M	ONB	CSM	AM	Total	Cumulative	Ratio
	Acquisition	Onboarding	Retention	Expansion			
① $748,500	② $310,000	$8,333	$24,000	$12,000	③ $354,333	④ $354,333	⑤ 47.3%
$1,477,839	$0	$0	$20,880	$13,440	$34,320	$388,653	26.3%
$2,178,880	$0	$0	$18,583	$14,515	$33,098	$421,752	19.4%
$2,813,181	$0	$0	$16,167	$15,096	$31,263	$453,015	16.1%
$3,367,307	$0	$0	$13,581	$15,700	$29,280	$482,295	14.3%
	⑥ $310,000	$8,333	$93,211	$70,751	$172,295		

Sustainability is calculated as follows:

1. Calculate the cumulative revenue over a period of time.
2. Calculate the cost for each cost centers.
3. Sum up the total cost per year.
4. Accumulate the cost over the years
5. Calculate the cost of revenue

If the cumulative cost over the set horizon is <20% it is determined sustainable. Note that in a subscription business the cost of expansion is about ½ of the cost of acquisition (6) which is in stark contracts to perpetual software where it is about ¼.

- **Maturity Phase 3. Durability**, then, is your factory quality control department, ensuring that every product coming off the line meets high standards.

TABLE 10.12 ***Durability metrics for different GTM motions (same as Table 10.10).***

	No Touch	Low Touch	Mid Touch	High Touch	Dedicated Touch
GRR	80%	85%	90%	95%	98%

The Growth Formula is a lens for the maturity phases of each GTM motion. It offers insights into causality, clarifies assumptions, and helps create easy to understand unit economics. It helps us establish the maturity of a GTM motion.

Not For Distribution

EXERCISE 10.1

Identify One to Three GTM Motions

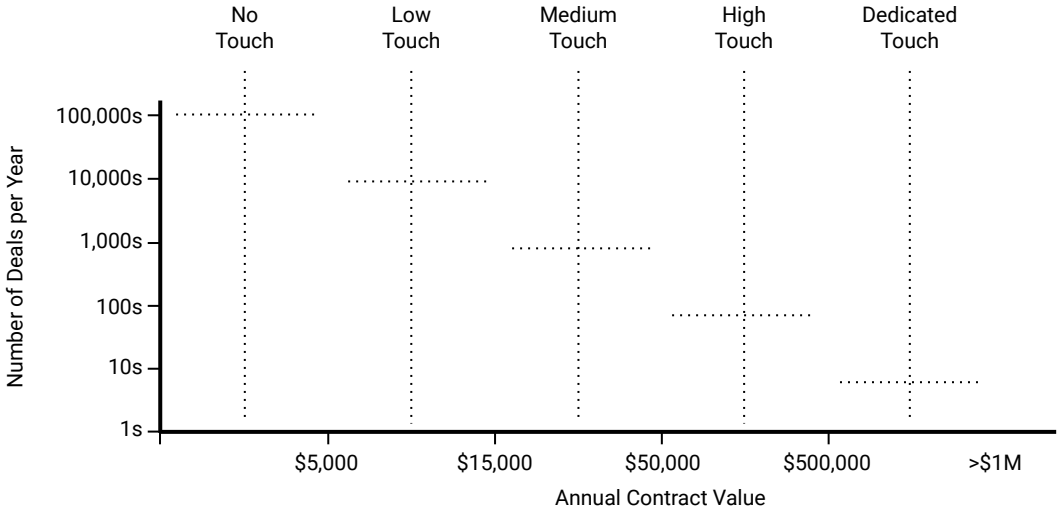
List the top 3 GTM motions you're currently using, chosen from the following options: No Touch, Low Touch, Medium Touch, High Touch, or Dedicated Touch. Specify their ACV, the annual volume of deals they generate, and the ARR for each. Arrange them in descending order based on ARR.

	Description	**ACV** *Average*	**Volume** *Deals/Year*	**ARR/GTM motion** *High to low*
GTM motion 1				
GTM motion 2				
GTM motion 3				
GTM motion x	High Touch/Field sales	$50,000	80	$24M

EXERCISE 10.2

Plot Your GTM motions on the GTM model

Map out the identified GTM motions on the GTM model, using ACV and annual deal volume as coordinates. If you have data from the past 2 to 3 years, plot the dots and draw a trendline to discern any specific directional shifts. You should be able to pinpoint dominant motions to focus your business on.



Not For Distribution

EXERCISE 10.3A

Determine Your GTM motion

Write down the name of each GTM motion from exercise 10.2, such as High Touch. Then move on to marketing motion, is it through inbound, our a specific outbound technique, or a targeting approach such as ABM. Next name the sales motion, such as field sales. Finally, outline how your customer success management (CSM) is structured: by volume, accounts, or segments.

	Name	Lead gen motion	Sales motion	CS motion
GTM motion 1				
GTM motion 2				
GTM motion 3				
GTM motion x	High Touch	ABM/Targeting	Field sales	By Accounts

Combined this should reflect your main business. If they are not easy to relate to your team, or they have lots of programs in each, that is a sign you and the team are making things too complicated.

EXERCISE 10.3B

Check for common use-cases

Now is a good time to review common use-cases and ensure your business is not mistakenly categorized under an incorrect GTM motion.

Description	Check for
Use-case 1: Multiple GTM motions	One GTM motion for the first $10M in ARR, 3 GTM motions up to $50M in ARR, second product over $100M in ARR
Use-case 2: Everything all at once	Are your GTM motions aligned vertically, or are you using a CS motion from low-touch with a sales motion from high-touch
Use-case 3: ACV Trendline	Is your ACV trending up or down, and if so is it entering a new GTM motion, e.g. is the price from high touch dropping int medium touch.
Use-case 4: ACV, NRR and LTV	If you take the total LTV over 5 years and divide by 5 are you stil in the right GTM motion? This is the result of high NRR.
Use-case 5: Mixing GTM motions	Are you combining a no touch GTM motion such as PLG with a high touch GTM motion such as Enterprise sales?

Not For Distribution

EXERCISE 10.4

Determine The Growth Formula

Choose a specific GTM motion for which you have readily available data. Fill in known conversion rates as they currently stand ONLY in the “as is” row. Don't worry if you need to make educated guesses at this stage. Calculate the formula out VM2 = VM1 x CR1, etc. until you come to the ARR_{COMMIT}

	Visitors	Email	Leads	Interested	Oppty	Qualified	Q'Oppty
	[VM1]	[CR1]	[VM2]	[CR2]	[VM3]	[CR3]	[VM4]
As is	400						
Future State	400						

	Win rate	Commit	Discount	List Price	ARR(commit)
	[CR4]	[VM5]	[CR5]	ACV	[VM6]

EXERCISE 10.5

Calculate Scalability: Increase Inputs vs. Improve Throughputs

Perform the following scenario analysis:

	Scenario Analysis	**ARR_{COMMIT}**
Scenario A	Using the numbers from exercise 10.4 what is the ARR_{COMMIT}?	
Scenario B	What is the ARR_{COMMIT} when you double the amount of inputs?	
Scenario C	Improve CR(1-5) slightly, and reasonably. What is the ARR_{COMMIT}?	
Scenario D	Use CR(1-5) of scenario C and reduce the amount of Inputs until you achieve the same ARR_{COMMIT} as in scenario A.	

If you can achieve growth by doubling the leads without affecting conversion rates—a scenario often seen in vertical markets—then prioritize this strategy immediately. However, if an increase in leads results in a decrease in conversion rates (throughput), you must promptly focus on improving throughput through enhancements in skills, tools, and process

Not For Distribution

EXERCISE 10.6

Sustainability: Determine Cost of Acquisition

Calculate the total cost of acquisition (year 1) for the above GTM motion as a [%] of the ARR_{COMMIT} it generates:

	Cost Center	% of ARR_{COMMIT}
Lead Generation [CR1]	Cost per Lead $ _____ x _____ inputs	
Lead Development [CR2]	Salaries _____ Campaigns _____	
Lead Qualification [CR3]	Salaries _____ Campaigns _____	
Sales [CR4]	Salaries _____ Campaigns _____	
Gain Commit [CR5]	Salaries _____ Campaigns _____	
	Total cost [% of revenue]	%

Conclusion (based on cost of acquisition)

☐ Total cost of acquisition [% of revenue] > 50%: Unsustainable

☐ Total cost of acquisition [% of revenue] 40% - 50%: Determine a path to sustainability.

☐ Total cost of acquisition [% of revenue] <40%: Sustainable

EXERCISE 10.7

Determine Durability

Identify the GRR for each GTM motion, then identify what the most successful part is of that campaign that can be copied to other GTM motions.

	Name	GRR	What can you learn from it that can be applied to other GTM motions?
GTM motion 1			
GTM motion 2			
GTM motion 3			
GTM motion x	High Touch	98%	Use of hyper-personalized monthly newsletter

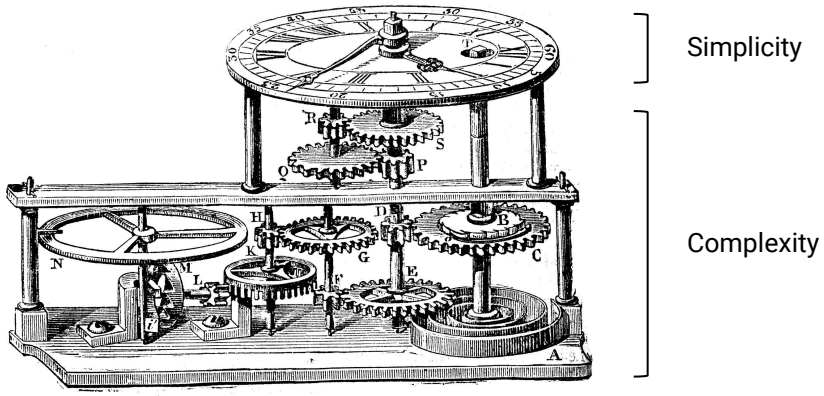
Not For Distribution

PART IV

DEPLOY

Not For Distribution

FIGURE IV ***Simplicity by design—a carefully engineered piece of machinery that makes it easy for the user to tell time.***



Not For Distribution

11

SIMPLY DEPLOY

Not For Distribution

TABLE 11.1 ***Enhance engagement during the kickoff by assigning stewards to each chapter.***

Model	Steward(s)	Example
2. First Principles		VP Product
3. Models & Data		Revenue Operations
4. Systems & Processes		VP Engineering
5. Model 1. Revenue Model		CFO/Head of Finance
6. Model 2. Data Model		CMO
7. Model 3. Mathematical Model		FP&A
8. Model 4. Operating Model		COO
9. Model 5. Growth Model		CCO/Head of CS
10. Model 6. GTM Model		CRO/VP of Sales

FIGURE 11.1 ***Sequencing of the models in the order that can cause hypergrowth.***

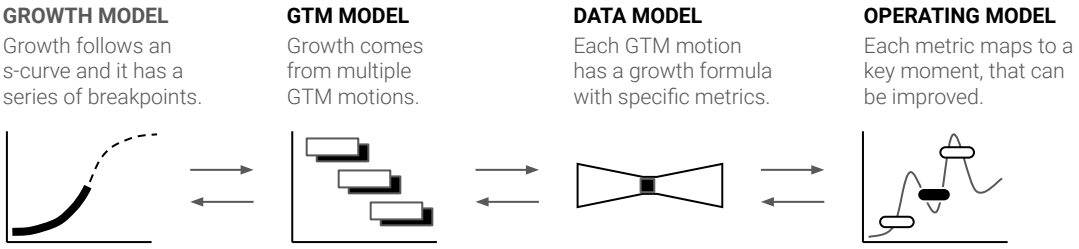
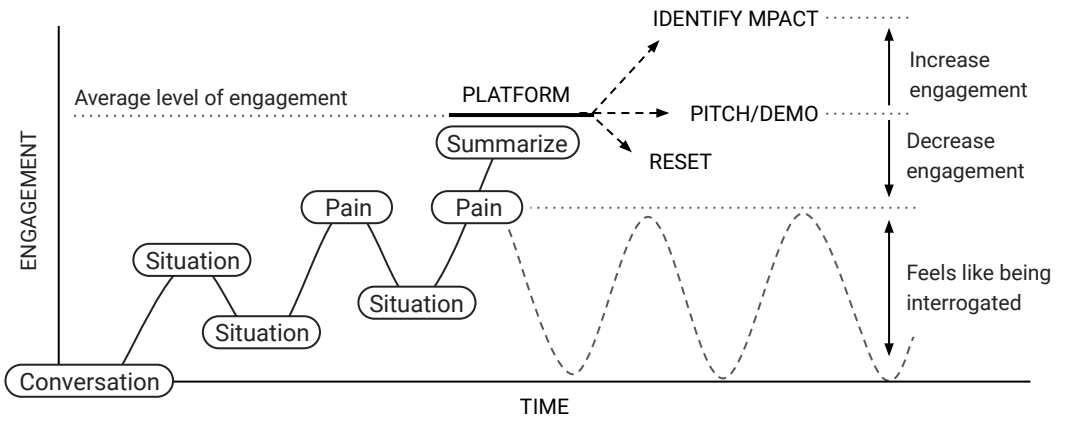


FIGURE 11.2 ***A blueprint of a Moment that Matters, creating marginal gain by improving a diagnose.***



Not For Distribution

FIGURE 11.3 ***The 12 revenue breakpoints on the way to becoming a revenue factory.***

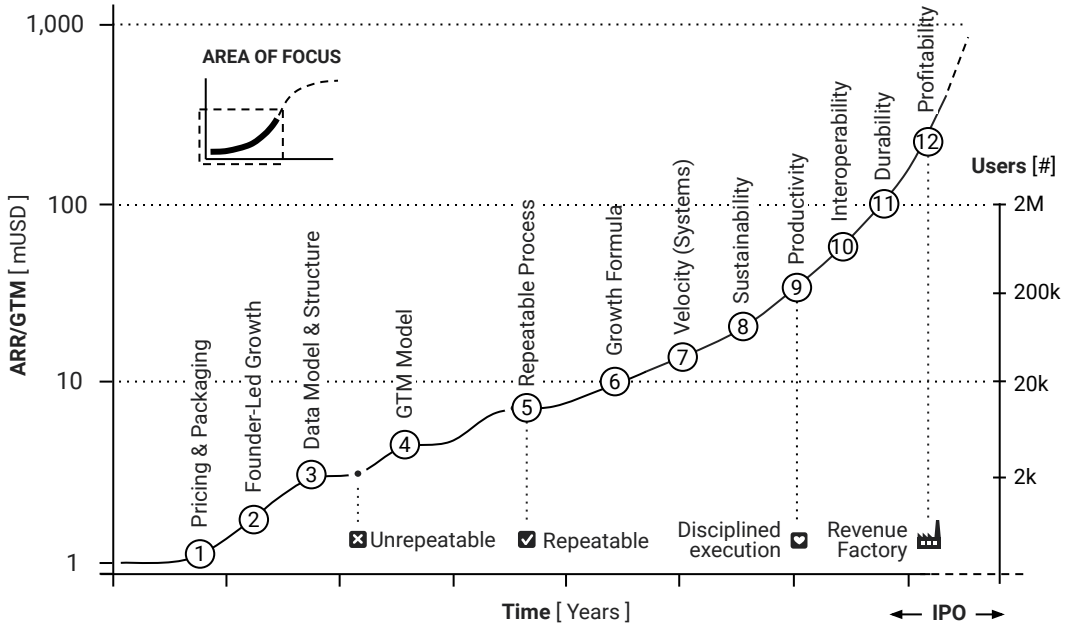
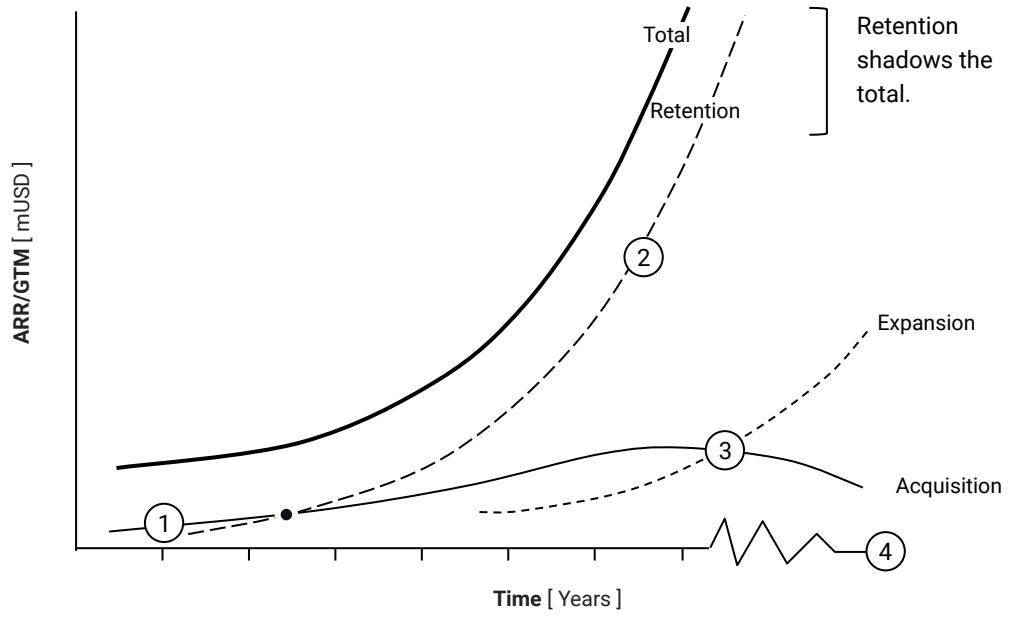


FIGURE 11.4 ***Example of how the growth chart may will look. It shows retention being the top contributor to revenue, and how growth over time shifts from acquisition to expansion. Where you are on this curve is important to your growth strategy.***

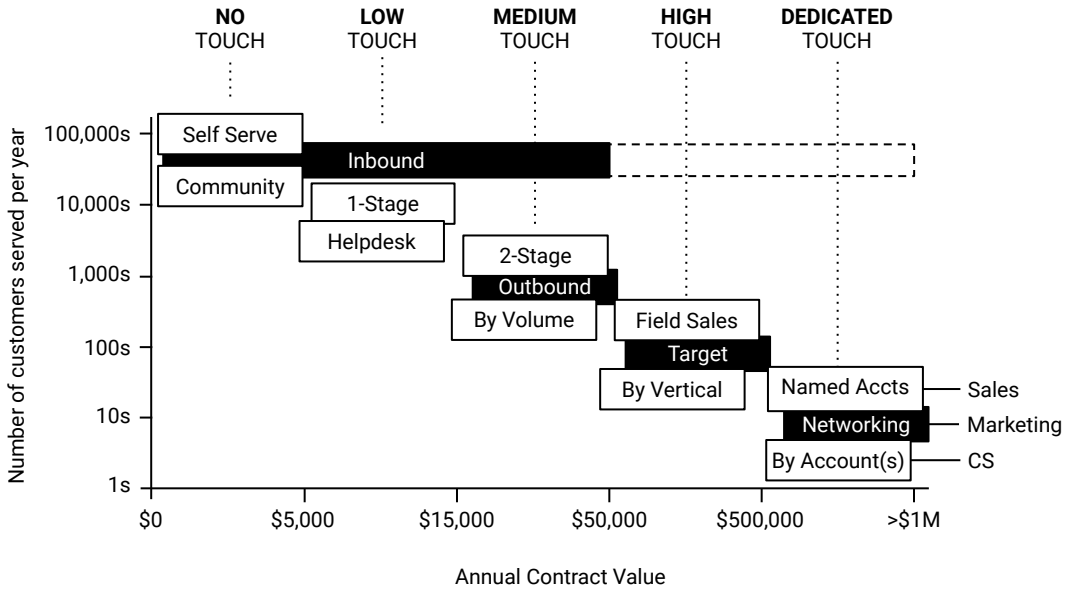


Not For Distribution

TABLE 11.2 ***Contribution of each component to overall growth, its growth pattern, and the type of trendline used to determine the growth pattern.***

	Contribution	Growth Pattern	Trendline Used
Acquisition	[$] _____ , ____ [%]		
Retention	[$] _____ , ____ [%]		
Expansion	[$] _____ , ____ [%]		
Example	$ 48 M , 39%	Decelerating	2-Degree Polynomial

FIGURE 11.5 ***Draw the GTM model on the whiteboard and display your top 3 GTM motions in it.***



Not For Distribution

FIGURE 11.6 ***The Bowtie: The standardized data model for recurring revenue.***

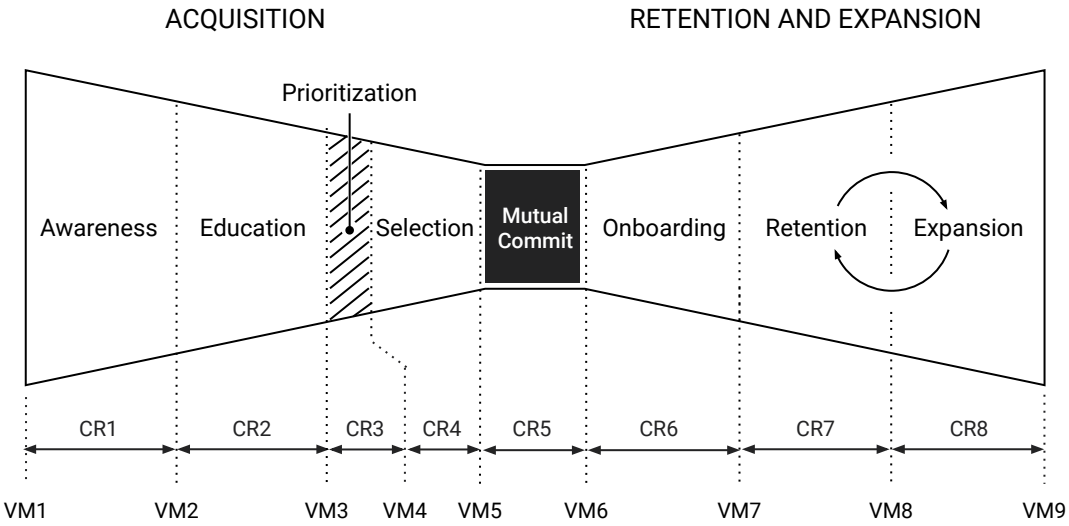
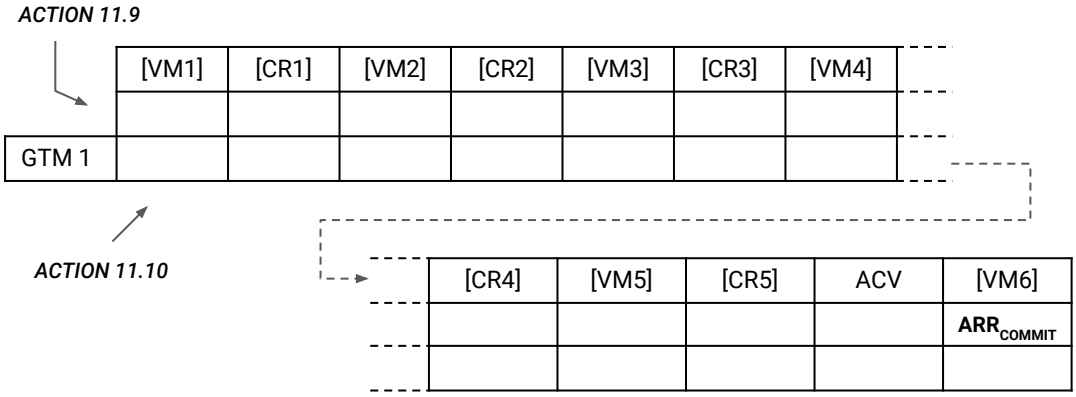


FIGURE 11.7 ***The acquisition part of the Growth Formula.***



Not For Distribution

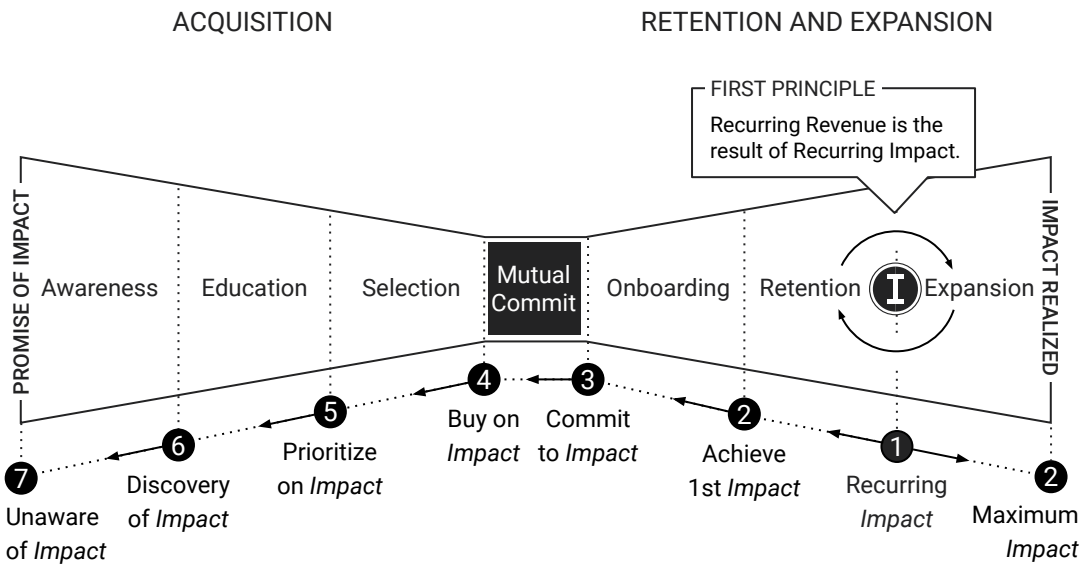
FIGURE 11.8 ***The retention and expansion part of the Growth Formula.***

ACTION 11.9

ACTION 11.10

[VM6]	[CR6]	[VM7]	[CR7/8]	[VM9]
ARR_{COMMIT}			**NRR**	
	LTV(1Y)			
	LTV(2Y)			
	LTV(3Y)			
	LTV(4Y)			
	LTV(5Y)			

FIGURE 11.9 ***The customer journey must be mapped out with the final destination in mind, where customers experience recurring impact resulting in recurring revenue.***

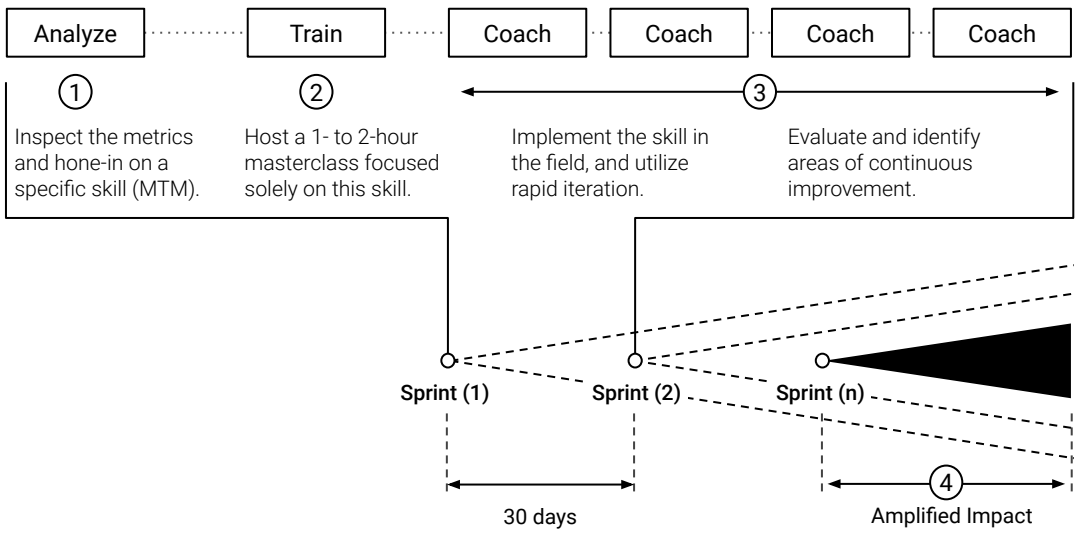


Not For Distribution

TABLE 11.3 ***Double your revenue through marginal gain.***

ACTION 11.14		*ACTION 11.15*	
A Moment that Matters	Conversion Rate	Current metric	Target metric
	CR1/_____		
	CR2/_____		
	CR3/_____		
	CR4/Win rate		
	CR5/_____		
	CR6/_____		
	CR7/_____		
	CR8/_____		
Example: Multi-thread an account	CR4/Win rate	*22%*	*24.2%*

FIGURE 11.10 ***The Impact Sprint targets a single skill with the goal of enhancing a specific moment that matters greatly to the customer. While each skill yields an immediate impact, combining skills can amplify the overall effect significantly.***



Not For Distribution

FIGURE 11.11 ***The Onboarding call is an example of a key moment comprising a series of micro-skills.***

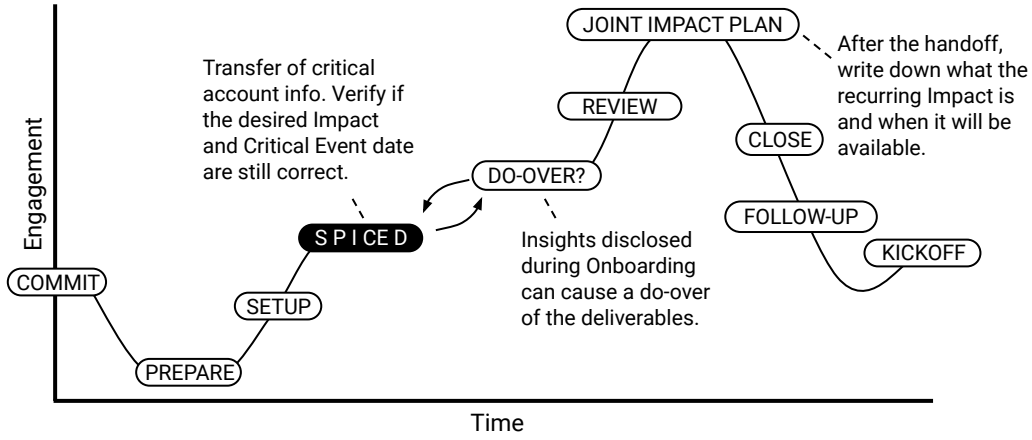
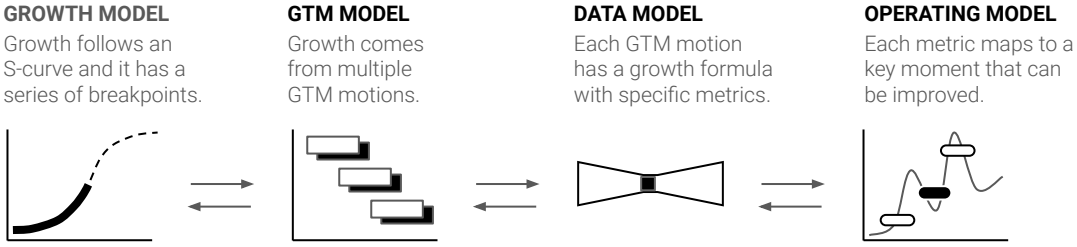


FIGURE 11.12 ***The revenue factory operates along a series of models that reflect its behavior.***



Not For Distribution

Overview of Actions

Action 11.1: Brief the executive team.

Action 11.2: Assign stewards to each chapter.

Action 11.3: Organize a kickoff meeting.

Think Big – Industrial-Scale Impact

Action 11.4: Identify the revenue breakpoints applicable to your growth trajectory.

Action 11.5: Break down the revenue into its growth components.

Action 11.6: Model the growth patterns for each growth component.

Action 11.7: Establish GTM motions.

Action 11.8: Build the Data Model.

Action 11.9: Build the Data Structure (Label the metrics.)

Action 11.10: Create a Growth Formula.

Action 11.11: Compare the effects of Increasing Inputs vs. Improving Throughput

Action 11.12: Determine scalability and sustainability.

Act Small – Moments Matter

Action 11.13: Build an Impact Journey.

Action 11.14: Identify Moments That Matter (MTM).

Action 11.15: Aim to improve the conversion rate of each MTM by 10%.

Move Fast – Better Yet, Sprint!

Action 11.16: Analyze the team's performance.

Action 11.17: Conduct a masterclass.

Action 11.18: Coach the team using real-life use cases.

Action 11.19: Combine Sprints to amplify the effect.

Start Now – Simply Deploy

Action 11.20: Launch a GTM council.

Action 11.21: Involve everyone.

Not For Distribution

ANNEX

Not For Distribution

ANNEX A. WORKSHOP MATERIALS

A1 REVENUE ARCHITECTURE DIY WORKSHOP

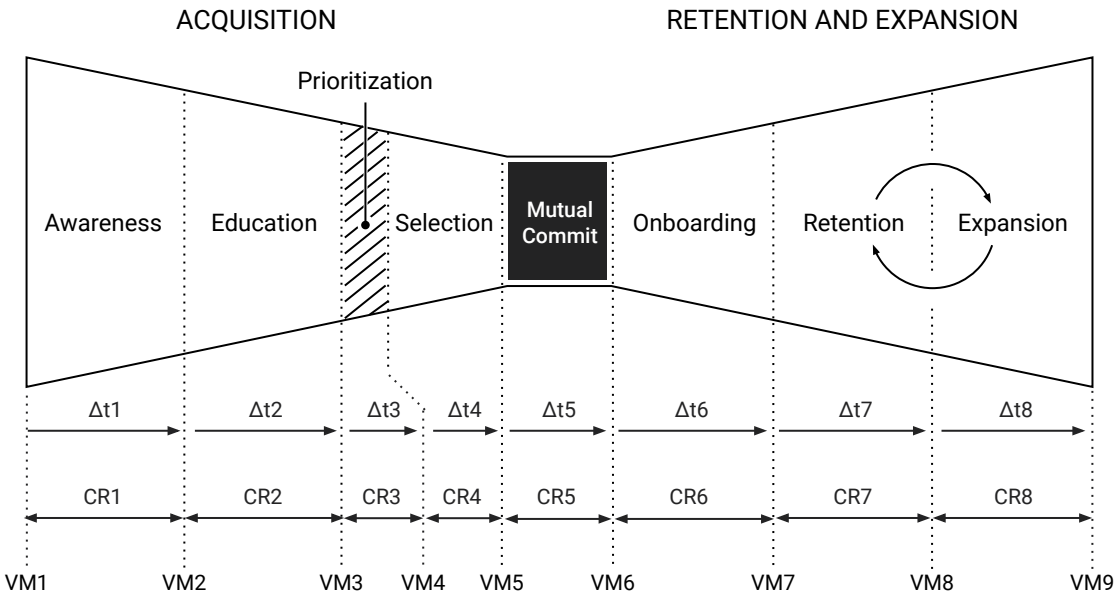
Assign 1 or 2 executives to each chapter. Ask them to provide a few takeaways that relate to your business from each chapter.

	Who?	What? (key takeaway)
Chapter 1	*CEO*	*SaaS Crash / Growth at all costs*
Chapter 2		
Chapter 3		
Chapter 4		
Chapter 5		
Chapter 6		
Chapter 7		
Chapter 8		
Chapter 9		
Chapter 10		
Chapter 11		

Not For Distribution

A2 DATA MODEL

First, label the volume metrics [VM(n)] using the terminology used within your company. Then label the conversion metrics [CR(n)], and lastly label the time metrics [Δt(n)].



VM1 _____ CR1 _____ Δt1 _____

VM2 _____ CR2 _____ Δt2 _____

VM3 _____ CR3 _____ Δt3 _____

VM4 _____ CR4 _____ Δt4 _____

VM5 _____ CR5 _____ Δt5 _____

VM6 _____ CR6 _____ Δt6 _____

VM7 _____ CR7 _____ Δt7 _____

VM8 _____ CR8 _____ Δt8 _____

VM9 _____

Not For Distribution

A3 OPERATING MODEL

For each product or solution offered, identify 5 rational (quantitative) impacts, 5 emotional (qualitative) impacts, and 5 critical events. This approach serves as a means to facilitate communication across the entire organization.

RATIONAL IMPACT	EMOTIONAL IMPACT	CRITICAL EVENTS
1. _____	1. _____	1. _____
2. _____	2. _____	2. _____
3. _____	3. _____	3. _____
4. _____	4. _____	4. _____
5. _____	5. _____	5. _____

Not For Distribution

A4 GROWTH MODEL

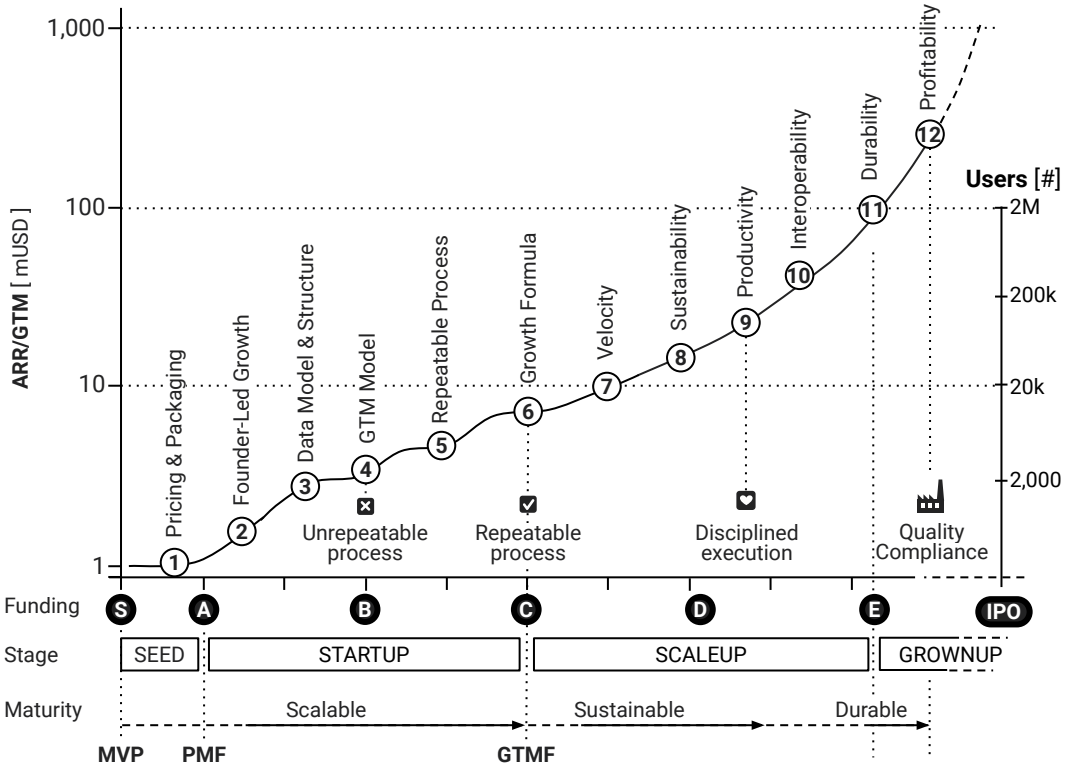
Depict your revenue growth trajectory on the growth model:

- Current Revenue (ARR): $ _____ on _____
- Target Revenue (ARR): $ _____ by _____ (18 to 24 months later)

See where this places you as it relates to the revenue breakpoints:

- Breakpoints achieved: _____
- Breakpoints missed: _____
- Breakpoints in progress: _____
- Breakpoints in the next months: _____

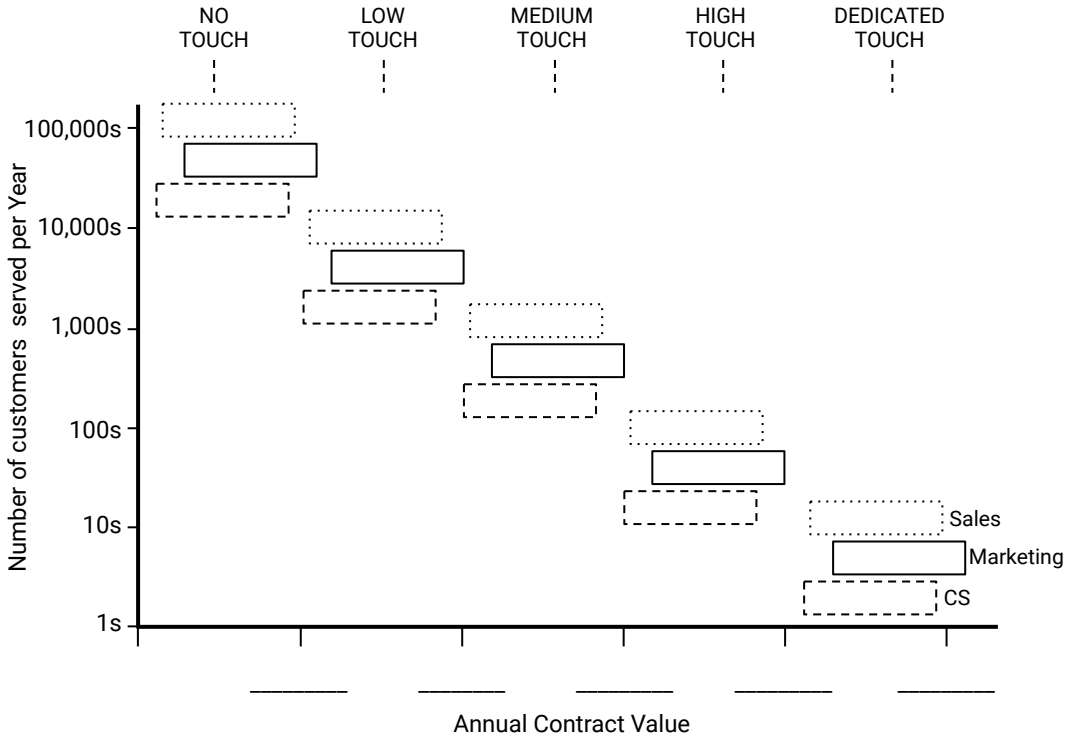
If past breakpoints have yet to be addressed, they will impede progress. Also, future breakpoints may involve a phase shift, which may require up to 18 months of preparation.



Not For Distribution

A5 *GTM MODEL*

Establish the different GTM motions. Fill in the functions per GTM motion you have in use today. Make sure they are aligned with the ACV and # deals/year.



GTM motion	_____	_____	_____
ACV:	_____	_____	_____
#Deals/year:	_____	_____	_____
LeadGen:	_____	_____	_____
LeadDev:	_____	_____	_____
Selling:	_____	_____	_____
Onboarding:	_____	_____	_____
Adoption:	_____	_____	_____
Expansion:	_____	_____	_____

Not For Distribution

ANNEX B. UNDERSTANDING REVENUE GROWTH

FIGURE B1 ***Revenue growth of BestCo, a fintech that grew from $1M in 2013 to $115M in 2021.***

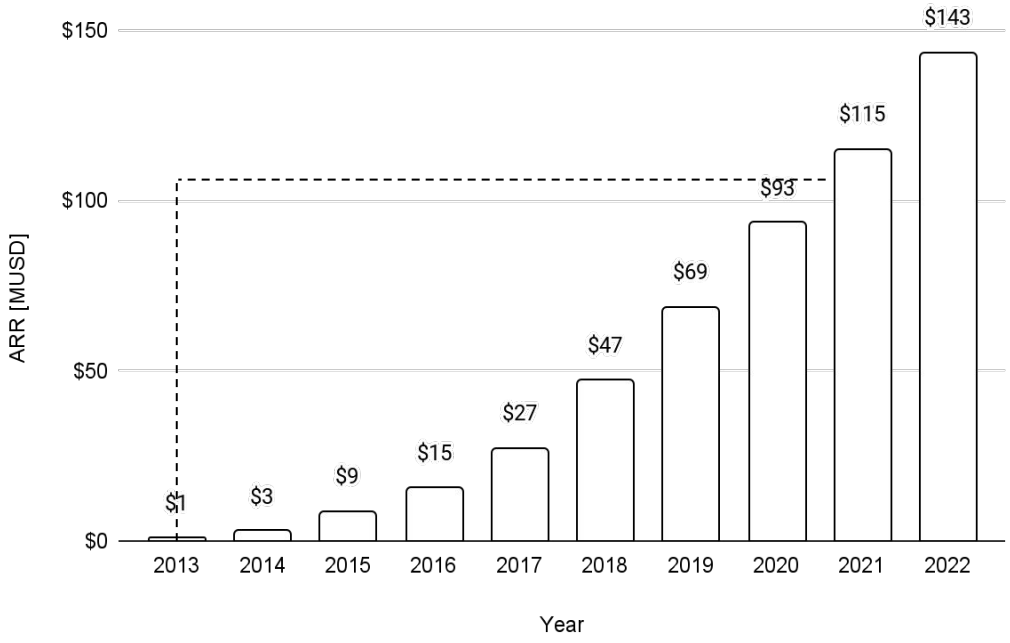
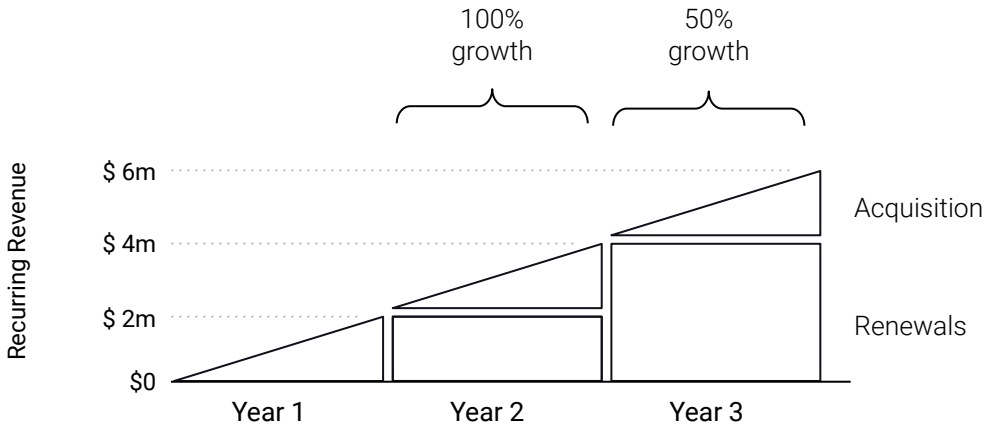


FIGURE B2 ***Revenue growth profile of a SaaS business using a recurring revenue model.***



Not For Distribution

FIGURE B3

Revenue growth profile of a subscription business using a recurring revenue license model with 100% retention.

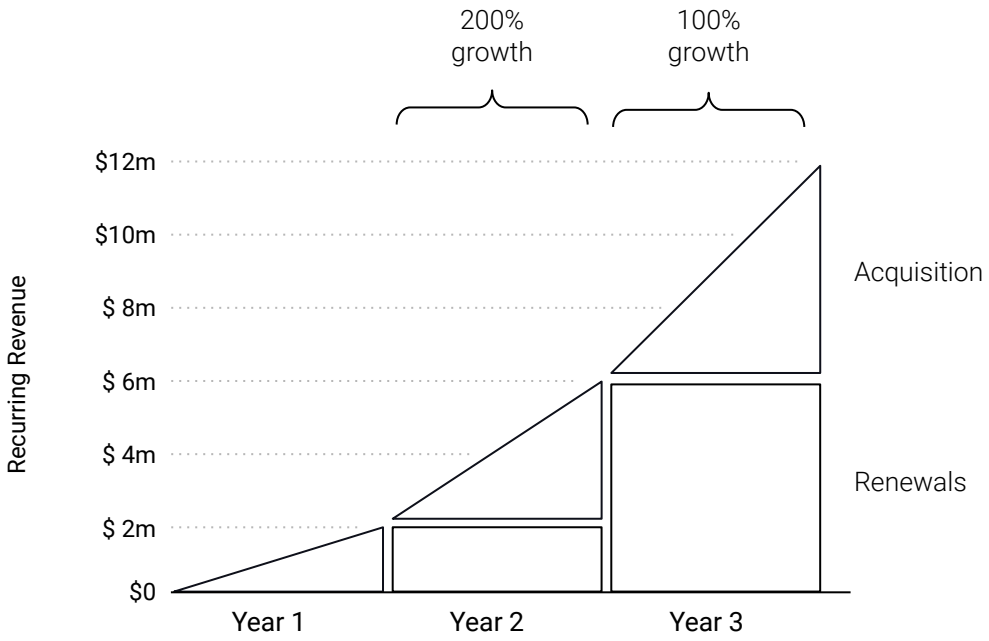


TABLE B1

In the beginning, exponential growth results from renewals and growth in acquisition.

NEWCO	Renewals	Acquisition		Total	
Year 1	$ 0M	$ 2M		$ 2M	
			100%		200%
Year 2	$ 2M	$ 4M		$ 6M	
			50%		100%
Year 3	$ 6M	$ 6M		$ 12M	

TABLE B2

Expansion is critical in any recurring revenue business.

		20%			
NEWCO	Renewals	Expansion	Acquisition	Total	
Year 1	$ 0M	$ 0M	$ 2M	$ 2M	
					220%
Year 2	$ 2M	$ 0.4M	$ 4M	$ 6.4M	
					114%
Year 3	$ 6.4M	$ 1.28M	$ 6M	$ 13.7M	

Not For Distribution

FIGURE B4 ***Recurring revenue has multiple components of growth that, when managed correctly, create hypergrowth.***

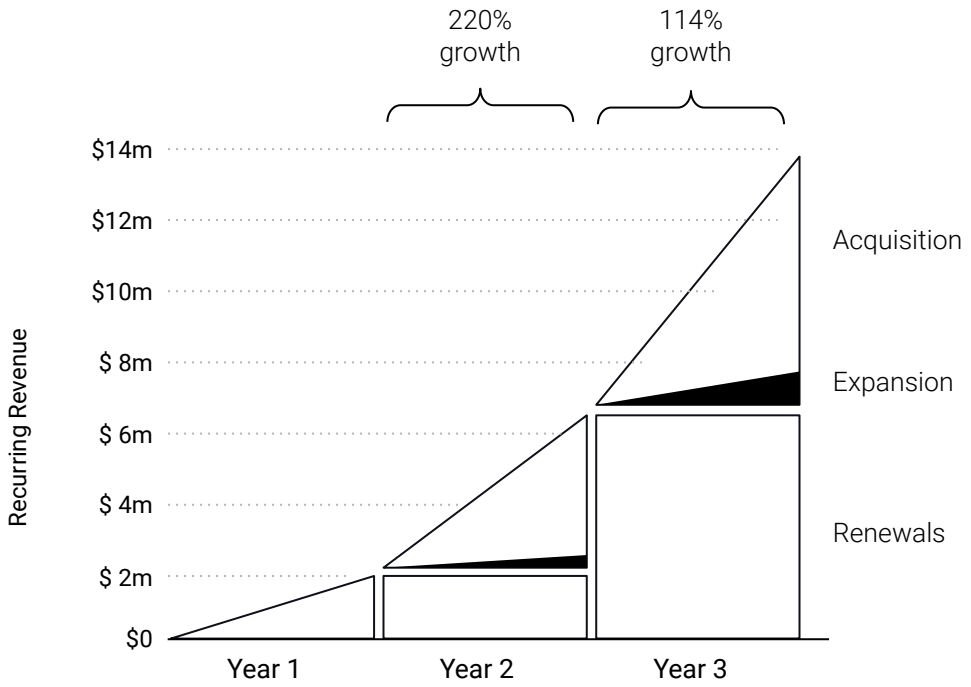
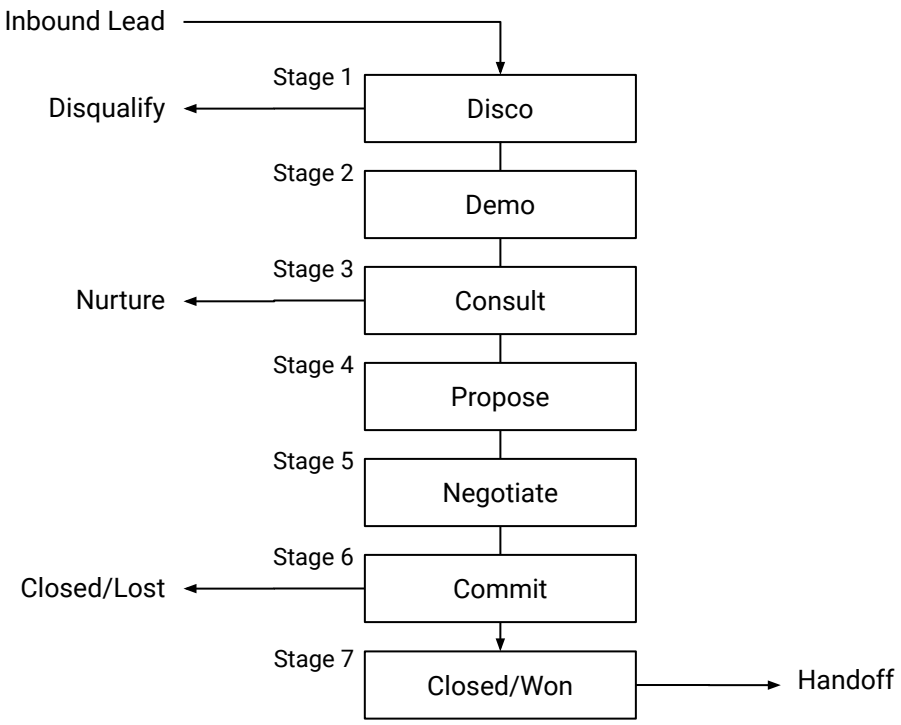


FIGURE C1 ***A simplified 7-stage sales process as commonly seen in most B2B sales companies.***



Not For Distribution

FIGURE C2

A more reflective pattern of how customers step through a series of meetings. This concept is known in mathematics as graph theory. It allows AI systems to learn which sequence of meetings causes the best results.

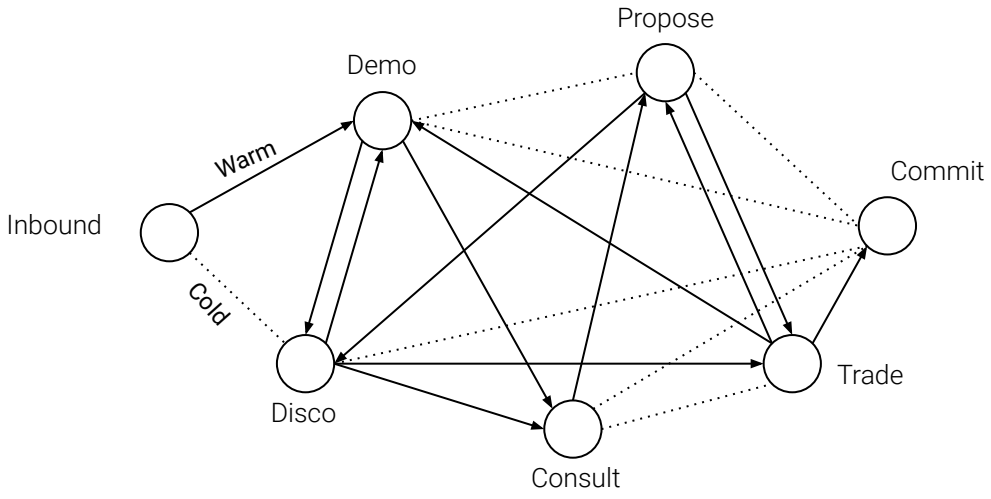
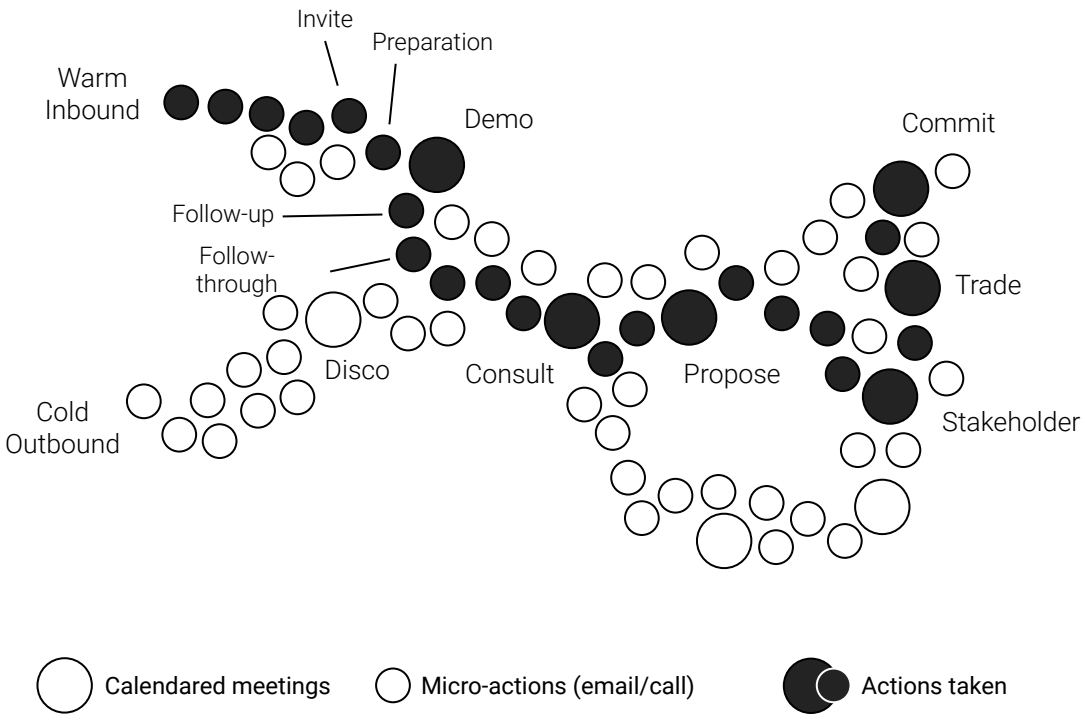


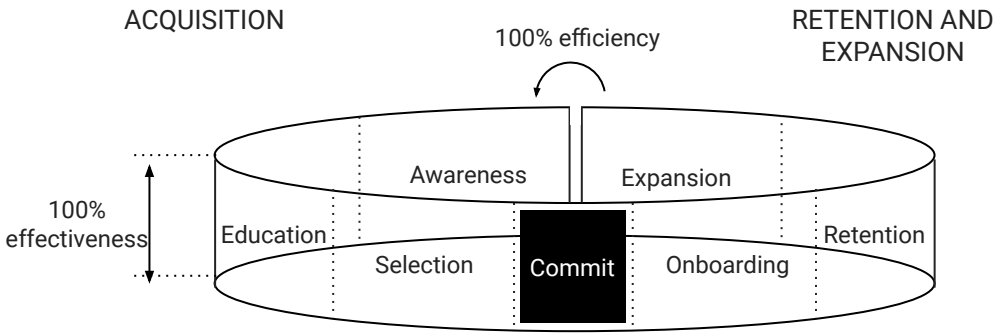
FIGURE C3

Micro-actions connect calendared meetings—they provide a more accurate picture of the number of actions a salesperson must take to gain mutual commitment from both sides.



Not For Distribution

FIGURE D1 ***A 100% effective and efficient system reflects market dominance.***



FORMULA E1

$$Win\ rate = \mathrm{CR}^{\ number\ of\ meetings}$$

Now, if we regroup that formula around the conversion rate per meeting, we get the following:

FORMULA E2

$$\mathrm{CR} = \sqrt[number\ of\ meetings]{win\ rate}$$

And if we apply the arguments for SMB, we get:

FORMULA E2a

$$\mathrm{CR} = \sqrt[5\ meetings]{20\%\ win\ rate} = 72.48\%\ (round\ it\ to\ 72\%)$$

This means that each calendar meeting converts at an average of 72%. In other words:

$$Win\ rate = 72\% \times 72\% \times 72\% \times 72\% \times 72\% \sim 20\%.$$

Now let's compare this to the Enterprise performance per meeting:

Not For Distribution

FORMULA E2b

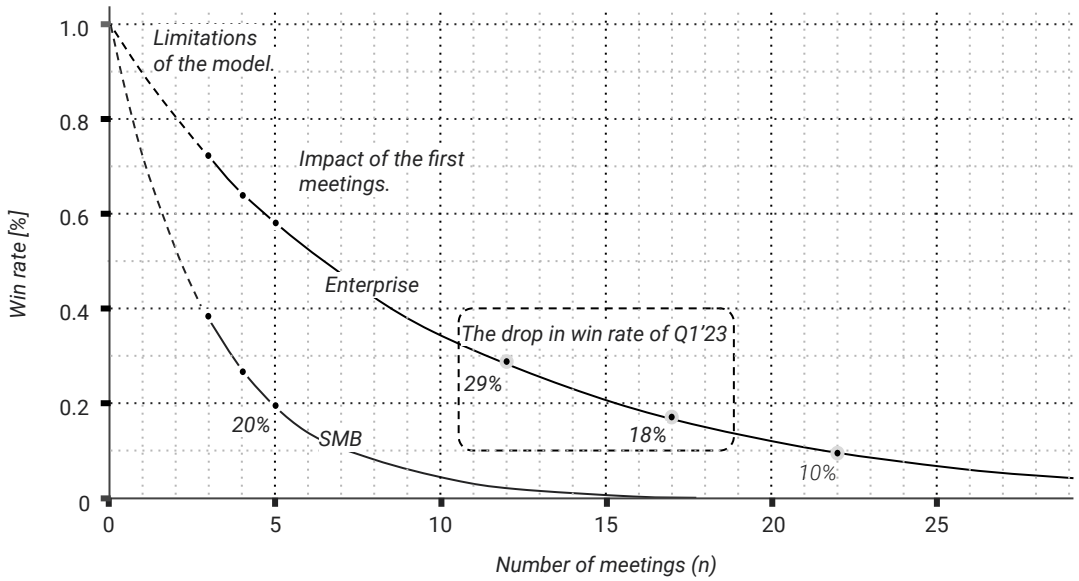
$$CR = \sqrt[12\ meetings]{30\%\ win\ rate} = 90\%$$

$$Win\ rate = 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\% \times 90\%$$

$$Win\ rate = 0.9^{12} = 30\%$$

FIGURE E1

The difference in performance between an SMB rep and an Enterprise rep depicted as a function of the number of meetings.



FORMULA E3

$$Win\ rate = CR^{(n)\ number\ of\ meetings}$$

FORMULA E4

$$18\% = 0.9^{(n)\ number\ of\ meetings}$$

For some topical fun, let's use an AI prompt to help us solve for the number of meetings by stating, "If x = y^n and I have x and y, how do I solve for n?" we get:

FORMULA E5

$$Number\ of\ meetings(n) = ln(0.18) \ / \ ln(0.9) = 16\ meetings$$

Not For Distribution

The mathematics explain what we observed in the field. The average win rate dropped from 30% to 18%, while at the same time the average number of meetings increased from 12 to 16 (see Figure E1).

FIGURE E2 ***The persistent decline in win rate over time across Enterprise and SMB deals.***

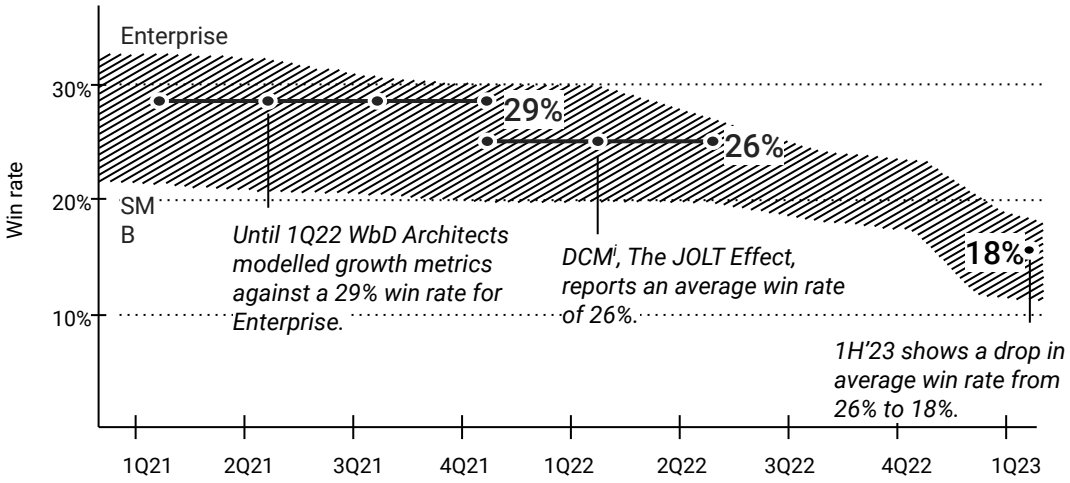


TABLE F1 ***Why existing solutions are not working.***

Prior Solution	Why it Doesn't Solve the Current Problem
Large-scale training programs	Traditional training programs can take a long time to realize Impact: reps can be trained and certified, but because they are learning several skills within the same training course, they don't emerge with mastery. Much more time is needed for ongoing coaching and applying all those skills.
Month-long onboarding bootcamps for new reps	Most companies are not hiring right now; in fact, many are doing the opposite as they lay off high proportions of their teams to cut costs.
Rolling out a new methodology	A methodology is key for any scaling sales team, but doing this well requires a heavy dose of change management and won't quickly solve the current problem.
Reliance on superstar reps	As we see in the latest data, the number of superstar reps remaining at companies has drastically declined. Companies can no longer rely on just the superstars to carry them through a tough market.

Not For Distribution

FIGURE F1 ***Overview of an Impact Sprint.***

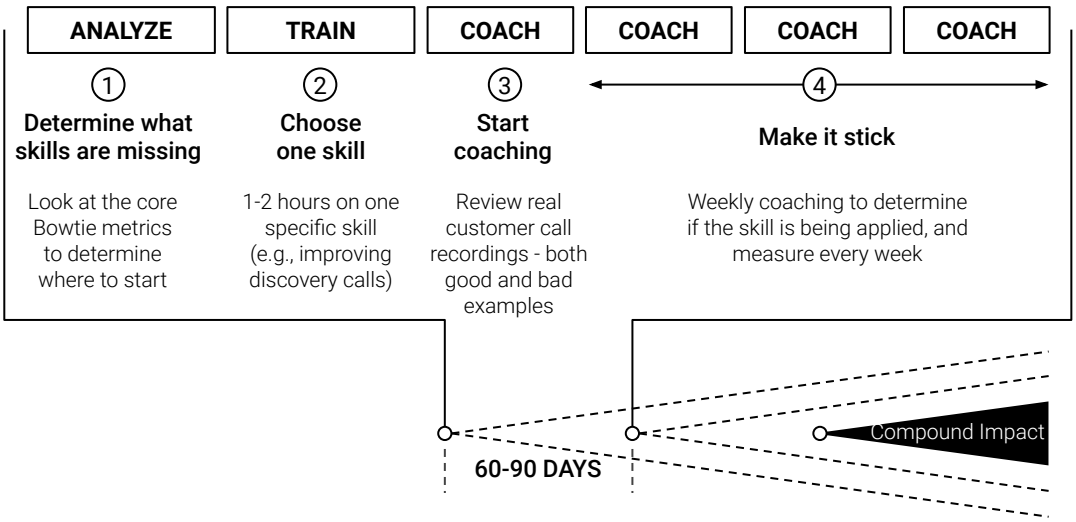


TABLE F2 ***An example of how to make training stick through coaching.***

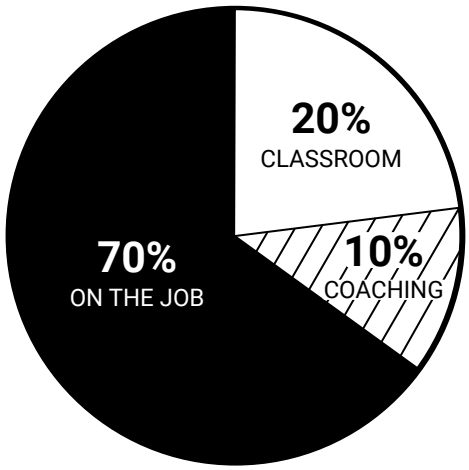
Analyze	Train	Coach
Some common areas of opportunity: ● NRR is too low ● Discounting is too high ● The conversion rate from a deal to a closed-won is too low	Start with a fundamental skill (e.g., get your discovery calls done well before attempting to solve for Enterprise stakeholder meetings).	Use actual customer calls; break them down as a group and determine if the skill was applied, how it was applied, and what the results were. Study call snippets of where it goes right and where it goes wrong to facilitate learning and understanding across the team of what "good" looks like.

Not For Distribution

TABLE F3 *Expected results of improving the group of middle performers.*

Cohort	# of reps	Quota attainment	Average quota attainment	Current revenue by cohort, current state	New revenue by cohort, after Impact Sprints
Top	32	80%+ quota attainment	90%	$28,800,000	$28,800,000
Middle	40	50-79% quota attainment	60%	$24,000,000	$36,720,000
Bottom	28	<50% quota attainment	30%	$8,400,000	$8,400,000
				$61,200,000	$73,920,000

FIGURE G1 *The 10:20:70 learning model.*



Not For Distribution

FIGURE G2 ***Example of a Diagnose Blueprint (explained in detail in Section 8.2.2).***

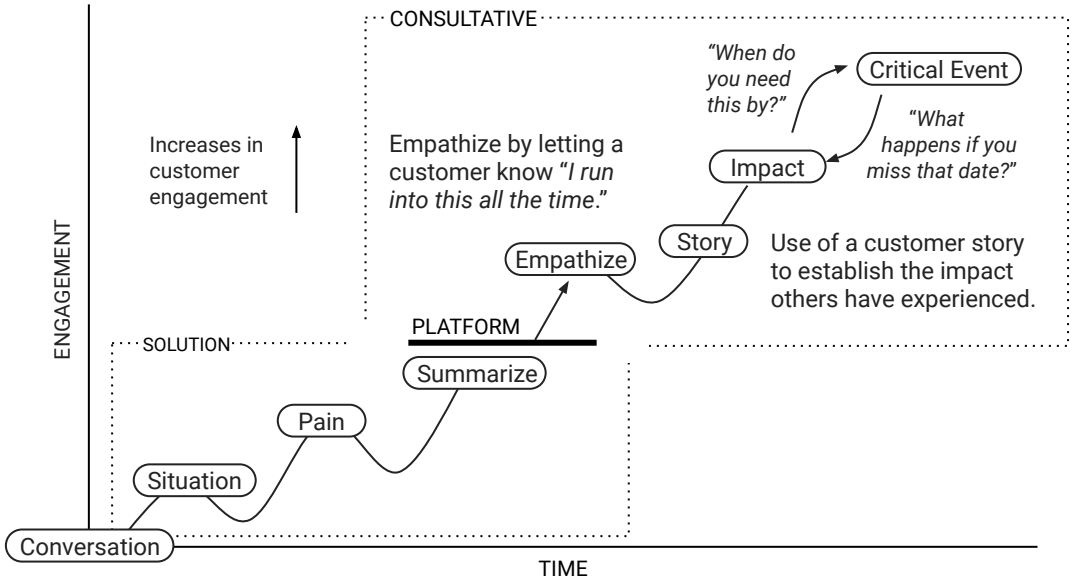
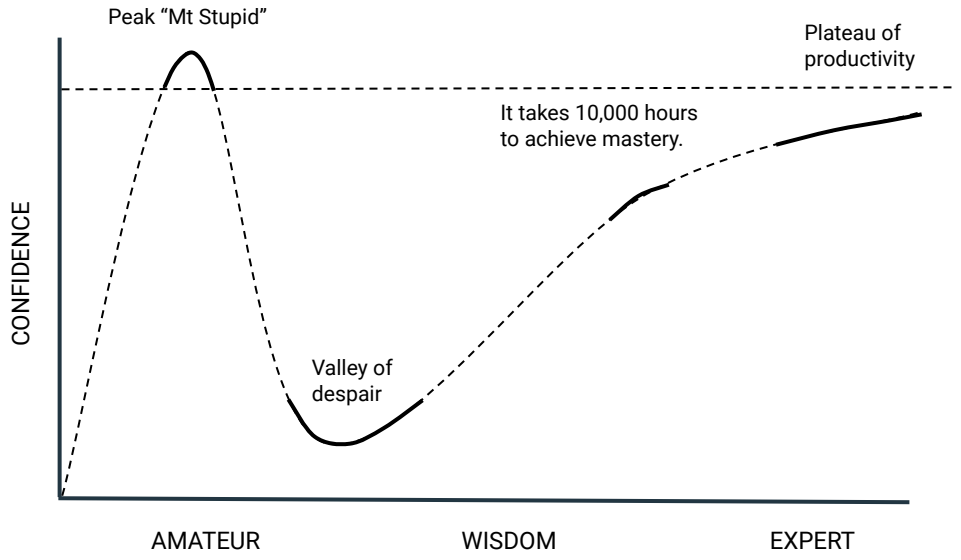


FIGURE G3 ***Amateurs typically overestimate their ability above expert level.***



Not For Distribution

FIGURE H1 ***TALKER, a conversation technique that can be applied to any customer conversation.***

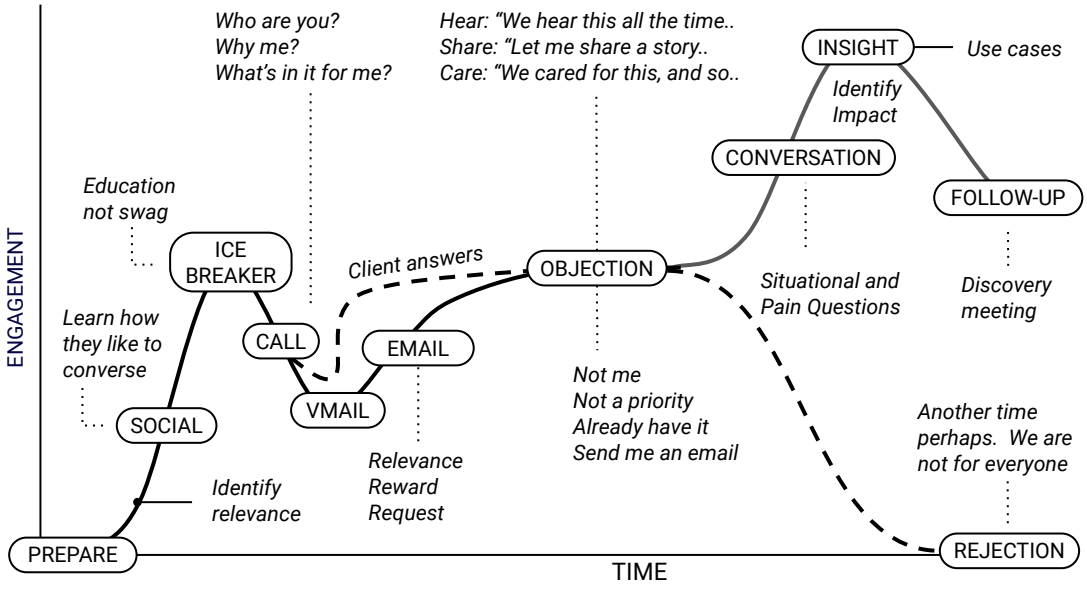


FIGURE H2 ***Example of a live chat with a client who came to your website to learn more.***

Qualification

Hi there. How can I help?

I am looking to learn more about sales acceleration. 🙂

What CRM do you use?

Salesforce

How many sales people?

The group I work for has 10.

And what is your role?

I am responsible for sales ops.

Are you the decision maker?

Yeah sure.

Is this project budgeted?

Yes.

When do you need this by?

End of next month.

I would like to set up a 15 minute meeting with our sales team.

Conversation

How can I help you?

I am looking to learn more about sales acceleration? 🙂

We 🖤 people who 🖤 sales acceleration.

What made you reach out?

We experience low productivity per rep.

How low is it?

<11 SQLs per month.

Your website shows an ACV of $1,200.

That's right.

In that case, rep productivity is low.

That's what I figured.

Your LinkedIn says you are hiring SDRs?

Yes, we are adding 4 more.

You should to talk to an expert to see if that even makes sense.

Not For Distribution

ANNEX

Not For Distribution

ABBREVIATIONS

4IR	Fourth Industrial Revolution
ABM	Account-Based Marketing
ACV	Annual Contract Value
AE	Account Executive
AI	Artificial Intelligence
AM	Account Manager
ATS	Applicant Tracking System
ARR	Annual Recurring Revenue
AWS	Amazon Web Services
B2B	Business to Business
B2C	Business to Consumer
BANT	Budget, Authority, Need, Timeline
BDR	Business Development Representative
CAB	Customer Advisory Board
CAC	Customer Acquisition Cost
CAGR	Compound Annual Growth Rate
CCO	Chief Customer Officer
CE	Critical Event
CET	Critical Event Timeline
CLG	Customer Led Growth
CMGR	Compound Monthly Growth Rate
CMO	Chief Marketing Officer
CPC	Cost per click
CR	Conversion Rate
CRM	Customer Relationship Management
CRO	Chief Revenue Officer
CS	Customer Success
CSM	Customer Success Manager
CTS	Cost to Serve
CE	Critical Event
CEO	Chief Executive Officer
COGS	Costs of Goods Sold
CCO	Chief Customer Officer
DAU	Daily Active Users
DEMO	Demonstration
ERP	Enterprise Resource Planning
F500	Fortune 500
FCF	Free Cash Flow
FOMO	Fear Of Missing Out
FOMU	Fear Of Messing Up
FOFO	Fear Of Finding Out
FP&A	Financial Planning & Analysis
GAAP	Generally Accepted Accounting Principles
GR	Growth Rate

Not For Distribution

GRR Gross Revenue Retention

GTM Go-To-Market

GTMF GTM Fit

I Impact

ICE Impact and Critical Event

ICP Ideal Customer Profile

IO Insertion Order

IPO Initial Public Offering

IRL In Real Life

IRR Internal Rate of Return

ISR Inside Sales Rep

KPI Key Performance Indicator

L2O Lead to Opportunity

LTV Lifetime Value of a customer

MAS Marketing Automation System

MAU Monthly Active Users

MCGR Monthly Compound Growth Rate

MDR Marketing Development Representative

MEDDIC Metrics, Economic Buyer, Decision Criteria, Decision Process, Identify Pain, Champion

ML Machine Learning

MM Mid Market

MQA Marketing Qualified Accounts

MQL Marketing Qualified Lead

MRR Monthly Recurring Revenue

MTM Moment That Matters

NPS Net Promoter Score

NRR Net Revenue Retention

Oppty Opportunity

OTC Opportunity to Close

OTE On-target Earnings

ORG Organization

OS Operating System

PE Private Equity

PLG Product Led Growth

PLS Product Led Sales

PMF Product Market Fit

POC Proof of Concept

PPC Pay-per-click

PQL Product Qualified Lead

QBR Quarterly Business Review

R40 Rule of 40

RFP Request for Proposal

RFQ Request for Quotation

ROI Return on Investment

ROM Recurring Revenue Operating Model

SaaS Software as a Service

SAL Sales Accepted Lead

SEM Search Engine Marketing

SDR Sales Development Representative

SEO Search Engine Optimization

SLG Sales Led Growth

SMB Small to Medium Business

SQL Sales Qualified Lead, same as Opportunity

T2D3 Triple Triple Double Double Double

TAM Total Available Market

TOFU Top Of The Funnel

TQM Total Quality Management

TTV Time to Value

USB Universal Serial Bus

VAR Value-Added Reseller

VC Venture Capitalist

VM Volume Metric

VP Vice President

VSB Very Small Business (emerging) segment

WAU Weekly Active Users

WR Win ratio

Not For Distribution

BIBLIOGRAPHY

Adams, D. J. (2007). *Building Trust, Growing Sales: How to Master Complex High-End Sales.*

Agrawal, N. (2015). *The SaaS Adventure.*

Andreessen, M. (2011). *Why Software is Eating the World.*

Beaubien, R., & Parrish, S. (2019). *The Great Mental Models series.*

BetterCloud. (n.d.). Average Number of Software as a Service (SaaS) Applications Used by Organizations Worldwide from 2015 to 2022.

Boyce, D. (2023). *Product that Sells Itself: An Executive-level Primer on Product-led Growth.*

Brailsford (Sir), D. (2015). *Core Principle and Marginal Gains.* YouTube.

Buffett, W. (2001). *Berkshire Hathaway Chairman's Letter.*

Behavior Shifts. The Wall Street Journal.

Cespedes, F. V. (2014). *Aligning Strategy and Sales: The Choices, Systems, and Behaviors that Drive Effective Selling.* Harvard Business Review Press.

Cespedes, F. V., & van der Kooij, J.J. (2016). *Hiring Star Sales People Isn't the Best Way To Grow.* Harvard Business Review.

Cespedes, F. V., & van der Kooij, J.J. (2023). *The Rebirth of Software as a Service.* Harvard Business Review.

Chin, K. (2021). DocuSign Shares Fall More Than 40% as Customer Behavior Shifts. *The Wall Street Journal.*

DataDog. (2023). *Quarterly Results, Fourth Quarter 2023.*

Deming, W. E. (1982). *Out of The Crisis: 14 Points for Management.* MIT Center for Advanced Engineering Study.

Deming, W. E. (2018). *The New Economics for Industry, Government, Education, 3rd edition.*

Dixon, M., & Adamson, B. (2011). *The Challenger Sale: Taking Control of the Customer Conversation.* Portfolio/Penguin.

Dixon, M., & McKenna, T. (2022). *The JOLT Effect: How High Performers Overcome Customer Indecision.*

Dunning, D., & Kruger, J. (1999). *The Dunning-Kruger Effect.* Journal of Personality and Social Psychology.

Dunkel, D., McMahon, J., & Napoli, J. (1996). *MEDDIC Sales Methodology.*

Heath, C., & Heath, D. (2017). *The Power of Moments: Why Certain Experiences Have Extraordinary Impact.*

Höök, M., Li, J., Oba, N., & Snowden, S. (2012). *Descriptive and Predictive Growth Curves in Energy System Analysis.*

Howarth, J. (2023). *How Many People Own Smartphones?* [Publication Source Not Provided]

Izosimov A.V., (2008). *Managing Hypergrowth.* Harvard Business Review.

Johnson, C. H. (2022). *Scaling People: Tactics for Management and Company Building.* Stripe Press.

Not For Distribution

Junger, S. (2016). *Tribe: On Homecoming and Belonging.* Grand Central Publishing.

Kajanus, S. (2020). *Types of Growth and How to Show Them.*

Kastrenakes, J. (2022). *Netflix Raises Prices on All Plans in the US.* Forbes.

Khalsa, M., & Illig, R. (2008). *Let's Get Real or Let's Not Play: Transforming the Buyer/Seller Relationship.*

Knaflic, C. N. *Storytelling with Data: A Data Visualization Guide for Business Professionals.* Wiley.

Lee, D. (2023). *Reddit Made the Mistake of Ignoring Its Core Users.* The Washington Post.

Lewis, E. S. E. (1898). *The New Thought in Advertising.*

Lewis, M. (2003). *Moneyball: The Art of Winning an Unfair Game.* W. W. Norton & Company.

McJannet, D. (2022). *CEO Systems: 5 Lessons Learned from Scaling at Every Growth Phase with HashiCorp CEO Dave McJannet.* SaaStr.

MacDonald, D., & Nadel, I. (2008). *Golden Gate Bridge: History and Design of an Icon.* Chronicle Books.

Millard, S. (2023). *From $1 to $100m Revenue: Scaling VC Backed SaaS with Notion Capital.* Notion Capital.

Mubeen, J. *Mathematical Intelligence: A Story of Human Superiority Over Machines.* Pegasus Books.

Nahm, T. H., & Tinker, B. (2018). *Survival to Thrival: Building the Enterprise Startup.* April 16, 2018. Mascot Books.

Page, S. E. (2018). *The Model Thinker: What You Need to Know to Make Data Work for You.* Basic Books.

Parrish, S. (2022). *Chesterton's Fence: A Lesson in Second Order Thinking.* Farnham Street Blog.

Pink, D. (2012). *To Sell Is Human: The Surprising Truth about Moving Others.* Riverhead Books.

Rackham, N. (1995). *SPIN Selling.* McGraw-Hill.

Reason, J. (2000). *Human Error: Models and Management.* National Institute of Health.

Roberge, M. *The Sales Acceleration Formula: Using Data, Technology, and Inbound Selling to Go from $0 to $100 Million.* Gildan Media.

Rubin, R. (2023). *The Creative Act: A Way of Being.* Penguin Press.

SaaS Capital Index. (n.d.). *Performance of SaaS Companies Over Time, Normalized Against January 2012.*

Sacks, D. (2020). *The Burn Multiple.*

Sandler, D. (1967). *Sandler Selling System.*

Skok, D. (2010). *How Sales Complexity Impacts Your Startup's Viability.*

Skok, M. (2009). *Chess Metaphors: Artificial Intelligence and the Human Mind.*

Szkutak, R. (2022). *Record-Setting Venture Capital Market Shows off a Slowdown.* Forbes.

Taylor, F. W. (1910). *The Principles of Scientific Management.* Harper & Brothers.

The Farnam Street. (2019). *The Great Mental Models Volume 1: General Thinking Concepts.* Latticework Publishing Inc.

The Farnam Street. (2021). *The Great Mental Models Volume 3: Systems and Mathematics.* Latticework Publishing Inc.

Van der Kooij, J. J. (2016). *Blueprints for a SaaS Sales Organization: How to Design, Build, and Scale a Customer-Centric Sales Organization.* Winning by Design.

Van der Kooij, J. J. (2018). *The SaaS Sales Method: Sales as a Science.* Winning by Design.

Vonnegut, K. (1995). *The Shape of Stories.* UC Berkeley.

Voss, C. (2016). *Never Split the Difference,* Negotiating as if Your Life Depended on It. Harper Business.

Walsh, B. (1998), Finding the Winning Edge, Sports Publishing Inc. Illinois.

Woodlock, D. (2009). *Intro to System Dynamics [YouTube series].* December 18, 2009. Youtube.

Yeh, C., & Hoffman, R. (2018). *Blitzscaling: The Lightning-Fast Path to Building Massively Valuable.* Crown Currency.

Not For Distribution